

Concord Biotech (CONCORDBIO)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-08-02.

Call: Sep 2023

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra-Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir/Ma'am,

Subject: Transcripts of Q1 FY24 Earnings call held on September 07, 2023

In continuation of our letter dated September 07, 2023 regarding Audio recording of Q1 FY24 Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the quarter ended June 30, 2023 enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Prakash Sajjani

Company Secretary and Compliance Officer

M. No. F6242

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"Concord Biotech Limited

Q1FY24 Earnings Conference Call"

September 07, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th September 2023 will prevail

MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING
DIRECTOR – CONCORD BIOTECH LIMITED
MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH
LIMITED

MR. LALIT SETHI – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED
MR. PRAKASH SAJNANI – COMPLIANCE OFFICER AND
ASSISTANT VICE PRESIDENT , ACCOUNTS – CONCORD
BIOTECH LIMITED
SGA, INVESTOR RELATION ADVISORS – CONCORD
BIOTECH LIMITED

MODERATOR : MR. SAGAR SHROFF – SGA

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Moderator: Ladies and gentlemen, welcome to the Q1 FY24 Earnings Conference Call of Concord Biotech Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. Now I hand over the conference to Mr. Sagar Shroff from SGA. Thank you and over to you.

Sagar Shroff: Thank you. Good evening, everyone and thank you for joining us on Q1 FY24 Earnings Conference Call for Concord Biotech Limited. Today we are joined by Mr. Sudhir Vaid, Chairman and Managing Director, Mr. Ankur Vaid, Joint Managing Director and CEO, Mr. Lalit Sethi, Chief Financial Officer and Mr. Prakash Sajnani, Compliance Officer and AVP Accounts. Company has uploaded its financial results and investor presentation on company's website and stock exchanges. I hope everybody had an opportunity to go through the same. We'll begin the call with opening commentary by the management, followed by question-and-answer session. I would now like to invite Mr. Sudhir Vaid, Chairman and Managing Director for Concord Biotech Limited to give his opening remarks. Over to you, sir.

Sudhir Vaid: Good evening, everyone. Thank you for joining us on our maiden earnings call to discuss the operational and financial performance of Q1 FY24. To begin with, I would like to thank and congratulate all the stakeholders, investors, bankers, and business partners for helping us to achieve a milestone of getting listed on the Indian Stock Exchanges. We were delighted to see strong response for our IPO. Since this is our maiden call, I would like to first take you through broad industry update and strategy going forward. Followed by this, we will share the operational financial highlights for the quarter, post which we will open the floor for questions and answers.

The global API market as of 2022 was valued at approximately USD 219 billion, which is expected to reach approximately USD 278 billion by the year 2026, at a projected CAGR of 6.1%. Of the total market, biological APIs accounted for 37% of the share in 2022. Small molecule APIs accounted for the remainder of 63% share. The global API market can be broadly segmented into therapeutic areas such as anti-infective, oncology, immunosuppressants, and others. Of these immunosuppressants accounted for 7% of the market and is expected to grow by approximately 9.7% and oncology market which accounted for 19% is expected to grow at a CAGR of 19.7%.

At Concord, we are the market leaders for immunosuppressants and the only supplier in the world having complete portfolio of fermentation-based APIs for the immunosuppressants. Alongside, we have also developed our capabilities into niche fermentation-based APIs in oncology, anti-infectives, and antifungal APIs. The Indian API market valued at USD 17 billion, in INR around 1,377 billion in 2022, comprises of APIs manufactured for exports and APIs
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consumed in formulation by Indian formulation companies. These formulations are domestically consumed as well as exported to the global market. India's growth trajectory of the API market is well cemented for domestic API consumption as well as exports.

The total India API market is expected to grow at a CAGR of 11.1% between 2022 and 26. The API consumption for domestic formulations is also exp

ected to drive high demand in the next

four to five years. This growth is in line with the overall growth of pharmaceutical drug consumption in the country. Export during the same period is also expected to grow at a rate of 7% to 9%. Let me touch upon brief history of Concord and its current positioning. Concord embarks on its manufacturing journey in 2000.

Initially started with production of enzyme with just one manufacturing block, but with an experienced team of biotechnologists, especially in the field of fermentation. Over the years, company has made remarkable strides and currently operates approximately 41 manufacturing blocks across three manufacturing units, offering a wide range of products, spanning diverse therapeutic areas and segments.

Notably, Concord stands out on the global stage as one of the few companies that have effectively and sustainably established and expanded their capabilities in the fermentation-based API manufacturing. Furthermore, Concord proudly holds the distinction of being the only supplier of a complete production portfolio for fermentation-based immunosuppressants APIs. Fermentation as a core component of our manufacturing process presents unique challenges. It involves the intricate management of microbial strains, the precise control of multiple interconnected processes, and the execution of various purification steps.

The slightest adjustment to this process can yield significant variations in the final output. As a result, this approach stands in stark contrast to chemical synthesis, requiring a highly specific, scientific, and quality-centric approach. As we expanded our market presence in the specialized fermentation-based API industry, we took a strategic step of entering into the formulation business back in 2016. Our Valthera facility was established with the purpose of producing forward integrated formulations for oral solid doses. Over time, we have successfully developed and are now manufacturing products and catering to both domestic and international markets. At present, our Valthera facility boasts an impressive capacity of approximately 802 million units. Furthermore, as part of our commitment to strengthening our position in the formulation business, we are in the process of establishing an injectable facility. We anticipate that commercial production at this new facility will commence by the first quarter of the next financial year. Over the years, Concord has diligently cultivated its capabilities and an extensive range of products, positioning itself at the forefront of the competition. We have steadily expanded our customer base across global markets.

This strategic approach has solidified our reputation and enabled us to make deeper inroads by attracting additional customers and further penetrating our existing client space. The production of fermentation-based API is inherently complex, making us one of the very few global suppliers capable of manufacturing a comprehensive range of products under one roof. In recent times, the industry has witnessed significant consolidation of manufacturing activities. Several
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companies have encountered challenges related to the growth on the back of skill shortages, lack of scalability, and a limited product portfolio. This has presented us with ample opportunities to expand our presence in various markets and geographical regions, ultimately contributing to the growth of our revenues and market shares. Let me share with you the prospectus and driving factors within the API market for the Indian companies. The rising prevalence of chronic diseases, India's largest population and diverse demographics have led to a wide spectrum of diseases including chronic conditions.

This ongoing trend will continue to drive the demand for APIs and formulations within the domestic market. Expansion of generic drugs, According to var

ious industry reports, numerous

drugs are set to lose their patents between 22 to 26. This presents a significant opportunity for increased product volume and growth, creating a higher demand for the corresponding APIs. Surge in formulation exports, India currently stands as one of the largest drug manufacturers globally.

Indian pharmaceutical companies consistently secure 30% to 35% of ANDA approvals annually, establishing themselves as reliable exporters of generic drug formulation to regulated markets. As Indian firms continue to expand their export capacities, the demand for relevant APIs will also see an upswing. Adoption of the China plus One strategy, countries worldwide are actively diversifying their sourcing options, reducing dependency on single suppliers, particularly those from China.

This dynamic opens up substantial opportunities for Indian pharmaceutical companies to emerge as alternative suppliers for both regulated and unregulated markets, leveraging their high capabilities and focus on innovation. Supportive government initiatives and PLI schemes, concurrently favourable government schemes and the production-linked incentives program have provided a significant boost to the Indian pharmaceutical manufacturing sector.

With a high runway for growth and improving market scenario, especially for Indian pharma

companies, we remain highly optimistic about the future of our company and are confident in our ability to elevate the company to even greater heights. Thank you and now I invite Ankur Vaid, Joint Managing Director, and CEO to take the discussion further.

Ankur Vaid: Thank you and a very warm welcome to all the participants on the call. Concord Biotech, an Indian biopharmaceutical company is holding a very prominent global position in the research and the production of niche fermentation-based APIs. Our expertise extends to various therapeutic areas including immunosuppressants, oncology, anti-infectives and anti-fungal. We serve more than 70 countries including regulated markets like the United States, Europe, Japan, and India.

Our manufacturing operations encompass two key areas. Firstly, the biopharmaceutical APIs. We employ a combination of fermentation and semi-synthetic products methods to produce APIs that span multiple therapeutic domains, including immunosuppressants, oncology, anti-infectives, and antifungal. The second area is the formulation manufacturing. This encompasses the production of formulations in therapeutic segments such as the immunosuppressants and

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nephrology drugs which are critical for addressing healthcare needs in scenarios requiring intensive care.

Concord has invested significantly in capacity expansion in recent years. With our new capacities coming on stream, we are in the process of scaling up our API production to serve more customers. We currently have 23 APIs, which are commercialized, and have filed more than 128 DMFs across several countries for our APIs. Concord offers a portfolio of seven fermentation-based immunosuppressant APIs like tacrolimus, mycophenolate mofetil, mycophenolate sodium, cyclosporine, sirolimus, everolimus, and pimecrolimus.

Our strategic focus is on further expanding our API portfolio across therapeutic areas, especially in oncology, where we currently have 6 APIs for global markets, and anti-infectives and anti-fungal, where we currently have 7 products. Also, we continue to invest in R&D and have a strong pipeline of products under development across therapeutic areas of Immunosuppressant, oncology, and anti-infectives, which have an addressable market size of USD 2.5 billion at the formulation level.

In India, we have a portfolio of 77 approved products across Immunosuppressants, nephrology drugs and anti-infective drugs for critical care. In addition, we have obtained four ANDA approvals for six products from the US F

DA. We have a pan-India presence through our sales team. We also have a B2B contract development manufacturing organization business, where we supply Immunosuppressants to the Indian market.

Our immunosuppressant formulations are manufactured in facilities inspected and accredited by overseas regulators such as the USFDA and several other emerging market regulatory authorities. Our formulations are also distributed to the U.S. and countries in Asia, Africa, and Latin America on a B2B basis primarily through arrangements with distributors. On the manufacturing capability side, we have three manufacturing facilities in the state of Gujarat comprising API manufacturing facilities in Dholka and Limbasi and a formulation manufacturing facility in Valthera which were commercialized in 2000, 2021 and 2016 respectively.

Our total annual installed fermentation capacity for API is around 1,250-meter cube. We have a total of 41 manufacturing blocks and close to 400 reactors at Dholka and Limbasi facilities, which allows us flexibility in plant configuration to cater to customer demands. Our Dholka facility has been subject to inspections by overseas regulators including USFDA, government of Upper Bavaria, Germany, PMDA, Japan, MSDS, and Korea on a periodic basis since 2005. We have an impeccable track record with these inspections. In addition to the regulatory inspections, our Dholka facility has been subject to audits by our customers regarding adherence to their specifications and standards since 2005. With a high focus on quality compliance and meeting global regulatory standards, we expect the Limbasi facility which has come up in 2021, to clear regulatory and customer inspections without any hiccups.

And this will allow us to cater to the regulated markets. I'm happy to inform you that USFDA authorities inspected our Limbasi facility from 26 to 30th of June of 2023. And the inspection

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was successfully concluded with zero 483 observations. We now have an EIR report for the same. So with this, customers have now initiated qualification of the Limbasi facility. I would

also like to highlight that we have only one manufacturing standard across our facilities, which is followed irrespective of the end markets, be it regulated or semi-regulated markets. The annual installed production capacity of our formulation manufacturing facility in Valthera, which was commercialized in 2016 is around 800 million units. The Valthera facility has been subject to inspections by overseas regulators including USFDA, GMP of Kenya, National Drug Authority of Uganda, FDA Republic of Philippines and WHO. Further, we are in the process of enhancing our capabilities in formulation manufacturing through our injectable facility. Speaking of R&D, in research and development we have set up two DSR approved R&D facilities comprising of 148 members, a significant number of whom had full doctoral qualifications. Our R&D team has showcased its proficiency in moving products, even complex ones, from the R&D stage to full commercialization. Our R&D endeavour are centred on pivotal tasks such as pioneering new product development, enhancing cost effectiveness, refining processes, facilitating technology transfer, and executing scale-up initiatives. We will continue to focus on our R&D in the future to develop new products for domestic and global markets for our existing and to target new customers. Our product selection assessment encompasses a comprehensive evaluation of factors such as the market potential, competitive dynamics, technical feasibility, and the intellectual property landscape for each prospective product. As of now, we have successfully developed and brought to market 23 fermentation-based APIs with the valuable support of our dedicated R&D team. Furthermore, through ongoing R&D initiatives, we consistently

bolster our capabilities for backward integration. This empowers us to internally manufacture APIs, which serve as a pivotal starting material for our formulations. This strategic approach ensures our ability to maintain cost competitiveness and a steady supply for our key products. Talking about our customer base, our customer base extends across the globe with a presence in more than 70 countries, comprising of over 200 plus customers who rely on our APIs and formulation. Furthermore, we have solidified our partnership with customers through long-term supply agreements, and several of our top revenue generating customers hold prominent positions in their respective regions. Moreover, our commitment to building enduring relationships is evident from the fact that we have maintained an average customer relationship span of eight years with our 10 largest customers by revenue. However, as a de-risking strategy, our revenue contribution from the top 10 customers stood at approximately 45% in FY23, which was approximately 60% in FY20, while revenues have increased by close to 18% CAGR during the same period. This is a testimony of new customer addition, increasing the share of wallet among existing customers. We have added approximately 50 customers in FY21 and FY22 and have added close to 63 customers in FY23. With high quality niche products, we've been able to successfully add new customers across therapies and geographies over the years. We will continue with our endeavour of adding new

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customers and increasing in the share of wallet of our existing customers as well. To take you through our strategies going forward, our primary strategy is to continue to increase our market share and develop our portfolio of complex and niche products with high growth potential. API will continue to be the core focus of the business and we will continue to increase our wallet share among existing customers by selling them existing and new products across therapies. Also, our investments into new manufacturing capacity has enabled capabilities to grow our wallet share from existing customers. Secondly, adding new customers across different geographies with established product portfolio and with the commercialization of new products. Thirdly, increase our presence in existing formulations and add new formulations by adding geographical reach, launching new dosages, and expanding the product portfolio. And the fourth lever being the growth in the CDMO business. So, with the capacity expansion at our Limbasi facility, the China plus One strategy and given our expertise in the fermentation area, we see this as a growth opportunity for future growth in the company. And the last growth lever for us being the increased utilization of existing and new facilities by adding more customers, and products to be marketed and sold across geographies. With an established track record, manufacturing capabilities and expertise, presence across complex fermentation value chain, and global leadership in our select portfolio, we are optimistic about our growth going forward. Now, I'll hand it over to Lalit Sethi, our CFO, who will provide further insights on the financial and operational performance for Q1 FY24.

Lalit Sethi: Thank you, sir. I will take you through the financial performance of this quarter. On the revenue front, our revenue for quarter 1 financial year '24 stood at INR 194.8 crores as compared to INR 181 crores in quarter 1 financial year '23 representing a growth of 8%. Our API business revenue stood at 84% in quarter 1 financial year '24 as compared to 86% in quarter 1 financial year 2023.

The contribution from the formulation revenue was 16% in this quarter as compared to 14% in the same quarter last year. Our domestic revenue stands at 54% of the total revenue and the balance 46% of the revenue is derived from exports. With

respect to the EBITDA, our reported

EBITDA for quarter 1 financial year '24 stood at INR 72.2 crores as compared to INR 64.6 crores in financial year '23 quarter 1, representing a growth of 12%. EBITDA, including share of profit from the JV, stood at INR 78.2 crores with a margin of 40.1% and a growth of 100 bps, Y-on-Y.

On profit after tax, our profit after tax for quarter 1 financial year '24 stood at INR 54.5 crores as compared to INR 49.3 crores in quarter 1 financial year '23 representing a growth of 11%. Our PAT margin stood at 28% in this quarter, a growth of 80 bps as compared to the same quarter last year. Our net debt as on 30th of June is stood at around INR 25 crores.

So with this, I shall now leave the floor open for question-and-answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Chintan Sheth from Girik Capital. Please go ahead.

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Chintan Sheth: Yes, thank you for the opportunity and congratulations to the team for the maiden IPO and a successful one. Sir, a couple of questions. One on the revenue side, if I look at your export's revenue share has declined, implying 12% degrowth over the Q1 of last year. Would you like to throw some light, what are the reasons for exports sales being slower than the overall company? And second, in the seasonality, if I look at your quarterly numbers, whatever you have provided so far, Q4 of last year formed almost 32% of the overall full year '23's revenue. If you can also help us understand the seasonality in the business in terms of which quarters, you know or share how the quarterly revenue shape up going forward and any guidance in terms of what to expect in the coming quarters as well? That is the first one.

Lalit Sethi: I just take your first question, second question first, regarding the seasonality which you have spoken about. If you look at the historical trend, our first half revenue constitutes about 35% to 40% of the revenue of annual revenue, whereas the remaining 65% to 70% comes in the second half. So, if the same principle applies as you have mentioned on the first question of exports, why it has been declined in the first quarter, because exports are expected to grow in the second half of the financial year.

Chintan Sheth: And given that we have historically grown at a high mid-team number, that will be the expectation from the management given the capacities are already in place and the products are already in, you know, the new capacity is also up and running. At least we expect to grow for the full year. That's how one should look at?

Ankur Vaid: So, you know, Concord should be looked more from, on an annual basis rather than being looked from a quarter-on-quarter basis. Because there could be some amount of lumpiness which could come on a quarter-on-quarter basis. But as Lalit mentioned typically, historically we have seen that quarter three and quarter four is where the sales really start to pick up.

And so it's basically going from quarter one and then slowly and steadily picking up and having full steam by the end of quarter four because typically quarter three is like a financial closing for many of the export companies, many of the foreign companies and quarter four being that for Indian companies.

But that being said, I think, given that we are in a very niche segment and how we are operating, we should be more so being looked from an annual basis than being looked from a quarter-on-quarter basis. And as rightly said by you, that there are, we have now, we have enough capacities at the API as well as at the formulation stage and a very diverse portfolio of APIs and formulation which will ensure that the growth aspects that we're looking for this year and going forward will be met.

Chintan Sheth: Right. And if you can talk about the new product development siz

e, you mentioned, touched

upon the formulation market size is around 2.5 billion, but if you can provide at what stage and what will be the likely timeline for those products to come on stream? Would be helpful.

Ankur Vaid: So we have close to around eight to 10 molecules which are there in the pipeline across different segments such as the Immunosuppressants, Oncology, and anti-infectives and one would appreciate that it takes close to around six to seven years to kind of develop the molecule in the

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fermentation space. And there are products which are at different life cycles within the development, R&D development stage.

But typically, I say that one can expect around one to two molecules that would become commercialized based on our historical trend is what I would point out. But it'll be difficult to mention which specific product would become commercial because it will all depend upon the market dynamics about the state at which we are with respect to those molecules.

Moderator: Thank you. We'll take the next question from the line of Karan Surana from Monarch AIF. Please go ahead.

Karan Surana: Yes, so my first question is that, could you just elaborate on the potential disruptors or risks that the management can identify as threats to our EBITDA margins stability over the long term? I mean, other, I'm just trying to ask from like a, you know, broader perspective if there are any external factors or industry trends that could potentially impact our EBITDA margins going forward. Seems like we've been able to maintain healthy EBITDA margins for almost a decade. So, I'm just trying to understand whether the sustainability could continue maybe in a three- or five-year kind of a period?

Ankur Vaid: So yes, I think one of the major risks that Concord carries, which is, I would say, very much typical to any pharma company is that of a regulatory risk. And you know, this could definitely impact the business of the company. However, I'm happy to say that Concord has had a very good track record with the regulators.

As I mentioned, in June of '23, our Limbasi facility was inspected by USFDA and was concluded with zero 483 observations. In March of 2023, we were also, our Unit 2 formulation facility was also inspected by the USFDA. And last year we were, for Unit 1, we successfully concluded our Europe and Japan regulatory inspections as well.

So while, you know, we have been inspected by regulatory authorities, but still, this is a risk that we carry. However, we have a very strong theme of quality, QA, and QC, which ensures that quality standards are maintained on an ongoing basis. With respect to any other risk, I won't call it a risk, but of course, any changes in the macroeconomic conditions could impact companies in the pharmaceutical space, whether it is through changes in certain raw materials or changes to certain power and fuel costs, which could affect us as it would affect any other pharmaceutical company.

So I would say that typically those would be the two risks that we look at. In terms of our customers, I believe that, you know, we hold a very, very strong relationship with our customers and there is a lot of stickiness to the business, given that we operate with them on very niche APIs and have a long-standing relationship with them. So I would say that those two would be the typical risk that we look at.

Karan Surana: So thanks for that. So I've just looked at your gross margin also and you know, we maintain 78% to 80% gross margins for almost a decade. So it would be great, sir, if you could just share some insights on what key factors or strategies that have contributed to this consistency or maybe before the IPO you were talking about our low pricing volatility of major carbon-based and Concord Biotech Limited

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nitrogen- based raw materials used in fer

mentation. So can you just give some insights on what strategies or factors are considered critical for this sustainability?

Ankur Vaid: So as we have discussed in the past that our raw materials are usually the basic raw materials which are either agro-based or are the solvents which are typically used in the downstream recovery. And we have close to 150 to 200 raw materials that are being used for different range of products that we manufacture. So there could be an impact of seasonality on the agro-based compounds or as I mentioned due to global changes, which could affect the solvents.

But then again, it may affect maybe some of the raw materials because of which there could be an impact, but it could be very, very minuscule because of it being impacting maybe one or two raw materials out of the 150 to 200 raw materials that we use. So the gross margins work in a very, very narrow band, if I would put it. And it is more about the expertise that is needed for the fermentation manufacturing, which makes the differentiation there.

Karan Surana: Got it, sir. And sir if I could just squeeze one more, looking ahead, in terms of our revenue growth for the next three years to five years, how do we see the leveraging our Limbasi facility? And if you could provide some information on our target asset return and capacity utilization, I mean, peak capacity utilization goals for this plant?

Lalit Sethi: Basically, historically, we have been growing at a CAGR of around 18% in the past for the last couple of years. In the last two years or three years, we have also built-up significant capacities with respect to the API and the formulations. And we expect to increase the capacity utilization and our growth may be better than what we have been doing in the past. So historically, we have been growing at a CAGR of around 18%, so going forward we may improve the growth per

percentage.

Karan Surana: But sir, in terms of any number that we look at asset return from the capex, I was close to INR 400 crores, INR 450 crores, something like that, capex that we did on the Limbasi plant. Can we call out, what kind of asset return are we expecting from that?

Lalit Sethi: In fact, in Limbasi, we have invested around INR 400 crores of money in the capex. And with the 450-meter cube of the capacity in unit one, we are able to generate revenue of around INR 600 crores. So with an 800-meter cube of the capacity, you can begin to basically take it nearly to the level of around INR 1,500 crores, INR 1,600 crores of revenue from Limbasi facilities.

Karan Surana: And sir, what would be a peak capacity utilization? Can it go all the way to 85%, 90% or 75% 80%, I don't know?

Lalit Sethi: Around 75% to 80% will be the right capacity utilization.

Karan Surana: Okay, thank you, sir. I'll join back in the queue. Thank you for the answer.

Moderator: Thank you. We have a next question from the line of Ashish Thavkar from IIFL AMC. Please go ahead.

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Ashish Thavkar: Yes, thanks for the opportunity. So Ankur, I'm firstly on this injectable capex, almost INR 200 crores of capex, we have built in now. So it is too broadly help us understand, how should we see the commercial aspect of it? Or would it be first for the Indian market and then for the ROW market? So what are your plans? And say over the next two years to three years, what potential do you see in this business?

Ankur Vaid: So, the injectable project is running on track as we had envisaged, and we expect it to be ready by the end of this year and have commercial production by the first quarter of next year. Given that, the idea would be, the plan is to kind of first take it to the domestic market because the export market is more of a medium term to a long-term strategy for us because, by next year, we take the validation batches, put it on stability, do the dozier filing and get the approval

.
This is typically close to around 12 months to 18 months of time period. However, we will be going with the same integrated approach, where we have quite a few molecules, where we are the manufacturers of the API, as well as we'll be going for the forward integration to the injectables. So you do not see many companies having that kind of fully integrated approach in some of these niche anti-infectives also, which are through fermentation. But in terms of timelines, I would say that initially we would start with the domestic supplies and then going forward, they would be, being targeted towards the export market.

Ashish Thavkar: Yes, this is helpful. Sir, lastly on this, obviously our CDMO opportunity and we are now building on regulatory approvals for this product. As far as some adjacencies are concerned, say I'm just guessing probably peptides, steroids, or to that extent some animal healthcare products as well. How have you placed here; some broader color would be very helpful? Thanks.

Ankur Vaid: So CDMO is definitely an area, which is a focus to us and we now have the capacities in place, we are also building on our regulatory approvals and we have a longstanding relationship with our customers as well. So we are reaching out to customers and working with them to kind of build on the CDMO opportunity. But again, opportunities like these do take their time because customers wanting to evaluate and shift their complete manufacturing to a new site would typically be a time-consuming activity.

But this is something that we are strongly working towards. In terms of other adjacencies, definitely, we are open and looking out for opportunities, which kind of have a synergy with respect to the kind of technical capabilities that we have within the fermentation space. So we continue to explore such kind of opportunities where there could be synergies based on our fermentation expertise.

Ashish Thavkar: Yes, this is very helpful. Thank you and all the best. Thank you.

Moderator: Thank you. We have our next question from the line of Alankar Garude from Kotak. Please go ahead.

Alankar Garude: Hi, good evening, everyone. Sir, first question is, how should we look at growth opportunities for us beyond the next three years, four years? Once the Limbasi facility reaches peak utilization levels and given the fact that, we are present across pretty much all the products in the immunosuppressant space, should we look at only anti-infectives, antifungals as well as

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oncology as growth drivers or there is something else, which we are open to looking at from a longer-term time frame?

Ankur Vaid: So we have quite a large number of molecules which are there in the pipeline. As I mentioned close to 8 to 10 molecules that we are currently working on and the other growth levers that are there are of course the CDMO as well as, us making more, gaining more market share for our commercial products. That being said, we are not focused on building on any therapeutic segment only or targeting any specific therapeutic segment. As long as we see that, there is, it matches our criteria that we have internally set up being complex in nature, being a fermentation product, which is complex, and having lower competition products where we can create a global leadership position.

As long as it matches these criteria, which we have internally defined, we are not therapeutic diagnostic. So we would be open to look at other molecules across different therapeutic segments as well. It just happens to be that some of the molecules that we are currently under development falls within these three therapeutic segments, which is the immuno, onco, and anti-infectors, anti-fungal. But we are not therapeutic diagnosed to these.

Alankar Garude: Understood, sir. And if I have to just elaborate on that, you talked about these 8- 10 products, but would it be fa

ir to assume that there are many such more products which we can potentially bring in the pipeline, which would be meeting all these criteria of complex fermentation, lower competition plus opportunity for us to create that global leadership?

Ankur Vaid: Absolutely.

Alankar Garude: Understood. Sir, the second question is from 16% contribution for formulations in this quarter, how should we look at the scale up of this segment over the next few years? Do you expect the mix between API and formulations to change meaningfully, say over the next three years to five years?

Ankur Vaid: No, so I, as we pointed out that we have growth levers in place for both the API and the formulations. At the API, the new Limbasi facility which will start ramping up and at the formulation level we have ramping up of the oral solid dosage facility and the build-up of the injectable plant. So while the base will continue to grow, we expect the revenue split between the two to be somewhere around 80%- 20% as we have had in the past. So do not expect any meaningful change in the allocation between the two.

Alankar Garude: Fair enough. And one final question, if I may, is it possible to share any broad pricing as well as volume trends, at least for our top four, five products as seen in the first quarter of FY '24?

Ankur Vaid: Unfortunately, we will not be able to share product level data.

Alankar Garude: Understood, okay, thank you and all the best.

Ankur Vaid: Thank you.

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Moderator: Thank you. We have a next question from the line of Huseain Bharuchwala from Carnelian Capital. Please go ahead.

Huseain Bharuchwala: Yes, sir, I just wanted to understand, what are the utilization levels for our different plants, if you can just share in regard to our Limbasi site as well as our Valthera site. So what is the percentage utilization?

Lalit Sethi: As far as the percentage of capacity utilization is been 32% in unit 3 as of 31st of March 2023 and in formulation, it is 10% and in Dholka, it is 75%.

Huseain Bharuchwala: On the API Limbasi site, how much percentage did you say, sir?

Lalit Sethi: In API, we are operating at a percentage of 75%.

Huseain Bharuchwala: Okay that's Dholka, 75% in Dholka and Limbasi?

Lalit Sethi: Limbasi 32%.

Huseain Bharuchwala: 32%, okay. Thanks. Sir, I just wanted to know, when you say 18% plus growth, do you consider CDMO as also a part considering that or CDMO will add on to your overall growth plan?

Ankur Vaid: So, since we do not have any clarity on the CDMO, we have not built that into our growth.

Huseain Bharuchwala: Got it, sir. And sir, with the Limbasi site, getting the USFDA approval? How do you see the growth prospects in terms of your US markets? So will this accelerate your growth in the US markets? How do you see that, sir?

Ankur Vaid: So definitely, this will boost our sales to the US as well. But again, this Limbasi facility is for global markets because as mentioned in the past that we are working on close to around 70%, 75% capacity utilization at unit one. So now that we have regulatory approvals in place, this new facility is going to be catering not only to the regulated markets, but for global markets including India and the rest of the world. And newer products that would also come in would also be commercialized at this new site. So it will definitely boost our US sales, but it would also be used to cater to global markets as well.

Huseain Bharuchwala: Okay, so that was only my questions. Thank you so much. Thank you.

Ankur Vaid: Thank you.

Moderator: Thank you. We have our next question from the line of Sudhir Bheda from Right Time Private

Limited. Please go ahead.

Sudhir Bheda: Yes, thanks for the opportunity, sir, and congrats for the successful IPO. Just as a layman, I wanted to ask, sir, is there a shift in the chemical base -- from the chemical base API to the fermentation b

ase API in the coming time? As it's more of a user organic kind of medicine. So what's your view on that?

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Ankur Vaid: So I would say that the products which are made through chemistry cannot be made through fermentation and products which are made through fermentation cannot be made through chemistry. So, they are two very different areas of manufacturing. However, we do see more-and-more interest coming within the fermentation space because it creates significant barriers to entry because there are not many global players in this space. So there is a good growth prospect for the fermentation but it cannot be interchanged with the chemistry APIs.

Sudhir Bheda: Understood, understood. Thanks for the opportunity and all the best.

Ankur Vaid: Thank you.

Moderator: Thank you. We have a next question from the line of Karan Surana from Monarch AIF. Please go ahead.

Karan Surana: Thank you for the opportunity. Sir, in terms of our competition in the API market, you mentioned that the Limbasi facility would mostly be catering to our regulated or overseas markets. So like products like Mycophenolate Sodium could you shed some light on those products and what the competitive landscape looks like?

And how do we plan to position ourselves in case of competition from Chinese players or European players are also present in certain products that overlap our portfolio?

Ankur Vaid: So, you know, Concord holds the leadership position on several of the APIs that we manufacture. The reasons of course are that we have economies of scale, we have global regulatory approvals, strong technical expertise, and offering a basket of products. So we are the only company in the world which actually manufactures the entire range of fermentation based Immunosuppressants. So when you have these kinds of capabilities and strengths, customers look at working with companies such as ours. And that is the reason why we've been gaining market share year-on-year basis.

And when we talk about that kind of niche, highly complex products, you typically do not see much competition coming from China. As a matter of fact, that we are commercially, we have now got approvals in China to sell our products, our APIs, which shows that, and customers are also showing interest in terms of partnering with us for the API, which kind of shows the kind of advantages and the kind of strength that we have on the API, even with respect to some of the Chinese players.

And when we talk about the European counterparts, European competition, people now are talking more about the China Plus One and Europe Plus One strategy because of what is happening at the global footprint with the Russia-Ukraine war, the power costs and other things and the salaries have gone up quite significantly in Europe. And they are looking at alternate sources which are more reliable and can consistently provide them with these kinds of products. So, I think we see a lot of companies shutting down in Europe also and other parts of the world. So, we see a lot of consolidation happening in the fermentation API space.

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Karan Surana: Thanks, thanks for the answer. So just last one from my end, so in exports, we did 46%, I think in Q1 FY '24. Can you just bifurcate into what could be from US, Japan, or Europe, like regulated markets and what could be a share from non-regulated markets?

Lalit Sethi: So basically around 17% of the revenue in the export, or in the total revenue comes from the US market and the balance comes from the rest of the world.

Karan Surana: Okay, thank you, thanks, that is it from me. Thank you.

Moderator: Thank you. We have a next question from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Yes, thanks for the opportunity. Sir, just on the strategy aspect with respect to into formulation,

given that we have leading market share in the API, any which case at a global level. So, and as we get into formulation, so there will be more of the cannibalization or let's say more internal consumption of the API for formulation. So will that have an impact on the API growth? That

is first.

And secondly, given that we also now get into formulators, so does that impact the customer's way of looking at us from the point of view of API procurement? These two questions.

Ankur Vaid: So, we have been in the formulation business now close to more than four years to five years.

And as long as we are supporting our customers with the high-quality products at the right price and ensuring consistent supplies and deliveries to them, they do not see any challenge there because every company understands the strengths that one has. So as long as we continue to support our customers, they don't see that as a challenge. We have not encountered any such challenges from our formulation partners over the last five years to seven years since we've been there in the formulation market.

In terms of cannibalization, we are not looking at disturbing the market and we are looking at value creation and opportunities within the formulation space. And that is why while we are backwardly integrated, we would look at opportunities where we can be there in the market but at the same time maintain healthy margins for us rather than going all in and destroying the value for ourselves as well as for our customers.

Tushar Manudhane: Okay, sir. And just lastly, how much would be the operational cost for the formulation facility, on the annualized basis?

Lalit Sethi: On an annualized basis it is around INR 35 crores.

Tushar Manudhane: Okay, sir. Thank you.

Moderator: Thank you. We have our next question from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Yes, thank you for the follow-up. Just one question on the Limbasi facility. We got the US FDA approval, right, so I assume that we have not yet started supplying to the regulated market from Concord Biotech Limited
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that new facility and largely catering to the other markets. Does that facility already got the approvals from Japanese and European regulators, or is it still work-in-process?

Ankur Vaid: Yes, so we have Japanese FDA approval also for the Limbasi facility. So both Japan and Europe approvals are there for the Limbasi. EU inspection, we currently do not have, but going forward that could be something that we may consider. In terms of the regulatory approvals, we have had a very good long-standing approvals from the authorities. And of course, this is something that we would continue to build on, even so for our Limbasi facility.

Chintan Sheth: Right. And given that this facility is currently underutilized, right? What kind of annualized cost, as you mentioned about the formulation facility, what are the annual opex there, given that we are just utilizing 35% of that facility and so there will be operating leverage we might see as the ramp-up happens?

Lalit Sethi: Basically, we are maintaining or making the books on the consolidated level. It will be difficult to find out on the unit wise operating cost.

Chintan Sheth: Okay, sure. And the capex guidance for this year and next?

Lalit Sethi: Most of the capex has already been done as far as the growth capex was concerned. Now it's only the operational capex which will be required to be done in the future.

Chintan Sheth: It will be INR 20 crores, INR 25 crores?

Lalit Sethi: It will be in the range of around INR 15 crores to INR 20 crores of per annum.

Chintan Sheth: Okay. And injectables we already spend or this year there will be some cost capitalization?

Lalit Sethi: Yes, very little amount is required to be spent to complete the project. Majority of the amount has been spent. And yes.

Chintan Sheth: Sure,

thank you. Thank you.

Moderator: Thank you. We'll take a last question from the line of Huseain Bharuchwala from Carnelian Capital. Please go ahead.

Huseain Bharuchwala: Just one question. I just wanted to understand on the pricing front in the export market. So how is the pricing in the US compared to other markets? Is the pricing better when it comes to US compared to the other regulated and the ROW markets? So how -- can you just give some clarity on the pricing?

Ankur Vaid: So you know, the prices are more or less quite similar to what you would have across the globe because, while we see limited competition on our molecules, we still are not in a monopolistic market. So when formulation companies are looking at potential suppliers. They kind of evaluate new suppliers based on which is going to supply, and give the best price. So we also have many Indian companies which are targeting the US market and they have a good amount of clarity on what the prices are there in the global markets, including in India being offered by some other

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manufacturers. So I would say that there is not much of a difference between what the price you offer to Indian versus that to the US.

Huseain Bharuchwala: Got it. That was the only question I have, thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Ankur Vaid: So thank you everyone for joining our maiden Earnings Call today. And we hope that you've been able to address all your queries. For any further information, please get in touch with us or SGA, who are our investor relation advisors. So thank you once again and have a good evening.

Moderator: Thank you, sir. On behalf of Concord Biotech, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Sep 2023

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra-Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir/Ma'am,

Subject: Transcripts of Q1 FY24 Earnings call held on September 07, 2023

In continuation of our letter dated September 07, 2023 regarding Audio recording of Q1 FY24 Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the quarter ended June 30, 2023 enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Prakash Sajjani

Company Secretary and Compliance Officer

M. No. F6242

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"Concord Biotech Limited

Q1FY24 Earnings Conference Call"

September 07, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th September 2023 will prevail

MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING
DIRECTOR – CONCORD BIOTECH LIMITED
MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH
LIMITED

MR. LALIT SETHI – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED
MR. PRAKASH SAJNANI – COMPLIANCE OFFICER AND
ASSISTANT VICE PRESIDENT , ACCOUNTS – CONCORD
BIOTECH LIMITED
SGA, INVESTOR RELATION ADVISORS – CONCORD
BIOTECH LIMITED

MODERATOR : MR. SAGAR SHROFF – SGA

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Moderator: Ladies and gentlemen, welcome to the Q1 FY24 Earnings Conference Call of Concord Biotech Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. Now I hand over the conference to Mr. Sagar Shroff from SGA. Thank you and over to you.

Sagar Shroff: Thank you. Good evening, everyone and thank you for joining us on Q1 FY24 Earnings Conference Call for Concord Biotech Limited. Today we are joined by Mr. Sudhir Vaid, Chairman and Managing Director, Mr. Ankur Vaid, Joint Managing Director and CEO, Mr. Lalit Sethi, Chief Financial Officer and Mr. Prakash Sajnani, Compliance Officer and AVP Accounts. Company has uploaded its financial results and investor presentation on company's website and stock exchanges. I hope everybody had an opportunity to go through the same. We'll begin the call with opening commentary by the management, followed by question-and-answer session. I would now like to invite Mr. Sudhir Vaid, Chairman and Managing Director for Concord Biotech Limited to give his opening remarks. Over to you, sir.

Sudhir Vaid: Good evening, everyone. Thank you for joining us on our maiden earnings call to discuss the operational and financial performance of Q1 FY24. To begin with, I would like to thank and congratulate all the stakeholders, investors, bankers, and business partners for helping us to achieve a milestone of getting listed on the Indian Stock Exchanges. We were delighted to see strong response for our IPO. Since this is our maiden call, I would like to first take you through broad industry update and strategy going forward. Followed by this, we will share the operational financial highlights for the quarter, post which we will open the floor for questions and answers.

The global API market as of 2022 was valued at approximately USD 219 billion, which is expected to reach approximately USD 278 billion by the year 2026, at a projected CAGR of 6.1%. Of the total market, biological APIs accounted for 37% of the share in 2022. Small molecule APIs accounted for the remainder of 63% share. The global API market can be broadly segmented into therapeutic areas such as anti-infective, oncology, immunosuppressants, and others. Of these immunosuppressants accounted for 7% of the market and is expected to grow by approximately 9.7% and oncology market which accounted for 19% is expected to grow at a CAGR of 19.7%.

At Concord, we are the market leaders for immunosuppressants and the only supplier in the world having complete portfolio of fermentation-based APIs for the immunosuppressants. Alongside, we have also developed our capabilities into niche fermentation-based APIs in oncology, anti-infectives, and antifungal APIs. The Indian API market valued at USD 17 billion, in INR around 1,377 billion in 2022, comprises of APIs manufactured for exports and APIs
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consumed in formulation by Indian formulation companies. These formulations are domestically consumed as well as exported to the global market. India's growth trajectory of the API market is well cemented for domestic API consumption as well as exports.

The total India API market is expected to grow at a CAGR of 11.1% between 2022 and 26. The API consumption for domestic formulations is also exp

ected to drive high demand in the next

four to five years. This growth is in line with the overall growth of pharmaceutical drug consumption in the country. Export during the same period is also expected to grow at a rate of 7% to 9%. Let me touch upon brief history of Concord and its current positioning. Concord embarks on its manufacturing journey in 2000.

Initially started with production of enzyme with just one manufacturing block, but with an experienced team of biotechnologists, especially in the field of fermentation. Over the years, company has made remarkable strides and currently operates approximately 41 manufacturing blocks across three manufacturing units, offering a wide range of products, spanning diverse therapeutic areas and segments.

Notably, Concord stands out on the global stage as one of the few companies that have effectively and sustainably established and expanded their capabilities in the fermentation-based API manufacturing. Furthermore, Concord proudly holds the distinction of being the only supplier of a complete production portfolio for fermentation-based immunosuppressants APIs. Fermentation as a core component of our manufacturing process presents unique challenges. It involves the intricate management of microbial strains, the precise control of multiple interconnected processes, and the execution of various purification steps.

The slightest adjustment to this process can yield significant variations in the final output. As a result, this approach stands in stark contrast to chemical synthesis, requiring a highly specific, scientific, and quality-centric approach. As we expanded our market presence in the specialized fermentation-based API industry, we took a strategic step of entering into the formulation business back in 2016. Our Valthera facility was established with the purpose of producing forward integrated formulations for oral solid doses. Over time, we have successfully developed and are now manufacturing products and catering to both domestic and international markets. At present, our Valthera facility boasts an impressive capacity of approximately 802 million units. Furthermore, as part of our commitment to strengthening our position in the formulation business, we are in the process of establishing an injectable facility. We anticipate that commercial production at this new facility will commence by the first quarter of the next financial year. Over the years, Concord has diligently cultivated its capabilities and an extensive range of products, positioning itself at the forefront of the competition. We have steadily expanded our customer base across global markets.

This strategic approach has solidified our reputation and enabled us to make deeper inroads by attracting additional customers and further penetrating our existing client space. The production of fermentation-based API is inherently complex, making us one of the very few global suppliers capable of manufacturing a comprehensive range of products under one roof. In recent times, the industry has witnessed significant consolidation of manufacturing activities. Several
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companies have encountered challenges related to the growth on the back of skill shortages, lack of scalability, and a limited product portfolio. This has presented us with ample opportunities to expand our presence in various markets and geographical regions, ultimately contributing to the growth of our revenues and market shares. Let me share with you the prospectus and driving factors within the API market for the Indian companies. The rising prevalence of chronic diseases, India's largest population and diverse demographics have led to a wide spectrum of diseases including chronic conditions.

This ongoing trend will continue to drive the demand for APIs and formulations within the domestic market. Expansion of generic drugs, According to var

ious industry reports, numerous

drugs are set to lose their patents between 22 to 26. This presents a significant opportunity for increased product volume and growth, creating a higher demand for the corresponding APIs. Surge in formulation exports, India currently stands as one of the largest drug manufacturers globally.

Indian pharmaceutical companies consistently secure 30% to 35% of ANDA approvals annually, establishing themselves as reliable exporters of generic drug formulation to regulated markets. As Indian firms continue to expand their export capacities, the demand for relevant APIs will also see an upswing. Adoption of the China plus One strategy, countries worldwide are actively diversifying their sourcing options, reducing dependency on single suppliers, particularly those from China.

This dynamic opens up substantial opportunities for Indian pharmaceutical companies to emerge as alternative suppliers for both regulated and unregulated markets, leveraging their high capabilities and focus on innovation. Supportive government initiatives and PLI schemes, concurrently favourable government schemes and the production-linked incentives program have provided a significant boost to the Indian pharmaceutical manufacturing sector.

With a high runway for growth and improving market scenario, especially for Indian pharma

companies, we remain highly optimistic about the future of our company and are confident in our ability to elevate the company to even greater heights. Thank you and now I invite Ankur Vaid, Joint Managing Director, and CEO to take the discussion further.

Ankur Vaid: Thank you and a very warm welcome to all the participants on the call. Concord Biotech, an Indian biopharmaceutical company is holding a very prominent global position in the research and the production of niche fermentation-based APIs. Our expertise extends to various therapeutic areas including immunosuppressants, oncology, anti-infectives and anti-fungal. We serve more than 70 countries including regulated markets like the United States, Europe, Japan, and India.

Our manufacturing operations encompass two key areas. Firstly, the biopharmaceutical APIs. We employ a combination of fermentation and semi-synthetic products methods to produce APIs that span multiple therapeutic domains, including immunosuppressants, oncology, anti-infectives, and antifungal. The second area is the formulation manufacturing. This encompasses the production of formulations in therapeutic segments such as the immunosuppressants and

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nephrology drugs which are critical for addressing healthcare needs in scenarios requiring intensive care.

Concord has invested significantly in capacity expansion in recent years. With our new capacities coming on stream, we are in the process of scaling up our API production to serve more customers. We currently have 23 APIs, which are commercialized, and have filed more than 128 DMFs across several countries for our APIs. Concord offers a portfolio of seven fermentation-based immunosuppressant APIs like tacrolimus, mycophenolate mofetil, mycophenolate sodium, cyclosporine, sirolimus, everolimus, and pimecrolimus.

Our strategic focus is on further expanding our API portfolio across therapeutic areas, especially in oncology, where we currently have 6 APIs for global markets, and anti-infectives and anti-fungal, where we currently have 7 products. Also, we continue to invest in R&D and have a strong pipeline of products under development across therapeutic areas of Immunosuppressant, oncology, and anti-infectives, which have an addressable market size of USD 2.5 billion at the formulation level.

In India, we have a portfolio of 77 approved products across Immunosuppressants, nephrology drugs and anti-infective drugs for critical care. In addition, we have obtained four ANDA approvals for six products from the US F

DA. We have a pan-India presence through our sales team. We also have a B2B contract development manufacturing organization business, where we supply Immunosuppressants to the Indian market.

Our immunosuppressant formulations are manufactured in facilities inspected and accredited by overseas regulators such as the USFDA and several other emerging market regulatory authorities. Our formulations are also distributed to the U.S. and countries in Asia, Africa, and Latin America on a B2B basis primarily through arrangements with distributors. On the manufacturing capability side, we have three manufacturing facilities in the state of Gujarat comprising API manufacturing facilities in Dholka and Limbasi and a formulation manufacturing facility in Valthera which were commercialized in 2000, 2021 and 2016 respectively.

Our total annual installed fermentation capacity for API is around 1,250-meter cube. We have a total of 41 manufacturing blocks and close to 400 reactors at Dholka and Limbasi facilities, which allows us flexibility in plant configuration to cater to customer demands. Our Dholka facility has been subject to inspections by overseas regulators including USFDA, government of Upper Bavaria, Germany, PMDA, Japan, MSDS, and Korea on a periodic basis since 2005. We have an impeccable track record with these inspections. In addition to the regulatory inspections, our Dholka facility has been subject to audits by our customers regarding adherence to their specifications and standards since 2005. With a high focus on quality compliance and meeting global regulatory standards, we expect the Limbasi facility which has come up in 2021, to clear regulatory and customer inspections without any hiccups.

And this will allow us to cater to the regulated markets. I'm happy to inform you that USFDA authorities inspected our Limbasi facility from 26 to 30th of June of 2023. And the inspection

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was successfully concluded with zero 483 observations. We now have an EIR report for the same. So with this, customers have now initiated qualification of the Limbasi facility. I would

also like to highlight that we have only one manufacturing standard across our facilities, which is followed irrespective of the end markets, be it regulated or semi-regulated markets. The annual installed production capacity of our formulation manufacturing facility in Valthera, which was commercialized in 2016 is around 800 million units. The Valthera facility has been subject to inspections by overseas regulators including USFDA, GMP of Kenya, National Drug Authority of Uganda, FDA Republic of Philippines and WHO. Further, we are in the process of enhancing our capabilities in formulation manufacturing through our injectable facility. Speaking of R&D, in research and development we have set up two DSR approved R&D facilities comprising of 148 members, a significant number of whom had full doctoral qualifications. Our R&D team has showcased its proficiency in moving products, even complex ones, from the R&D stage to full commercialization. Our R&D endeavour are centred on pivotal tasks such as pioneering new product development, enhancing cost effectiveness, refining processes, facilitating technology transfer, and executing scale-up initiatives. We will continue to focus on our R&D in the future to develop new products for domestic and global markets for our existing and to target new customers. Our product selection assessment encompasses a comprehensive evaluation of factors such as the market potential, competitive dynamics, technical feasibility, and the intellectual property landscape for each prospective product. As of now, we have successfully developed and brought to market 23 fermentation-based APIs with the valuable support of our dedicated R&D team. Furthermore, through ongoing R&D initiatives, we consistently

bolster our capabilities for backward integration. This empowers us to internally manufacture APIs, which serve as a pivotal starting material for our formulations. This strategic approach ensures our ability to maintain cost competitiveness and a steady supply for our key products. Talking about our customer base, our customer base extends across the globe with a presence in more than 70 countries, comprising of over 200 plus customers who rely on our APIs and formulation. Furthermore, we have solidified our partnership with customers through long-term supply agreements, and several of our top revenue generating customers hold prominent positions in their respective regions. Moreover, our commitment to building enduring relationships is evident from the fact that we have maintained an average customer relationship span of eight years with our 10 largest customers by revenue. However, as a de-risking strategy, our revenue contribution from the top 10 customers stood at approximately 45% in FY23, which was approximately 60% in FY20, while revenues have increased by close to 18% CAGR during the same period. This is a testimony of new customer addition, increasing the share of wallet among existing customers. We have added approximately 50 customers in FY21 and FY22 and have added close to 63 customers in FY23. With high quality niche products, we've been able to successfully add new customers across therapies and geographies over the years. We will continue with our endeavour of adding new

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customers and increasing in the share of wallet of our existing customers as well. To take you through our strategies going forward, our primary strategy is to continue to increase our market share and develop our portfolio of complex and niche products with high growth potential. API will continue to be the core focus of the business and we will continue to increase our wallet share among existing customers by selling them existing and new products across therapies. Also, our investments into new manufacturing capacity has enabled capabilities to grow our wallet share from existing customers. Secondly, adding new customers across different geographies with established product portfolio and with the commercialization of new products. Thirdly, increase our presence in existing formulations and add new formulations by adding geographical reach, launching new dosages, and expanding the product portfolio. And the fourth lever being the growth in the CDMO business. So, with the capacity expansion at our Limbasi facility, the China plus One strategy and given our expertise in the fermentation area, we see this as a growth opportunity for future growth in the company. And the last growth lever for us being the increased utilization of existing and new facilities by adding more customers, and products to be marketed and sold across geographies. With an established track record, manufacturing capabilities and expertise, presence across complex fermentation value chain, and global leadership in our select portfolio, we are optimistic about our growth going forward. Now, I'll hand it over to Lalit Sethi, our CFO, who will provide further insights on the financial and operational performance for Q1 FY24.

Lalit Sethi: Thank you, sir. I will take you through the financial performance of this quarter. On the revenue front, our revenue for quarter 1 financial year '24 stood at INR 194.8 crores as compared to INR 181 crores in quarter 1 financial year '23 representing a growth of 8%. Our API business revenue stood at 84% in quarter 1 financial year '24 as compared to 86% in quarter 1 financial year 2023.

The contribution from the formulation revenue was 16% in this quarter as compared to 14% in the same quarter last year. Our domestic revenue stands at 54% of the total revenue and the balance 46% of the revenue is derived from exports. With

respect to the EBITDA, our reported

EBITDA for quarter 1 financial year '24 stood at INR 72.2 crores as compared to INR 64.6 crores in financial year '23 quarter 1, representing a growth of 12%. EBITDA, including share of profit from the JV, stood at INR 78.2 crores with a margin of 40.1% and a growth of 100 bps, Y-on-Y.

On profit after tax, our profit after tax for quarter 1 financial year '24 stood at INR 54.5 crores as compared to INR 49.3 crores in quarter 1 financial year '23 representing a growth of 11%. Our PAT margin stood at 28% in this quarter, a growth of 80 bps as compared to the same quarter last year. Our net debt as on 30th of June is stood at around INR 25 crores.

So with this, I shall now leave the floor open for question-and-answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Chintan Sheth from Girik Capital. Please go ahead.

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Chintan Sheth: Yes, thank you for the opportunity and congratulations to the team for the maiden IPO and a successful one. Sir, a couple of questions. One on the revenue side, if I look at your export's revenue share has declined, implying 12% degrowth over the Q1 of last year. Would you like to throw some light, what are the reasons for exports sales being slower than the overall company? And second, in the seasonality, if I look at your quarterly numbers, whatever you have provided so far, Q4 of last year formed almost 32% of the overall full year '23's revenue. If you can also help us understand the seasonality in the business in terms of which quarters, you know or share how the quarterly revenue shape up going forward and any guidance in terms of what to expect in the coming quarters as well? That is the first one.

Lalit Sethi: I just take your first question, second question first, regarding the seasonality which you have spoken about. If you look at the historical trend, our first half revenue constitutes about 35% to 40% of the revenue of annual revenue, whereas the remaining 65% to 70% comes in the second half. So, if the same principle applies as you have mentioned on the first question of exports, why it has been declined in the first quarter, because exports are expected to grow in the second half of the financial year.

Chintan Sheth: And given that we have historically grown at a high mid-team number, that will be the expectation from the management given the capacities are already in place and the products are already in, you know, the new capacity is also up and running. At least we expect to grow for the full year. That's how one should look at?

Ankur Vaid: So, you know, Concord should be looked more from, on an annual basis rather than being looked from a quarter-on-quarter basis. Because there could be some amount of lumpiness which could come on a quarter-on-quarter basis. But as Lalit mentioned typically, historically we have seen that quarter three and quarter four is where the sales really start to pick up.

And so it's basically going from quarter one and then slowly and steadily picking up and having full steam by the end of quarter four because typically quarter three is like a financial closing for many of the export companies, many of the foreign companies and quarter four being that for Indian companies.

But that being said, I think, given that we are in a very niche segment and how we are operating, we should be more so being looked from an annual basis than being looked from a quarter-on-quarter basis. And as rightly said by you, that there are, we have now, we have enough capacities at the API as well as at the formulation stage and a very diverse portfolio of APIs and formulation which will ensure that the growth aspects that we're looking for this year and going forward will be met.

Chintan Sheth: Right. And if you can talk about the new product development siz

e, you mentioned, touched

upon the formulation market size is around 2.5 billion, but if you can provide at what stage and what will be the likely timeline for those products to come on stream? Would be helpful.

Ankur Vaid: So we have close to around eight to 10 molecules which are there in the pipeline across different segments such as the Immunosuppressants, Oncology, and anti-infectives and one would appreciate that it takes close to around six to seven years to kind of develop the molecule in the

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fermentation space. And there are products which are at different life cycles within the development, R&D development stage.

But typically, I say that one can expect around one to two molecules that would become commercialized based on our historical trend is what I would point out. But it'll be difficult to mention which specific product would become commercial because it will all depend upon the market dynamics about the state at which we are with respect to those molecules.

Moderator: Thank you. We'll take the next question from the line of Karan Surana from Monarch AIF. Please go ahead.

Karan Surana: Yes, so my first question is that, could you just elaborate on the potential disruptors or risks that the management can identify as threats to our EBITDA margins stability over the long term? I mean, other, I'm just trying to ask from like a, you know, broader perspective if there are any external factors or industry trends that could potentially impact our EBITDA margins going forward. Seems like we've been able to maintain healthy EBITDA margins for almost a decade. So, I'm just trying to understand whether the sustainability could continue maybe in a three- or five-year kind of a period?

Ankur Vaid: So yes, I think one of the major risks that Concord carries, which is, I would say, very much typical to any pharma company is that of a regulatory risk. And you know, this could definitely impact the business of the company. However, I'm happy to say that Concord has had a very good track record with the regulators.

As I mentioned, in June of '23, our Limbasi facility was inspected by USFDA and was concluded with zero 483 observations. In March of 2023, we were also, our Unit 2 formulation facility was also inspected by the USFDA. And last year we were, for Unit 1, we successfully concluded our Europe and Japan regulatory inspections as well.

So while, you know, we have been inspected by regulatory authorities, but still, this is a risk that we carry. However, we have a very strong theme of quality, QA, and QC, which ensures that quality standards are maintained on an ongoing basis. With respect to any other risk, I won't call it a risk, but of course, any changes in the macroeconomic conditions could impact companies in the pharmaceutical space, whether it is through changes in certain raw materials or changes to certain power and fuel costs, which could affect us as it would affect any other pharmaceutical company.

So I would say that typically those would be the two risks that we look at. In terms of our customers, I believe that, you know, we hold a very, very strong relationship with our customers and there is a lot of stickiness to the business, given that we operate with them on very niche APIs and have a long-standing relationship with them. So I would say that those two would be the typical risk that we look at.

Karan Surana: So thanks for that. So I've just looked at your gross margin also and you know, we maintain 78% to 80% gross margins for almost a decade. So it would be great, sir, if you could just share some insights on what key factors or strategies that have contributed to this consistency or maybe before the IPO you were talking about our low pricing volatility of major carbon-based and Concord Biotech Limited

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nitrogen- based raw materials used in fer

mentation. So can you just give some insights on what strategies or factors are considered critical for this sustainability?

Ankur Vaid: So as we have discussed in the past that our raw materials are usually the basic raw materials which are either agro-based or are the solvents which are typically used in the downstream recovery. And we have close to 150 to 200 raw materials that are being used for different range of products that we manufacture. So there could be an impact of seasonality on the agro-based compounds or as I mentioned due to global changes, which could affect the solvents.

But then again, it may affect maybe some of the raw materials because of which there could be an impact, but it could be very, very minuscule because of it being impacting maybe one or two raw materials out of the 150 to 200 raw materials that we use. So the gross margins work in a very, very narrow band, if I would put it. And it is more about the expertise that is needed for the fermentation manufacturing, which makes the differentiation there.

Karan Surana: Got it, sir. And sir if I could just squeeze one more, looking ahead, in terms of our revenue growth for the next three years to five years, how do we see the leveraging our Limbasi facility? And if you could provide some information on our target asset return and capacity utilization, I mean, peak capacity utilization goals for this plant?

Lalit Sethi: Basically, historically, we have been growing at a CAGR of around 18% in the past for the last couple of years. In the last two years or three years, we have also built-up significant capacities with respect to the API and the formulations. And we expect to increase the capacity utilization and our growth may be better than what we have been doing in the past. So historically, we have been growing at a CAGR of around 18%, so going forward we may improve the growth per

percentage.

Karan Surana: But sir, in terms of any number that we look at asset return from the capex, I was close to INR 400 crores, INR 450 crores, something like that, capex that we did on the Limbasi plant. Can we call out, what kind of asset return are we expecting from that?

Lalit Sethi: In fact, in Limbasi, we have invested around INR 400 crores of money in the capex. And with the 450-meter cube of the capacity in unit one, we are able to generate revenue of around INR 600 crores. So with an 800-meter cube of the capacity, you can begin to basically take it nearly to the level of around INR 1,500 crores, INR 1,600 crores of revenue from Limbasi facilities.

Karan Surana: And sir, what would be a peak capacity utilization? Can it go all the way to 85%, 90% or 75% 80%, I don't know?

Lalit Sethi: Around 75% to 80% will be the right capacity utilization.

Karan Surana: Okay, thank you, sir. I'll join back in the queue. Thank you for the answer.

Moderator: Thank you. We have a next question from the line of Ashish Thavkar from IIFL AMC. Please go ahead.

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Ashish Thavkar: Yes, thanks for the opportunity. So Ankur, I'm firstly on this injectable capex, almost INR 200 crores of capex, we have built in now. So it is too broadly help us understand, how should we see the commercial aspect of it? Or would it be first for the Indian market and then for the ROW market? So what are your plans? And say over the next two years to three years, what potential do you see in this business?

Ankur Vaid: So, the injectable project is running on track as we had envisaged, and we expect it to be ready by the end of this year and have commercial production by the first quarter of next year. Given that, the idea would be, the plan is to kind of first take it to the domestic market because the export market is more of a medium term to a long-term strategy for us because, by next year, we take the validation batches, put it on stability, do the dozier filing and get the approval

.
This is typically close to around 12 months to 18 months of time period. However, we will be going with the same integrated approach, where we have quite a few molecules, where we are the manufacturers of the API, as well as we'll be going for the forward integration to the injectables. So you do not see many companies having that kind of fully integrated approach in some of these niche anti-infectives also, which are through fermentation. But in terms of timelines, I would say that initially we would start with the domestic supplies and then going forward, they would be, being targeted towards the export market.

Ashish Thavkar: Yes, this is helpful. Sir, lastly on this, obviously our CDMO opportunity and we are now building on regulatory approvals for this product. As far as some adjacencies are concerned, say I'm just guessing probably peptides, steroids, or to that extent some animal healthcare products as well. How have you placed here; some broader color would be very helpful? Thanks.

Ankur Vaid: So CDMO is definitely an area, which is a focus to us and we now have the capacities in place, we are also building on our regulatory approvals and we have a longstanding relationship with our customers as well. So we are reaching out to customers and working with them to kind of build on the CDMO opportunity. But again, opportunities like these do take their time because customers wanting to evaluate and shift their complete manufacturing to a new site would typically be a time-consuming activity.

But this is something that we are strongly working towards. In terms of other adjacencies, definitely, we are open and looking out for opportunities, which kind of have a synergy with respect to the kind of technical capabilities that we have within the fermentation space. So we continue to explore such kind of opportunities where there could be synergies based on our fermentation expertise.

Ashish Thavkar: Yes, this is very helpful. Thank you and all the best. Thank you.

Moderator: Thank you. We have our next question from the line of Alankar Garude from Kotak. Please go ahead.

Alankar Garude: Hi, good evening, everyone. Sir, first question is, how should we look at growth opportunities for us beyond the next three years, four years? Once the Limbasi facility reaches peak utilization levels and given the fact that, we are present across pretty much all the products in the immunosuppressant space, should we look at only anti-infectives, antifungals as well as

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oncology as growth drivers or there is something else, which we are open to looking at from a longer-term time frame?

Ankur Vaid: So we have quite a large number of molecules which are there in the pipeline. As I mentioned close to 8 to 10 molecules that we are currently working on and the other growth levers that are there are of course the CDMO as well as, us making more, gaining more market share for our commercial products. That being said, we are not focused on building on any therapeutic segment only or targeting any specific therapeutic segment. As long as we see that, there is, it matches our criteria that we have internally set up being complex in nature, being a fermentation product, which is complex, and having lower competition products where we can create a global leadership position.

As long as it matches these criteria, which we have internally defined, we are not therapeutic diagnostic. So we would be open to look at other molecules across different therapeutic segments as well. It just happens to be that some of the molecules that we are currently under development falls within these three therapeutic segments, which is the immuno, onco, and anti-infectors, anti-fungal. But we are not therapeutic diagnosed to these.

Alankar Garude: Understood, sir. And if I have to just elaborate on that, you talked about these 8- 10 products, but would it be fa

ir to assume that there are many such more products which we can potentially bring in the pipeline, which would be meeting all these criteria of complex fermentation, lower competition plus opportunity for us to create that global leadership?

Ankur Vaid: Absolutely.

Alankar Garude: Understood. Sir, the second question is from 16% contribution for formulations in this quarter, how should we look at the scale up of this segment over the next few years? Do you expect the mix between API and formulations to change meaningfully, say over the next three years to five years?

Ankur Vaid: No, so I, as we pointed out that we have growth levers in place for both the API and the formulations. At the API, the new Limbasi facility which will start ramping up and at the formulation level we have ramping up of the oral solid dosage facility and the build-up of the injectable plant. So while the base will continue to grow, we expect the revenue split between the two to be somewhere around 80%- 20% as we have had in the past. So do not expect any meaningful change in the allocation between the two.

Alankar Garude: Fair enough. And one final question, if I may, is it possible to share any broad pricing as well as volume trends, at least for our top four, five products as seen in the first quarter of FY '24?

Ankur Vaid: Unfortunately, we will not be able to share product level data.

Alankar Garude: Understood, okay, thank you and all the best.

Ankur Vaid: Thank you.

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Moderator: Thank you. We have a next question from the line of Huseain Bharuchwala from Carnelian Capital. Please go ahead.

Huseain Bharuchwala: Yes, sir, I just wanted to understand, what are the utilization levels for our different plants, if you can just share in regard to our Limbasi site as well as our Valthera site. So what is the percentage utilization?

Lalit Sethi: As far as the percentage of capacity utilization is been 32% in unit 3 as of 31st of March 2023 and in formulation, it is 10% and in Dholka, it is 75%.

Huseain Bharuchwala: On the API Limbasi site, how much percentage did you say, sir?

Lalit Sethi: In API, we are operating at a percentage of 75%.

Huseain Bharuchwala: Okay that's Dholka, 75% in Dholka and Limbasi?

Lalit Sethi: Limbasi 32%.

Huseain Bharuchwala: 32%, okay. Thanks. Sir, I just wanted to know, when you say 18% plus growth, do you consider CDMO as also a part considering that or CDMO will add on to your overall growth plan?

Ankur Vaid: So, since we do not have any clarity on the CDMO, we have not built that into our growth.

Huseain Bharuchwala: Got it, sir. And sir, with the Limbasi site, getting the USFDA approval? How do you see the growth prospects in terms of your US markets? So will this accelerate your growth in the US markets? How do you see that, sir?

Ankur Vaid: So definitely, this will boost our sales to the US as well. But again, this Limbasi facility is for global markets because as mentioned in the past that we are working on close to around 70%, 75% capacity utilization at unit one. So now that we have regulatory approvals in place, this new facility is going to be catering not only to the regulated markets, but for global markets including India and the rest of the world. And newer products that would also come in would also be commercialized at this new site. So it will definitely boost our US sales, but it would also be used to cater to global markets as well.

Huseain Bharuchwala: Okay, so that was only my questions. Thank you so much. Thank you.

Ankur Vaid: Thank you.

Moderator: Thank you. We have our next question from the line of Sudhir Bheda from Right Time Private

Limited. Please go ahead.

Sudhir Bheda: Yes, thanks for the opportunity, sir, and congrats for the successful IPO. Just as a layman, I wanted to ask, sir, is there a shift in the chemical base -- from the chemical base API to the fermentation b

ase API in the coming time? As it's more of a user organic kind of medicine. So what's your view on that?

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Ankur Vaid: So I would say that the products which are made through chemistry cannot be made through fermentation and products which are made through fermentation cannot be made through chemistry. So, they are two very different areas of manufacturing. However, we do see more-and-more interest coming within the fermentation space because it creates significant barriers to entry because there are not many global players in this space. So there is a good growth prospect for the fermentation but it cannot be interchanged with the chemistry APIs.

Sudhir Bheda: Understood, understood. Thanks for the opportunity and all the best.

Ankur Vaid: Thank you.

Moderator: Thank you. We have a next question from the line of Karan Surana from Monarch AIF. Please go ahead.

Karan Surana: Thank you for the opportunity. Sir, in terms of our competition in the API market, you mentioned that the Limbasi facility would mostly be catering to our regulated or overseas markets. So like products like Mycophenolate Sodium could you shed some light on those products and what the competitive landscape looks like?

And how do we plan to position ourselves in case of competition from Chinese players or European players are also present in certain products that overlap our portfolio?

Ankur Vaid: So, you know, Concord holds the leadership position on several of the APIs that we manufacture. The reasons of course are that we have economies of scale, we have global regulatory approvals, strong technical expertise, and offering a basket of products. So we are the only company in the world which actually manufactures the entire range of fermentation based Immunosuppressants. So when you have these kinds of capabilities and strengths, customers look at working with companies such as ours. And that is the reason why we've been gaining market share year-on-year basis.

And when we talk about that kind of niche, highly complex products, you typically do not see much competition coming from China. As a matter of fact, that we are commercially, we have now got approvals in China to sell our products, our APIs, which shows that, and customers are also showing interest in terms of partnering with us for the API, which kind of shows the kind of advantages and the kind of strength that we have on the API, even with respect to some of the Chinese players.

And when we talk about the European counterparts, European competition, people now are talking more about the China Plus One and Europe Plus One strategy because of what is happening at the global footprint with the Russia-Ukraine war, the power costs and other things and the salaries have gone up quite significantly in Europe. And they are looking at alternate sources which are more reliable and can consistently provide them with these kinds of products. So, I think we see a lot of companies shutting down in Europe also and other parts of the world. So, we see a lot of consolidation happening in the fermentation API space.

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Karan Surana: Thanks, thanks for the answer. So just last one from my end, so in exports, we did 46%, I think in Q1 FY '24. Can you just bifurcate into what could be from US, Japan, or Europe, like regulated markets and what could be a share from non-regulated markets?

Lalit Sethi: So basically around 17% of the revenue in the export, or in the total revenue comes from the US market and the balance comes from the rest of the world.

Karan Surana: Okay, thank you, thanks, that is it from me. Thank you.

Moderator: Thank you. We have a next question from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Yes, thanks for the opportunity. Sir, just on the strategy aspect with respe

ct to into formulation,

given that we have leading market share in the API, any which case at a global level. So, and as we get into formulation, so there will be more of the cannibalization or let's say more internal consumption of the API for formulation. So will that have an impact on the API growth? That

is first.

And secondly, given that we also now get into formulators, so does that impact the customer's way of looking at us from the point of view of API procurement? These two questions.

Ankur Vaid: So, we have been in the formulation business now close to more than four years to five years.

And as long as we are supporting our customers with the high-quality products at the right price and ensuring consistent supplies and deliveries to them, they do not see any challenge there because every company understands the strengths that one has. So as long as we continue to support our customers, they don't see that as a challenge. We have not encountered any such challenges from our formulation partners over the last five years to seven years since we've been there in the formulation market.

In terms of cannibalization, we are not looking at disturbing the market and we are looking at value creation and opportunities within the formulation space. And that is why while we are backwardly integrated, we would look at opportunities where we can be there in the market but at the same time maintain healthy margins for us rather than going all in and destroying the value for ourselves as well as for our customers.

Tushar Manudhane: Okay, sir. And just lastly, how much would be the operational cost for the formulation facility, on the annualized basis?

Lalit Sethi: On an annualized basis it is around INR 35 crores.

Tushar Manudhane: Okay, sir. Thank you.

Moderator: Thank you. We have our next question from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Yes, thank you for the follow-up. Just one question on the Limbasi facility. We got the US FDA approval, right, so I assume that we have not yet started supplying to the regulated market from Concord Biotech Limited
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that new facility and largely catering to the other markets. Does that facility already got the approvals from Japanese and European regulators, or is it still work-in-process?

Ankur Vaid: Yes, so we have Japanese FDA approval also for the Limbasi facility. So both Japan and Europe approvals are there for the Limbasi. EU inspection, we currently do not have, but going forward that could be something that we may consider. In terms of the regulatory approvals, we have had a very good long-standing approvals from the authorities. And of course, this is something that we would continue to build on, even so for our Limbasi facility.

Chintan Sheth: Right. And given that this facility is currently underutilized, right? What kind of annualized cost, as you mentioned about the formulation facility, what are the annual opex there, given that we are just utilizing 35% of that facility and so there will be operating leverage we might see as the ramp-up happens?

Lalit Sethi: Basically, we are maintaining or making the books on the consolidated level. It will be difficult to find out on the unit wise operating cost.

Chintan Sheth: Okay, sure. And the capex guidance for this year and next?

Lalit Sethi: Most of the capex has already been done as far as the growth capex was concerned. Now it's only the operational capex which will be required to be done in the future.

Chintan Sheth: It will be INR 20 crores, INR 25 crores?

Lalit Sethi: It will be in the range of around INR 15 crores to INR 20 crores of per annum.

Chintan Sheth: Okay. And injectables we already spend or this year there will be some cost capitalization?

Lalit Sethi: Yes, very little amount is required to be spent to complete the project. Majority of the amount has been spent. And yes.

Chintan Sheth: Sure,

thank you. Thank you.

Moderator: Thank you. We'll take a last question from the line of Huseain Bharuchwala from Carnelian Capital. Please go ahead.

Huseain Bharuchwala: Just one question. I just wanted to understand on the pricing front in the export market. So how is the pricing in the US compared to other markets? Is the pricing better when it comes to US compared to the other regulated and the ROW markets? So how -- can you just give some clarity on the pricing?

Ankur Vaid: So you know, the prices are more or less quite similar to what you would have across the globe because, while we see limited competition on our molecules, we still are not in a monopolistic market. So when formulation companies are looking at potential suppliers. They kind of evaluate new suppliers based on which is going to supply, and give the best price. So we also have many Indian companies which are targeting the US market and they have a good amount of clarity on what the prices are there in the global markets, including in India being offered by some other

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manufacturers. So I would say that there is not much of a difference between what the price you offer to Indian versus that to the US.

Huseain Bharuchwala: Got it. That was the only question I have, thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Ankur Vaid: So thank you everyone for joining our maiden Earnings Call today. And we hope that you've been able to address all your queries. For any further information, please get in touch with us or SGA, who are our investor relation advisors. So thank you once again and have a good evening.

Moderator: Thank you, sir. On behalf of Concord Biotech, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra-Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir/Ma'am,

Subject: Transcripts of Q2 & H1 FY24 Earnings call held on November 09, 2023

In continuation of our letter dated November 09, 2023 regarding Audio recording of the Unaudited (Standalone and Consolidated) Financial Results of the company for the Quarter and half year ended September 30, 2023, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Prakash Sajnani

Company Secretary and Compliance Officer

M. No. F6242

Encl: as above

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"Concord Biotech Limited

Q2 and H1 FY '24 Earnings Conference Call"

November 09, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th November 2023 will prevail.

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DIRECTOR – CONCORD BIOTECH LIMITED

MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH LIMITED
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MODERATOR : MR. SAGAR SHROFF – STRATEGIC GROWTH ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY24 Earnings Conference Call of Concord Biotech Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as in the date of this call. These statements are not the guarantees of future performance and may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sagar Shroff from Strategic Growth Advisor. Thank you and over to you, sir.

Sagar Shroff: Thank you, Aman. Good afternoon, everyone and thank you for joining us on the Q2 FY24 earnings conference call for Concord Biotech Limited. Today, Concord Biotech Limited
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we are joined by Mr. Sudhir Vaid, Chairman and Managing Director, Mr. Ankur Vaid, Joint Managing Director and CEO, Mr. Lalit Sethi, Chief Financial Officer and Mr. Prakash Sajnani, Compliance Officer and AVP Finance

Company has uploaded its financial results and investor presentation on its website and stock exchanges. I hope everybody had an opportunity to go through the same. We will begin the call with opening commentary by the management followed by a Q&A session.

I would like to hand over the call to Mr. Sudhir Vaid, Chairman and Managing Director for Concord Biotech Ltd. Thank you and over to you, sir.

Sudhir Vaid: Good evening, everyone. Thank you for joining us on our Q2 FY24 earnings conference call. We are happy to report a robust financial and operational performance for the quarter ended September 2023. Our revenues during this quarter grew from INR 159 crores to INR 262 crores, a growth of 65% over the same quarter last year. EBITDA and PAT in this

quarter grew to INR 116 crores and INR 81 crores from INR 37 crores and INR 22 crores respectively in Q2 of last year.

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Similarly, our half-yearly revenues stood at INR 457.2 crores, a growth of 35% with EBITDA margins at 42.4% and PAT margins at 29.6%. Concord has cultivated a significant level of expertise in the fermentation process, allowing us to create and bring to market a diverse range of fermentation-based APIs. Fermentation is a complex procedure that demands specialized manufacturing knowledge, working with different types of microorganisms, meticulous control of various process parameters and multiple purification steps. This technical expertise along with years of manufacturing experience and diverse customer base creates a high entry barrier for this business.

Concord has emerged as the dominant player in the field of immunosuppressants, uniquely holding a complete portfolio of fermentation-based APIs for these specific drugs worldwide. Furthermore, we are working on creating leadership positions on other specialized fermentation-based APIs in oncology, anti-infective and antifungal space. In some of the APIs, we are already seeing this play out and we are getting good inquiries and orders for these molecules.

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In addition to our technical proficiency, we operate extensive manufacturing facilities with a consistent track record of regulatory approvals and compliances. This enables us to supply to both regulated and unregulated international markets. Our robust research and development capabilities coupled with an in-house R&D team have allowed us to develop these specialized products,

including the manufacturing of the key starting materials, giving us competitive advantages.

As a part of our forward integration, we had also commenced our formulation manufacturing of oral solid doses in 2016 and are on track to commence our upcoming injectable facility by Q1 of FY25. This will help us penetrate even deeper in markets across geographies. Over the years, we have nurtured our enduring relationship with key clients, including prominent global generic pharmaceutical companies. Currently, we serve over 200 customers across more than 70 countries, providing both APIs and formulation products.

Going forward, we remain confident of our growth strategies of penetrating deeper for our core molecules and increasing wallet share among existing customers,

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adding new customers across geographies in regulated and emerging markets, adding new molecules in the niche category to create a large product portfolio and offerings under one roof.

Thank you. And with this, I hand over the call to Mr. Ankur Vaid, Joint Managing Director and CEO, Concord Biotech Ltd. Thank you.

Ankur Vaid: Thank you, sir. We are delighted to announce a robust performance for Q2 FY24 and our outlook for H2 remains optimistic and in line with our annual guidance. In Q2 FY24, we achieved revenue of INR 262 crores against INR 159 crores in the same quarter last year, with API revenues increasing by 46%. Our formulation revenue, which stood at INR 35 crores in this quarter, is in line with our outlook of FY23/24. It is essential to emphasize that our financial results should be evaluated on an annualized basis rather than on quarterly one. This approach accounts for potential fluctuations in quarterly revenues. We are optimistic to surpass our historical 18% CAGR growth in this year. We are pleased to share that following the recent regulatory inspection conducted by USFDA, we have received the EIR of Concord Biotech Limited
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our Limbasi site and no observations were given by them. This approval has unlocked additional capacities for global markets for our existing products. As subsequent to the USFDA inspection, customers have started initiating the process of including the Limbasi facility in their dossier. With this, our customers get the flexibility to procure APIs from both sides. This development is expected to fuel revenue growth in both regulated markets and other markets.

For the upcoming year, our company's primary focus will be on consolidation and optimizing the utilization of our capacities at Limbasi and Valthera plants. This strategic move is poised to serve as the primary catalyst for revenue growth. By enhancing operational efficiency and leveraging our operations, we anticipate an improvement in our EBITDA margins. In Q2FY24 our export revenue stood at INR 138 crores as against INR 72 crores in Q2 FY23. This increase can be attributed to our successful expansion into both regulated and emerging markets, driven by our diverse product portfolio spanning across various therapeutic areas.
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Let me speak about our growth drivers going forward. Firstly, in our API business, we anticipate growth through our existing product portfolio. This growth will be fueled by industry expansion, steady shift of market from innovators to generic alternatives and an increased market presence in global markets. This potential is bolstered by our robust manufacturing capabilities, technical expertise, and state-of-the-art manufacturing facilities all complemented by consistent regulatory approvals on

a timely basis. Another growth driver for Concord is the addition of new APIs in the niche category to create a large product portfolio and offerings. On the back of our strong and competent R&D team, having expertis

e in fermentation and semi-synthetic APIs and continuous developments, we are confident of commercializing products across niche fermentation and semi-synthetic-based APIs across therapies. We have a pipeline of products currently in development stages, which are slated for commercialization over the next 2-3 years.

This strategic move allows us to expand further and tap into new opportunities. Some of the indicative products in the pipeline include Cyclosporine, which

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is an immunosuppressant, Fidaxomicin, Daptomycin, which are anti-infectives, Epirubicin, Doxorubicin, Idarubicin, and Pirarubicin, which fall under the oncology. There are several other products which are in the pipeline at various stages.

Speaking of our formulation business, formulation revenues have been steadily increasing. We have close to 77 approved formulation products in India and 4 ANDA approvals for our 6 products from USFDA, and a total capacity of 802 million units. We have also filed doziars in the emerging markets. In several of these markets, we have got approvals for our products and have started commercial sales. We expect several other markets to open up for us in the coming years.

Also, with our new injectable facility, commercializing in quarter 1 of FY25, we are confident of increasing our business from the formulation vertical as well.

Over the years, Concord has diligently cultivated its capabilities and an extensive range of products, positioning itself as the forefront of competition. We have steadily expanded our customer base across global markets, and this strategic approach has solidified our reputation and enabled us to make

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deeper inroads by attracting additional customers and further penetrating our existing client base.

To conclude, I would like to say that with our strong presence across the fermentation value chain, market leadership in several of the fermentation APIs, and focus on complex niche fermentation APIs across therapeutic areas, and increasing utilization of our capacities, we are confident of outperforming the industry growth.

With this, I hand over the call to Lalit Sethi for financial highlights for quarter two of this financial year. Thank you.

Lalit Sethi: Thank you, Ankur. I will take you through now the financial performance of this quarter. On the revenue front, our revenues for quarter two financial year 24 stood at INR 262.4 crores as compared to INR 158.9 crores in the same quarter last year, which represents

a growth of 65%. Revenues for H1 grew by 35% from the same period last year.

Our revenue from API business grew by 46% in this quarter and stood at INR 227.4 crores. In H1 FY'24, API revenue stood at INR 390.3 crores, representing growth of 26% from the same period last year.

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Revenue from formulation business in this quarter stood at INR 34.9 crores, and for H1 FY'24, it stood at INR 66.9 crores. Domestic revenue grew by 44% and 38% respectively for quarter two and H1FY24. Our export revenues for quarter two grew from INR 72 crores to INR 138 and for H1, export revenues grew from INR 174 crores to INR 228 crores.

Speaking of EBITDA. Reported EBITDA on a standalone basis for quarter two of this financial year stood at INR 119.2 crores, which is 45%. EBITDA Margin for H1 stood at INR 191 crores, which is 42%. EBITDA Margins, including the share in profit from the JV, stood at INR 115 crores, with a margin of 44.1% in quarter two of this financial year.

On profit after tax, our profit after tax for quarter two of this financial year stood at INR 81 crores, which is 31%, and PAT for H1 stood at INR 135.5 crores, which is 30% of revenue from operations. So with this, I shall now leave the floor open for questions and answers.

Moderat

or: The first question is from Alankar Garude from Kotak Institutional Equities. Please go ahead.

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Alankar Garude: Hi, thank you for the opportunity and congrats on a very strong performance. So we have seen a big surge in this quarter in growth, 65% year-on-year in top line. Now, was there any lumpiness which experienced this kind of a growth? I am asking because if you look at our performance in the first quarter, we were at sub 10% year-on-year growth. So just wanted to check whether there was any postponement or maybe even a preponement of orders in this quarter.

Lalit Sethi: Basically, in this quarter, the sales have increased from INR 159 to INR 262 crores, the growth of 65%.

However, Concord should be viewed from an annualized basis rather than on quarter-to-quarter basis. So in fact, there could be quarter-to-quarter variations in the procurement pattern of our customers, maybe due to several reasons, such as upcoming production schedule at the customer's end. So as a result, they may procure more in a specific quarter than the other quarter. So however, we do not see any change in the annual demand and that we have forecasted from our customers. So therefore, on an annualized basis, we expect to do better than our historical CAGR of 18% growth. The same would be
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for the profitability, as there would be certain costs which are expected to be incurred in the second half of the year. So however, we expect the EBITDA margin to grow better than our growth in the sales.

Alankar Garude: Sir, can you help with maybe more details on whether the change in ordering patterns in this quarter.

Was it specific to one customer or a set of customers or maybe was it for just one product or maybe a set of products? Any details on that would be helpful, sir.

Ankur Vaid: Yes. So, this we have seen across several of our customers, because as you would have seen that our first quarter growth was close to around 7% to 8%. So we do expect that some of the spillover would have happened to quarter two and there could have been some pre-ponement of say quarter three into the quarter two sales.

However, we have seen these across all our segments, the growth that has come up. So as a matter of fact, I'm pleased to inform that we saw higher growth in the oncology and anti-infective segment vis-a-vis our immunosuppressant. So while all of them grew, the rate of growth was higher in the oncology and -anti-infective segment.

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So, I would say that this is primarily based on how some of our customers have picked up the material and there have been some spillovers from previous quarters or from the coming quarters into this specific quarter two. But as mentioned by Lalit, we are optimistic that, , we will grow better than our historical CAGR and we do not see any changes in terms of or any concerns in achieving that number on an annualised basis.

Alankar Garude: Sure, that's helpful, Ankur. A follow up to that would be you mentioned about being optimistic about the second half as well. Now, in our previous call, we had mentioned about a 40 to 60 mix broadly between the first half and the second half. Now, given the strong performance we've seen in the second quarter and consequently the first half, should we expect a similar 40-60 mix in this time around as well, in this fiscal as well?

Ankur Vaid: So I would say that, again, coming to what Lalit said that, while we have seen that historically, it does not really mean that going forward also every year, this could be a similar trend because of this lumpiness in the sales that one would observe.

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So, while we are confident that in order to achieve that CAGR growth that we sp

oke about, our quarter two would have to be, would be better off than what quarter one is. But the percentages could be varying in order to achieve our annualized growth number.

Alankar Garude: Understood. And maybe one final question. See, on the annual guidance as well, right, you mentioned

about growing at more than 18% year on year in FY'24. Now, the first half growth itself is around 35%. So, I know you mentioned 18 plus percent, but are you being a bit conservative in your top-line guidance for this fiscal?

Ankur Vaid: No, we would continue to stick with the guidance that we have and, one should go with that guidance going forward as well.

Alankar Garude: Fair enough. I shall thank you and all the best.

Ankur Vaid: Thank you.

Moderator: Thank you. The next question is in the line of Jigar Valia from OHM Group. Please go ahead.

Jigar Valia: Hi. Congratulations on the great set of numbers and thanks for the opportunity. If you can help us understand the update on the various plans and in terms of utilization as well, it would be great. So, Concord Biotech Limited
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maybe your perspective around timelines for the FDAs and the utilization of the various plans?

Lalit Sethi: In fact, as far as the capacity utilization of these three plans are concerned, in Unit-1, we have been operating at a capacity of around 78% and in Unit-3, Limbasi, we have been operating at around 35% to 36% and in Unit-2, we have operated at around 14% to 15% capacity utilization for H1 of 2024.

Jigar Valia: In terms of broader timelines, in terms of the FDA approvals for this, will the injectable plant which will come up at Valthera, that also would be clubbed and the final approval come only after that or how does it?

Ankur Vaid: So, the injectable Plant, as you mentioned, will be ready by Q1 of FY'25 and the next financial year will be more towards getting the validation batches and doing the filings and this facility is primarily targeted towards India and emerging markets.

So, there could be a possibility that by the end of next financial year, we could get some regulatory inspections from some of the emerging market authorities but it will all depend on how the filing of the dossiers go from the injectable side.

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Jigar Valia: Got it. So, as of now, Limbasi, Valthera continue to be towards either domestic or ROW markets and Dholka would be towards both regulated as well as the other markets?

Ankur Vaid: So, Dholka is for global markets because it is approved and, inspected by US, Europe, Japan, Korea and several other authorities. The Limbasi facility which is the new API facility was built in 2021, that facility is also USFDA inspected. So, inspection happened in June of 23 and which was concluded with zero observations.

So, with that, we have now continued, we have started our supplies to several of our customers in the regulated markets as well from that Limbasi facility.

So, Limbasi facility caters to several regulated markets as well as India and emerging markets and Valthera facility which is the formulation facility is approved by USFDA and several other emerging

markets from where we are supplying our finished formulations to global markets.

Jigar Valia: What would be the mix for regulated markets for Q1, Q2 and follow up is that, would the ROW margins be similar to the domestic business?

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Lalit Sethi: As far as regulated, markets are concerned, it is around 17% in US and 33% in the ROW of the total sales in quarter two and H1. With respect to the margins, our margins within regulated as well as emerging markets are more or less the same.

Jigar Valia: Thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Vivek Agarwal from Citigroup. Please go ahead.

Viv

ek Agarwal: Hi, thanks for the opportunity and congrats for a good set of numbers. Ankur, if you can talk about how the pricing trends were there in some of the top products, that would be really helpful. And basically, how was the growth contributed as far as the pricing is concerned, as far as the volumes are concerned? So, if you can throw some light. Thank you.

Ankur Vaid: So, for the half year numbers, all the growth has come through volume only. Our pricing has been relatively stable. And as we mentioned that we have added newer customers, there could have been a differential pricing to those customers. But otherwise, our pricing has been fairly stable for all the products and the growth has been primarily volume driven for us.

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Vivek Agarwal: Perfect. That's super helpful. And in terms of new customers, basically, how that is tracking? In the first half, we have grown 35% Y-o-Y, right? So, would you like to attribute a part of a specific number that has been driven by the new customer addition in your existing portfolio? Thank you.

Lalit Sethi : So, we have added new customers in last six months. And I believe that the number is around twenty five customers that have been added in formulation and API business.

Vivek Agarwal: Okay. And in terms of margins, right, we have seen around 200 basis point kind of expansion in the gross margin. So, is it largely due to higher sales or increasing operating leverage or is there any change in cost of material, etcetera?

Ankur Vaid: No. So, the margin primarily has been on account of operational efficiencies that have come in, which have helped in higher EBITDA margins for us as compared to the sales growth that has happened. So, it is primarily because of the operational efficiency that the EBITDA margin has expanded significantly higher than what the growth in the sales number.

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Vivek Agarwal: Perfect. Thanks, Ankur. This is helpful. We will join

the queue.

Moderator: Thank you. The next question is from the line of Chintan Seth from Girik Capital. Please go ahead.

Chintan Seth: Thank you and congrats for the very great set of numbers. A couple of questions on, again, on the revenue aspect. If you look at last year's base, at least for Q2, the formulation revenue has kind of sequentially declined. Is there any lumpiness in the previous year in FY '23 which led to 40-60 split between first half and second half? And that kind of corrected this year and then we can see some shift from second half to first half.

That can be inferred because Q1 seemed to be, 1Q to Q2, Q2 last year has seen a 12% revenue decline. So, is there any, and because of that, the first half revenue share is 40% for the annual year. So, if you can explain what has happened last year and whether this year will be slightly different from that?

Ankur Vaid: So, in quarter 2 last year, there was some return from one of our customers, from US, because of which it had a negative impact on the formulations sales,
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which was a one-time impact and the reason for the lower number in the Q2 of the last year.

Chintan Seth: Okay. And the utilization seems to be picking up and from last year closer, the Limbasi has improved from 75% to 78%. How soon or any indication in terms of what will be the year-end utilization levels we are targeting based on the orders we have?

Lalit Sethi: So, in fact, utilization for Dholka plant is around 78%, which was 75% in the last year. But in Limbasi, it is 32% in Q2.

Chintan Seth: And Limbasi is 32% or 35%? You mentioned 34% to 35%.

Lalit Sethi: 32% is in Q2 and around 36% in H1. . Last year, I think it was around 30%, And in Valthera, it is around 15%, which was 12% last year.

Ankur Vaid: So, just to add to what Lalit mentio

ned that, the

oncology segment saw good growth for us. And the oncology facility is only there in Dholka and not in Limbasi. So, this also kind of correlates with that, that the higher utilization number beyond a certain point is getting attributed to quite a large extent towards the oncology, which kind of contributed to this half-year number growth.

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And at the Limbasi facility, we continue to see higher capacity utilizations on account of deeper penetration into markets and engaging more with our customers. And the Valthera facility, we are seeing good traction in the emerging markets as well as in India market, which is leading to higher capacity utilization for the formulation facility.

Chintan Seth: Great. Okay. And just last on, last bit on the oncology part, this is the new business which we are getting and that is kind of getting ramped-up or this was a new customer, any color on the oncology part, if you can,

and how sustainable is this ongoing business, , which will continue for the upcoming quarters?

Ankur Vaid: So, I think it's a blend of both. So, our existing customers, there is an increase in the wallet share and we are also reaching out to newer customers for our products. So, I would say, it's a good blend between, the two, because of which we are seeing this increase in the oncology segment as well.

And going forward, as I mentioned that, , with API manufacturers, once we start engaging with our formulation customers, there is a lot of stickiness to the business. So, we expect this to continue over the years. And as Concord is known for creating a

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leadership position for its APIs, we expect to create similar leadership position on the other segments, such as oncology, anti-infectives , and antifungal, as we have done it for the immunosuppressant segments over the years.

Chintan Seth: Right. Thank you and all the very best and greetings for the festivity . Thank you.

Moderator: Thank you. The next question is from the line of Aarti Rai from Equentis Wealth Advisory. Please go ahead.

Aarti Rai: Yes. So, thanks for the opportunity. I wanted to check on a couple of things. The first one being the CDMO opportunity. So, while we spoke last, we did mention that the current year would not include any opportunity in the estimate. So, by when do we go? I mean, from the past conversations, would it be good if we can have some update there, given Limbasi is also now doing well on utilization. So, any update on when we should start building in numbers from that opportunity?

Ankur Vaid: So, CDMO is a segment that we have considered from a medium term to a long term perspective only, because while we have free capacity at our Limbasi facility and are also getting regulatory approval for

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that site, opportunities like CDMO does take its own set of time and hence we have put it from a medium to a long term strategy. That being said, we are engaging with potential customers. We are discussing with them and showcasing our strengths and capabilities so that there is a potential opportunity for us to kind of work with these clients. But one should consider this from a medium to a long term perspective only.

Aarti Rai: Okay. So, when we say, engaging with customers, is it primarily our existing customers or are we speaking with some new client as well?

Ankur Vaid: So, most of the discussions that are happening or where we are reaching out are with respect to new customers, who are because these set of customers would either be, people having very, very large presence within the API segment and they want to contract it out rather than formulation players with whom we typically engage in. So, the customer base is slightly different from the ones that we engage in.

Aarti Rai: Okay. One question on Limbasi. So, presently as we stand at around, say, 32% utilization and on the last call we did speak off about the utilization of 75% to 80% in the next two years. So, over the at least next
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two years, I mean, how do we look at the utilization, say, from 32%, 34% now? So, full year where would we be and say 25% and 26% next couple of years, tentatively?

Ankur Vaid: So, I won't be able to give you guidance on how the capacity utilizations would work out. But as I mentioned in our previous discussions as well that we expect to have a CAGR growth of around 25% over the next five years to six years on the top line, wherein much of growth coming from the Limbasi facility. And given our asset turnover, given, how the growth that we are looking on our five year to six-year period, one can look at from how the capacity utilizations could be.

But reaching to 70% to 78%, is going to be a four year to five-year process and not a two-year process because we have created almost twice the capacity that we have at Unit 1, which is 800 meter cube. So, with that, and considering our growth guidance for the next five years to six years, it will be at least four years to five years before we start reaching to that level of the utilization that, you spoke about.

Aarti Rai: Okay, great. Thanks for that one. I'll join back the queue.

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Moderator: Thank you. The next question is from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead.

Alok Dalal: Yes, hi. Ankur, good afternoon. So, first one on contribution of top five APIs for the quarter and first half, please?

Ankur Vaid: So, we are not sharing details on a product-on-product or a Top 5 molecule. But yes, I think what we can share is that products from the oncology segment has contributed, has seen a lot of traction. And we see that the segments such as the oncology are picking-up quite a lot what we see in this year. And we're also seeing good traction from the other segments such as the anti-infective segments as well. So, seeing good contribution from across the therapies.

Alok Dalal: Okay. And, Ankur, these, the traction that you see are from new customers or this is wallet share gain from existing ones?

Ankur Vaid: It's a blend of both, Alok. So, we are primarily driven by increase in the wallet share because new customer addition, while it is contributing, it is not contributing that significantly to the overall onco growth, but it is a blend of both. But I think our engagement with
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customers have now started to increase within the other segments as well, which is resulting in this.

Alok Dalal: Okay. Second one is on the Japan JV. So, can you provide more color on what type of JV arrangement is this? Is there some technology involved in this JV?

Lalit Sethi: No, basically it's a sale and purchase transaction which happens with the JV. Concord India, sells the material to Concord Japan for onward selling in the Japanese market.. As per Japanese laws, it is a requirement that there should be one caretaker. Therefore, there is a separate entity which has been created in Japan for that purpose.

Alok Dalal: Okay. Thank you. And Ankur, you mentioned about some new costs which will come in second half. Can you provide some more color on what these costs are?

Lalit Sethi: It's expected to be on injectable units. We are expecting to get it commercialized in the month of December 23. And for the last quarter, there could be some expenses which will be spent on the validation batches and which would be on the stability. So, those kinds of expenses are expected to be there in quarter 4.

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Alok Dalal: Okay, sir.

Thank you, Mr. Lalit. Yes, that's it from my side. Thank you..

Moderator: Thank you. The next question is on the line of Monish Shah from Antique Stock Broking. Please go ahead.

Monish Shah: Yes. Hi. Thank you for the opportunity. Sir, just a question on the existing products. Amongst our key products like Tacrolimus, cyclosporine, and everolimus, there are different dosage forms, like an extended release or a gel or a solution, which is going off patent next year and, you know, a couple of years after. So, just wanted to check, does that give us a sizable opportunity from generic entry standpoint?

Ankur Vaid: Yes, that does. And we are working with several customers for such kind of new formulations as well.

Monish Shah: Okay. And that drives your revenue guidance? I mean, that is a sizable part of revenue guidance?

Ankur Vaid: So, it will all depend in terms of how the generic players kind of get into the products once it becomes generic. So, when we talk about the overall guidance over the next four years to five years, such kind of opportunities have been built into that.

Monish Shah: Okay. Got it. Yes, that is it from my side. Thank you.
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Moderator: Thank you. The next question is from the line of Huseain from Carnelian Capital. Please go ahead.

Huseain Bharuchwala: . Sir, we were in discussion and looking at some of the CDMO opportunities. Is there any opportunity just coming to us? Are you in discussion with some of the clients on the CDMO part?

Ankur Vaid: So we are in discussion with the customers, but, these customers, again, are evaluating multiple vendors.

They may have their different timelines to kind of look at in terms of when they want to initiate such kind of CDMO opportunities. So, while there are

engagements that do happen, it may take time for it to fructify. So, discussions do happen, but that's why we have put it on a medium term.

So, I would say, there have been a lot more discussions happening, both from customers' end because they're seeing Concord having the capacities, having approvals, and we also are reaching out to our customers because of the capacities and approvals in place. So, we are evaluating and are hopeful that we should see some opportunities getting built-in, in the coming years on the CDMO front.

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Huseain Bharuchwala: Got it. And secondly, since you and CFO said that we will grow at more than 18%. So, this year we will grow at 18% plus 1% or 2% additional. And also you said a 25% plus growth over the next four years. So, it's some understanding on my end, to what should be the growth that we should expect from the company going forward?

Ankur Vaid: So, what Lalit mentioned is that historically we have grown at a CAGR of 18% and we have different growth levers, both at the API as well as at the finished formulation, which will help us grow at a CAGR of 25% over the next five to six years. Because, this is going to be a gradual process from going from 18% to 25% CAGR because, we are, like in this year, we have got the approval from the US FDA. Customers are including our Limbasi facility into their dossier. So, we will see some growth happening on that end. There will be some growth coming in from the formulation as well. Subsequent year, we would also see that, there will be more consolidation at these two fronts, but also the injectable business will start kicking in.

And then, of course, new R&D products as they keep getting commercialized, may be one to two products

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every year, they would also slowly and steadily start contributing. So, that's why all these three, four opportunities when clubbed together will result into a 25% CAGR growth over the next five to six years. And one has to see it as a gradual mo

ve in terms of

how we go from 18% to 25%.

Huseain Bharuchwala: Got it. And secondly, sir, when you said that, there was one customer whose product got returned in Q2 of FY '23. So, as a result, we are seeing some sort of year-on-year comparison. There is some lumpiness. Was it a sizable return? So, should we consider this as a lumpy quarter for this year, wherein the numbers are way higher than year-on-year basis? How do we see that? Because I understand you said that we should look at the whole year basis.

But still, we are not able to contemplate because when we built-in into our models, we are not able to understand exactly, how the year will shape up for the company and how is it comparable year-on-year basis...

Ankur Vaid: Sorry, we lost you.
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Huseain Bharuchwala: Okay. So, I am just trying to understand. In Q2 of FY '23, you said there were some product returns on the formulation side?

Ankur Vaid: Correct.

Huseain Bharuchwala: So, there must be some lumpiness in this quarter. Should we consider that there was some lumpiness or no, it wasn't in that case?

Ankur Vaid: So, I would say the lumpiness would have been probably in the quarter of the last year because of this one-time effect that came in because of the formulation return. But this year, I think we have seen steady growth in our formulation sales because newer markets have opened up and also our domestic formulation business is growing. So, that's how I would look at this year versus the last year. So, the lumpiness would be more correlated with last year rather than looking at from this year perspective.

Moderator: Thank you. The next question is from the line of Vivek Agarwal from Citigroup. Please go ahead.

Vivek Agarwal: Hi. Thanks for the follow-up question. So, as the company has highlighted, in the recent quarter or in the first half, its oncology and anti-infectives have picked up. So, is it possible for you to share, what is
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the share of immunosuppressants in API Dominion in this quarter or the first half and what is the share of oncology and anti-infectives? Thank you.

Ankur Vaid: Sorry, we did not get you clearly. Could you repeat that, please?

Vivek Agarwal: So, if you can help us understand the share of revenues from immunosuppressants and oncology and anti-infectives or anti-fungal in the first half of the year?

Lalit Sethi: In the first half of the year, the contribution from immunosuppressants has been to the extent of around 74% to 75% of the total API sales. And oncology has been in the range of around 13%, vis-à-vis 9% in the same period last year.

Vivek Agarwal: Thanks. And is it fair to assume that in oncology, the everolimus that is taking off?

Ankur Vaid: So, yes. Our oncology products such as everolimus, midostaurin and other products which are there in that segment are seeing good traction. So, it is not only just one product, but we have close to seven to eight products in that segment and we are seeing good traction in these molecules.

Vivek Agarwal: Perfect. And in terms of margins, would you like to give any ballpark numbers for fiscal year '24, given

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that we have already done close to 42% in the first half? Any range, basically, that would end up for the full year of '24?

Ankur Vaid: So, what we discussed earlier was that if, the growth

in the EBITDA should be better than the growth that one would see in the top line because of the operational efficiency that gets built in.

Vivek Agarwal: Perfect. Thanks, Ankur. Thank you. This is from my side.

Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Thank you for the follow-up. One thing on the new product development side, we mentioned a couple of

molecules in anti-infective, coupled with oncology and immunosuppressant. Any ballpark, market size which we are looking at in those product categories will be -- how much relative to what we are currently targeting, the addressable market from the existing 20 plus portfolio versus this new five, how much it will add to that? If you can, just a ballpark number would be helpful.

Ankur Vaid: So, the addressable market for the new products is close to around \$2.5 billion at the formulation level.

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So, while we don't have data on the API level, but if one would consider around 30% to 40%, we're talking somewhere around \$750 million is the opportunity that one could look at. However, these products, once they become commercial, it will be a slow and steady process for us to reach to a leadership position on these molecules.

However, we are confident that given our R&D expertise, we have full confidence that, there is a path and we will be able to go through that in order to have that leadership position on these molecules. So, these are sizable markets for these APIs, but it will be some time before we start having a sizable contribution in the overall revenue with respect to these newer products.

Chintan Sheth: Right. And in terms of gross margin, I can see that, for the past two quarters, we have been delivering a kind of almost 80% kind of gross margin right now. So, any risk in terms of input price pressure you are witnessing or any, you mentioned the pricing pressure is not there. It's largely driven by volume growth, but any input price pressure which we are forcing right now, or we can expect this 80% gross margin to continue going forward?

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Lalit Sethi: So, , in the fermentation business, the feed which is required to be given to the microbial is agro-based products. These products are easily available and no pricing pressure has been seen in the last couple of years. Therefore, the possibility of stress on margins is very remote. . The reason being, there are about 200- 300 raw material products So, in case of any prices change, on one or two products, may not have any significant impact on the gross margin. So, therefore, we don't see any threat on the gross margin.

Chintan Sheth: And no pressure on the pricing side as well. The pricing remains pretty steady so far right now.

Lalit Sethi: Yes, this has been quite steady.

Chintan Sheth: Great. All the very best and thank you for answering my question.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for the closing remarks.

Thank you and over to you.

Ankur Vaid: So, thank you, everyone, for joining on our quarter 2 FY '24 earnings call. We hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our investor
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relation advisors. Thank you once again. Have a good evening.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Concord Biotech, we conclude this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2024

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra-Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir/Ma'am,

Subject: Transcripts of Q3 & 9M FY24 Earnings call held on February 09, 2024

In continuation of our letter dated February 09, 2024 regarding Audio recording of the Unaudited (Standalone and Consolidated) Financial Results of the company for the Third Quarter and Nine months ended December 31, 2023, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you. Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Prakash Sajjani

Company Secretary and Compliance Officer

M. No. F6242

Encl: as above

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"Concord Biotech Limited

Q3 & 9M ' FY 24 Earnings Conference Call"

February 09, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th February, 2024 will prevail.

MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING
DIRECTOR – CONCORD BIOTECH LIMITED
MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH

LIMITED
MR. LALIT SETHI – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED
MR. PRAKASH SAJNANI – COMPLIANCE OFFICER AND
ASSISTANT VICE PRESIDENT , ACCOUNTS & FINANCE–
CONCORD BIOTECH LIMITED

MODERATOR : MR. SAGAR SHROFF – STRATEGIC GROWTH ADVISORS
(SGA)

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Moderator: Ladies and gentlemen, good day and welcome to Concord Biotech Limited Q3 and 9 months FY24 Earnings Conference Call. Before we begin, I would like to point out that this conference call may contain forward looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict. Kindly note that all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sagar Shroff from Strategic Growth Advisors. Thank you and over to you Mr. Shroff.

Sagar Shroff: Thank you Neerav. Good afternoon everyone and thank you for joining us on the Q3 and 9 months FY24 earnings conference call for Concord Biotech Limited. Today we are joined by Mr. Sudhir Vaid, Chairman and Managing Director, Mr. Ankur Vaid, Joint Managing Director and CEO, Mr. Lalit Sethi, Chief Financial Officer and Mr. Prakash Sajnani, Compliance Officer and AVP Accounts & Finance. The Company has uploaded its financial results and investor presentation on the company's website and stock exchanges. I hope everybody had an opportunity to go through the same. We will begin the call with opening commentary by the management followed by a Q&A session.

I would now like to invite Mr. Sudhir Vaid, Chairman and Managing Director for Concord Biotech Limited to give his opening remarks. Over to you sir.

Sudhir Vaid: Good afternoon. Thank you for joining us on our Q3 and 9 months FY24 earnings conference call. We are happy to report a healthy financial and operational performance for 9 months ended December 23.

While our revenue for Q3 FY24 was flat, our revenues for 9 months FY24 grew by 20% over the same period last year. Reported EBITDA and PAT grew by 39% and 43% respectively on a year-on-year basis for 9MFY24. Over the years, Concord has developed substantial expertise in the area of fermentation, enabling us to innovate and introduce a varied spectrum of fermentation-based pharmaceutical API for the pharmaceutical industry in the field of immunosuppressant, oncology, anti-infective and antifungal.

Fermentation process is very intricate, requires specialized manufacturing capabilities, expertise in working with micro-organisms, precise control of diverse process parameters and implementation of multiple downstream purification process. Concord has established itself as a market leader in fermentation-based biopharmaceutical APIs for immunosuppressant, alongside diversifying into the field of oncology, anti-infective, antifungal segments, a strategic move that can mitigate risk and open new opportunities for growth. Having a comprehensive product portfolio and continuous new product addition will serve as a significant advantage.

This not only showcases Concord's expertise and presence across the spectrum, but also positions us as a one-stop solution provider of fermentation-based APIs. We are also exploring

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opportunities for CDMO projects to accelerate our growth journey. Beyond our technical expertise, we manage very expansive and sophisticated manufacturing facilities with a proven history of securing regulatory approvals and adhering to compliance standards.

In this context, I would like to highlight that recently, ANVISA, that is, Brazilian Health Regulatory Agency, conducted a successful inspection of our Unit 1 API facility with no adverse remarks. These regulatory approvals across geographies po

sitions us to cater to both regulated and unregulated markets. Our strong research and development capabilities, supported by an in-house R&D team, have been instrumental in commercializing high-quality, cost-effective products efficiently.

Being backwardly integrated with the manufacturing of key starting materials also provides a distinct competitive advantage. This vertical integration can contribute to cost efficiencies, quality control, and a more streamlined production process. It also enhances our ability to manage supply chain effectively, ensuring a steady and reliable source of key essential materials. Overall, having state-of-the-art manufacturing facilities, global regulatory approvals, R&D and manufacturing expertise, along with backward integration, positions Concord as a well-rounded and resilient player in the manufacturing of fermentation-based pharmaceutical APIs and finished formulations. By leveraging on these strengths, Concord expects to launch new products across different therapeutic segments and, therefore, well-poised to expand its presence in global markets, therefore contributing to sustainable growth and success.

From ESG's standpoint, I would like to highlight that Concord was also awarded with a Bronze Rating by Eco Vadis in 2023. Thus, by maintaining a focus on sustainability, ethical practices, and staying abreast of evolving industry trends, Concord will further enhance its standing in the market. In the end, I would like to convey my thanks to all our partners, associates, and investors for their continued support.

With this, I hand over the call to Mr. Ankur Vaid, Joint Managing Director and CEO of Concord Biotech Limited. Thank you.

Ankur Vaid: Thank you Sir,

Let me begin with performance for the quarter, followed by strategies going forward. We are pleased to announce our performance for Quarter 3 and 9month FY24, and our outlook remains optimistic, aligning with our long-term guidance of CAGR growth of 25% over the period of five years. During Quarter 3 FY24, our revenues stood at INR 241 crores, which is similar to the same quarter last year. However, our 9-month FY24 revenues grew by 20% year-on-year basis, driven by a 7% increase in API revenues and a 156% surge in formulation revenues compared to the corresponding period last year.

I would emphasize to assess our financial results on an annualized basis rather than quarterly. This is because there could be fluctuations on quarter-on-quarter basis, resulting in some quarters experiencing higher procurement than others. Some of the reasons for the fluctuations are changes in customer procurement pattern, sales spill over to subsequent months due to approvals, and Red Sea disruptions. Therefore, a more accurate assessment of our performance

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is best achieved by analysing the medium- to long-term trends rather than short-term quarterly variations.

Speaking of the specific highlights, we are delighted to announce that the Brazilian Health Regulatory Agency, which is ANVISA, conducted a successful inspection of our Unit 1, API facility in Dholka in January with no adverse remarks. This achievement is expected to open up new opportunities in different regions and attract more customers in Brazil for our API products. Simultaneously, we are actively pursuing applications and registrations in various emerging and regulated markets to introduce our extensive product range.

Presently, we have secured four ANDAs for six products from the US FDA and have also filed new ANDAs. We are also in the process of submitting additional dossiers across different territories. Furthermore, the approvals obtained from regulated markets serve as a solid foundation for securing approvals in emerging markets, facilitating quicker approval process, and enabling us to establish a stronger presence in those markets.

This perspective focuses

on our geographical expansion efforts. On the product front, we currently offer a portfolio of 24 products spanning across immunosuppressant, oncology, anti-infective, and antifungal fermentation-based APIs. Our strategic plan involves introducing approximately 8 to 10 additional products over the next three years, especially in the field of oncology and anti-infective, contributing to our sustained long-term revenue growth.

In the coming few months, we expect to commercialize a couple of these APIs. In tandem with product expansion, we are actively acquiring new customers across different regions.

Simultaneously, we aim to enhance our market share among existing customers by offering a comprehensive range of fermentation-based products, thereby diversifying our product offerings and strengthening our position in the market.

Speaking of our formulation business, it has experienced notable success, gaining increased acceptance of our products among customers across regions. Our formulation business has demonstrated strong performance with an increase of 190% for Q3 FY24 on a Y-on-Y basis. We have an on-ground team of over 150 members in sales and marketing across India for our

formulation business.

And with addition in our product portfolio, we are optimistic of expanding our customer base in the years ahead. Our strategic focus involves targeting the domestic and emerging markets for our formulation business, with limited presence in the regulated markets. The formulation business is in a continuous state of development, and we anticipate significant growth in terms of both products and customers, contributing to our overall success from a medium-to-long-term perspective.

We are progressing as planned for commercial production of our injectable facility in the first quarter of the fiscal year 2025. Once operational, this facility will enable us to offer a comprehensive range of formulation products, including oral solid dosage and injectable, positioning us as the preferred vendor for our customers. This strategic initiative is poised to enhance our market presence across various geographies significantly.

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We have also articulated our intentions to venture into the CDMO business. We are currently actively engaging with innovators and large generic players, submitting RFQs and positioning ourselves as a viable partner by leveraging our expertise and manufacturing capacities and capabilities. The successful implementation of any CDMO project has the potential to contribute substantial volumes and revenues to our growth trajectory, allowing us to accelerate our growth. However, it is currently premature to provide any specific timeline for these endeavours. We will keep you informed on any developments in this regard. It's important to note that our outline growth targets do not currently account for this opportunity.

Successfully tapping into the CDMO business could significantly expedite our growth journey.

Finally, we remain mindful of our ESG initiatives. We are delighted to inform that Concord has achieved Bronze rating in 2023 by Eco Vadis, one of the world's most trusted business sustainability rating agency.

This recognition reaffirms our commitment to environmental responsibility and sustainable business practices contributing to positive global impacts. Going forward, we maintain confidence in our growth strategies, including the emphasis on deeper market penetration, acquiring new customers, and introducing innovative molecules in niche categories.

With this, I hand over the call to Lalit Sethi, our Chief Financial Officer for Finance and Operational Performance. Thank you.

Lalit Sethi: Thank you, sir. Let me take you through the financial and operational performance for the quarter and 9 months ended December 2023. On the revenue front, our revenue for the quarter 3 of this financial year '24 stood

at INR 240.8 crores as compared to INR 240.7 crores in the quarter 3 of the last financial year. As highlighted earlier, it will be prudent to look at the company on an annualized basis rather than comparing on a quarter-to-quarter basis on account of lumpiness in the revenues.

Revenues for the 9 months in this financial year stood at INR 698 crores as compared to INR 581 crores in the same period last year, which represents a growth of 20% on a Y-o-Y basis.

Revenues from the API business stood at INR 562.6 crores for 9 months this financial year as compared to INR 527.7 crores in the 9 months, financial year 2023.

Revenues from formulation business stood at INR 68.5 crores as compared to INR 23.5 crores in quarter 3, financial year '23, a stellar growth of 191%. Formulation revenue for the 9 months of this financial year stood at INR 135.4 crores, a growth of 156% on a Y-o-Y basis. The split between the API and formulation sales for the 9 months stood at 81% and 19% respectively in line with our guidance.

Domestic revenues for the quarter stood flat with exports growing by 1% Y-o-Y. Domestic revenues for the 9 months financial year '24 increased by 25% Y-o-Y and exports grew by 15% for the same period.

Speaking on EBITDA, reported EBITDA for quarter 3, in this financial year stood at INR 106 crores as compared to INR 112 crores in the same period last year. EBITDA for the 9 months of Concord Biotech Limited

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this financial year stood at INR 297 crores which represents a growth of 39% on a Y-o-Y basis from INR 214 crores in the 9 months last year.

Reported EBITDA margin for 9 months financial year '24 stood at 42.6% as compared to 36.9% for the same period last year which represents an increase of 570 bps. Margin for the quarter stood at 44% as compared to 46.4% in Q3 financial year '23. EBITDA, including share of profit

from the joint venture, stood at INR 303 crores with a margin of 43.4% in the 9 months financial year 2024.

On the profit after tax, our profit after tax for the quarter 3 financial year '24 stood at INR 77.6 crores as compared to INR 77.4 crores in the quarter 3 financial year 2023. Profit after tax for the 9 months financial year '24 stood at INR 213.1 crores as compared to INR 148 crores in the 9 months financial year '23 which represents a growth of 43% on a Y-o-Y basis.

PAT margins for the quarter 3 FY'24 stood at 32.2% as compared to 32.1% in quarter 3 financial year 2023. PAT margins for the 9 months financial year '24 stood at 30.5%, a growth of 490 bps on a Y-o-Y basis. As on 31st December 2023, we are a debt free company.

With this, I shall now leave the floor open for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Hussain from Ambit Asset Management. Please go ahead.

Hussain: Hi, thank you for taking my question. So, my question was on API revenue. If we look at our company revenue on a 9-month basis, we are growing at 20%. However, API revenue is up like around 6% to 7%. So, could you highlight what is the reason for this? And also, if you could help us understand that what is or how the growth trend is excluding the key molecules, the top seven molecules?

Ankur Vaid: Sure. So, we are seeing good growth overall in the API business. There were certain spill overs of certain key molecules into the subsequent months because of certain reasons. And these were relatively high-volume sale numbers for different reasons, because of which it got spilled over into the subsequent quarter. But if I look at it from an overall perspective, we see good growth within the API segment.

And talking about how the split is between the different therapeutic segments. On a 9-month basis, we have seen the dependency on the immunosuppressant portfolio going down by close to 3% than what it was last year. And much of that has been gained through our

increase in sales

in the oncology followed by the anti-infective segment and then the antifungal segment. So, we are seeing good growth in all the therapeutic segments. But as more molecules are coming in the newer therapeutic segments, which ex-immunosuppressant, there is more growth happening in that segment.

Hussain: Understood. Thank you. And my last question is basically on the formulation revenue. So would it be possible for you to give a breakup as to how much of it would be from India certainly? And also, can you help understand the formulation business in India? Because if my understanding

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is correct, I believe that largely all hospitals sales or tender sales, so if you would just provide an overview on the India formulation business. Thank you.

Ankur Vaid: So, we don't give a geographical segmentation for the formulations. But yes, India and emerging markets are the key markets for us. We have limited presence in the regulated markets. And the India business for us has grown very well.

Particularly, the transplant or the immunosuppressant division, because we've been there in that segment for now close to five, six years. And I would say that we are the only company right now, which is having the full integration right from API to formulation, supplying from USFDA approved facility with full BA/BE studies. So, our quality is of very high standards.

And that's something that the doctors and the medical fraternity and the patients appreciate because of which we've been growing so aggressively in the India market. Of course, being all manufacturers, we are catering not only to the corporate hospitals, but also to the tenders. The critical care division of ours is also doing very well.

And we are very optimistic that with own manufacturing coming in, over a medium-term perspective, we are going to see similar high level growth in the injectable once we become own manufacturing on some of the specialized injectable products.

Hussain: Okay. Thank you. That's it from me.

Moderator: Thank you. Next question is from the line of Alka from Baroda BNP Paribas. Please go ahead.

Alka: Just if you can share your views on your oncology Everolimus traction going forward, how do you see and how it has been on the 9 months and how do you see full year or the next one to two years?

Ankur Vaid: So, I will not be able to comment on a product on product sales, how we are seeing that. But of course, you know, we have approvals in place now, both from U.S. as well as Europe. We have been granted CEP also for Everolimus in Europe.

So, there is a lot of growth prospects. And with ANVISA, Everolimus was also one of the products that was covered. So, with us getting global regulatory approvals and with our filings in global markets, we are in discussion with global customers in terms of how we can collaborate and co-operate with them on this molecule. So, in terms of capacity, we have enough capacity

to cater to the global requirements and with the regulatory approvals in place and few coming in, you know, we are well poised to capture a large market share on this product as well, like the others.

Alka: Okay, fair enough. And also, if you can just, broadly, if you can share, how has the new customer revenue share been for the 9 months?

Ankur Vaid: So, we have added new customers, close to 54 customers have been added in the 9 months period. But, we do not categorize it between what's the sales coming from new customers vis-a-vis, from the existing customers.

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Alka: Okay, no problem. So, can we assume that it's a blend of both the new customer plus your existing ones?

Ankur Vaid: That's correct.

Alka: Okay, thank you and all the best. Thank you.

Moderator: Thank you. Next question is from the line of Vivek Agarwal from Citi Group. Please go ahead.

Vivek Agarwal: Hi,

thanks for the opportunity. So, in the last 9 months, we have grown, our top line has grown by around close to 20%, right? So, any updated guidance for, let's say, how to look at FY '24 and '25 numbers in terms of growth, though we continue to maintain around 25% kind of long term guidance, but it would be super helpful if we can share some near term trends as well? Thank you.

Ankur Vaid: So, we have mentioned that we will grow at a CAGR of 25% over the next five years. And during our previous calls as well, we discussed that, this is a journey from where our historical CAGR of 18% to our target of 25%.

Because during this five years, there are going to be different, milestones that will be achieved, whether it is, the utilization of Capacities or the commercialization of the injectable plant, us getting new products commercialized, getting more penetration, into the different geographies with our existing products.

So, this is a journey that is going to go from 18% to the 25%. And, all the growth levers are well in place to take us through that journey. Talking about how do we see this year? I would say that, we have a good order position, and we have, orders flowing in.

But I will not be able to give you a guidance in terms of what that number would be by the end of this year. But definitely, it will be higher than the historical growth and towards that journey of 25%.

Vivek Agarwal: Thanks, Ankur. And would you like to share how the pricing has behaved for the top four, five products, especially in the API segment? And what is your contribution of the top five products as a percentage of revenue has moved over the last 9 months? Thank you.

Ankur Vaid: So, pricing for us, on a customer, on a customer basis has been relatively stable. And, you know, we've not seen any significant price erosions. However, if one would see at a blended level, because of new customer acquisitions, there could be possibilities of, getting newer customers who have a much larger, opportunity to kind of give relatively better pricing than what historically is to others. So, basically, just more about price versus the volume. But to most of our existing customers, it's been relatively stable for us.

Vivek Agarwal: So, just to clarify that, the new customers that you're adding, that are coming at relatively higher price, so even for the same products?

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Ankur Vaid: No, no. So, again, it's a blend, because if they are newer customers, but having relatively smaller volumes, then the price points are different versus a new player who has a substantial big market share, they are able to command a better pricing, than the others.

Vivek Agarwal: Understood. Thank you. And your share of API to formulation mix. So, what is the current share in Q3? And how we should expect this to move, let's say, over the next couple of years?

Lalit Sethi: In Q3, it's 81% from the API and 19% is from the formulation. And going forward, we are expecting to have the 80-20 kind of a contribution from API and formulation.

Vivek Agarwal: Okay, thank you. Yes, I have a couple of more questions. I will join back to queue.

Moderator: Thank you. Next question is from the line of Vineeth Lambu from HSBC, please go ahead.

Vineeth Lambu: So, the API revenues had like some orders has been spilled over to subsequent months. You expect Q4 to be more than average in API segments.

Ankur Vaid: You see, I would put it in a way that if you are going to grow with a historical CAGR, and the split is going to remain 80-20, definitely, there is any variance on the API percentage growth,

that would get taken care of. So, as I said that, you know, we expect good sales in the API in this quarter as well.

Vineeth Lambu: Okay. And the next question is what would be the sustainable growth rate in the formulation business? Because it has grown like 150% over 9 months, right? Like, what would

you expect

it to be measured? Because the base is also increased. So, what growth rate you are expecting?

So, then maybe one or two quarter view, but maybe one year view or two years view?

Ankur Vaid: Yes. So, you know, formulation for us started in 2016. And we got our ANDAs approval around 2019-2020, based on which we started taking this dossier into the global markets.

And that's when COVID hit. So, '21-'22 and '22-'23 was more of a dry period or where we got less approvals. But now, since the approvals have started flowing in, you know, that's getting translated into business for us.

And that is the result of why we are seeing such high growth in the formulation business. But as we've mentioned earlier, that going forward, we have growth levers in place that, you know,

while the percentage growth within the formulation segment could be relatively slightly higher.

Because the base is smaller compared to the API, but the split between the two is going to remain more or less 80-20. Therefore, we expect to have 25% five-year CAGR, And that's you could break it down at the formulation level as well.

Vineeth Lambu: One last question. And as you said, the commercialization in the injectable would be starting in quarter one FY25, right?

Ankur Vaid: Yes.

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Vineeth Lambu: So, what would be the average revenue run rate for the FY25 or FY26? What is the expected revenue generation?

Ankur Vaid: So, FY25 is going to see the commercialization of the injectable plant. We're going to take validation batches and then go ahead, after stability, go with the filing in the emerging markets.

So, from an emerging market perspective, this is more of a medium-term business opportunity because it will take some time before we get access in the emerging markets.

However, our sales to the India market with integration would start by the middle of the next financial year once we have enough stability data with us to start supplying in the Indian market.

And again, from an India perspective, once we have two years of manufacturing certification, we would also be able to get access to the government tenders.

So, the injectable piece is more of a medium-term to long-term opportunity. And that's where, it kind of also answers the question that Vivek had asked earlier, that, you know, growing from 18% to 25% on a CAGR basis, this is going to be one of the pieces that would also play out its role when we are at a medium-term phase.

Vineeth Lambu: Last one. So, you think, like, from FY26, the injectable would be adding meaningfully, revenue-wise?

Ankur Vaid: Yes, it would start adding, it would start contributing to the overall number. It would start slowly because we would start getting access to the emerging markets. But as time will progress, then our sales would keep increasing over the years. But we should see some good sales coming in FY26.

Vineeth Lambu: And you expect the margins to be the overall, like, 40%, around 40% for the injectable, or if you can give me some range on that?

Ankur Vaid: It's, little too early to say, because, again, you know, things change in a span of one and a half, two years. But I would say that being an integrated player on the API, having our own manufacturing, definitely, we'll be able to get a much better share of the market.

And the margins in the injectable is relatively better compared to the oral solid dosage. So, I expect that compared to oral solid dosage margins, our margins should be relatively better off.

Vineeth Lambu: Okay, thank you. That's it from my side.

Moderator: Thank you. Next question is from the line of Harsh Bhatia from Bandhan Asset Management. Please go ahead.

Harsh Bhatia: Hi, Ankur. Just to pick up on the previous question from the injectable perspective, if you could help us understand. So, I understand the trajectory in terms of first targeting the domestic business, as we

Il as the emerging markets.

So, at least if you could help us understand the number of products that we would be sort of targeting for the next one or two year period, plus the therapies that we are looking at. I understand that the adjustable market might be a little bit difficult to give out.

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But if you could help us understand the range on a broader basis for the domestic market as well as the emerging market, like, overall size of which is \$500 million on a global scale basis? Or it could be close to, let's say, a billion dollars, anything from that front.

Ankur Vaid: So, you know, a little early for us to give the addressable market. But talking about the products, we would have close to around 8 to 10 products that we initially intend to go with. And most of those are backwardly integrated products.

So, where we are, the API manufacturers, again, at the API front, as I say that there are not many API manufacturers for these fermentation APIs, which are in the anti-infective, anti-fungal space. So, having this full integration approach definitely would play to our advantage. And with that, we should be in a position to get a larger market share over a period of time.

And all these products are going to be the dry powder, liquid injection, bulk lyophilisation products, which are typically going to be within the anti-infective, anti-fungal space. So far we have been only manufacturing non-sterile APIs, but we have also put in a provision here for manufacturing sterile bulk APIs.

So, this was something that we used to lose as an opportunity, because at times, sterile fermentation API products, we were not able to do, which maybe some other suppliers were able to do from other parts of the world. But now that we would have the provision of supplying sterile bulk APIs from this new facility as well, this would also open gateways, not only at the formulation level, but also at the sterile API supply levels.

So, very optimistic. And that is something that could happen relatively faster than getting approvals in the formulation level. So just wanted to share that that's also a good opportunity that we see in this space.

Harsh Bhatia: Look, from an FY '26 perspective, we should be building in the fields of both the injectable formulations as well as the sterile bulk APIs as well.

Ankur Vaid: Yes.

Harsh Bhatia: Okay. All right. Thank you.

Moderator: Thank you. Next question is from the line of Bhavesh Gandhi from Yes Securities. Please, go ahead.

Bhavesh Gandhi: Thanks for the opportunity. One question from my side. Recently, if I look at the approvals, then one Chinese company got an approval for Tacrolimus extended release capsules, whereas the product which we have is IP-linked and oral capsules. So, does this create any impact on our Tacrolimus franchisee, this kind of approval for the extended release version of the product?

That's it from my side.

Ankur Vaid: So, no, it does not. Because from an API perspective, it does not create any concerns to us. As a matter of fact, they could potentially become a customer to us because we are also registering our Tacrolimus in China as it is already there in other parts of the world. So maybe in the future,

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they could be a potential customer to us. But that being said, from a formulation perspective, there is no concern.

And from our own formulation, we have not there in that particular formulation product. Again, do not see any concern. So, not from API or formulation that I see any concern there.

Bhavesh Gandhi: Yes. Okay. That's it from my side. Thank you.

Moderator: Thank you. Next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, thank you for the opportunity. Sir, first question, how has been the ramp up in utilization of the Limba

si facility?

Lalit Sethi: Limbasi facility is now been operating at 36.78% for the 9 months period, as compared to 26.77% in the same period last year.

Alankar Garude: Thank you, sir. So, then if I look at the 7% year on year growth in the API segment in 9 months, would it be fair that our blended pricing is down in high single digits compared to 9 month FY23?

Ankur Vaid: No I'll give you an example that, there was a good amount of inventory that we are sitting in our WIP this year, that while capacity utilization happened, we were not able to sell to that customer because the customer wanted, material from the entire batch instead of smaller batches that we were giving and they needed regulatory approval, internal approvals from their quality teams.

So, that at the end of the year, we were sitting actually on a significant larger inventory, although the capacity utilization number shows that, but that did not get translated into sales for us. So,

there have been some examples because of this, I spoke about the Red Sea disruption. So, when we sell our finished formulations to certain markets, they are on CIF basis.

So, while the product were shipped from our facility, it did not get translated into sales for us because instead of 30 day period, now it is taking closer to 45- 50 days time period. So, while the utilization numbers show a very different picture, somehow it has not got translated into the sales number. But from a pricing perspective, as I said that the new customers, the pricings for some of the customers have been relatively on the lower side because of the volumes that they are looking at.

And in certain cases, the prices have been more or less in line with what our historic prices has been. So, again, it is very, case to case basis if I put it.

Alankar Garude: Understood, Ankur. So, I mean, basically, then the assumption is while we have seen some growth in volumes, despite all the issues you pointed out, possibly on a blended basis, pricing could be down slightly on a year-on-year basis.

Ankur Vaid: That's correct.

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Alankar Garude: Okay, fine.

Ankur Vaid: In some of the molecules, we could see some bit of pricing, which could be slightly lower, not as significant, but it could be slightly lower compared to what historical it was. But since these new customers do not account for a very significant portion of the total volume, that number is going to be very less. But, if we would talk maybe in a percentage term, it is going to be marginally lower.

But yes, I would have to come back to you, but it could be slightly lower on a blended number.

Alankar Garude: Fair enough. The second question, Ankur, is now with Limbasi coming in, it has been more than two years now. Are you starting to see some kind of traction in your interaction with clients, which will enable you to get a higher market share, particularly for your key products, for example, Tacrolimus or Cyclosporine.

And I am not talking specifically about 9-month FY24, but in general, have those discussions started? Where are we in that process, if you could just highlight that?

Ankur Vaid: So I think in these one and a half, two years, Alankar, we have moved quite aggressively in terms of getting this new facility into our existing Customers DMF So with the getting approvals from the US FDA, Japanese PMDA, and other regulatory authorities, customers have started accepting this site into their ANDAs or into their dossiers. And that is the reason why we are seeing that kind of a ramp up in the capacity utilization growing from 26% to 36%.

Now, of course, we are also working on a lot of new molecules as well. So, the kind of discussions that we are having with customers is not only with respect to our existing APIs, but also with respect to the new APIs that we are developing. So, those are the kind of discussions that are now happening, not o

nly with the existing, but also on the new molecules that we are looking at.

Alankar Garude: Sure, thanks. And maybe one quick one. Similar to Limbasi, can you also share the utilization levels for Dholka and Valthera?

Lalit Sethi: From Dholka, it is from 75% to 79%. And Valthera, it's around from 18% to 17.71%.

Alankar Garude: Okay, thank you, sir. All the best.

Moderator: Thank you. Next question is from the line of Vatsal Sheth from Upswing Investments. Please go ahead.

Vatsal Sheth: Hi, sir. Thank you for getting me on the board. So, my first question is that, how do you see the issue of Red Sea currently? So, do you foresee any kind of major challenges going ahead?

Because Concord Biotech's revenues, a lot of revenues dependent on exports. So, how do you address the situation of Red Sea going forward?

And number two, we have seen a quarter and quarter dip on the API segments, no doubt because of the spill overs. So, how do you see that spill overs getting back into the business?

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Ankur Vaid: So, on the Red Sea, I would say that majority of our exports happen by air only. It is only with respect to our formulation sales that, we end up using the sea as a route. So, and that's where I said that, because of the nature of our terms with the customer, FOB or CIF, we are seeing some impact in the revenue recognition, because it takes slightly longer time than the usual to kind of get it realized in our sales.

So, that's one. Maybe from an import perspective, what we are doing is we are just trying to

closely monitor the situation and also see that how we can do relatively better planning on maybe some of the few imports that we do. Of course, we are not dependent much on the imports. Most of our raw material procurement happens from within India, but if there are a few items that are imported, we have to closely monitor the situation and do a better planning so that it does not impact us. So, those are the only two areas where we see some impact happening. And this is basically kind of delaying the recognition for us, particularly with respect to the formulations. It's how we look at things.

Vatsal Sheth: Okay. Thank you. My question is answered. Thank you.

Moderator: Thank you. Next question is from the line of Ashish from JM Financial. Please, go ahead.

Ashish: Yes, thanks. So, Ankur, when you say that over the next five years, we see a revenue figure of around 25%, does this number also include the CDMO opportunity?

Ankur Vaid: No.

Ashish: Okay. Fair enough. And secondly, on this injectable, so we have spent almost around INR 200 crores on building this facility. So, what kind of asset turns are you guys envisaging, and over what timeframe you feel this facility can achieve a 70%-80% utilization?

Lalit Sethi: Normally, in injectable kind of a business, the asset turn is to the extent of around 2.5 to 3 times. And it takes around three to four years' time to, take the capacity to that level. Just to add, these two to three years' time frame is after you getting the necessary regulatory approvals in place. So, once we have the approval, one can take maybe, that kind of a time frame to start seeing that ramp up.

Ashish: So, when you say emerging markets, what all markets does that include?

Ankur Vaid : So, this primarily we would be targeting is Southeast Asia, Middle East, and Latin.

Ashish: Okay. And India, you said mid FY25, but emerging markets could be earlier? Is that what you said?

Ankur Vaid : Emerging markets would be later, but mid next year, we should start seeing sales in the India market.

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Ashish: Okay. And lastly, of all these facilities like Valthera, Limbasi, obviously, there's also, what is the operational cost on an annualized basis, if you could put that number, just to figure out how much it is eating off the total cost?

Ankur Va

id : So, we do not provide segmental or divisional profitability, but consolidated numbers are there, which we have shared.

Ashish: Okay. Fair. And whatever expansions you guys are doing, and possibly in the future, you guys might also venture into adjacencies. But in terms of seasonality, the seasonality will be in favour of second half, right? So, that business, in terms of business construct, these economics will continue to remain even over the next two to three years, right?

Ankur Vaid : Yes. I mean, as I said, that there is lumpiness. And as you would see that our quarter two saw a very significant jump in the sales, which, again, is very different from what we've seen historically. So, this, again, as I said, that there would continue to be lumpiness. But historically, what we have seen is that our second half has always been higher compared to what our first half has been.

Ashish: Pretty good. So, lastly, just one more question on these Limbasi facilities. Where are we in terms of customer inquiries? How's that thing moving on?

Ankur Vaid : So, we know who our target customers are. We are already engaging with them. And most of these customers are basically working towards adding the site into their dossier. And wherever we are getting new customers, we are trying to request them to start procuring quantities from the new site only.

But I think since we have significant global market share, we are working with all the major customers. So, the process is mostly towards getting access to their dossier from this new site is where much of the work is happening.

Ashish: Perfect. And just one more question, sorry. On this 25% revenue guidance over the next five years, and since the Limbasi- Valthera are in the initial stages now, would it be fair to assume that the guidance of 25% would be back-ended in nature? I'm just trying to figure out, would it be that, 25% revenues would be coming like from FY26 or FY27? Or you feel it's a evenly spread out kind of revenue growth that you are anticipating?

Ankur Vaid : No, see, definitely not evenly spread out. But, and surely not all back-ended. But, it is a journey that one would have to go from. And at different, different time points, there are different, different growth levers , which would start playing out. So when we talk about, the injectable, we speak about from FY25, FY26 onwards, we have the Limbasi facility, which is already playing out because last year was 26%. Now it is 36%.

And with the introduction of new APIs at Limbasi, that ramp up would also start contributing

not only to top line, but also to the bottom line. So, I would say, it's a journey difficult to quantify for us in terms of how that number is going to be.

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Ashish : Okay. And versus 42% EBITDA margins in the first 9 months, would you say that, 40% is the minimum that you guys can do at any point in time? Is that a fair assumption?

Ankur Vaid: So, again, we won't be able to comment on what is the minimum that we could do or the maximum. But I would say that, since second half is always the heavier side and we would see increased capacity utilizations, definitely our performance should be better than what has been for the 9 months on the profitability side.

Ashish : Perfect. This helps. Thank you. And all the best, Ankur.

Management: Thank you.

Moderator: Thank you. Next question is from the line of Harshal Patil from Mirae Asset. Please go ahead.

Harshal Patil: Thank you, sir, for the opportunity to ask the questions. I just need one clarification. This is for the API segment. For Q3, we've seen a decline. So, sir, just to understand it correctly, this decline could be attributable to a delayed offtake by one of the customers. Is it right?

Ankur Vaid : No, it's a blend of many things. As I said that, we spoke about the lumpiness. So, the consumption pattern of the customers i

s one thing that has played out because, at times, depending upon their production planning, they may require the product in a particular month versus in a subsequent month. those patterns could be the reason. And this is, again, we are considering that as an option or as a possibility. And second is, of course, that we spoke about that we did see some spill over, some of the examples that we spoke earlier.

And also, the Red Sea disruption that we spoke about. So, those are some of the reasons that I feel are the probable reasons why, it has been this way.

Harshal Patil : Right. So, just a continuation to that, when we say the Red Sea disruption, that was more so with respect to the exports, right? And on the formulations, I guess, if I'm not wrong, most of the formulation exports are through the sea route that we do. And APIs are mostly done through the air. Is that right or am I wrong on that?

Ankur Vaid : That's correct. And some bit of import, as I mentioned earlier, for some things that we do procure as imports, they are mostly by sea. So, some delays are accountable to that as well.

Harshal Patil: So, in that case, considering that there was a Red Sea disruption, we could have seen some better formulation sales as well as compared to what's reported in Q3.

Ankur Vaid : Sorry, I didn't get you.

Harshal Patil: The Q3 formulation segment sales, that is showing a very strong growth on a Y-o-Y basis, we would have had some disruptions from the Red Sea issues in this quarter for formulation sales or no?

Ankur Vaid : So, it's not a disruption, it's delayed recognition of sales. So, something that could have happened, say by 31st December, probably it reached the destination, say, in third week of January, because of which we were able to recognize the sales in January.

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Harshal Patil: Right. So, in that case, that's what I'm saying, that there would be some spill over effect of the formulation sales in Q4 as well. So, traction actually would have been better?

Ankur Vaid : Yes.

Harshal Patil: Yes, that's correct. So, just lastly, when we say that we are kind of starting with the injectable mid-next year and gradually increasing it in '26-'27. So, just from an understanding perspective, this would definitely interrupt the contribution or probably the growth of the formulation segment overall. So, just wanted to understand that, what can be the rub-off effect on margins with the share or probably with the growth of formulations getting stronger? Any qualitative comments around that?

Ankur Vaid : Yes. So, as I said that, we have growth levers for both the API and the formulation. So, while the base will continue to grow for both the two divisions, the split is something that we are looking at be somewhere between the 80-20, plus, minus 2%-3% here and there.

So, if you would have seen last year, we were again somewhere around the 80-20 mark. And even now, on a 9-month basis with 20% of growth happening, we are again at an 80-20. So, at least this is playing out to what we had considered and looked at, that while base will grow, the split would remain same.

And this is something that we are seeing as we speak now. And going forward also is something that we anticipate, given that there are growth levers in both the divisions.

Harshal Patil: Alright, sir. This answers my question. Thank you. Thank you for the opportunity and all the best, sir.

Ankur Vaid : Thank you.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, we will take that as our last question. And now, in the conference, over to Mr. Ankur vaid for closing comments.

Ankur Vaid: So, thank you, everyone, for joining on our quarter 3 FY '24 earnings call. And we hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our investors relations advisors. Thank you and have

a good evening.

Moderator: Thank you very much. On behalf of Concord Biotech Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jun 2024

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra-Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir/Ma'am,

Subject: Transcripts of Q4 & FY24 Earnings call held on May 28, 2024

In continuation of our letter dated May 28, 2024 regarding Audio recording of the Audited (Standalone and Consolidated) Financial Results of the company for the Fourth Quarter and Year ended March 31, 2024, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Prakash Sajjani

Company Secretary and Compliance Officer

M. No. F6242

Encl: as above

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"Concord Biotech Limited

Q4 & FY '24 Earnings Conference Call"

May 28, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 28th May 2024 will prevail.

MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING
DIRECTOR – CONCORD BIOTECH LIMITED
MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH

LIMITED
MR. LALIT SETHI – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED
MR. PRAKASH SAJNANI – COMPLIANCE OFFICER AND
ASSISTANT VICE PRESIDENT , ACCOUNTS – CONCORD
BIOTECH LIMITED
SGA, INVESTOR RELATION ADVISORS – CONCORD
BIOTECH LIMITED

MODERATOR : MR. SAGAR SHROFF – SGA

Concord Biotech Limited
May 28, 2024

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Moderator: Ladies and gentlemen, welcome to the Q4 and FY '24 Earnings Conference Call of Concord Biotech Limited. Kindly note that all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. This conference call may contain forward looking statements about the company which are based on belief, opinion and expectation of the company as on the date of this call.

These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Now I hand the conference over to Mr. Sagar Shroff from Strategic Growth Advisors. Thank you and over to you sir.

Sagar Shroff: Thank you Yusuf. Good evening everyone and thank you for joining us on the Q4 and FY '24 Earnings Conference Call for Concord Biotech Limited. Today we are joined by Mr. Sudhir Vaid, Chairman and Managing Director, Mr. Ankur Vaid, Joint Managing Director and CEO, Mr. Lalit Sethi, Chief Financial Officer and Mr. Prakash Sajnani, Compliance Officer and AVP Accounts. Company has uploaded its financial results and investor presentations on company's website and stock exchanges. I hope everybody had an opportunity to go through the same. We will begin the call with opening commentary by the management followed by a question and answer session.

I would now like to invite Mr. Sudhir Vaid, Chairman and Managing Director for Concord Biotech Limited to give his opening remarks. Thank you and over to you sir.

Sudhir Vaid: Good evening everyone. Thank you for joining us on our Q4 and FY '24 Earnings Conference Call. This fiscal year, FY '24, has been an eventful year for all of us at Concord. Notably, we achieved a significant milestone of getting listed on Stock Exchanges. This achievement is a testament to our sustained commitment to growth and excellence. In line with the growth trajectory we have previously outlined, we are delighted to report a growth of 19% in our revenue for FY '24.

This remarkable growth is not only a reflection of our strategic planning and execution but also aligns perfectly with our long-term guidance. Our dedicated team, with focus on our objectives, has collectively contributed to this success. We look forward to continuing this momentum as we advance into the next fiscal year.

Now let me take you through the key developments that took place during the year. The USFDA authorities conducted an inspection of our Limbasi facility in June '23. I am pleased to announce that the inspection concluded successfully with zero 483 observations.

We now have an EIR for this inspection. Consequently, our customers have begun the qualification process for the Limbasi facility, allowing us to serve them from this unit as well. Additionally, the Bavarian Regulatory Authority in Germany has successfully completed EU-GMP inspection of our facility.

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These inspections ensure that our facilities meet the stringent standards required for global operations. We have also successfully completed inspections by ANVISA Brazil and the Food and Drug Authority of Saudi Arabia. Furthermore, our facilities have been inspected by authorities in emerging markets such as Kenya and Tanzania, as well as domestically by Gujarat FDCA and CDSCO.

These inspections validate the high standards of our manufacturing process and open new opportunities in the emerging markets. With these inspections and approvals in place, we are poised to expand our footprint worldwide, enhancing our geographical presence, customer

diversification and gain more market share in existing markets through optimization of capacity utilization

ion at our API and formulation facilities. Alongside, we have been continuously enhancing our R&D capabilities to expand our product portfolio.

We are pleased to announce the addition of two new products in the fermentation API space, bringing our total products count to 30. We also have a robust pipeline of over 10 products to be introduced in the coming years across various therapeutic areas, further enriching our portfolio to meet customer needs comprehensively. In our formulation segment, we have added 21 new products, taking total count to 98.

We have also expanded our reach by more than 1,000 doctors in FY '24, especially in the field of Nephrology, Oncology and Rheumatology across the country to penetrate deeper in the formulation space. Our wide product portfolio, diversified customer base and capabilities and capacities to scale up our operations have provided us with a significant competitive advantage in the market. These strengths have enabled us to successfully expand our footprint into both regulated and emerging markets.

In closing, I would like to thank our employees for their unwavering dedication and resilience, our customers for their loyalty and our shareholders for their continued support. We are very confident about our future plans and look forward to share our progress with you in the quarters to come. Thank you.

With this, I hand over the call to Mr. Ankur Vaid, Joint Managing Director and CEO of Concord Biotech Limited. Thank you.

Ankur Vaid: Thank you, sir. We are delighted to report that our revenue for Q4 FY '24 stood at INR 319 crores, reflecting a growth of 17%. Our revenue for the entire year grew by 19%, aligning with our long-term guidance. Additionally, our EBITDA and PAT grew at a faster pace by 26% and 28% respectively on a year-on-year basis. Our EBITDA margins for FY '24 stood at 42.8% as compared to 40.5%, an increase of 230 bps. Our PAT margins for FY '24 stood at 30.3% as compared to 28.1%, an increase of 220 bps.

As previously mentioned, I recommend evaluating our financial results on an annual basis rather than quarterly. Revenue growth can be impacted on account of customers' procurement patterns, leading to lumpiness in sales in a particular quarter, causing fluctuations in sales.

Additionally, changes in the sales mix within the API and formulation segments, as well as certain expenses relating to marketing, R&D and overheads, may spike in a particular quarter
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impacting the margins. But this is expected to stabilize on a full-year basis. Therefore, for a fair assessment of our performance, one should focus on an annual trend rather than quarterly results. As mentioned, in FY'24, we secured numerous regulatory and product approvals in both matured and emerging markets. Furthermore, we have filed DMF's and registered our products across various global markets. This will give us more headroom to expand our customer base and geographical presence.

Now, let me speak in brief about our operational and financial performance for Q4 FY'24. Our API revenue for Q4 FY'24 was at INR 265.4 crores, reflecting a 14% year-on-year growth. For the full fiscal year FY'24, API revenues stood at INR 828 crores, marking a 9% year-on-year growth.

The growth was partially impacted on account of a couple of customers relocating their manufacturing bases, necessitating compliances with regulatory authorities and approval processes to procure materials from Concord in the new location, which has been completed in March of '24. Hence, we anticipate revenue normalization in FY'25.

While API revenues can show some quarterly volatility due to customer procurement patterns, we remain confident in our long-term growth trajectory. With the addition of new products, a strong pipeline of products, regulatory approvals and expanding our customer base globally, we remain optimistic about our future performance.

rmance.

In the API segment, we have been enhancing our product portfolio and expanding our capabilities in oncology and antibiotics over the past few years. This diversification has reduced our reliance on immunosuppressant products compared to the last year. The share of the oncology and antibiotic segment has been increasing as they are growing at a faster pace.

In FY'24, we acquired 95 new customers and introduced new products to existing customers. As a result, the contribution from our top 10 customers decreased from 44.3% in FY'23 to 42% in FY'24, further reducing our customer concentration risk. As these new customers mature, we will have opportunities to cross-sell more products, further driving our revenue growth.

Speaking on our formulation segment, our formulations revenue grew by 37% in Q4FY'24 and

106% for the full year FY'24 on a year-on-year basis. We have focused on strengthening our formulation business by enhancing our capabilities and expanding our product portfolio. Our domestic business, particularly in critical care, nephrology and rheumatology, has been on a strong growth trajectory. We have introduced new products and increased our presence in large and mid-sized corporate hospitals as well as government institutions. Over time, we have built a capable sales force and deepened our connections with the medical community. In FY'24 alone, we established touchpoints with over 1,000 doctors in critical care, nephrology and rheumatology, among others. We continue to expand our reach among doctors and institutions moving forward. Commercial production at our new injectable plant is expected to commence in this fiscal year. Once operational, this facility will allow us to provide a comprehensive range of formulation products, including oral solid dosage and injectables. This

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strategic initiative is expected to significantly bolster our market presence across diverse geographies, positioning us as the preferred vendor for our customers. The split between our API and formulation business was 81% and 19%, respectively, for FY'24, aligning with our long-term guidance of 80%-20%. We are optimistic about the growth trajectory of both segments and remain committed to achieving our long-term CAGR guidance of revenue growth. We also anticipate that our EBITDA and PAT will grow at a faster rate than revenue, driven by operational efficiencies and increased utilization across our units. Lastly, as part of our long-term strategy, we have been actively exploring opportunities in the CDMO space to further drive our growth. We are in discussion with various innovators and major generic players, submitting RFQs and positioning Concord as a reliable partner. With our extensive capabilities, capacities and large product portfolio, we are well positioned to capitalize on this opportunity. We believe that securing the CDMO projects will enable us to achieve substantial volumes, accelerating revenue growth and expanding margins through operating leverage and efficiencies. Looking ahead, we are confident in our growth strategies, which focus on deeper market penetration, acquiring new customers and introducing new products in niche categories. With large portfolio of fermentation-based APIs, extensive capacities and capabilities for scaling, new domain expertise and a broad customer base, we are well positioned to sustain and accelerate our growth. With this, I hand over the call to Lalit Sethi, our Chief Financial Officer for financial and operational performance. Thank you. Lalit Sethi: Thank you, sir and thank you all for joining us today. It's my pleasure to provide an overview of our financial performance for Q4 and FY 2024. In this financial year, we have achieved robust financial results, demonstrating our ability to execute our strategies effectively and deliver value to our stakeholders. Now let me take you throu

gh the financial and operational performance for this quarter and year ended March 2024. On the revenue front, our revenue from operations in this quarter stood at INR 319 crores as compared to INR 272 crores in the same period last year, representing growth of 17% in this quarter. Revenue from operations for the financial year 2024 crossed INR 1,000 crores and stood at INR1,107 crores against INR 853 crores in financial year 2023, representing growth of 19% as compared to the last year. Our revenue from API business grew by 14% in this quarter and 9% for the full financial year 2024. It stood at INR 265 crores for this quarter and INR 828 crores for the financial year 2024 against INR 761 crores in the last year. Revenue from the formulation business in this quarter stood at INR 53 crores as compared to INR 39 crores in the same period last year, representing

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growth of 37% and in the financial year 2024, it stood at INR 189 crores, a growth of 106% on a Y-o-Y basis. Revenue from the domestic business grew by 21% in this quarter and 24% for the full fiscal or financial year 2024. Our revenue from the international business grew by 14% in this quarter and 15% for the full fiscal year 2024. Speaking on EBITDA, our EBITDA for this quarter stood at INR 132 crores as compared to INR 127 crores in the same period last year. As mentioned earlier, it would be more judicious to look at all from our results on an annualized basis.

EBITDA for the financial year 2024 stood at INR 435 crores, representing growth of 26% on a Y-o-Y basis. EBITDA margins for this quarter stood at 41.4% and for the financial year 2024, it stood at 42.8%, representing an increase of 230 bps. On profit after tax, our profit after tax for this quarter stood at INR 95 crores as compared to INR 91 crores in the same period last year, representing a growth of 4% over the last quarter.

Profit after tax for the financial year 2024 stood at INR 308 crores as compared to INR 240 crores in the last year, representing growth of 28% over the last financial year. PAT margins for this quarter stood at 29.8% and for the financial year 2024, it stood at 30.3%, representing growth of 220 bps over the last financial year.

With this, I shall now leave the floor open for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Yes. Hi, thank you for the opportunity. Ankur, you mentioned a few reasons impacting API growth in the fourth quarter. If you look at the 9% year-on-year API growth for the full year as well, it does not appear to be very different than the historical market growth trends. Now, this is despite addition of the Limbasi facility as well as a couple of launches which Sudhir sir mentioned. So the question is, apart from the reasons mentioned specific to the fourth quarter, were there any other reasons which you would like to call out behind a slightly muted API growth in FY'24?

Ankur Vaid: No, so I think the new Limbasi facility, we have been adding customers and they have been adding the new Limbasi facility into their dozier. So I think that process is going on. And as you would see that we have quite a diverse customer base. So definitely adding the new site does take time across several products. So this is going on.

We do not see any challenges around that. But I think the only reason that I see has been what I pointed out that a couple of our customers had shifted their base from one geography to the other. And because of which we saw this impact. And also, they were waiting for a regulatory inspection which happened in March only.

So we were able to supply them some quantity but it was very less compared to what they were looking for the quarter. But again, as I said, since the regul

atory inspection went very well, that

is behind us. So in this year, we expect that to normalize. So I do not see any challenges. As a matter of fact, with the addition of the new products coming in.

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We see and expect good ramp up in the API sale. And again, we have a very strong pipeline of products. And as I mentioned that we expect a couple of molecules to get commercialized on a year-on-year basis. So definitely with a larger portfolio base and with larger penetration happening, we expect the revenue growth on the API front to be much better than the last year.

Alankar Garude: Fair enough, Ankur. The second question is on gross margins. We have seen a significant dip both year-on-year as well as Q-o-Q. Now, there are quite a few variables here but Yes, I mean, both on API formulation mix, then the domestic exports mix, maybe something on the product mix which you want to call out. So if you can break your response across some of these parameters that would be really helpful.

Ankur Vaid: So as I mentioned that we should be looked from an annual basis rather than quarterly. And our full year margins have increased actually by 230 bps and it stands at 42.8%. However, speaking specifically for the quarter the revenue, as I mentioned, was impacted on account of the lumpiness in the API sales and also on the customer shifting their basis. But we believe that the revenue has now stabilized. Also, margins got impacted on account of the sales mix between the API and the formulation segment.

And on account of certain overhead expenses bunching up in a particular quarter. And hence it will be prudent for us to be looked from an annual basis rather than quarter because if you see even the formulation mix for the year stood at close to 80-20 only and all the other financial metrics were in line with the guidance. So a specific quarter could have different reasons as I mentioned and hence we should look more from an annualized number only.

Alankar Garude: Fair enough but sorry to harp on this Ankur. I mean if you look at say the third quarter, the formulations mix was around 28% which came down to 17% in this quarter. So I understand the quarterly fluctuation, but I mean if you look at the gross margins in the third quarter they are significantly higher than the fourth quarter. So just trying to understand I mean are there quarters wherein formulation gross margins can be reasonably high compared to the general impression we have wherein API is significantly higher than formulations when it comes to gross margins?

Ankur Vaid: So I think in the formulation also different territories and markets would have slightly different margin profiling because again you are applying for tender markets and they would have a differential pricing compared between region to region. So that can have an impact but since the

contribution of the formulation is only close to 20% I do not see that being a major impact. I think sometimes due to the lumpiness you are also holding inventory. So the inventory is there which at times could impact the gross margins, the closing stock which is there. So very difficult to to put it on one or two points. I think it is a cumulative effect but that being said we do not see any challenges either on the pricing front or any raw material or anything which has actually increased substantially in terms of the pricing. As a matter of fact we have been able to bring down, in certain cases, the cost of the raw materials which we were currently procuring. So I do not see any specific challenges neither on the procurement nor on the sales side. This is just probably a quarterly phenomenon that one is looking at. And when you will look at the weightage cost I think it kind of levels out.

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Alankar Garude: Sure. Thank you Ankur and maybe one final question with your permission. If you look at slide 18 of your presentation you have given data on new customer additions and product additions in existing customers over the last 5 years. So just trying to understand these numbers better I mean can you bifurcate the numbers across new customer additions and product additions in existing customers?

Ankur Vaid: Unfortunately Alankar we do not provide that data.

Alankar Garude: But then Ankur I mean what does that 95 in FY24 indicate I mean one is a product number and the other is a number of customers so just not able to reconcile directly?

Ankur Vaid: If you see, Alankar, some of these customers are just starting the relationship if you see because as you would see that we have added new products also and even in our existing products where the validation activities have got completed, certain markets start evaluating you as a reliable partner only once you have completed the validation and the DMF activities. So these customers have been added. They may not have a meaningful quantum at this point of time but definitely the potential of these 95 customers is quite large. And some of these customers are large customers and they would have their own process to kind of qualify you to kind of make you as a supplier. So those 95 customers are with respect to your existing products as well as the new products that we have launched over the years.

Alankar Garude: Understood. So basically you are saying the 47 customers in FY20 has increased to 95 as of FY24?

Ankur Vaid: So that's additional 95 customers. It's not built over the 45.

Alankar Garude: Okay. Fair enough. That's all from my side. Thank you so much.

Moderator: Thank you. Next question is from the line of Vivek Agarwal from Citi Group. Please go ahead.

Vivek Agarwal: Hi. Thanks for taking the question. Ankur just one question on Limbasi facility as you have indicated that you are adding new customers etc. So what is the current capacity utilization of this facility and what is the current revenue contribution? So is it really contributing in terms of revenue new numbers, etc?

Lalit Sethi: Limbasi facility is working at around 35.12% in this financial year. It was 31.81% in the last financial year.

Vivek Agarwal: But how much it is contributing in terms of revenue. So if the Limbasi facility utilization has moved up. So then it should have driven especially the APIs somewhat right but that is also not reflecting?

Ankur Vaid: So Vivek, we don't give facility level revenues split. However, again we are selling a product API's from Limbasi to global markets because now that we have USFDA approval and Japanese AFM, we are having access to most of the global markets. But in addition to that, it is the Limbasi facility is also supporting to our Dholka facility also in terms of supplying some of the starting

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materials from Limbasi to Dholka. So that is where the capacity utilization currently stands. But as I mentioned that we do not provide revenue details at facility level.

Vivek Agarwal: No problem at all. Thank you. That was the only question for Vivek.

Moderator: Thank you. Next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Thank you for the opportunity and congratulations for a good year. Just a couple of questions on the customer side that you mentioned. A couple of customers have shifted manufacturing based which impacted the numbers. If you can quantify what kind of revenue we lost because of that and is it pertaining to API division or it was the – I presume it is for the API division only, right?

Ankur Vaid: Yes, that's correct. It is only for the API division.

Chintan Sheth: And what is the impact if you can quantify what kind of revenue loss we kind of, witnessed

because of that?

Ankur Vaid: So again very difficult to quantify here because until and unless, we did not get the approval, the

purchase orders were not getting released. So I would not be able to have a number on this. But, as I mentioned that, now that we have the approvals in place, we have started selling the product to that customer beginning from April. And hence, we do not see any impact of this going forward. This was basically, awaiting the regulatory approval only which has been done.

And on the other side, for the other customer, they had taken the quantities for the validation batches and they were awaiting the approval from the authorities to kind of qualify their site, the new facility and the vendor as well. So that activity has also got completed. And because of that, we have again started selling the product to that customer in India for that specific product.

Chintan Sheth: Okay. So if I can ask, alternatively what kind of revenue these two customers put together had generated, say, or share of revenue in 4Q of 23? That can give us -- if it was like-to-like or it remained the same, what could have the revenue contribution, revenue loss per se from that particular customer site?

Ankur Vaid: So this was close to around -- probably around 6% to 7% or so.

Chintan Sheth: Right. Okay. Got it. Thanks. And second was on -- in terms of the new molecules which we launched not only this year but say for last three years, the number of molecules which we have launched, what kind of revenue contribution those new molecules have been, what proportion of revenue came from those new molecules?

Ankur Vaid: So again we are not providing details on product level revenue. But what I can mention is that we are seeing good growth in the oncology and the anti-infective segment. And this is, again, mostly towards the new product launches that have happened, because of which the weightage on the immunosuppressants has come down compared to the last year.

So as you would see that Concord was already manufacturing the entire portfolio of immunosuppressants. And much of the new launches have happened in the anti-infectives,

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antifungal and oncology. So already commercial products, as well as these new launches, we are seeing good traction in both of these.

And they have been growing at a much faster pace because of which, the weightage on immunosuppressants is coming down. But it would be difficult for me to kind of give you product level-wise revenue on this.

Chintan Sheth: But if you can just give that, say, three years back, we were largely immunosuppressants, right? Now, what is the share? If you can, we can, then compare that over this timeframe, how that dependence on the immunosuppressants has reduced for us.

Ankur Vaid: So compared to last year, the immunosuppressants have come down by around 4%, the weightage on immunosuppressants.

Chintan Sheth: Okay. Got it. And lastly, on the injectable facility, when are we expecting that to commission? We were earlier expecting in Q1, right? In April 25?

Ankur Vaid: Yes. So it was in the later half of Q1 but with the validation activities ongoing and awaiting the approvals from the government from the regulators, Indian regulators, we're expecting it to be somewhere in the early half of Q3.

Chintan Sheth: Okay. So revenue contribution, we should expect say, from the second half of this year, right?

Ankur Vaid: That's correct.

Chintan Sheth: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Vinayak Mohta from Axia India. Please go ahead.

Vinayak Mohta Yes. Hi. Good evening. Congrats on a great set of numbers. So the first question I had, I just wanted to understand our capability from a complexity point of view when it comes to the formulation side of the business as well as the injectable side. What difference are we bringing, to the table for the customers relative to a lot of players who are there in the market? And how confident are you on the sustenance of the formulation

revenue that we have done in

the last year or so and the continued growth going forward from a qualitative point of view to start with for both the formulation and injectables?

Ankur Vaid: Sure. So I think, talking about the differentiation that we bring, in the oral solid as well as in the injectables, I would say that we are the only company in India which are manufacturing these fermentation APIs and then forward integrating them to the finished formulations. So all these niche APIs, be it in the nephrology or in the critical care, Concord is forward integrating to the finished product.

And we have already seen great success of that in the domestic formulation business wherein the doctor, fraternity, the patients have put in a lot of confidence in the kind of high-quality

in the US. We are bringing those same products to global markets including India. So again, setting up very high standards along with having full, control on the fermentation API as well. So that's the differentiation that we bring even in the injectable space. And, talking about the sustenance and the continued growth, we expect that going forward we are seeing more and more approvals from the regulators in the emerging markets because, the last few years we did see some impact on us because of COVID wherein the regulators delayed the approval process. But now that, that has really picked up quite well, we are expecting faster approval in some of the emerging markets which would actually further help us grow much faster in the formulation business compared to the previous years. And, of course, we have been adding more products in the formulation space as well, be it the injectables or the oral solid. So that would also kind of help us grow our formulation business with our existing customers as well.

Vinayak Mohta: Understood. Just a clarification, these are products which are already available in the market and you are bringing it through a fermentation route as in domestic availability or these are more of products which are imported by the consumers and we are replacing that import part of these products. How would that be?

Ankur Vaid: Correct. So you are right. So most of these APIs are currently being imported and, of course, these are, again, very high-value niche APIs. So when Concord would be supplying these products through their own internal manufactured APIs, definitely, we would be having a lot of advantages to our customers to pass on and that's something that would definitely be helping us to kind of grow our revenues in the injectable space as well.

Vinayak Mohta: Understood. A couple of quarters back, you did give a guidance on the revenue growth, going forward for the next three to five years. So just wanted to understand where are we with that but like you had mentioned that you should continue on a growth trajectory. So are we confident on the 25% CAGR for the next three to five years to come?

Ankur Vaid: Yes. As I mentioned that, we have built in the capacity. So the capacities are in place. We have a strong product portfolio which is commercial and we have a strong R&D pipeline also which will be getting commercial over the next three to five years. And, so all these growth levers are there in place and, we stand with our revenue guidance of 25% CAGR over the next three to five years. But again, one should see that this is going to be more of a gradual trajectory towards moving towards the 25% CAGR growth.

As I mentioned that, there are different levers which will play out at different intervals and hence one should look at from a gradual growth rate to achieve the 25% CAGR over the next three to five years.

Vinayak Mohta: Understood. Two last questions. So the first one was on the margin front. How do you see these margins evolve

living or sustaining as we go towards that 25% CAGR mark? Should we expect to see some operating leverage between them? What would be the broad range that you would want, that you could give a guidance on?

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And secondly, with the existing capacities that you have on the Limbasi front and the injectables coming through, how do you see the capex for the next three to five years? And what kind of peak revenue potential do these facilities carry? If you could have some guidance on that part?

Ankur Vaid: So like you said that we have much of the capex behind us. Now we would have some bit of maintenance capex only which will be to the tune of INR25 crores or so. As, now as mentioned earlier also that this year as well as the coming year is more about how we optimally utilize the capacities that we have put in place.

So much of the capex is behind us now. Talking about how the margins and the EBITDA are going to move in the coming years, I would say that, the EBITDA is definitely going to be moving relatively faster than or higher than what our sales numbers are going to be because of the operational efficiency being kicked in.

But this year, the delta may be slightly lower or maybe because while the Limbasi facility will contribute to the operational efficiency positively towards the EBITDA margin, the injectable facility will get commercialized in this year and we may see some impact of that. But all in all, it would be a positive impact. But the delta may not be as much as you would have seen in the previous year.

But subsequent years as the injectable facility would again start picking up and ramping up, you

would again see that ramp up in the EBITDA margins once the capacity utilization also kicks in in the injectable facility.

In terms of the peak revenue, one should look I would say that the revenue guidance of around 25% CAGR over the next three to five years does consider that we would reach to optimal utilization levels for our three facilities or four facilities over the next five years, which would be closer to the kind of peak levels that one would look at. And of course, at appropriate time one could then build in additional capacities to kind of cater to the increased demands which would be there. And the Limbasi facility is built over close to 170 acres, so we have enough land in case any incremental capex needs to be done to cater to the increased demand there.

Vinayak Mohta: Understood. Perfect. Thank you so much.

Ankur Vaid: Thank you.

Moderator: Thank you. Next question is from the line of Monish Shah from Antique Stock Broking. Please go ahead.

Monish Shah: Yes. Hi. Good evening. So I had a couple of questions. One was, as we see introduction of new therapies like oncology and anti-infective share of revenue going higher. Are these gross margin dilutives compared to immunosuppression?

Ankur Vaid: No, not really. Because again, these products which we have introduced are becoming part of our portfolio have the same underlying principle of high complexity, less competition where we can bring value to our customers without diluting the margins that we have. So I think we do not see any margin dilutions happening with the introduction of these new products. And globally

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you would see very few players on these molecules as well the ones that we are currently developing.

Monish Shah: Okay. And secondly, amongst your key products like Tacrolimus and Everolimus, there are different dosage forms that are going off until next year or year after. So just wanted to understand how big are these opportunities for you and can these products add materially to your API revenue and hence the guidance of 25% CAGR?

Ankur Vaid: Yes, so I think all these are inbuilt into the guidance that we share because certain customers have procured materials from us for the I

launch of those molecules as well. So whenever those launch -- whenever those products will become commercial it would positively be impacting us as well. And since Concord is one of the largest players on these molecules, one, as you would know, that we would become an ideal partner or the preferred partner for customers who are already with us or who intend to launch these products in the global markets. So definitely this would be a positive to our growth momentum.

Monish Shah: Okay. Got it. Thank you so much.

Moderator: Thank you. Next question is from the line of Huseain Bharuchwala from Cernelian Capital. Please proceed.

Huseain Bharuchwala: Just wanted to understand what was the reason for the fall in growth margins this quarter? Is it because of the change in product mix or is it because of some pricing pressure of some sort? Can you explain that? Because I think the growth margins, which were 80% in Q3, have come to 72% in Q4?

Ankur Vaid: So as I mentioned that there has been a challenge to us on the API pricing front but as mentioned earlier, this could be probably because of the mix between the formulation and the API, which could have, which has impacted the margin profile for that specific quarter. But if you would look at, say, our quarter 2 number, that would look very, different from our quarter 4 number because, the mix at that point of time was very different from the mix that you see in quarter 4. And hence, I say that, one should look at us from the annual basis because at times, that mix at times could impact the growth margin levels. But from a pricing front, we do not see any challenge at the API level.

Huseain Bharuchwala: Got it. Okay. Thank you.

Moderator: Thank you. Next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Thank you for the follow-up. Sir, on the mix side, if you look at this year's mix in API and formulation, we are almost already at 80-20 right now, API and formulation. With Injectable coming in and with the ramp-up of Limbasi how do you see this, say, in three years, five years, time frame mix changing from current level to what? Because you are already building in 25% CAGR growth in terms of, future growth expectation. How do you see...

Moderator: We have lost the connection from the current questioner. Meanwhile, we will move to the next question from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

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Alankar Garude: Thank you. Sir, can you provide some qualitative inputs on the market share trends in some of the key immunosuppressant products? Maybe if you do not want to comment on it on a molecule-wise basis but just a broader colour on the top few products and the market shares would be really helpful.

Ankur Vaid: So of course, as Immunosuppressant's contributes, significantly to the API mix, while the share has come down over the last year, it is still, contributing quite significantly to the overall sales mix. And in that space, products like Mycophenolate, , Mycophenolate sodium, Cyclosporine, Tacrolimus and Everolimus are the four key molecules that are there. And we are seeing good traction on all these molecules.

With the ANVISA approval coming in, there are new geographies that are also opening up for us. And also, with the Bavarian inspection happening, compared to the last year, this year, we would see certain addition of the product into the European market as well. So definitely, we see good potential and still there is a lot of room for us to grow in these four, five molecules, while the rest of the 2025 molecules are also growing, as I mentioned, at a much faster pace.

But from a revenue contribution perspective, maybe, they are having less weightage but the growth rate on those molecules are much higher than what one would see. And that being said, these four, five products, we were c

lose to like around 20% last year and they've slightly moved ahead on those products on a market share level. But still, there is a lot of room for us to grow even in these four, five molecules.

Alankar Garude: Understood, sir. So the second question is on CDMO. Any sense on the scale as of FY '24? And when you talk about executing one more contract and I think in the previous call, you had spoken about, I mean, being more aggressive. You mentioned that this time around as well. So I mean, what are your thoughts as far as scaling up of this business is concerned over the next 3-5 years?

Ankur Vaid: We are very, very optimistic and very excited on this CDMO opportunity because, as I mentioned in the previous discussions as well, that we have the regulatory approvals in place, we have the capacities in place and we have the relationship with the customers. And we have been filling out several RFQs. We are reaching out to some of the innovators, large generic players as well.

And exploring this opportunity in the CDMO space because whatever is happening now in China, which has been largely a CDMO, most of the CDMO opportunities were always towards, earlier were towards Europe and then kind of shifted towards China. But now with everything happening in China, companies are looking at de-risking themselves and looking at other opportunities or other players to kind of cater to their needs. So it's a time thing.

I think we are reaching out, we are looking and evaluating. And now this could happen probably in the next 6, 9 months or it could happen in a year, year and a half. But I think we are taking steps in the right direction.

It is a matter of time when that would fructify. So we are just kind of working towards that and hopeful that it would happen soon there.

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Alankar Garude: Sure. And possible to call out the sales number for FY '24 from CDMO?

Ankur Vaid: As I said that we have not built in CDMO into our guidances as well because since there is no clarity on that and, there is a lot of uncertainty into when that would happen. We have not built those into our guidances even when we talk about on a long-term guidance. So if this would happen, this would definitely be a positive impact on what we are foreseeing going forward.

Alankar Garude: So FY '24 CDMO sales were minimal, maybe less than INR30-INR40 crores. Would that be a fair assumption?

Ankur Vaid: That's correct.

Alankar Garude: Okay. And one final question Ankur is, you spoke about margin expansion going forward, maybe less so in FY '25. If I look at FY '26, assuming we see some decent initial traction in the injectables facility plus Limbasi utilization would be much higher than along with the formulations capacity.

I think given the fact that API growth is likely to pick up faster compared to formulations, the amount of expansion likely in FY26 is going to be quite high. But then, I mean, we would already be at 44%, 45% or a better margin. So I mean, at those levels, do you still think that there is scope for efficiencies and operating leverage to drive a further expansion from those levels?

Ankur Vaid: So actually come to look at it, the injectable space is actually very interesting because the kind of integration that we are going with, definitely once we are commercial in the emerging markets, there would be a lot of opportunity there in the injectable space. However, timing is something that one cannot talk about and it would be too early for me to kind of talk about the

timing here because, again, different markets could have different timelines to kind of commercialize. But once commercial, I think we would be making a lot of fast inroads in terms of capturing the market share because of this whole integration approach. But coming to that how much of margin expansion can happen from the API - beyond a certain point, the delta will keep diminishing. It i

s not that it would be every year you would see 2, 2.5, 3% delta as capacity utilization starts getting in. Beyond a certain number, the delta would be there but it would be lower compared to what you would have seen when the capacity utilization was, say, at 10% or 15%.

So one has to factor that once you start looking at a 4-5-year period. But, of course, in the initial period, like this year or the coming year, the delta would be higher. Of course, for this year, it would slightly get compensated by the injectable coming in.

But that's how I would look at how the margin expansions would happen from the API front.

Alankar Garude: Sure, that's helpful, Ankur. Thank you and all the best.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take this as the last question for the day. I would now like to hand the conference over to the management for the closing comments.

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Ankur Vaid: Thank you everyone, for joining on our quarter 4 FY '24 earnings call. And we hope you've been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations Advisors. Thank you, once again and have a great evening. Thank you.

Moderator: Thank you very much. On behalf of Concord Biotech Limited, we conclude this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2024

CONCORD BIOTECH LIMITED

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra-Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir/Ma'am,

Subject: Transcripts of Q1 FY25 Earnings call held on August 12, 2024

In continuation of our letter dated August 12, 2024 regarding Audio recording of the Audited (Standalone and Consolidated) Financial Results of the company for the First Quarter ended June 30, 2024, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Prakash Sajjani

Company Secretary and Compliance Officer

M. No. F6242

Encl: as above

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"Concord Biotech Limited

Q1 FY '25 Earnings Conference Call"

August 12, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th August 2024 will prevail

MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING
DIRECTOR – CONCORD BIOTECH LIMITED
MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH
LIMITED

MR. LALIT SETHI – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED
MR. PRAKASH SAJNANI – COMPLIANCE OFFICER AND
ASSISTANT VICE PRESIDENT , ACCOUNTS – CONCORD
BIOTECH LIMITED

MODERATOR : MR. SAGAR SHROFF – STRATEGIC GROWTH ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Concord Biotech Limited Q1 FY'25 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinion and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sagar Shroff from Strategic Growth Advisors. Thank you, and over to you, sir.

Sagar Shroff: Thank you, Deepika. Good afternoon, everyone and thank you for joining us on the Q1 FY '25 Earnings Conference Call for Concord Biotech Limited. Today, we are joi

ned by Mr.Sudhir

Vaid, Chairman and Managing Director; Mr. Ankur Vaid, Joint Managing Director and CEO; Mr. Lalit Sethi, Chief Financial Officer; and Mr. Prakash Sajnani, Compliance Officer and AVP Accounts.

We have uploaded our Q1 FY '25 financial results and investor presentation on company's website and stock exchanges. I hope everybody had an opportunity to go through the same. We will begin the call with opening commentary by the management followed by question-and-answer session.

I would now like to invite Mr. Sudhir Vaid, Chairman and Managing Director for Concord Biotech Limited to give his opening remarks. Thank you, and over to you, sir.

Sudhir Vaid: Good afternoon, everyone. Thank you for joining us on our Q1 FY '25 Earnings Conference Call. We are delighted to announce another quarter of robust financial performance, reflecting our continued commitment to excellence and growth. For the first quarter of FY '25, our operational revenue experienced a year-on-year growth of 11% compared to the same period last year. Our profit before tax for the quarter grew by 20% year-on-year excluding the share of profits from JV and associates. This impressive growth indicates our strong market position and the effectiveness of our strategies.

At Concord, we take pride in offering one of the largest product portfolio of fermentation-based active pharmaceutical ingredients in the industry. Our extensive range of high-quality products ensures that we can meet the diverse needs of major pharmaceutical companies both in India and globally. Our ability to provide reliable supplies on the back of our extensive capacities has cemented our reputation as a trusted partner in the pharmaceutical industry. CONCORD BIOTECH
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One of the key factors contributing to our success is our competitive advantage of being backwardly integrated up to the key starting materials. This strategic integration allows us to

have greater control over our supply chain ensuring that we can maintain consistent full and timely deliveries to our customers.

By managing the production process from the very beginning, we can guarantee the quality and the reliability of our products. Our growth has also been fuelled by our strategic forward integration into the formulation business. This venture has been a significant step in our evolution allowing us to diversify our offerings and meet the needs of our customers over the years.

Our formulation business has shown remarkable progress enabling us to expand our customer base by enhancing our distribution network. By reaching a wider base of customers, we have strengthened our market presence and increased our ability to deliver comprehensive solutions. Furthermore, the development of our upcoming injectable facility is progressing well. Facility qualification activities are ongoing and we expect to commercialize this plant by last quarter of this financial year.

This upcoming facility will uniquely position us in the global market as a company offering a specialized range of fermentation-based API including anti-infectives and antifungals with forward integration into finished formulation. This end-to-end capability will provide us with a significant competitive edge, enabling us to offer unparalleled value and reliability to our customers.

Looking ahead, we are steadfast in our commitment to innovation and expanding our product portfolio. Over the next 3 to 4 years, we plan to introduce 8 to 10 new products in the API space, further diversifying our offerings and enhancing our capabilities in the formulation business. This strategic expansion will position us as a comprehensive one-stop solution for our customers worldwide seeking fermentation-based products. Securing regulatory approvals is crucial for expanding our reach and ensuring the global distribution of our products.

Over th

e years, we have diligently worked to obtain approvals from various international regulatory bodies allowing us to broaden our geographical footprints. In the last financial year alone, we received significant approvals and underwent inspections from several prestigious authorities including the USFDA, ANVISA (Brazil), the Bavarian Authority (Germany), and the Japanese AFM, among others.

These endowments are a testament to our focus on maintaining the highest standards of quality and consistency in our products. Our focus on consistent supply quality, innovation and customer satisfaction continues to drive our growth and success. As we move forward, we remain committed to leveraging our strengths and capabilities to deliver exceptional value to our stakeholders and contribute positively to the health care industry.

Our company's objective is to maximize shareholder wealth through strategic growth and value creation. By balancing prudent reinvestment with consistent dividend payouts, we aim to enhance overall shareholder value while maintaining a sustainable business model. In this CONCORD BIOTECH Biotech for Mankind...

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direction, I am pleased to share that your company has paid dividend of INR 8.75 per equity share of INR 1 for the FY '23, '24.

And with this, now I hand over the call to Mr. Ankur Vaid:, Joint Managing Director and CEO. Thank you.

Ankur Vaid: Thank you, sir. We are delighted to share that our revenues for quarter 1 FY '25 stood at INR 216 crores as compared to INR 195 crores for the same period last year, a growth of 11%. I would like to highlight that usually quarter 1 is a lean quarter for us on account of higher sales in quarter 4 of previous year and we see this trend in the current fiscal as well. Our EBITDA and PAT grew by 13% and 9%, respectively, on a year-on-year basis for quarter 1 FY '25. Our EBITDA margins for Q1 FY '25 stood at 38% compared to 37% in Q1 FY '24, a growth of 63 bps year-on-year.

Our profit before tax excluding profits from JV and associates grew by 20% year-on-year and stood at INR 78 crores. PBT margin stood at 36.2% compared to 33.4%, a jump of 285 bps year-on-year. Lower share of profits from JV has partially impacted the PAT growth. Over the past years, we have dedicated our efforts in obtaining regulatory approvals from various geographies. This strategic move is part of our broader plan to establish our presence in these regions, leveraging our extensive product range and our commitment to delivering top-notch quality products on a timely basis.

Our approach is twofold: deeper penetration into developed markets. We aim to penetrate deeper into developed markets where we see substantial opportunities for cross-selling and customer acquisition.

Our goal is to increase our market share by offering a comprehensive product portfolio that

meets the highest standards of these markets.

Secondly, expanding into emerging markets. Concurrently, we are expanding our presence in emerging markets also to become a reputable player in these underserved geographies. Our strong brand, diverse product portfolio and established relationships with suppliers in developed markets gives us a competitive edge.

The certifications we already hold in developed markets facilitate our entry into these emerging markets, allowing for a smoother approval process. By pursuing this dual strategy, we are confident in our ability to expand our geographical footprint globally. We aim to increase our presence and market share in existing regions continuously seeking opportunities to add more value to our customers.

Let me speak about product development and expansion. Our in-house R&D team is at the forefront continuously innovating and adding new products. Currently, we have a robust pipeline consisting of 8 to 10 new products which we plan to commercialize over the next 3 to 4 years. The

se products are primarily focused on critical fields of oncology, anti-infectives and antibacterial treatment. CONCORD BIOTECH

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Speaking about our operational and financial performance for Q1 FY '25, our API revenue for Q1 '25 stood at INR 171 crores reflecting a 5% year-on-year growth. As highlighted earlier, Q1 is usually a lean quarter for us due to high sales in quarter 4 of previous financial year. Also, fluctuations in customer procurement patterns can lead to revenue bunching in particular quarters. However, on an annual basis, we expect to meet our guidance.

Speaking of our Formulation segment, revenues grew by 43% in Q1 FY '25 on a year-on-year basis. Over the past financial year, we have added 21 new products to our Formulation portfolio and plan to introduce more throughout the year. Our Domestic business, particularly in critical care, nephrology and rheumatology has been experiencing strong growth. We have also expanded our sales and distribution network across the domestic market with a team of over 150 people serving the Indian market. As we are the only company manufacturing immunosuppressant APIs with key starting materials and finished formulations, our products are highly regarded by the doctor fraternity giving us equal weightage with larger brands.

With our upcoming injectable facility set to launch this year, we will be strongly positioned, giving us significant market opportunity domestically. Commercial production at our new injectable plant is expected to commence in this fiscal. The split between our API and Formulation business was 79% and 21%, respectively, for Q1 FY '25, aligning with our long-term guidance of 80-20.

On the CDMO business, we continue to actively explore these opportunities and are hopeful of getting some business our way in the future. With CDMO business, we will be able to generate large volumes which will accelerate the revenue growth and margin profile on the back of operating leverages.

Lastly, we are optimistic about the growth trajectory for both segments and remain committed to achieving our long-term CAGR guidance of revenue growth of 25% over a period of 5 years on the back of strong product pipeline of 8 to 10 products which would be commercialized in the next 3 to 4 years approvals from customers for our Limbasi facility with ample capacities to grow, commercialization of new injectable plant in this year facilitating growth from next year, increase in wallet share addition of new customers and geographies and CDMO opportunities accelerating the growth.

With this, I hand over the call to Mr. Lalit Sethi, our Chief Financial Officer, for financial and operational performance. Thank you.

Lalit Sethi: Thank you, sir. Let me take you through the financial and operational performance for the quarter ended June 2024. On the revenue front, our revenues for the quarter 1 financial year '25 stood at INR 215.80 crores as compared to INR 194.83 crores in the same period last year representing growth of 11% in this quarter. The revenue from our API business grew by 5% in this quarter and stood at INR 171.05 crores against INR 163.62 crores in the quarter 1 of the last year. The revenue from the Formulation business in this quarter stood at INR 44.75 crores, as compared to INR 31.21 crores in the quarter 1 of the last year, representing growth of 43%. CONCORD BIOTECH

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Revenue from Domestic business grew by 22% and International business moderated by 3% in quarter 1 of this financial year. Speaking on EBITDA. EBITDA for this quarter stood at INR 81.28 crores as compared to INR 72.15 crores in quarter 1 of the last year. EBITDA margins for this quarter stood at 38% against 37% in the same period last year. Profit before tax, excluding profit from the joint venture.

Our PBT excluding profits from the joint venture stood at INR 78 crores in this quarter as compared to the INR 65 crores in the quarter 1 of the last year, representing growth of 20%. Our PBT margin excluding profits on the JV stood at 36.2% in this quarter as compared to 33.4% in the same quarter last year, an increase of 285 bps year-on-year.

Profit after tax for this quarter stood at INR 59.6 crores as compared to the INR 54.5 crores in the same period last year, a growth of 9% year-on-year and the PAT margin for this quarter stood at 27.6%. So with this, I shall now leave the floor open for question and answer.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Sir, first question, our year-on-year API sales growth has been relatively low for the past 3 quarters now. Specifically, for this quarter, the base was also favourable. So can you highlight the issues which impacted API sales in this quarter? And also, if you could talk a bit about the scale-up of the Limbasi facility? Is it going in line with your expectations?

Ankur Vaid: Sure. So last quarter, as indicated earlier, we had certain challenges in getting regulatory approval for one of our products, which was intended to go to Europe market which we got by the end of March and supplies of that product to Europe has already started. So that is going on well and it is in line with what we have been looking on an annual basis.

However, as I mentioned that the rest of the molecules which are there, there was a heavy uptake of the products across different geographies in Q4. And it was a heavy quarter for us. And usually, this has been, what we have observed is that -- quarter 1 is usually on the lighter side.

To just give you for the previous year, we had grown by close to around 8% last year. Compared to that, this year, we have grown by 11%. So, this is a usual phenomenon that we have seen over the many years. But on a broader level on an annual basis, we do not see any challenges in terms of meeting our guidance for both API and Formulation.

With respect to the scaling up at the Limbasi facility, it is going as planned. Many of the customers have already started buying commercial quantities for the regulated markets from the Limbasi facility. And as we speak, this is an ongoing process because we have a lot of customers, so all of those customers qualifying the Limbasi facility does take time, but many of those customers have already shifted to Limbasi.

So now they have derisked themselves in terms of buying materials from both Dholka and the Limbasi facility. And many of the new products that we are planning to launch in the coming years, and some which are at very late stages of commercialization, those products are also being taken at the Limbasi facility. So to sum it up, it's coming out quite well and in line with what our expectation is from Limbasi facility. CONCORD BIOTECH

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Alankar Garude: My question was actually more on the year-on-year sales growth specific to the API segment. So I understand the point on the sequential drop, fourth quarter is usually high for us. But if you look at the first quarter FY '24 growth in the API segment, we were just at 5% and again, in this quarter, in first quarter FY '25, we are similarly at 5% growth. So just trying to understand from a year-on-year standpoint, given the fact that Limbasi should have ideally scaled up meaningfully in the last 12 months, why is the API growth only 5% on a year-on-year basis?

Ankur Vaid: Again, if I would say that this is, if we would have got the approvals for that one product last year, on an annual basis, sales would have been much higher on an annualized basis. But again, just to highlight, we do not see

any specific challenges that on the API front, all the products that we are commercial on are seeing good traction.

As a matter of fact, some of the products which were just launched a couple of years back, particularly in the Anti-infective segment are seeing good traction and the likes of Teicoplanin and all. And we are already seeing good pickup in those products in the Indian market. So difficult for me to say that why on a compared to last quarter, it was 5%, why this is here 5%. But when you see it on an annualized basis, it is very much in line, the challenge that we faced is something that I spoke about which was particularly with respect to one product which was a significant contributor to the API sales. So it was more of a timing issue, something that we do not envisage in this year. So this year's API sales should be very much in line with what our expectations are.

Alankar Garude: Understood. The second question is linked to this mix between API and Formulations. Now given that we have been growing really well in Formulations, while API has been relatively soft in terms of growth. Would you like to revisit the long-term guidance of keeping formulation share at 20%? And maybe a follow-up there would be, in general, our understanding is Formulations EBITDA margins are lower than API? So from a longer-term standpoint, does higher Formulations share pose any risk to our EBITDA margins?

Ankur Vaid: So again, we'd like to mention that we stand by our long-term guidance of 80/20 with 20% Formulation and 80% API. And even on an annualized basis, how we are seeing it, it would be pretty much in line with what our long-term guidance is. So, we do not see any changes in that. And as rightly said, the EBITDA margin in the Formulation is definitely lower than the API but given that we are looking at the same mix of 80/20, we do not see any significant impact on our long-term EBITDA guidance.

As a matter of fact, once the injectable plant starts contributing significantly over the next 2 to 3 years, we would expect that the formulation margin would slightly improve given that the EBITDA margins in injectable is better off than the OSD. So that's how we would be looking at both business segments.

Alankar Garude: Fair enough, Ankur. And one final question, if I may. There seems to be some delay again in the injectable facility. We were earlier talking about our first quarter FY '25 commencement, then it got pushed to early 3Q. And now I think you mentioned fourth quarter of this fiscal. Any reasons for the delay? CONCORD BIOTECH

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Ankur Vaid: So earlier, we were looking at quarter 2. However, we have started doing all the qualifications. It's taken slightly longer because we're not doing media fill studies and smoke test and getting the facility in order to take the exhibit batches. It is a little time consuming in those activities. But that being said, by beginning of the quarter 4, we are expecting to take our exhibit batches of some of our products there.

So it is just that certain activities took a slightly longer term, but we have now got all the necessary approvals from the local regulators in order to initiate the production activities, and we are now just taking certain qualification activities so that we can proceed with the exhibit batches. So that was the reason for some bit of delay happening while taking the exhibit batches.

Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Congrats on the good set of numbers. First question is on the API export part. If you see there is a degrowth in API exports, any reason for the same, if you can highlight? The one product you mentioned, apart from that, any offtake issue or any pricing issue in any of the API products?

Ankur Vaid: No. So we do not see any challenges on the

export sales for our APIs. There is something that

we had mentioned last time as well that since one of our customers had moved their facility from Puerto Rico to India. So, export sales to that percentage would get impacted. But other than that, for the rest of our customers, we do not see any challenges.

So as a matter of fact, we are expecting with a good mix of new products that are becoming commercial, we expect similar lines to be maintained for the export sales. So other than that one customer, things are pretty much in line with what has been last year and how we see going forward.

Chintan Sheth: Sure. And if you can provide utilization of the plants it would be helpful for the quarter?

Lalit Sethi: For unit 1 the plant utilization has been in the range of around 76% to 77%. For Formulation, it's around 24% against 20% last year. And for the Limbasi facilities, it is 38% against 34% last year.

Moderator: Thank you. The next question is from the line of Monish Shah from Antique Stock Broking Limited. Please go ahead.

Monish Shah: So the question is on the CDMO business. Can you just help us understand what is our expertise in this? That is one. And second, are we looking for any commercial revenues to begin in this financial year or it will be next financial year?

Ankur Vaid: So on the CDMO front, over the last quarter or so, we've filled out several RFQs and are engaging with those potential customers to kind of see when those opportunities could translate into business for us. And as we speak, there are few other RFQs that we are also filling out, which could be potential opportunities for us as well. CONCORD BIOTECH

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And these are, again, more of contract manufacturing than contract development opportunities. So once if any of those opportunities does fructify, it could lead to potential revenue contribution and profitability improvements.

But again, as we mentioned earlier, that these are opportunities which could take time because change switching facility from their existing to an alternate is usually a big decision when we specially talk about these large MNC companies. So earlier during our IPO times as well, we had kept this opportunity as a growth lever for a long term opportunity.

However, we are hopeful that this could be from a short term to a medium-term opportunity. But since nothing has right now, we don't have clarity in terms of what the timelines could be, it will be difficult for us to give the same to you as well. But I would say that a lot of work is going towards this particular segment that we would want to build on.

Monish Shah: Okay. Got it. And lastly, on the API division, are we seeing any pricing pressure in the top 5, top 7 products?

Ankur Vaid: No, not really. So our prices have been stable across the products that we are commercial in.

Moderator: Thank you. The next question is from the line of Raj Mehta from Wisdom Advisor. Please go ahead.

Raj Mehta: So I wanted to know that how do we see the Formulation business panning out? We have seen a good growth, so do we envisage the similar growth trajectory for coming years? And also, what will be the margin differential between API and Formulation business?

Ankur Vaid: So we have growth levers in both API and formulation. So while in the API, we have the new Limbasi facility, which is operating at relatively low utilization. So we see a lot of growth opportunity in the API. Similarly, in the injectable side, we are seeing good traction in domestic market as well as in global markets for our oral solid dosage and this is particularly coming from the emerging markets along with the India market. And with the injectable plant also getting commercial by this financial year, it would also start contributing over the next 18 to 24 months. So given that there are growth levers in both these 2 segments, we see good

growth opportunities

in both segments. But as mentioned earlier, we expect that the split would remain similar like 80-20 with 20% formulation. So while the formulation business will see significant growth once we are commercializing new products in OSD as well as in the injectables, but the split would remain the same which is 80-20 is what we expect.

In terms of the margin differential, there is a big delta between the fermentation APIs and the finished formulations and, I would say, it is primarily because if we talk about in fermentation space, we would be one of the very few players who have such a large portfolio and are addressing the global markets whereas in the Formulation, we have a number of players who we are competing with across different geographies. So definitely, because of that, one would see a very different margin profiling between the 2 segments. CONCORD BIOTECH

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Raj Mehta: And sir, on R&D side, what kind of molecules we are looking as we aim to commercialize some of them, so also what will be a typical addressable market for these molecules?

Ankur Vaid: So the molecules that we are currently developing across the Oncology, Anti-infectives and Antifungal, and if I have to say, out of the 3, most of the products are in the Anti-Infective segment. And again, these are niche anti-infective products where we see very limited competition and they are highly complex niche products. So much of the work is going towards development of molecules across these 3 segments.

Moderator: Thank you. The next question is from the line of Jigar Shah from Elevate research. Please go ahead.

Jigar Shah: Sir, I have a couple of questions on the exports front. We have seen a decline in the export business. Can you let us know which geography is seeing lower demand? And what will be our split of revenue from U.S. and rest of the world for exports business?

Lalit Sethi: The split between the U.S. and rest of the world, export market is 17% and 33%. 33% in the rest of the world and 17% is from U.S. markets.

Ankur Vaid: And just to add there that here we are just talking about direct sales to U.S. However, in terms of our deemed exports, this would be a much larger number because we do supply APIs to domestic players whose end market is the markets such as U.S. and Europe.

But from our end, it would be difficult to quantify that number. But I would say that we make quite a large volumes of sales to companies who are targeting these regulated markets. Talking about the exports where we have seen a little bit of dip, Japan is one such market where we have seen some bit of dip, and this is again more so from a procurement perspective by some of the

companies in Japan which we are seeing getting improved in the subsequent quarters, and that also is getting reflected in our sales to JV.

So the rest of the market, again, being a 5% growth over the last quarter, 5% growth only over the last year. Sales have been relatively muted, but we do not see any significant challenges in terms of meeting our guidance over the next few quarters there.

Jigar Shah: Got it. Sir, second, can you let us know on your competition from domestic and global markets, can we be a tangible supplier to large pharma companies as a Tier I supplier?

Ankur Vaid: So if we talk about competition, other than Concord, there is just one other company who's in the Fermentation segment where we compete with them on around 4 to 5 molecules. Of course, we've been gaining significant market share compared to them over the last several years. And I think based on our focus on this segment and our expertise, we continue to add more molecules within the different therapeutic segments that we operate in.

And that gives a lot of comfort and confidence to our customers. So from India perspective, that's the only competi

tion that we see for the regulated markets. And from a global perspective, this segment which is fermentation, we are seeing a lot of consolidation happening. CONCORD BIOTECH Biotech for Mankind...

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So more and more companies are shutting down, which gives us an opportunity to make more gains and inroads into gaining market shares for our products and it also gives us an opportunity to evaluate new products where we see less competition, which are more complex niche products, which we can add into our portfolio. So the competition is actually shrinking globally, and that creates a lot of opportunity for us.

Moderator: Ladies and gentlemen, this was the last question. I now hand over the conference to the management for the closing comments.

Ankur Vaid: So thank you, everyone, for joining on our quarter 1 FY '25 earnings call. We hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations Advisors. Thank you once again. Have a good evening.

Moderator: Thank you. On behalf of Concord Biotech, we conclude this conference. Thank you for joining us and you may now disconnect your lines. CONCORD BIOTECH Biotech for Mankind...

Call: Nov 2024

CONCORD BIOTECH LIMITED

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra -Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir /Ma'am ,

Subject: Transcripts of Q 2 & H1 FY25 Earnings call held on November 12, 2024

In continuation of our letter dated November 12, 2024 regarding Audio recording of the Audited (Standalone and Consolidated) Financial Results of the company for the Second Quarter and half year ended September 30, 2024, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Prakash Sajjani

Company Secretary and Compliance Officer

M. No. F6242

Encl: as above

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"Concord Biotech Limited

Q2FY25 Earnings Conference Call "

November 12 , 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th November 2024 will prevail

MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING
DIRECTOR – CONCORD BIOTECH LIMITED
MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH

LIMITED

MR. LALIT SETHI – CHIEF FINANCIAL OFFICER –

CONCORD BIOTECH LIMITED

MR. PRAKASH SAJNANI – COMPLIANCE OFFICER AND

ASSISTANT VICE PRESIDENT , ACCOUNTS – CONCORD

BIOTECH LIMITED

SGA, INVESTOR RELATION ADVISORS – CONCORD

BIOTECH LIMITED

MODERATOR : MR. PRASHANT NAIR – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q 2FY25 Earnings Conference Call of Concord Biotech Limited, hosted by Ambit Capital. This conference call may contain forward - looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the management briefing concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero , on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you, and over to you, Mr. Nair.

Prashant Nair: Yes. Thanks , Shruti. Good afternoon, everyone, and welcome to the Concord Biotech Q 2FY25 Earnings Call. From the company, we have with us today Mr. Sudhir Vaid, Chairman and Managing Director; Mr. Ankur Vaid, Joint Managing Director and Chief Executive Officer; Mr. Lalit Sethi, Chief Financial Officer , and Mr. Prakash Sajnani, Compliance Officer and Assistant Vice President , Accounts.

I'll now hand over the call to management for opening remarks, following which we can move on to the Q&A session. Over to you, sir.

Sudhir Vaid: Good afternoon, everyone ! Thank you for joining us on our Q 2FY25 earnings conference call.

We are pleased to report steady and sustainable growth in both revenue and profitability for the first half of FY 25. Our revenue for Q 2FY25 stood at INR 310 crores compared to INR 262 crores in Q 2FY24 and PAT stood at INR 99 crores compared to INR 84 crores in Q 2FY24, making a n 18% year -on-year growth in both revenue and PAT. This growth underscores our deeper market penetration, our expanded customer base and entry into new regions.

At Concord, we take pride for being the world's only supplier offering a complete portfolio of fermentation -based APIs for immunosuppressants. With decades of experience and specialized expertise, we have developed high -quality products across therapeutic segments such as immunosuppressants , oncology, anti -infectives and antifungals that meets international quality standards.

Just as we have demonstrated robust growth in the immunosuppressant segment, we are optimistic of achieving similar growth and market share in our other segments. In addition, we made significant progress in the formulation business , starting in 2016 with oral solid dosage manufacturing . This segment in Q2 accounted for approximately 26% of our business.

We are further enhancing our formulation capabilities with the addition of an injectable facility by the end of this financial year , which will broaden our market reach and product diversity.

Over the years, we have dedicated our efforts in developing niche capabilities by leveraging our expertise and innovative approach in fermentation. Through continuous research and development, we strive to stay ahead of the curve, pushing boundaries and setting new standards for product innovation in our segment.

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We are proud to offer products that stand out, not only for their quality but also for the manufacturing capabilities and capacity that makes us the preferred choice for API customers with fermentation needs. One of our distinct competitive advantages lies in our backward integration into critical starting materials.

By controlling the entire supply chain from raw materials to finished products, we significantly reduce our reliance on external vendors. This integration allows us to maintain strict quality

control at every stage of production, ensuring that we consistently meet the highest standards. As a result, we are able to provide our clients with a reliable and uninterrupted supply of products, giving them the confidence that we can meet their needs with exceptional consistency and quality.

Furthermore, we have all the necessary approvals from both international and domestic regulatory authorities. These certifications reinforce our commitment to quality and compliance, ensuring that our products consistently meet the highest industry standards. Our focus on consistent supply, quality innovation and customer satisfaction continues to drive our growth and success.

As we move forward, we remain committed to leveraging our strengths and capabilities to deliver exceptional value to our stakeholders and contribute positively to the health care industry. With this, I hand over the call to Mr. Ankur Vaid, Joint Managing Director and CEO, for his opening remarks, and thank you.

Ankur Vaid: Thank you, sir. We are pleased to report revenue of INR 310 crores for Q2FY25, reflecting a year-on-year growth of 18%. Our EBITDA and PAT also increased by 15% and 18%, respectively, compared to the same period last year. As we continue to grow our revenues, we remain optimistic about sustaining and further increasing our profitability in the future.

Over the years, we have successfully positioned Concord as a leading supplier of fermentation-based API products, carving out a niche category within this space. We have built a business with our expertise in complex processes, operational efficiency, product development and R&D, thereby creating significant entry barriers.

With a diverse portfolio across therapeutic areas, scaled up manufacturing facilities, flexible plant configurations, regulatory approvals, a strong compliance track record and backward integration, we have positioned ourselves as a preferred partner for our customers. Our API revenues for Q2FY25 stood at INR 230 crores against INR 226 crores in Q2 last year.

We would like to highlight that the interunit sale of APIs to formulations has not been considered in the API revenues. Hence, we see muted growth in our API segment. We continue to penetrate deeper into markets with our existing clients, adding new clients across geographies and also expanding our product portfolio.

By continuing to diversify our offerings, we are strengthening our position and meeting a wider range of customer needs. Looking ahead, we are optimistic about our future growth prospects, particularly given our strong pipeline of products in new segments such as oncology and antifungal therapies.

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These areas represent exciting opportunities for expansion, enabling us to broaden our market reach and meet critical needs in high-demand therapeutic segments. The majority of the customers added in the last year in the API segment are for these new therapeutic areas only. We have also supplied qualification samples to several customers and expect validation and commercial supply soon.

We see a very encouraging response from these new segments, especially the antibacterial and oncology segment and are optimistic about the same. Our goal is to enhance our offerings by becoming a one-stop provider of fermentation-based API products for multiple therapeutic areas, thus increasing our market share and solidifying our relationship with existing customers.

This strategy positions us well to offer a complete range of products and continue building on our success in the API segment. Our formulation segment has achieved an impressive growth of 125% in Q2FY25 on a year-on-year basis. This growth is driven by our product approvals and continuous product additions, thereby strengthening our presence in the domestic, emerging and regulated markets with substantial potential.

In the domestic arena, our formulation business, particularly in critical care, nephrology and rheumatology has demonstrated strong momentum. We have also expanded our sales and distribution network with a dedicated team of over 175 professionals serving the Indian market. Our new injectable facility is on track to begin operations towards the end of FY25. This will allow us to serve a larger market with a comprehensive product portfolio that includes both oral solid dosage forms and the injectables.

For Q2FY25, the split between API and formulation was 74% in API and 26% in formulation, while for H1FY25, it was 76% and 24%, respectively. In our CDMO business, we are seeing encouraging momentum with a growing number of inquiries and we have submitted multiple RFQs as companies evaluate Concord as a potential supplier in the CDMO space.

Concord offers distinctive advantages as a CDMO partner making us a strong contender for large companies. We are actively in discussion with several companies. With the passing of the Biosecure Act, global companies are looking at reducing their dependency on China, which is also leading to an increased number of inquiries.

Given our expertise in fermentation, ample capacity to undertake CDMO projects and global regulatory approvals, Concord is being considered as a trusted partner for fermentation and semisynthetic API CDMO projects.

Speaking about product development and expansion, our in-house R&D team is at the forefront, continuously innovating and adding new products. Currently, we have a robust pipeline of 8 to 10 new products that we plan to commercialize over the next 3 to 4 years. These products are primarily focused on critical fields of oncology, anti-infectives and antibacterial treatments.

We also have a robust pipeline of finished formulation products and have done new filings in the US and other emerging markets. Lastly, we are optimistic about the growth trajectory for both segments and remain committed to achieving our long-term CAGR guidance. With this, I

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hand over the call to Lalit Sethi, our Chief Financial Officer, for financial and operational performance. Thank you.

Lalit Sethi: Thank you, sir. Let me take you through the financials and operational performance for the quarter ended September 2024. On the revenue front, our revenue for this quarter stood at INR 310 crores as compared to INR 262 crores in the same period last year. Let me highlight that we had an exceptionally good Q2 last year, and we have outperformed that this year with a growth of 18%.

Our revenue for the first 6 months stood at INR 526 crores as compared to INR 457 crores (misspelled as 557 crores the corrected number is 457 crores) in H1 of the last year, representing a growth of 15%. Revenue from the API business stood at INR 230 crores in this quarter against INR 226 crores during the same period last year. API revenue in H1 of this year stood at INR 401 crores against INR 390 crores during the same period last year. So, as mentioned that, API revenue excludes intercompany sales to the formulation unit, and hence shows a muted growth. Revenue from the formulation business in this quarter stood at INR 80 crores as compared to the INR 36 crores in the same period last year, representing growth of 125%. Formulation revenue in H1 this year grew by 87% on Y-o-Y basis. Revenue from the domestic business grew by 16% in this quarter and 19% in H1 on a year-on-year basis.

Revenue from the exports business grew by 20% in this quarter and by 11% in H1 of this year on year-on-year basis. Speaking on EBITDA, EBITDA for this quarter stood at INR 137 crores as compared to INR 119 crores in the same period last year, representing growth of 15%. EBITDA for H1 of this year stood at INR 218 crores, representing growth of 14% on Y-o-Y basis.

EBITDA margins for

this quarter stood at 44%, and for H1 financial year '25, it stood at 41%.

Our PBT excluding profits from JV stood at INR 133 crores as compared to INR 113 crores in Q2 of the last year, a growth of 18% and PBT for H1 of this year stood at INR 211 crores, a growth of 19% Y-o-Y. Our PBT margins, excluding profits from JV stood at 43% for Q2 FY '25, which was the same in Q2 of last financial year.

On profit after tax, our profit after tax for this quarter stood at INR 99 crores as compared to the INR 84 crores in the same period last year, representing a growth of 18% Y-o-Y. PAT margins for this quarter stood at 32%, the same as compared to Q2 of last year. We are a 0 debt company with investments, bank balances and cash and cash equivalents to the tune of INR 284 crores as on September 30, 2024.

So, with this, I shall now leave the floor open for Q&A.

Moderator: The first question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Sir, formulations growth in the first half was quite strong at 85%. So firstly, was there any one-off lumpiness in formulation sales in either this quarter or the first half overall?

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Ankur Vaid: So, no specific lumpiness. I think usually, formulation business is driven by most of our products are mostly in tenders and supplies to government institutions. As I've mentioned, sales whether it is in API and formulations is usually lumpy in nature. So - there were certain products that we supplied in this specific quarter. But going forward also, we have a very strong quarter for formulation as well. So, as I say, there is bound to be lumpiness in both API and formulation, which is something that we did see in this quarter for formulations as well.

Alankar Garude: And when you say, Ankur, domestic emerging markets as well as regulated markets are driving the performance in formulations, qualitatively, would it be possible to break the strong growth between these 3? So, I mean, is domestic growing at a faster pace compared to the export

markets? Or any colour on this front would be helpful.

Ankur Vaid: So, we are seeing the export market growing faster than the domestic market, while the domestic market itself is growing, but the rate of growth in exports is relatively more than that of the domestic.

Alankar Garude: Understood. The second one is, what was the capacity utilization as of the second quarter across all the 3 sites?

Lalit Sethi : Across all the 3 sites, the capacity utilization is 79% as far as the Unit 1 is concerned and 50% as far as Unit 2 is concerned and 38% in Unit 3.

Alankar Garude: So then, sir, I mean, the question is when you talk about higher captive consumption in this quarter, now given that our capacity utilization at Limbasi was only 38%, capacity was clearly not a constraint for us. So, I appreciate the point on a high base this time around in the second quarter. But if you look at the overall growth, not just in the second quarter, but even in the first half, as far as API segment is concerned, it's still quite low. I mean, first half, API growth is only 3%. So, can you please help explain the reasons behind lower external API sales growth in the first half?

Ankur Vaid: See, maybe talking first about the interunit sales. So, as I mentioned, that the intercompany sales from API to formulations at the end gets recorded in formulations only. And hence, API had shown that muted growth. And whereas formulation showed the accelerated growth. So if we consider if we include this API sales made to formulation and our API, the API growth would be around 9% to 10%. Going forward, in spite of the interunit sales to the formulation, we see that the API is growing by mid - to high teens.

And with this, we do not see any significant change even to our ratio of API to formulation. So as I had mentioned earlier

also in Q1. Q1 typically is on the lower side because we had a heavy quarter 4. But as things are progressing, we are seeing that increase. But in certain markets, rather than catering through the API, we are catering now through the finished formulation. But still, in spite of this, we see double -digit growth in our API also going forward.

Alankar Garude: Sir, I think the question there was if you look at external API sales, our understanding was, given that Limbasi was cleared by the regulators sometime back, more than 2 years now. There would be a faster pickup in external API sales as well from Limbasi. I understand the point on maybe a higher preference on formulations via captive consumption in this quarter or maybe the first

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half. But directionally speaking, can you comment on the traction we are getting from our external API clients from Limbasi?

Ankur Vaid: Yes. So, most of the anti -infectives and antifungal products are going to be launched from Unit 3 only, which is the Limbasi facility. And there, as I mentioned, that we are seeing a lot of traction from our customers in terms of qualifying us for those products, to certain customers, we have also given qualification samples and for some customers, we are close to providing them validation quantities as well. So, expect those commercializations to happen soon. Also, for our other products such as in the immunosuppressants, we are also seeing positive feedback from certain customers in LATAM.

And those opportunities also, we see materializing in the next couple of months' time as well.

So, there is growth both in the immunosuppressants and more particularly in the anti -infectives, antifungal segment. With that, as I've mentioned that in spite of the interunit sales, the growth in the API, we expect it to be in the double -digit growth in spite of the sales happening interunit sales happening. So, there are orders that we have from customers, which would be executed in the subsequent quarters. So, I do not see any reasons or any concerns about our API business per se.

Alankar Garude: Fair enough, Ankur, just one clarification. When you talk about low double -digit growth, this is for the fiscal year or for the second half?

Ankur Vaid: This would be for the fiscal.

Alankar Garude: For the fiscal FY '25.

Ankur Vaid: Only for the API business. But for the overall business, as I had mentioned, we remain in line with our long -term CAGR guidance of the 25% CAGR growth and grow higher than the historical growth that we have done.

Alankar Garude: Understood. And one final one, generally, before FY '24, at least, we had a heavy skew towards the second half in terms of our sales as well as EBITDA. Broadly, it used to be 40 -60, 40% being the first half, 60% the second half. Should we expect something similar this time around as well?

Or do you expect the mix to be slightly different?

Ankur Vaid: See, if you see that on our second quarter since last year, it has been relatively on the higher side compared to the historical way that we have grown in quarter 2. But that being said, the second half, as I said, is always going to be heavier than the first half. To what extent, I won't be able to

comment now. But definitely, it is higher and it would make us in line with our guidance that we have even for this year.

Moderator: The next question is from the line of Vivek Agrawal from Citigroup.

Vivek Agrawal: Ankur, is it possible for you to give some color on how you grow how the API segment has grown when it comes of volumes, right, and how the prices are faring in this quarter? Because what you are hearing from across the board, the API segment has seen a significant correction in terms of prices. So how are you seeing the pricing and all these things?

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Ankur Va

id: So, for our business, as I had mentioned that most of the competition that we have on our commercial products is mainly from Europe and Southeast Asia. We do not see significant competition from China. And as there are very few most of the products that we do, there are there is very limited competition. So given that, we have not seen any significant impact on the API prices. But when we talk about how our API segment has grown, much of the growth has come from the formulations business, which is primarily targeting the emerging markets. And if I have to be more specific, it would be Southeast Asia, LATAM and the US market.

So much of the growth in the formulation has been through these markets. And since we are fully integrated, that impact we are also seeing in the API through our interunit sales. But coming to the other segments, as I've mentioned earlier, we are seeing good traction in the anti-infectives and antifungal, oncology segments, where for many of those, we are trying to qualify ourselves as a secondary supplier because these are already generic products. But given our competitiveness and our global approvals, we are seeing good traction on these molecules. So we expect commercialization on these molecules in the coming quarters.

Vivek Agrawal: Just a related question in the anti-infectives and oncology. So, is it possible for you to highlight which are the products or molecules that you expect to see some significant traction, let's say, over the next 1 to 2 years?

Ankur Vaid: So, if you see our portfolio, most of the products that you have most of the products that we are manufacturing there is very, very limited competition. So, you may see maybe 1 or 2 players on those products. So given that the opportunity is very large on these molecules, maybe the market size may vary between one molecule and the other. But if I have to name a few products, products like Teicoplanin, Nystatin, these are certain anti-infectives products where we are seeing very good traction.

Moderator: The next question is from the line of Sumit Gupta from Centrum.

Sumit Gupta: So just one clarification : the double-digit growth in API for FY '25 you said is on a normalized basis with the formulations not in this thing, right?

Ankur Vaid: Sorry, could you repeat that again?

Sumit Gupta: Just wanted to understand on the double-digit growth in API for this quarter that you highlighted. What was the major reason for that?

Ankur Vaid: No. So, the double-digit growth in the API is to third party sales and does not include interunit sales.

Sumit Gupta: Understood. So, in that case, what is the growth for the formulation segment?

Ankur Vaid: So, the formulation segment continues to do well. And going forward for the full year, it should be relatively in line with the 80-20 split that we have, give or take, 2%, 3% here or there.

Sumit Gupta: Understood. And sir, what is the margin profile for both of these , for API and formulation?

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Ankur Vaid: See, margin profiling between the 2 is relatively is quite varied because , as you would see in the API, there are very limited players and hence the competition is very low, and we are competing with players only based out of Europe and Southeast whereas in formulation, since we're supplying to global markets, there are a number of players who we would be competing with , given that the profitability is very different between the 2 segments.

Sumit Gupta: Okay. And sir, lastly, on the status of the unit. So, I just want to understand on so is there any inspection left on like Unit 1?

Ankur Vaid: Sorry, special ...?

Sumit Gupta: US FDA inspection on for Unit 1 or the Dholka plant.

Ankur Vaid: No. So currently, there is no inspection right now scheduled for Unit 1. However, as I've mentioned earlier, we've had a very good track record with

th the US FDA and also in the last few

quarters, we have been inspected by other global regulatory agencies like Brazil, Europe and Japan. So given that we are still awaiting any news from the FDA for the Unit 1 inspection.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: On the API front, when you mentioned at gross level, 9% to 10% Y-o-Y growth. This is this for the quarter or for the first half?

Ankur Vaid: So, the 9% to 10% growth is for the first half, considering the sales to interunit because, as I mentioned that in certain markets, we instead of going through the API, we have gone through the formulation route. And if we would have considered the API sales to interunit this would have the API growth would come to around 9% to 10%. However, as I said, for the full year base, we expect to grow in double digits without considering the interunit sales.

Chintan Sheth: Got it. And if the gross margin compression, as you are mentioning, the formulation is a high competitive, relatively high competition versus API, the mix between the current quarter where the formulation got to 26% share has the bearing on the gross margin, that understanding looks correct, right?

Ankur Vaid: Yes. So, on account of the formulations, yes, that understanding is correct. In fact, in this half year, the percentage of API versus formulation has been 26% and 74% against 15% and 85%, respectively, in the same period last year. So, since there is a significant shift in the significant shift in the split of these 2 segments. So that's why it's been reflected over there in the gross margin.

Chintan Sheth: Correct. So, nothing sort of any pricing, as you mentioned, no pricing pressure either in the API or the raw material side...?

Ankur Vaid: No, no, because as I mentioned, if you would take it to a full year base and we get closer to the 80-20, relatively closer, the margins in all the others should fall pretty much closer to what the historical ratios have been or the guidance that we have given.

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Chintan Sheth: Right. Got it. And if you can speak about the new pipeline, we were planning to launch working 8 to 10 products and planning to launch at least 1 or 2 products every year on the API side. If you can talk about where are we in terms of new launches as well as what kind of market will open up in terms of the global market will open up the opportunity for us? That will be last, and I will join back in queue.

Ankur Vaid: See, if one would have to look at the market size for these 8 to 10 products, I would say it would be close to around \$1 billion at the API level. And in addition to these 8-10 molecules, we also have other API products that we are working on. So, it is not just limited to these 8-10 molecules.

So, the market potential is quite huge for these newer products that we tend to commercialize in the next 3 to 5 years. And all these molecules are again where we see limited competition and these are complex products. So ample growth opportunities on these products. But every year, we expect maybe around 2 to 3 products to launch every year.

Chintan Sheth: Right. Okay. And any product you want to call out that can be differentiated in high-value products among the...?

Ankur Vaid: So, I won't specify any particular product. But as I mentioned earlier, all these products, maybe the market size may vary, but if there is limited competition, I think it gives us ample opportunity to gain a significant market share over the next 3 to 5 years once we commercialize those products.

Moderator: The next question is from the line of Rushabh Shah from Bugle rock PMS.

Rushabh Shah: Yes, I just wanted to ask what is the USP of the Concord Biotech for immunosuppressants APIs, and we are one of the few Indian manufacturers. So, what is different we are doing

ing that other

players are not able to do?

Ankur Vaid: So, I think what differentiates us is our expertise and our focus on growing on our strength, which is fermentation. And based on our expertise, we have set up the infrastructure accordingly.

So, we have the economies of scale. Concord has a 1,250 -meter cube of fermentation capacity spread across 2 unit, which I would say is one of the largest globally. So, with our expertise, with economies of scale, with global regulatory approvals, as our sites are inspected by the U.S., Europe, Japan, Korea, Brazil, and many other authorities. So, we become a one-stop shop for people who are looking customers who are looking to source these fermentation API products. And based on our expertise, over the years, we've been able to capture a significant market share globally from some of our competitors who are based out of Europe and other parts of the world. So given that the way that we have grown in the immunosuppressants and also in other segments, like in anti-infectives and oncology, there are certain products where we currently hold more than 20% of the market share like we have in the immunosuppressants. So, it is not only about immunosuppressants, but it is also about other products where we have significantly grown our market share over the years for these products. So, it is mostly about our focus on what we do

best and then keep working on building that portfolio.

Rushabh Shah: Okay. So, sir, as you said, we don't see many companies having that kind of fully integrated approach in some of the niche anti-infectives also so which are for the fermentation so what

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would be the reason why other companies are not able to do it? Is it because you are in this business for 2 decades? Or what is it, sir?

Ankur Vaid: So, as I said, that it is all about the expertise. I think companies in India have not focused on the fermentation while other segments, whether it is synthesis-based or formulations have grown.

But fermentation is a very challenging process and it requires expertise to kind of run that. And in addition to that, you need the economies of scale also because you typically need very large fermenters to kind of run that process. So, to set up that infrastructure also has high entry barriers, which kind of limits newer players to enter into segments such as this.

Rushabh Shah: Sorry sir, I might be repeating, but you said there are not many players in the industry who have done the fermentation process, correct?

Ankur Vaid: That's correct.

Rushabh Shah: In any of the areas. So, sir, why is it that no one has done it? Like I wanted to understand the basic crux of it. Why hasn't anyone been able to crack this fermentation process in any of the areas from...?

Ankur Vaid: So, I think there are higher entry barriers, as I mentioned. So, when I talk about because in fermentation, what happens is that if you do not have a control on the process, an A+B can give you C, C1, C2, C3, you can get very different compounds if you do not control the process. Whereas in chemistry, if you see, you will always get the same product every time you do because it is a chemical reaction.

So, to have that control requires that expertise. And that, as I mentioned, that's not there are not many companies who have that kind of expertise in the area of fermentation. And hence, that limits players. And in addition to that, there are a lot of entry barriers, which I spoke about, whether it is the infrastructure cost as well, which also plays a role in limiting competition in this segment.

Rushabh Shah: Any more entry barriers would you like to suggest other than the cost of the infrastructure?

Ankur Vaid: So, expertise, I think having that expertise itself is one of the biggest barriers if you think about in the area of fermentation.

Rushabh Shah: Got it. Ok

ay. Sir, then my last question is, so what is the reason for the increase in the demand for immunosuppressants APIs and why will it keep on increasing further?

Ankur Vaid: Sorry, your voice is not clear.

Rushabh Shah: Sir, what is the reason for increasing demand for immunosuppressants APIs? And why will it keep on increasing further?

Lalit Sethi: In fact, immunosuppressants, we have been there in immunosuppressants since the beginning from 2000. And now we have the full basket of products in the immunosuppressants category.

So, if you look at the market of even use of immunosuppressants, it is growing at a CAGR of around 10% annually. And in addition, there is a possibility of getting a market share from the

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existing customers as well. So that's why we expect that the market for immunosuppressants, going forward, may also be lucrative for us.

Moderator: The next question is from the line of Harshal Patil from Mirae Asset Capital Markets.

Harshal Patil: Sir, I just need 2 clarifications; I've missed it in your comments earlier. One was for gross margins compression. So, sir, here, we are saying that almost 450 bps of Y-o-Y gross margin compression has come on the back of a change in mix, wherein we've got a higher share of formulations. So, sir, are we trying to say here that the formulations would have lower margins? Or if you could just help me understand that.

Ankur Vaid: That is correct, yes. The margin in formulation is lower than that of the API.

Harshal Patil: Okay. And probably the trend would continue going ahead as well, right?

Ankur Vaid: So, as I mentioned that for us to have a double-digit growth in API, the second half should be more heavy on the API given that we would see a similar ratio of 80-20 between formulations and API. So, give or take, we expect to maintain that ratio of 80-20 at the end of the year. And with that, most of the ratios then should fall in line with that.

Harshal Patil: Got that, sir, got that. Sir, so just a follow-up to this point would be like as we're expecting the overall mix to be around 80-20 for full year FY '25 and going on ahead also. So, are we therefore

saying that in the second half, the formulations would slow down? And if that's the case, then what exactly which exactly where the products which drove the performance for Q2?

Ankur Vaid: See, as I mentioned that 80 -20 is our long -term guidance given the capacities, the portfolio and R&D products that we have. So, this is our long -term guidance of 80 -20. However, you may see some variability on that on a year -on-year basis. But for this year, we do not see any significant variability on the 80 -20 split. But the 80 -20 is more of our long -term guidance given the capacities and the portfolio that we have, which are commercial or under development.

Harshal Patil: Okay. And sir, so just one last question, if I can squeeze in. So, the traction into the formulation segment, which is there in Q2 to a certain extent, would be maintained around in the second half as well? I mean I wouldn't say that so much of a big growth, but maybe in absolute numbers, the traction should be maintained?

Ankur Vaid: So, if I understand, we do see growth in the formulation segment in the second half of the year as well.

Moderator: The next question is from the line of Husain Bharuchwala from Cernelian Capital.

Husain Bharuchwala: Sir, just wondering, this will be 2 things. Like one is on the basically on the injectables, we have been delaying the launch of the injectable facility for some time now. So, what is the primary reason that we have been delaying the launch of the injectable facility, if you can explain?

Ankur Vaid: So initially, the injectable facility was expected to be commercial by September or October. However, we have now taken it to February. So, the facility is as I say, is ready.

We are just

undertaking the media fill studies and there was some delay in getting the approval from the Concord Biotech Limited

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Indian regulatory authority for the site. So given that we are going with our media fill studies, we expect that we would initiate the commercialization of products by February. So these 3 to 4 months of delay have been primarily due to the team is taking a little bit more caution in terms of doing these studies and qualifying the water systems and other equipments.

Husain Bharuchwala: Got it. And second thing, sir, just wanted to understand in the formulation, what is the percentage of the hospital business? Because what we understand is in the hospital business, probably the working capitals is a little elongated so and there are very less margins in the hospital business. So how much percentage of our overall formulation business is towards the hospitals?

Ankur Vaid: So, we supply our formulations to in the Indian market to the large corporate hospitals, mid - corporate hospitals, nursing homes. So, we do not see any challenge in pricing from these hospitals. But yes, when you talk about the institutional sales, which is to government institutions, there the margin profiling is slightly different from that you would see in the corporate hospitals. But in that case, you do not have the spend on the marketing team. So, it kind of then offsets the cost and the margins.

Huseain Bharuchwala: Got it. And anything on the working capital that is higher than you do in terms of the government orders or on the hospital side, if you can highlight?

Lalit Sethi : Working capital with respect to the government orders, yes, that's definitely slightly different because the receivables time is slightly more as compared to the corporate hospitals and the trade business.

Moderator: The next question is from the line of Sumit Gupta from Centrum.

Sumit Gupta: Sir, just want to understand pre-empting the global scenario on the fermentation -based API market. So how like overall, how big is the market and how many players do you directly compete with?

Ankur Vaid: So, the overall fermentation market would be close to around \$11 billion to \$12 billion, but the kind of products that we are currently having, I would say that our target markets, our TAM would be around \$7 billion to \$8 billion. And this includes the pipeline products as well. Talking about the competition, I would say that there is no company globally with whom we compete on the entire basket of products. There are competitors globally where we compete with them on maybe 1 to 2 or maximum 3 to 4 products. But we have a basket of almost 30 -plus products. And most of this competition comes from Europe and Southeast Asia.

So, when we talk about Europe, you have players like Teva or like AMRI with whom we are competing and in Southeast Asia, names like CCSB would be the one with whom we are competing. But globally, I would say a handful of companies with whom we are competing. And some of these new products where we are working names like Exilia are there, which is again based out of Denmark. So, with whom we they have maybe 1 or 2 products with whom on which we compete with them. So limited competition and limited players who are in this space of fermentation. But no company has a basket with whom we compete in entirety.

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Sumit Gupta: Understood. So, sir, a follow-up on this was so basically the let's say, 2 or 3 large products of you which are the major products for you. So, in that case, what market share would you be having and the other player the second player would be having? Sir, what is the differential market share between the 2?

Ankur Vaid: So, it varies from product to product, but our market share goes from anywhere between 20% of the world market share in

terms of API volumes to anywhere around 40% to 45%. And still, as I say, that even on 45%, there is ample opportunity, and we are already targeting customers to kind of capture the balance market share, given our strength in the pricing as well as on the regulatory approvals and the economies of scale that we bring in.

Sumit Gupta: Okay. Okay. Sir, second is on the like just want to ask on the growth aspect. So, it is majorly volume-led, right? You have not taken price hike over the last 3 to 4 years and you expect the trend to follow over the next 4 to 5 years?

Ankur Vaid: That's correct.

Sumit Gupta: Okay. Okay. And regarding the capex, is it maintenance only or you plan to add more?

Ankur Vaid: So, it is going to be maintenance capex. However, as we have significant cash reserves, if we see that there are fewer opportunities on the inorganic growth, then we may explore organic growth strategies as well.

Sumit Gupta: Okay. And what will be the criteria to do inorganic?

Ankur Vaid: Again, adjacencies to fermentation.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: On the utilization part, you mentioned the Unit 2 at 50% and Unit 3 at 38%, right?

Ankur Vaid: Yes.

Chintan Sheth: This is for first half.

Ankur Vaid: Yes.

Chintan Sheth: Okay. And the injectables if you can speak a bit more given the time line being taken up. Is it fair to assume that the ramp-up in the injectables will be a little faster given the approvals and everything you are kind of pre-empting before the commercial launch?

Ankur Vaid: Yes, it should be faster because much of the development work has already been done on the first phase of molecules. So, our timelines to filing would be faster, but the timeline that the regulators take to approve, I do not see any change there. So but yes, time lines to file would be relatively faster. And as I say that in February or so, we would be initiating the validation batches for some of our products, which are already being concluded by our R&D development team.

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Chintan Sheth: Right. And any initial orders, or some confirmation from our clients visiting that site or it will happen after the commercialization happens?

Ankur Vaid: Yes. So, after the commercialization, this is primarily going to be, first, for the Indian market while we'll submit our dosages in the emerging markets. And once we get the approvals in the emerging markets as well, the supply would start there. But till then, it will be primarily catering to the domestic market, where we already have a significant sales force to cater to that market.

Chintan Sheth: Correct. And when the injectables come through, do you see the mix between API and formulation to change materially from 80-20 over the next 3 to 4 years because it will take some time to reach optimum level revenue?

Ankur Vaid: So, I think, as I said, that our long-term guidance still stands at 80-20, given the capacities and the asset turnover that we expect from all the 3 sites or all the 4 sites once they are optimally getting utilized. But intermittently, you would see certain years where that mix could change, but not that significantly.

Moderator: That was the last question. I would now like to hand the conference over to the management for the closing remarks. Thank you, and over to you.

Ankur Vaid: So, thank you, everyone, for joining our Q2FY25 earnings call. We hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations advisor. Thank you once again and have a good evening. Thank you.

Moderator: On behalf of Ambit Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

CONCORD BIOTECH LIMITED

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra -Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir /Ma'am ,

Subject: Transcripts of Q 3 & Nine months FY25 Earnings call held on February 14 2025

In continuation of our letter dated February 14, 2025 regarding Audio recording of the Audited (Standalone and Consolidated) Financial Results of the company for the Third Quarter and Nine months ended December 31, 2024, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Prakash Sajnani

Company Secretary and Compliance Officer

M. No. F6242

Encl: as above

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“Concord Biotech Limited Q3 2025 Earnings
Conference Call ”

February 14, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on February 14, 2025 will prevail .

MANAGEMENT : MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , CONCORD BIOTECH
LIMITED

MR. LALIT SETHI – CHIEF FINANCIAL OFFICER ,
CONCORD BIOTECH LIMITED

MR. PRAKASH SAJNANI – COMPLIANCE OFFICER AND
ASSISTANT VICE PRESIDENT , ACCOUNTS , CONCORD
BIOTECH LIMITED

MODERATOR : MR. AMEY CHALKE , JM FINANCIAL S
Concord Biotech Limited
February 14, 2025

Page 2 of 22 Moderator : Ladies and gentlemen, good day, and welcome to the Q3 FY '25 earnings conference call of Concord Biotech Limited , hosted by JM Financial.

This conference call may contain forward -looking statements about the Company, which are based on the beliefs, opinions, and expectation s of the Company as on date of this call. These statements do not guarantee the future performance of the Company, and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Amey Chalke from JM Financial. Thank you and over to you sir.

Amey Chalke : Thank you, Steve. Good evening, everyone. I, Amey Chalke , on behalf of JM Financial s, welcome you all on the Q3 FY '25 Earnings Conference Call of Concord Biotech.

At the outset

t, I thank the Management of Concord Biotech for giving us this opportunity to host the call.

Today from the Company, we have with us ; Mr. Ankur Vaid – Joint Managing Director and CEO; Mr. Lalit Sethi – Chief Financial Officer; and Mr. Prakash Sajnani – Compliance Officer and Assistant Vice President, Accounts.

I now hand over the call to the Management for their "Opening Remarks ". Over to you, sir.

Ankur Vaid : Good evening, everyone. This is Ankur Vaid. Thank you for joining us on our Q3 FY '25 Earnings Conference Call .

We are pleased to report stable performance for Q3 FY '25. Our revenue from operations stood at INR 244 crores compared to INR 240 crores in Q3 FY '24, a modest growth of 1%. This growth was moderated due to customer procurement patterns and also on account of upcoming annual tenders for the formulation, resulting in lower uptake in Q3 FY '25.

EBITDA for Q3 FY '25 stood at INR 98 crores, with EBITDA margins at 40.1%. Our profit after tax stood at INR 76 crores with margins at 31.1% for Q3 FY '25.

Looking at the 9 months FY '24 performance, revenues increased by 10% year -on-year, driven by a 3% rise in API revenues and a 42% increase in formulation revenues compared to the same period last year.

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Page 3 of 22 Our outlook remains positive, in line with our long -term guidance of achieving a 25% CAGR growth over the next 5 years.

Moving towards the segmental breakup :

Our API revenues for Q3 FY '25 stood at INR 176 crores against INR 172 crores in Q3 last year, a growth of 3% year -on-year. We would like to highlight that the interunit sale of API to formulations has not been considered in the API revenues. Hence, we see a muted growth for our API segment. Including the interunit sale of API to formulations, our API revenues grew by 9.6% for Q3 FY '25 on a year -on-year basis.

We observed some of the customers phasing out their procurement from Q3 to Q4, which is also reflected in the strong order book position we have. Our formulation business has experienced notable success, gaining strong acceptance among customers across various regions.

In Q3 FY '25, our Formulation segment stood at INR 67 crores. Formulation segment revenues were impacted during the current quarter on account of the calendar year closure for many of our global clients and on account of tenders from these customers, which generally open for the next year in January, reflecting high order inflows and revenue booking in the coming calendar year.

However, for 9 months FY '25, our revenues from the Formulation segment stood at INR 192 crores, up by 42% on a year-on-year basis. We have built a strong on ground sales and marketing team of over 200 members across India, driving expansion and deeper market penetration. With the continuous addition of new products to our portfolio, we are optimistic about broadening our customer base in the years ahead.

Our strategic focus is to target domestic and emerging markets, leveraging our expertise and market reach with an opportunistic approach for the regulated markets. As our Formulation business continues to evolve, we anticipate substantial growth in both product offerings and customer acquisition, contributing significantly to our overall success in the medium to long-term.

Currently, our product portfolio includes 30 plus Fermentation -Based APIs across Immunosuppressants, Oncology, Anti -Infective and Anti-Fungal segment. As part of our strategic growth plan, we aim to introduce 8 to 10 additional products over the next 3 years, with a strong focus on oncology and anti -infectives. This expansion aligns with our R&D priorities, where we are developing niche products with complex processes and limited competition.

By leveraging our expertise in fermentation -based APIs, we are strategically positioning ourselves to capture a significant share of these niche markets. Our goal is to establish a strong

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Page 4 of 22 global presence and achieve market leadership, targeting a sizeable global market share within the next 5 years.

In addition to product expansion, we are actively acquiring new customers across different regions, while strengthening relationships with existing partners. By offering a comprehensive and differentiated portfolio, we are enhancing our market share, driving long-term revenue growth, and solidifying our leadership position in the specialized space.

In our CDMO business, we continue to engage with potential customers to consider Concord as the potential CDMO partner and are seeing growing number of inquiries and multiple RFQs being submitted.

With our established capabilities, strong track record, and regulatory approvals in place, we are well positioned to capitalize on this opportunity and drive our future growth. Our strategic focus is to partner with large innovators and well-established generic companies with significant market presence.

Concord offers a unique advantage as a CDMO partner, utilizing our expertise in fermentation-based APIs, complex formulations, and higher-value products, making us a strong and reliable partner for major industry players looking for a fermentation-based manufacturing partner.

While CDMO was initially part of our long-term strategy, we now see it as a medium-term growth driver, given the increasing industry interest. This shift reflects our confidence in utilizing our niche capacities and capabilities to support large partners in bringing innovative and complex products to market.

Moving on to quarterly updates. During the quarter, we made a strategic investment of \$1 million in compulsory convertible notes of Palvella Therapeutics Inc. Palvella Therapeutics founded in 2015, is driven by a singular mission to provide treatments for individuals suffering from rare genetic skin diseases.

Palvella Therapeutics is a biotechnology company specializing in developing and commercializing medicines for patients with rare dermatological diseases. Headquartered in Wayne, Pennsylvania, Palvella's Leadership and Scientific Management Team has a proven track record of success and a strong commitment to leading the way in the advancement of target treatments for rare genodermatoses.

With a team of passionate industry leaders, the Company is dedicated to developing breakthrough solutions for patients with high unmet medical needs. This investment aligns with our long-term growth strategy as it paves the way for a strategic partnership, focused on the manufacturing and commercialization of QTORIN, a therapy designed to treat rare genetic skin diseases.

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Page 5 of 22 Through this financial commitment, we aim to strengthen our collaboration with Palvella and enhance opportunities for supplying our products to them in the future, expanding our footprint

in the global markets.

Additionally, we have also made a strategic investment by entering into a share purchase agreement with CleanMax Private Limited and CleanMax Enviro Energy Solutions, under which Concord will acquire a 26% equity stake in CleanMax.

Our investment is specifically in the state of Gujarat, where CleanMax operates a 6.6 megawatt wind capacity and a 3.3 megawatt DC solar capacity, dedicated to powering our Dholka plant.

This investment aligns with our commitment to sustainability and our focused efforts to address environmental challenges. By transitioning to renewable energy sources, we aim to significantly reduce our carbon footprint, contributing to global climate action initiatives.

Additionally, renewable energy adoption offers long-term financial benefits, including lower energy costs and enhanced operational efficiency.

Finally, an update on our injectable plant. The plant is scheduled to begin commercial production in the current quarter, with revenue generation expected to build up over the next financial year.

We have several products lined up for launch from this facility in the upcoming year, which will contribute to both revenue growth and profitability going forward.

Concord is one of the few companies that manufacture both oral solid dosage and injectables, along with in-house API production and backward integration to produce key starting materials. This unique capability positions our products alongside those of large pharmaceutical companies, increasing their acceptance and usage within the medical community.

We are also delighted to announce that Concord has been honored with the Sustainability Reporting Award from the Institute of Chartered Accountants of India. This prestigious recognition reaffirms our commitment to transparency, ethical governance, and sustainable growth, all in alignment with global standards and the UN Sustainability Development Goals. At Concord, sustainability is at the core of our business strategy, and this award is a testament to our ongoing efforts to drive responsible and impactful growth, while maintaining the highest standards of corporate governance.

At last, I would still emphasize to assess our financial results on an annualized basis rather than a quarterly one. This is because customer procurement patterns may lead to lumpiness, with some quarters experiencing higher procurement than others.

Therefore, a more accurate assessment of our performance is best achieved by analyzing the medium and long-term trends, rather than focusing solely on short-term variations.

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Page 6 of 22 With this, I hand over the call to Lalit Sethi, our CFO, for financial and operational performance. Thank you.

Lalit Sethi : Thank you, sir. Let me take you through the financial and operational performance for the quarter ended December 2024. Our revenue for the 9 months FY '25 stood at INR 770 crores as compared to INR 698 crores in 9 months FY 2024, representing a growth of 10%.

Our revenue for this quarter stood at INR 244 crores as compared to INR 240 crores in the same period last year. Revenue from API business stood at INR 176 crores in this quarter against INR 172 crores during the same period last year and API revenue in the 9 months of this year stood at INR 577 crores against INR 562 crores during the same period last year.

As mentioned, API revenue excludes intercompany sales to the formulation unit and hence shows muted growth. API revenue growth includes interunit transfer to the Formulation segment, excluding that it stood at 9.6% for the quarter and 10% for the 9 months on a year-on-year basis.

Revenue from the Formulation business for this quarter was INR 67.6 crores compared to INR 68.5 crores in the same period last year. The revenue growth was impacted by the year-end closure in several of our international markets, which led to the sales being pushed to the following quarters.

Additionally, new tender releases typically occurring in January will be reflected in the financials of the current quarter. Revenue from the Domestic business grew by 13% in the 9 months '25 on a year-on-year basis and revenue from the Exports business has grown by 8% in the 9 months of this financial year.

Speaking on EBITDA. EBITDA for the 9 months stood at INR 315 crores, representing a growth of 6% on a year-on-year basis, and EBITDA for this quarter stood at INR 98 crores as compared to INR 105 crores in the same period last year. This is on account of subdued revenue growth. However, our long-term sustainable margin guidance is in the range of 40% to 43%. EBITDA margin for this quarter stood at 40.1% and for 9 months, it stood at 41%.

On profit after tax, our profit after tax for this quarter stood at INR 76 crores as compared to INR 77.6 crores in the same period last year. PAT margins f

or this quarter stood at 31.1%.

PAT for the 9 months '25 stood at INR 231 crores as compared to INR 213 crores in the same period last year, a growth of 9% Y-o-Y.

PAT margin for the 9 months financial year '25 stood at 30% as compared to 30.5% for the same period last year. We are a zero-debt company with investments, bank balances, and cash and cash equivalents to the tune of INR 250 crores as on 31 December, 2025.

With this, I shall now leave the floor open for question-and-answer.

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Page 7 of 22 Moderator : Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and 1 on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press "*" and 2. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth : Thank you, Ankur Ji, and Lalit Ji for the opportunity. On the revenue growth, you mentioned the reason for quarterly revenue. But even if I look at trailing 12-month revenues, the growth has been around 10%, 12% versus what we were initially guiding for this year, which was around 18% to 20%. So, I am just trying to understand whether we maintain our current year growth guidance at around that level or if we will like to revise it a little downward.

And secondly, on the Limbasi facility, if you can highlight how the ramp-up and the product shifting, which was likely to happen during the year, how that progress has been made so far?

Ankur Vaid : Sure. Thank you. So, as you would have seen in our quarter-on-quarter numbers, our Quarter 1 number was slightly on the lower side, and we saw a ramp-up in our growth in Quarter 2. And again, Quarter 3 has been relatively muted.

And as I mentioned that, given our order book position that we have and given that much of the phasing out has happened or the shift has happened to Quarter 4, we expect our Quarter 4 again to be on the higher side. And so it is going to be more about the execution of the orders book position that we have.

That being said, in our previous calls also, we have mentioned that if you have to break down the growth for us, it is basically, say, at 10% on a baseline growth, we look at around 2% to 3% shift from the innovators to the generic, another 2% to 3% growth comes from new customer acquisition, and another 2% to 3% comes from increasing the market share for our newer products. That's how the 18% comes out.

Historically, we've been doing that. And even in this quarter, we are looking at a couple of our customers that we intend to work with new customers for some of our new products. So, one would have to see how that pans out. But as I said, we have a good order book position, and I think our Jan numbers have been good.

We are working very much on getting our February numbers out as well, in line with what we expect. So, I won't be able to guide you on that, but from the looks of it, we are moving in the right direction. We just need to see that some of the customers that we intend to build on as part of the 2% to 3% know, how we are going to be doing that. Things are moving in the positive direction.

In terms of the Limbasi ramp-up, our capacity utilization, Lalit, stands at?

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Page 8 of 22 Lalit Sethi : Yes, it stands at 35% for this 9-month book against 32% in the same period last year.

Ankur Vaid : So, while the customer additions have happened, I would say that still some of the customers are taking a little bit more time than I would have actually wanted it to be.

But again, the efforts are going on, on that front. We have a couple of customers who have taken the material from the

new site, and we expect that in the next couple of months, they would also shift.

So, depending upon the resources that our formulation partners have versus new products and site qualifications. This process is an ongoing process. And we anticipate that more and more customers in the coming months will be shifting to Limbasi facility, which will further increase our capacity utilization. And as I said earlier also that the new products that we intend to build on in the anti-infectives, Antifungal segment, that is all going to be coming from the new site only instead of the Unit 1.

Chintan Sheth : And just to touch upon the growth. Are we seeing end market demand for the products for our clients are declining or competitive intensity with them has increased, which results in the slower offtake from them? Or this is just a channel timing issue in terms of procuring from you guys?

Ankur Vaid : So, we have not seen any change in the market per se. It's not like our customers have added alternate suppliers and they are procuring it from other players. I think since we had a heavy

Quarter 2, my sense is that probably because of the heavy quarter, they would have had inventories, which would have led them to some of the customers phasing out. It is not that all the customers ended up phasing out to Quarter 4.

But some of the customers phasing out gets reflected in the overall growth for that specific quarter. But new customer addition for our existing products, I think that is something that didn't happen in Quarter 3, but the discussions were ongoing. And I expect that at least a couple of them should get on board in this quarter.

Chintan Sheth : I will join back. Thank you for the question.

Ankur Vaid : Thank you.

Moderator : The next question is from the line of Huseain from Carnelian Capital. Please go ahead.

Huseain Bharuchwala : I just wanted to understand on the CDMO side, since you said that moving from long-term, it has now moved to medium term. So, how do you see the CDMO contract? Can you give some color on that? And are you seeing customers visiting your site? And have RFQs have actually increased over the period compared to last quarter or so or maybe a year or so? So, give some colour on that, sir?

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Page 9 of 22 Ankur Vaid : So, on CDMO, as I mentioned that we had earlier built it into a long-term strategy. And we have given how things are panning out globally. We have made it into more of a medium-term strategy. And currently, we have filled out a lot of RFQs. But if you see active engagements, I would say those would be a couple of projects that we are actively discussing.

Again, decisions like these could take time and the true impact of that would take at least 9 to 12 months. And that's why while our efforts are going on, on building this CDMO segment, I would still put this in a medium-term bucket. While things can change, but the true impact on the financials, I would say, would be in the medium-term only. But our efforts are ongoing in this CDMO space.

Huseain Bharuchwala : Any number that you can share in terms of the RFQs that have gone up, if you can, say, the RFQs have gone up by 40% or 30% or anything of that sort if you can share?

Ankur Vaid : RFQs never talk about the quantum of the business. So, they are typically talking in terms of the technical evaluations that are going on. So, I would not want to give any number on the CDMO, because whatever growth that we talk about, that is apart from the CDMO. So, if that happens and our efforts are going on, I think at appropriate time when things move to that level, I would be happy to share that in terms of what is the quantum impact on the top line. But for now, I would just say that our efforts are ongoing on that, and a couple of the projects are where we are actively engaging with them.

Huseain Bharuchwala : Got it. And sir, an

y viewpoint that you would like to share on the raw material prices. So, are the raw material prices gone up a little bit and we are not able to pass through, because our gross margins have contracted. Is it because of the change in the mix in formulation going up? Or is it because the raw material prices have gone up, and we are not able to pass through all those increases in the cost? Any colour on that front?

Ankur Vaid : I think our gross margins have been relatively flat.

Lalit Sethi : Flat. It's flattish. Basically, there is some product mix. But as far as the prices of the raw material is concerned, there is no impact on the raw material prices.

Huseain Bharuchwala : Got it. Okay, that's the only question from my side. Thank you so much.

Lalit Sethi : Thank you.

Moderator : The next question is from the line of Sumit Gupta. Please go ahead.

Sumit Gupta : Sir, what has been the capacity utilization of all the 3 facilities?

Lalit Sethi : For Unit 1, it is 78%; and for Unit 3, it is 35%. Unit 1 is the Dholka facility and Unit 3 is the Limbasi facility. And for Unit 2, it is 26%.

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Page 10 of 22 Sumit Gupta : Okay. So, what utilization can we expect over the next, let's say, 1 year or 2 years? How do you see that panning out?

Ankur Vaid : See, if you look at Unit 1, while we're at 78%, but at times, the capacity may not be a true indicator of the volume, the revenue contribution that it could give, because when we talk about the utilizations, it is based on the fermentation capacity being used.

Now for oncology products, where we have a 5,000-liter fermenter compared to the 400 meter cube that we have at Unit 1, the contributions from the 5,000 liter fermenter would be significantly higher at times. So, with an increase of maybe 0.5% to 1% level, the contributions to the topline could be much higher.

But that being said, as I mentioned earlier, much of the growth in the API space is going to come from Unit 3, where we'll be shifting the customers from Unit 1 to Unit 3, and also newer products are going to be manufactured at the Limbasi facility. So, ex-oncology products, the

capacity utilization is bound to increase on Unit 3.

And given the growth guidance that we have given, the API growth will move in line with the capacity utilizations for Unit 3.

Sumit Gupta : Okay, sir. Thank you for the detailed answer. The second question is basically about the trajectory of the margin. So, how do you see that panning out? What has been the pricing environment and then leading to the margin trajectory, over the medium term?

Ankur Vaid : I'm sorry, the margin trajectory and?

Sumit Gupta : And the pricing scenario, what has been the overall trend? And how do you see that panning out?

Ankur Vaid : So, the growth for us has been primarily volume -driven growth. And there is not much change on the pricing front with our existing partners. That being said, when we go for a much larger customer base, the newer customer acquisitions could be at times higher or lower than our average pricing that we have for the products. It depends upon the market and depends upon the customer to customer. But the existing prices to our existing customers have been fairly stable, and have been primarily a volume -driven growth for us.

And when it comes to margins, since the price points are not changing and there is not much variation on the raw material cost, the gross margins are expected to be relatively stable, and that's something that you would see on our 9 -month gross margins as of date as well.

Lalit Sethi : Well, another variable is the product mix, which does have some impact on the margin profiling. But since our API and formulation split is normally in the range of 20% and 80%, so therefore, the margin profiling is going to be more or less in the same range, unless and until there is a significant shift in the split.

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Page 11 of 22 But as far as the designing of our capacity is concerned, with respect to the API and formulation, the designing of the capacities has been in such a manner that the potential revenue from API and the potential revenue from the formulation stands at 80% and 20%, respectively. Therefore, going forward also, in the long run, our margin profiling is going to be in the same range of 40% to 43% EBITDA.

Sumit Gupta : Okay. And sir, your overall employee cost has also increased, if I take the 9 months data of around nearly around 10% of increase. So, do you expect more employees to be added, sir?

Like what is the current headcount? And like what exactly do you see the trajectory going on here?

Lalit Sethi : So, as far as the Unit 4, which is also ready for capitalization, the new headcount is likely to be appointed for the Unit 4. Therefore, there could be a onetime increase in expense. And going forward, this is going to be offset from the revenue, which will be generated from the injectable units.

Ankur Vaid : See, in addition to the injectable manpower, as our capacity utilizations would increase and also with the injectables coming in, there could be some increase in our field force also, but that is not a significant change. But definitely, we expect some additional manpower coming at both Unit 3 as well as our injectable marketing team as both the things ramp up.

Sumit Gupta : Understood, sir. Lastly, on the price, I understand that you stated you have not taken a price hike. It is on a consolidated basis, right? But are there some contracts where on a case -to-case basis, you have taken price hike?

Ankur Vaid : Yes, of course. So, it depends upon the customer. As I said earlier, there could be certain accounts wherein we want to get into those larger accounts, where the pricing could be different compared to what our average pricing could be. And there could be certain smaller accounts where we may be able to get relatively better pricing. So, it depends upon product to product, customer to customer, and which region we are targeting.

Sumit Gupta : Okay. So, in that case, what is the frequency of price revision?

Ankur Vaid : So, we don't have a standard pricing. It depends upon, if we are going with a second source opportunity, what is the price that we need to give in order to get that opportunity? So, it gets on a case -on-case basis. And if there is any revision in the price, then it depends upon that opportunity. But I would say that there are no upward revisions. So, ours is more of a volume growth, but price revisions could happen depending upon the opportunity that we intend to capture.

Sumit Gupta : Understood, sir. Thank you.

Moderator : Thank you. Participants who wish to ask a question may press "*" and 1. The next question is from the line of Alok Dalal from Jefferies India. Please go ahead.

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Page 12 of 22 Alok Dalal : Yes. Good afternoon. Lalit, sir, what is the growth that we are seeing in the top 5 APIs?

Lalit Sethi : In the top 5 APIs, the growth is at the range of around 5% to 6% case taken on the third -party

sales.

Alok Dalal : Okay. And rest of the APIs, how is the growth trending there?

Lalit Sethi : Yes. So, in anti-infectives and oncology, the rate of growth is significantly better as compared to the immunosuppressants. As there are some new molecules, new markets have been there for those molecules.

Ankur Vaid : And when we talk Alok, about the 5%, that is to third-parties. As I mentioned that, the Unit 2 primarily has backward integration with our API. So, when we are going with a 43% rise in the formulation sales, it is also impacting the growth in the API sales also. So, that 5% is just to third-parties, but we are capturing a much larger market through our formulations, which in turn would also lead to API growth.

Lalit Sethi : So, 1 thing I just wish to add here. So, in case there is not interunit sale and the interunit sale is to be made to the third-party, in that case, the growth in API would have been 10%.

Alok Dalal : Okay. And, sir, these numbers are on a 9-month basis, no?

Lalit Sethi : Yes, these are on 9 months basis.

Alok Dalal : Would you be able to share the contribution of the top 5 APIs to overall revenue for 9 months?

Lalit Sethi : No. Normally, we don't share the molecule-wise...

Ankur Vaid : So, product by product breakup, typically, we don't provide.

Alok Dalal : Okay, sir. And, sir, what is the CapEx guidance for FY '25 and '26?

Lalit Sethi : Capex is more or less over. As we mentioned in this quarter itself, that amount of INR 225 crores, which we have spent on the injectable unit, will be capitalized. And there is no growth Capex, which is expected for the financial year '24-'25. There will be only maintenance Cap ex with respect to all the units, which will be to the extent of around INR 15 crores to INR 20 crores per annum.

Ankur Vaid : Yes. But if we do get into, apart from formulations or fermentation APIs, if we look at other opportunities within the adjacencies of fermentation and if that requirement comes, whether to do it in-house or through other procurement, then that's something that we may look at. But for our API and Formulation business, as Lalit said, there will be no Cap ex requirement.

Alok Dalal : Got it. And Ankur, the last point, what will be the utilization rate for the injectable plant for FY '26? Let's say, when you end FY '26, what kind of utilization can one look at?

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Page 13 of 22 Ankur Vaid : So, Alok, a little too early for us to come down on the numbers. But as I said that for the next financial year, this is primarily going to be targeting the domestic market. And we will do the filings into the emerging markets in the coming financial year. And in FY '27 is when we would see both emerging markets and India n markets contributing.

But for next year, it is primarily going to be the India market, which I believe is also a very, very significant and a very big market, particularly for the APIs, particularly for the finished formulations that we intend to sell in the domestic market, because, as I said earlier that there is no other company like Concord, which is fully integrated right from API to finished formulation. So, definitely, we would be able to use it to our advantage, the backward integration approach, and be able to cater to the Indian markets in a much more aggressive manner.

Alok Dalal : Understood. And sir, while you explained about the margins in the 40% and 43% range, shouldn't the margin be higher, more than 43% because now the Cap ex is over and it will have the utilization ramping up? So, shouldn't the margin move in, let's say, by FY '27, should it be more towards the 45% range?

Ankur Vaid : So, again, it is more cyclical in nature, because when we had our Limbasi facility not ready or just got ready, our EBITDA numbers were lower. And as ramping up started, we saw that going from 38% to 40%, 42%.

And now that in the next year, we will have the injectable facility coming up, one would have to see that there would be a positive impact from the ramping up of the Limbasi facility, but there would be some bit of drag coming from the injectables.

But of course, we will stay in that 40% to 43% range, as Lalit mentioned. But once the injectable facility also starts ramping up in a manner that we are looking over the next 2 to 3 years, then yes, it could also start having higher contributions to the EBITDA margins.

Alok Dalal : Understood. Okay, sir. Thank you for taking my questions.

Ankur Vaid : Thank you.

Moderator : The next question is from the line of Harsh Bhatia from Bandhan Mutual Fund. Please go ahead.

Harsh Bhatia : Yes. Ankur, j

ust 2, 3 quick questions. Are you calling out the drag from the injectable facility?

Ankur Vaid : Not in this year. This year, we intend to capitalize or commercialize the injectable plant by the end of this quarter. So, I don't see any significant impact in this quarter.

Harsh Bhatia : Okay. And in the second quarter, you had mentioned that the external API sales will grow in low-double digits for FY '25. So, do we still hold to that guidance for the full year, external API sales?

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Page 14 of 22 Ankur Vaid : Yes. But see, again, as I mentioned, now you need to look at from an overall company perspective, because there are a lot of markets that we are also able to address through our formulation.

So, the overall pie is the same, whether I address it through an API sales or I address it through formulation sales. And that's why, since the last 2 quarters or so, we have been giving how the API growth has been considering the interunit, because that is a true representation in terms of how we are addressing the addressable market. Some bit happens through the API and some are happening through the finished formulation.

Harsh Bhatia : So, just to get this more accurate, talking only about the third quarter, you mentioned that external sales would have grown by almost 9% to 10%, ex of the captive sales. So, if I do the rough ...

Ankur Vaid : No, no. For captive sale, it is 10%.

Harsh Bhatia : Sorry, you were saying?

Ankur Vaid : I was saying it includes the captive sales. So, the API growth, including the interunit sales, constitutes to 10% API sales growth.

Harsh Bhatia : So, roughly, if I do the calculation, again, if I'm not wrong, that would be incrementally another INR 12 crores, INR 13 crores for this quarter that would have been captive consumed?

Lalit Sethi : 10% will account for around INR 20 crores. Yes, INR 15 crores to INR 17 crores.

Harsh Bhatia : So, this INR 15 crores to INR 17 crores of sales that are basically getting transferred to the formulations in terms of, let's say, capital sales. I'm just trying to get the numbers sort of more directionally accurate. That is not getting reflected in the formulations as of now, right?

Because your INR 68 crores formulation sales was in third quarter of last year, and it is the same as INR 67 crores in this third quarter.

So, that incremental INR 15 crores is getting accounted in which format? Like, I understand that transfer pricing might be something that I don't understand. But how should we think about this? Because even in the second quarter, this was the same case, but the formulation sales were higher. But this quarter, you're saying that INR 15 crores, INR 17 crores are getting transferred to formulations, so.

Lalit Sethi : In fact, you need to see that from the 9-month basis. So, in 9 months period, there is a growth of 42% as far as the formulation sales is concerned. The increase in the formulation sales is on account of the API, which has been provided from Unit 1 or Unit 3 to the formulation.

So, that kind of growth number has come only through the interunit sales. So, instead of looking at the quarterly number, we need to see the 9-months number.

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Page 15 of 22 Harsh Bhatia : And when we provide the guidance of 20%, 25% sales target for the next 3 to 5 year period, that is on an external sales basis, right?

Ankur Vaid : So, the 20%, 25% guidance is at the Company level. So, there, we are not breaking it down into the API or the injectables or the oral solid. Here we're talking in terms of the overall growth of the Company coming at 20% to 25%. And see, there are certain markets where we will go through the API. There are certain markets where we will address it through the finished formulation.

And I think when you have the backward integrated approach, especially for fermentation APIs,

I don't think any company globally has that, that they are making the fermentation APIs also and integrating them into injectables or oral solids.

So, wherever required, we would use this as an opportunistic approach to cater to the market requirements. So, that would result in the overall growth of the company, which is the 25% CAGR that we talk about. So, the breakup will depend upon how the market is panning out.

Harsh Bhatia : So, net-net reported basis, it should be 20% to 25% CAGR on the reported basis?

Ankur Vaid : On a company level basis, correct. Correct. On the reporting basis. Yes.

Harsh Bhatia : Okay. Since we're on the fermentation side, is there anything on the CDMO from a peptide level perspective that we're working on? Is there anything you would like to share or too early to call out?

Ankur Vaid : Sorry, could you repeat?

Harsh Bhatia : Anything from the fermentation side for the CDMO angle? Are we working on the peptides space as of now?

Ankur Vaid : So, definitely, it is an area of our interest and meets our expertise that we have. So, currently, it

is definitely a good area to evaluate.

Harsh Bhatia : Alright. Thank you so much.

Ankur Vaid : Thank you.

Moderator : Thank you. Ladies and gentlemen, in order to ensure that the Management is able to answer questions from all participants, please limit your questions to 2 per participant. And if you have follow-up questions, please come back in the queue.

The next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

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Page 16 of 22 Alankar Garude : Hi, thank you for the opportunity. Ankur, 1 clarification. Can you reconfirm the 25% growth guidance is a CAGR and not a guidance of 25% year-on-year growth in the 5th year, which would be, say, FY '29?

Ankur Vaid : That is correct. So, this is a CAGR guidance that we are giving and not a 5th year 25% growth.

Alankar Garude : Understood. And the second clarification would be, when you say 80-20 split between API and formulations, do you also include the interunit sales within the API percentage of 80%?

Lalit Sethi : No, no. No. In fact, what happens is when the sale is made from the API plant to formulation plant, that sale has not been reported and has been adjusted as the interunit sales in the consolidated accounts.

Alankar Garude : Got it. My question is, so see, if I look at 9 months of overall sales growth of 10% year-on-year, even if you assume that the fourth quarter is very strong, we won't finish the full year FY '25 with more than low to mid-teens overall sales growth.

Now in this context, how should we look at the journey from, say, FY '25 growth rate to the 25% CAGR you mentioned? Will it be a stepwise journey as we had guided in the past? Or will there be a strong growth in FY '26 on this relatively low base, followed by further growth in FY '27 as the injectable contribution kicks in?

Ankur Vaid : So, I will give a broad level answer to this. Again, what we spoke about is that, we know that how the journey is going to be. And again, it is based on the capacities and the capabilities that we have and the product mix that we have. So, maybe I will give a rough number, say, on the injectables.

So, considering the assets that we have for the injectables, the asset turnover should be close to around INR 500 crores to INR 600 crores, based on the asset turnover. And even if I discount it significantly a number to it and say let's go with the number, just now that we're talking, say, INR 300 crores.

And if you take it on INR 1,000 crore base, that turns out on a 5-year period to almost 6% growth. So, again, that 6% is not going to happen on a year-on-year basis. This will happen again on a gradual basis, because as I mentioned, in year 1, it is going to be more domestic, followed by penetration into the emerging markets and then

more stabilization and ramping up will happen.

So, even if we take on an 18% growth, this takes you to the 24% on a CAGR number. But the other areas, which is the oral solid dosage or the new APIs that we are building up on the fermentation side, and the ones that are there in the pipeline, they would also be contributing. So, if you take that out that, when I spoke earlier about 10%, 2%, 3% and 3%, taking it to 18%, there could be a year wherein maybe 1 of those may not have contributed.

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Page 17 of 22 But that doesn't mean that the baseline becomes lower and you build on an 18% growth or a 20% growth on that. It could be that, that opportunity, maybe work is going on, but it gets translated into potential business in the next year. So, as long as you have the expertise, you have the scale, and you have a competitive cost point, that opportunity to get would happen. Now it could happen in year 1 or it might translate into business opportunity in year 2. So, that's how we look at in terms of how we break up the API business and then what's the contribution coming from the oral solid and the injectable space.

Alankar Garude : Understood. And 1 last question, with your permission. For us to track the progress of the Limbasi facility, at least we believe that external API sales should be the right metric to look at. Our external API sales have been relatively weak. The growth has been relatively weak for us for the last few quarters now. You did speak about clients taking more time than anticipated.

But at the same time, we have also seen 1 of your competitors' newer facilities getting ready.

So, in that context, can external API sales growth be relatively slow for a few more quarters?

Ankur Vaid : So, there are 2 points to it. First is that Concord formulation unit was the first one to qualify Limbasi, which also triggered. So, much of our sales to the formulation actually happen through Unit 3, which is the Limbasi.

So, our procurement is primarily from Limbasi side, while Unit 1 customers have not shifted,

we'd like to cater to them through our Unit 1. So, Limbasi facility is not only catering to third - parties, but is also catering to Unit 2, which is our formulation.

In terms of the client, as I said, this is a continuous work that is going on. Many of the customers have shifted, but there are quite a few customers who are in the process and some who have to take that step.

Regarding the competition, Alankar, I won't comment on that. I think we would just need to see that how the progress happens there, and if there are any challenges that come due to that. I think at different platforms, we have spoken in terms of how our competitors' capacities are and how they are panning out. But I would not want to talk in terms of how they are going ahead.

Alankar Garude : One follow -up here, Ankur, would be, so within that 35% utilization, which Lalit sir mentioned, of Limbasi in this quarter. When you started this facility and, got FDA approval for this facility, you would have envisaged a certain captive versus external split. So, at this 35% threshold, can you give a broad indication as to where we are on this external captive split today versus what our expectation was, say, 3 years back?

Ankur Vaid : So, our expectation was to gain more market share. We would have never thought that, let's target an X market through our formulations. The intent is to capture market share, preferably through API, but if it doesn't happen, then through the formulation.

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Page 18 of 22 So, there are certain opportunities in formulation like the growth that we have of 42%, 3 years back, we would not have built these ramp -ups in the formulation. So, the idea is to cater to the demand, whether to third party or to our in -house via formulations through the Limbasi facility.

Alankar Garude

: Got it. That's it from my side. Thank you.

Ankur Vaid : We have not done this kind of segregation is what I would say.

Alankar Garude : Understood. Thank you.

Moderator : The next question is from the line of Parvati Rai from Equentis Wealth Advisory. Please go ahead.

Parvati Rai : Yes. Thanks for taking my question. So, quick on the follow -up where we just hope that some of these orders have shifted to Q4. So, is there a possibility that it might move beyond Q4?

And what I'm trying to ask is, will that grow? So, the shifting that has happened from Q3 to Q4, will that move from Q4 to Q1? Is there a possibility of that as well? Since we are banking so much on a strong quarter, because last quarter also, we did say that H2 would be much stronger. So, that's where I'm coming from.

Ankur Vaid : So, again, H2, we continue to say would be stronger than H1. But we cannot take away the possibility of anything moving to Quarter 1. But our Jan, and so far our Feb numbers have been pretty good. But again, I can't rule out that possibility. That would always be there. But the way that things are progressing, I am confident of where we are.

Parvati Rai : Okay. A quick 1. So, the other income was quite high during this quarter. So, specifically, anything to call out there?

Lalit Sethi : That's basically on account of the investments that we have made, the interest component and the profit on some of the investment s, which have been in cash.

Parvati Rai : Okay. And 1 quick one. So, last quarter, we did call out that with respect to the immunosuppressants, some client discussions were on in LatAm, and possibly materialize d within a couple of months. So, any update there?

Ankur Vaid : So, I'm not sure on that. But I think if it is for the market that I think probably we have taken that opportunity through the formulations.

Parvati Rai : Okay. And last 1, a quick 1 where you did mention that 8 to 10 new products and possibly 1 or 2 every year. So, 2 to 3 products to be launched every year. So, if you could give some more colour, since we are almost on the last quarter now sitting here. So, from a next year perspective, what are those 2 to 3 products and are we on time to launch them as in on track?

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Page 19 of 22 Ankur Vaid : Yes. So, I think we did speak on 1 of the calls also, on this that 1 product like Voclosporin, it is again for immunosuppressant s for lupus, and this had a PARA IV opportunity. And we are also working with a PARA IV company on Voclosporin. So, we have just filed the DMF. And so that is there. We have a couple more products which are at very advanced stages of filing also, which I would expect that maybe in February or March, we would be filing the DMF for that product also.

So, I would say this year, we would have 2 products that we would have launched. We have also supplied certain exhibit bag quantities to that customer. But besides the PARA IV opportunity, so the impact of that would probably happen in the next few years. And till that

time, we would see how we can take that product to different markets , where that patent is not applicable. But yes, those are the 2 products. And again, for the other products, we are at quite advanced stages as well.

Parvati Rai : Okay. Great. Thank you.

Ankur Vaid : Thanks.

Moderator : The next question is from the line of Harshal Patil from Mirae Asset. Please go ahead.

Harshal Patil : Thank you for the opportunity, sir. Sir, though you've been alluding to we should be looking at it more from an annual basis or a 9 -monthly basis. So, this is basically just for my understanding. I just wanted to know, for this quarter, both the API and the formulation sales have actually declined on a sequential basis, and we've actually had a gross margin expansion. Sir, I just wanted to understand if I'm missing anything out here. This is just for my understanding , sir.

Ankur Vaid : So, you're saying with respect to previous quarter or?

Harshal Patil : Yes, with respect to previous quarter, Q3 on Q2.

Ankur Vaid : On the gross margin level?

Harshal Patil : Yes.

Lalit Sethi : I think we need to look into this and get back to you, separately.

Harshal Patil : Sure. Okay, sir. That was it from my side.

Ankur Vaid : Thank you.

Moderator : Thank you. The next question is from the line of Nikunj Mehta from Magma Ventures. Please go ahead.

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Page 20 of 22 Nikunj Mehta : Hi. Thanks for the opportunity. And sorry for harping again on the API point. One of the points that you mentioned in this quarter was because of the delays in order bookings from the customer side. And typically, that happens towards the end of the calendar year.

So, my question to you was that if I look at the last quarter, in the base business also, there was a 20% decline in the API business. So, we are anyways sitting on a lower base. And if I'm not wrong, last time also during this time, there was a site transfer, which our couple of clients were going through, and we were expecting that in the second half, we would see the improvement come through.

So, just tallying these 2 points, we were expecting the second half to be, on a third -party sales, stronger growth on the API side, which has not happened. So, is it that the end market itself is seeing some sluggishness? Or are we losing some market share on the third -party side? Any colour, because you mentioned that the pricing has not moved. So, just wanted to get the sense on that part.

Ankur Vaid : So, if you see the impact of the API not being sold to that specific third -party, I think we spoke about it more in the last quarter, and the impact is something that we saw that it happened in March. So, my sense is it happened from December to February.

But that being said, I think if you see the formulation sales growth that has happened, the year - on-year rise that we have had on the formulations. As I mentioned earlier that there are certain markets that we would go through the API and i f not then through the formulation.

So, the overall pie is the same. It is just that we are addressing that pie. Certain markets, we have moved in through the formulation route and certain markets we continue to do it through the API. And that's why if you look it on an overall API sales basis, that comes out to be 10%. And our H2 numbers would continue to be higher than the H1 numbers. That's how we are looking at it also.

And if the H2 numbers are higher, that means that the Quarter 4 numbers are bound to be higher. And even the API growth or formulation growth translating to API, I would see that that number moves to the number that we are looking at.

Nikunj Mehta : Understood. So, you are saying that there has been no market share loss , because APIs also are very cyclical. So, you don't see any cyclical downturn or any market share loss from our side, which has happened on the API side?

Ankur Vaid : No, no, because these are not cyclical APIs. Nephrology products, patient has to take irrespective of what happens. They have to take it for the rest of their life. So, there is no cyclical impact here.

And again, when you talk about formulations, maybe injectables could have a cyclical impact.

But when the procurement comes for the formulation partners, we don't see that cyclical impact happening. I think the lumpiness that comes to us is primarily in terms of how our

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Page 21 of 22 formulation partners are targeting the market . What's the kind of inventory they have? So, that lumpiness comes to that, not on account that the product itself has a cyclical nature.

Nikunj Mehta : Understood. And just from my understanding now, since we have the full year in base in terms of the formulation ramp -up and the third -party sales to t

hat extent. So, typically for a 20%

overall growth, which we are looking at, we need our third -party API to grow at 10 -odd% and maybe the formulation run rate, assuming 43%, which is there, which stays.

So, then only we'll be able to reach that 20 -odd% number that we are aiming at, considering even the injectables ramp up to that extent. So, that's the understanding, correct? That's how we should look at that the third -party API sales will have , because it's a mature business, we will be growing in between 10% to 12 -odd%, and the formulation is something , since we are ramping up in terms of capacity , that should be north of 40 -odd% to make that 20 -odd% growth at a company level. Is that a fair understanding?

Ankur Vaid : See, I had given in terms of how the breakup of the 18% kind of growth comes in. And there are certain opportunities that we already have through our strong order book position. There are certain opportunities that we are working on and anticipate to convert in this quarter. And that number, whether it gets translated from API or formulations, I won't be able to comment on at this time.

Nikunj Mehta : Okay. And just, sir, last question in terms of volume terms of our API. In terms of volume, what percentage goes to formulation?

Ankur Vaid : So, I don't think we have a number like that, that of the total capacity that we make, how much goes to formulation. But I would say that depending upon we have the formulation percentage.

And based on that, one can translate it to the overall sales that we have done , maybe on a value basis, considering that it is around the gross margins that are there on the formulations, 1 can figure out from that what is the value -based contribution coming. On a quantity basis, we won't be able to have that information right now.

Nikunj Mehta : Understood, sir. Thank you and all the best.

Ankur Vaid : Their weighing measure would be different, like the Mycophenolate Mofetil , if you talk about it, they are in multi -ton. But if you talk about everolimus or tacrolimus, they are at a kg level basis. So, every product would have a different configuration. So, not sure if we'll be able to do that at this point.

Nikunj Mehta : Understand, sir. Thank you

Moderator : Thank you. Ladies and gentlemen, due to time constraint s, this was the last question. I now hand the conference over to the Management for their closing comments.

Concord Biotech Limited

February 14, 2025

Page 22 of 22 Ankur Vaid : So, thank you, everyone, for joining our Q3 FY '25 earnings call. We hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations Advisors. Thank you once again. Have a good evening.

Moderator : Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

CONCORD BIOTECH LIMITED

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra-Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir/Ma'am,

Subject: Transcripts of Q4 & year ended on FY25 Earnings call held on May 30, 2025

In continuation of our letter dated May 30, 2025 regarding Audio recording of the Audited (Standalone and Consolidated) Financial Results of the company for the Fourth Quarter and year ended on March 31, 2025, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you. Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Hina Patel

Company Secretary and Compliance Officer

(ACS:56541)

Encl: as above

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"Concord Biotech Limited

Q4 FY '25 Earnings Conference Call "

May 30, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th May 2025 will prevail.

MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING
DIRECTOR – CONCORD BIOTECH LIMITED
MR. ANKUR VAID – MANAGING DIRECTOR AND CHIEF

EXECUTIVE OFFICER – CONCORD BIOTECH LIMITED
MR. LALIT SETHI – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED
MR. PRAKASH SAJNANI – ASSISTANT VICE PRESIDENT ,
ACCOUNTS-FINANCE , CONCORD BIOTECH LIMITED

SGA, INVESTOR RELATION ADVISORS – CONCORD
BIOTECH LIMITED

MODERATOR : MR. NAMAN BAGRECHA – IIFL CAPITAL SERVICES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Concord Biotech Limited , Hosted by IIFL Capital Services Limited. Before we begin, a brief disclaimer. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as of date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will remain in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naman Bagrecha from IIFL Capital Services Limited.

Thank you, and over to you, Mr. Bagrecha .

Naman Bagrecha: Thank you, Shaista . Hi, good afternoon, everyone, and a very warm welcome to Concord Biotech's Q4 and FY '25 Earnings Call hosted by IIFL Capital Services Limited.

On the call today, we have representing Concord Biotech Limited, the management team comprising Mr. Sudhir Vaid, Chairman and Managing Director; Mr. Ankur Vaid, Joint Managing Director and CEO; and Mr. Lalit Sethi, CFO. I will hand over the call to the management team to make the opening comments and then we will open the floor for questions. Please go ahead, sir.

Sudhir Vaid: Good afternoon, everyone, and thank you for joining us on our Q4 and FY '25 Earnings Conference Call. We are pleased to report that Concord Biotech has delivered steady and sustainable growth in both revenue and profitability. For the fourth quarter, as well as the full financial year. For Q4 FY '25, revenues grew by 35% to INR 430 crores compared to INR 319 crores in Q4 FY '24. For the full financial year '25, revenue stood at INR 1,200 crores, a growth of 18% on a year -on-year basis.

On the profitability front, PAT for the year stood at INR 372 crores, up from INR 308 crores in FY '24 , making a growth of 21% on a year -on-year basis. FY '25 has been a year of focused execution and disciplined progress. During the year, we undertook 2 strategic investments that align with our long -term strategies and sustainable objectives. We made a strategic investment in Palvella Therapeutics Incorporation, a biotechnology company based in the U.S.A. that focuses on developing treatments for rare genetic skin disease.

Palvella is currently developing Qtorin as a topical treatment for rare skin conditions. This investment supports our long -term strategic growth plans. Through this collaboration, we aim to strengthen our supply capabilities and grow our presence in global regulated markets. We have also made a strategic investment in a renewable energy company, Clean Max , to support our Concord Biotech Limited

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sustainability goals. Clean Max operates wind and solar power facilities with a combined capacity dedicated to supplying renewable energy to our Dholka plant.

This initiative highlights our strong commitment to ESG principles by transitioning to clean energy source, we aim to significantly reduce our carbon footprint and contribute to global climate action. Alongside environmental benefits, this shift also offers long -term financial advantages through lower energy costs and improved operational efficiencies.

On the regulatory front, we continue to enhance our compliance and preparedness across all facilities. Our API facility at Dholka Unit 1 successfully underwent inspection by the U.S. FDA,

which concluded with 483 observations. All observations were procedural in nature, and none of these were related to data integrity.

We have already submitted a comprehensive response to the U.S. FDA and are confident of receiving the EIR in the coming month. Unit 1 also underwent successful inspection by the Ministry of Food and Drug Safety, South Korea.

Our formulation of safety unit 2 in Valthera successfully completed an inspection by the Ministry of Food and Drug Authority. Additionally, the Health Products Regulatory Authority of Ireland awarded an EU GMP certificate to our Valthera facility, Unit 2, reinforcing our adherence to international quality standards.

Another significant milestone this quarter was the successful commissioning of our injectable facility at Valthera. This facility has been designed to meet stringent global regulatory requirements and is equipped with advanced technologies to ensure robust, high-quality and compliant production capabilities. The commissioning of this state-of-the-art unit represents a strategic advancement in our long-term growth and capacity expansion road map.

In FY '25, Concord has also filed 2 DMFs for Nystatin and Voclosporin and got ANDA approval for Teriflunomide tablets. Going forward, these niche opportunities would give a positive momentum to the growth of the overall business. Concord also has a robust and diversified pipeline of products across both APIs and formulations.

The company is actively developing a wide range of niche APIs catering to various therapeutic segments while simultaneously expanding its formulation portfolio. This approach not only strengthened Concord's market presence but also positioned it as a reliable partner in a global pharmaceutical landscape committed to delivering high-quality, affordable health solutions. Looking ahead, we believe we are well positioned to accelerate growth in the coming years, supported by several key strengths. A broad portfolio of fermentation-based APIs and formulations, strategically expanding into the injectable space with a focus on domestic and emerging markets. This marks a significant milestone as we commercialize our state-of-the-art injectable facility.

Robust and diversified pipeline of products across both API and formulations, continued success in securing regulatory approvals across major regulated markets for our facilities. A strong track record of delivering consistent, high-quality products to a diverse customer base. Large manufacturing capacities to support the expansion of CDMO businesses.

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These factors collectively provide a strong foundation for sustainable growth. We remain committed to disciplined execution, ongoing innovation and delivering long-term value to all our stakeholders. Thank you.

And with this, I hand over the call to Mr. Ankur Vaid, Joint Managing Director and CEO of Concord Biotech.

Ankur Vaid: Good afternoon, ladies and gentlemen. I'm pleased to report that we have achieved strong financial performance with a 35% year-on-year revenue growth in quarter 4 and an 18% increase for the full fiscal year. Notably, our EBITDA impact grew even faster by 43% and 48% year-over-year, respectively, demonstrating our continued emphasis on operational efficiency and profitability. API revenue for Q4 FY '25 stood at INR 362 crores, reflecting a 37% year-on-year increase.

For the full year, API revenue stood at INR 940 crores, marking a 14% growth compared to the previous fiscal year. It is important to highlight that the reported API revenues exclude inter-unit sales to our formulation business.

As a result, the reported growth may not fully reflect the actual performance of the API segment. When we include the interunit API sales to formulations, the segment reported a growth of 16.15% on a year-on-year basis. We would like to reemphasize that API business is subject to quarterly fluctuations due to uneven customer procurement patterns. Therefore, evaluating the

API business on a full year basis provides a more accurate view of our underlying performance.

Turning to our Formulation segment. We achieved a year-on-year revenue growth of 26% in Q4 FY '25 and 38% for the full year. This strong performance underscores our ongoing efforts to enhance capabilities and expand our product portfolio within the formulation business. With the recent commissioning of our injectable facility, we anticipate significant scaling of this segment in the upcoming financial year.

Multiple audits are currently underway at our formulation facilities and we are optimistic about revenue contributions from the injectable unit in FY '26. However, a full ramp-up in the revenues is expected over FY '27 and FY '28.

Our domestic formulation business, particularly in critical care, nephrology and rheumatology, gained strong momentum in FY '25, supported by several new product launches and an expanded market footprint, with a field force of over 200 sales and marketing professionals across India, we successfully built strong connections with specialized doctors, reinforcing our presence in key therapeutic areas.

Backed by a robust pipeline and a growing customer base, we are confident of sustaining revenue growth in this segment. Strategically, we remain focused on strengthening our presence in domestic and emerging markets while selectively exploring regulated market opportunities. As this business evolves, we expect meaningful growth in both product offerings and customer reach during long-term growth.

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The split between our API and Formulation business was 78% API to 22% formulation for FY '25, aligning with our long-term guidance of 80-20. With our API business, OST Formulation segment and the addition of injectable formulation facilities, Concord stands out as one of the few companies globally offering a fully integrated platform.

This includes in-house API manufacturing, backward integration up to key starting materials and end-to-end capabilities in the formulation segment. On the business front, we received ANDA approval from the U.S. FDA for Teriflunomide tablets, 7-milligram and 14-milligram, used in treating relapsing forms of multiple sclerosis. This milestone highlights our strength in developing and commercializing a differentiated product portfolio for the U.S. market.

According to IQVIA, the U.S. market for Teriflunomide tablets is valued at approximately \$402 million with the global market estimated at around \$908 million, presenting significant growth opportunities both domestically and globally. While India and emerging markets remain our primary focus, our approach to the U.S. market is strategically selective.

We are committed to pursuing ROI-driven opportunities rather than chasing high-volume, low-margin products. Our U.S. strategy is rooted in value creation over market share, and we will continue to expand in this space in a measured and targeted manner.

Additionally, we have filed DMF for Nystatin and Voclosporin and registered these products in several global markets, creating greater opportunities to broaden our customer base and expand our geographical footprint. In FY '25, we added 118 new customers across various business segments, reflecting our strong ability to penetrate diverse markets and customer profiles. With these new relationships, we are expected to contribute to revenue generation and serve as key drivers for future growth.

Regarding our CDMO business, we view this as a significant and rapidly expanding opportunity for Concord. We are actively involved in ongoing development projects and trials supported by robust infrastructure that requires no immediate capacity-related investments. Our CDMO pipeline includes both innovator and generic companies, many of whom we are seeking to diversify their supply chains or outsourced manufacturing for the first time.

facturing for the first time.

We are pleased to inform you that we have commercialized 1 CDMO project with 1 of the innovator companies, and we continue to file RFQs and are in active discussion with several potential clients. With proven capabilities, a strong regulatory track record and global compliant facilities, we are well positioned to leverage this momentum.

What truly differentiates Concord is our deep expertise in fermentation-based APIs and complex formulation, positioning us as a trusted, integrated CDMO partner for companies seeking specialized manufacturing solutions.

With these strong foundations in place, we look ahead with confidence in our strategic direction and a firm commitment to building a future-ready, innovation-driven organization, backed by solid fundamentals, a growing product pipeline and customer base and strong execution capabilities, we believe Concord Biotech is well positioned to achieve sustained long-term growth.

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We are also pleased to share that the Board of Directors has recommended a final dividend of INR 10.7 per share for FY '25, subjected to shareholders' approval. This reflects our commitment to delivering consistent value to our shareholders while continuing to reinvest in growth opportunities.

With this, I hand over the call to Lalit Sethi, our Chief Financial Officer, for financial and operational performance. Thank you.

Lalit Sethi: Thank you, sir. Good afternoon, everyone. Let me take you through the financial and operational performance for the quarter and the year ended March 2025. On the revenue front, our revenue for the quarter 4 of this financial year stood at INR 430 crores as compared to the INR 319 crores in quarter 4 of the last financial year, a growth of 35% on a year -on-year basis.

Revenues for financial year '25 stood at INR 1,200 crores, a growth of 18% on a year -on-year basis. Revenue from API business grew by 37% in the Q4 this year and stood at INR 362 crores. And for the financial year 2025, it grew by 14% with revenue at INR 940 crores.

Revenue from the Formulation business in this quarter stood at INR 67 crores as compared to the INR 53 crores in the same period last year, a growth of 26%. Formulation revenue for the financial year 2025 stood at INR 260 crores, a growth of 38% on a year -on-year basis. Domestic revenues grew by 50% and 24%, respectively, for the quarter and financial year 2025.

Export revenue for quarter 4 this year grew by 19%. And for the full financial year, export revenue grew by 12% on a year -on-year basis. Speaking on EBITDA, our operating EBITDA for quarter 4 of this financial year stood at INR 190 crores as compared to INR 134 crores in the same period last year. EBITDA for the financial year 2025 stood at INR 506 crores, which represents a growth of 17% on a year -on-year basis.

Our operating EBITDA margin for the quarter 4 of this financial year stood at 44.3%, and for the financial year 2025, it stood at 42.2%. Profit after tax, our profit after tax for the quarter 4 of this financial year stood at INR 140 crores as compared to INR 95 crores in the same period last year, a growth of 48% year -on-year basis. Our profit after tax for the financial year '25 stood at INR 372 crores as compared to INR 308 crores in the financial year '24, a growth of 21% on year-on-year basis.

PAT margins for this quarter stood at 32.7%, a growth of 286 bps on a year -on-year basis, and PAT margins for the full financial year '25 stood at 31%, which represents the growth of 67 bps on a year -on-year basis. So with this, I shall now leave the floor open for questions and answers, please.

Moderator: Thank you very much. The first question is from the line of Manoj Bahety from Cernelin Asset Management. Please go ahead.

Manoj Bahety: First of all, congratulations on a good set of numbers and co

sistent performance as always. So

a couple of questions from my side is can you help me understand the reasons for the dip in gross margin? Is it because of a change in business mix? Or are we seeing some kind of pricing Concord Biotech Limited

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pressure on immunosuppressants with, I think, more and more competition coming in into the base? So that is my first question. And I will come back for the second question.

Lalit Sethi : So Manoj, on this, basically, this could be on account of change in the product mix. And also, if you see that since the base of the formulation business, is increasing and that business has also been growing at an equivalent or a faster pace. So it's worth noting that our API products, which are being transferred to formulation units happen at a market price and all the sales get booked in the formulation business. So net-net, there can be some impact on the gross margin, but the EBITDA level, it gets netted off and EBITDA has been growing as such.

Manoj Bahety: Okay. So as more and more formulation is built up, do we expect that the gross margin will keep on going down as the formulation keeps on going up?

Ankur Vaid: No. See, that is not the case. As Lalit mentioned that there is some component of this. Of course, product mix also plays some bit of a role because if you see, while we have said that all the products have the underlying principle of, which is niche products with limited competition. But again, the margin profiling across all the 30 products are not the same. So there could be some bit of impact because of the product mix.

While formulating, if in a particular year, it grows significantly higher than that of the API. Yes, there could be some impact on that particular year. But as we have mentioned earlier, the capacities are built such that the 80-20 ratio should, on a long-term basis prevail.

So if you would look at it from a long-term perspective, we do not see any significant impact.

But yes, as rightly mentioned, on a year -on-year basis, if something, say, the API -- the formulation increases, there could be a little bit of impact on the gross margins.

But of course, EBITDA, as Lalit mentioned, has been in line with what we see. And with the injectable facility coming in, I think the margin profile, even in the formulation segment, will improve more than what it is when it is only an oral solid facility.

Manoj Bahety: Got it. And the second question is, in fact, I have 2 short questions. One is if you can give a little bit more update on CDMO, as you mentioned that you started seeing green shoots there. And secondly, on the balance sheet side, we have seen some deterioration in the receivable and inventory side. Is it a year-end phenomenon? More sales might have happened in the month of March. So these 2 things, if you can.

Ankur Vaid: I think, Manoj, you answered the question. If you see that, of course, our last quarter has been on the higher side. And even if we consider a 90 -day credit period, 90 to 110, that is as of 31st March is sitting on the books, and that's why you see that as a higher number. But from a circulation perspective or from a cash flow perspective, there is no challenge to us. This is just a phenomenon as on the closing of the books, and that is primarily on account of larger sales, higher sales happening on quarter 4. Coming to your question on the CDMO business, yes, I think we are seeing good positive momentum. We have already commercialized one CDMO project with one of the innovator companies, and I think supplies to them are going to start soon as well.

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Being a new product that they are launching, we do not know how much the quantum is going to be of this business. But since they are very optimistic and seeing it as a great big opportunity for them also in the global market.

Markets that they have launched this product in. But to Concord, we would still see that how the product gets into the market.

But we are quite pleased that we now have a CDMO project at a commercial scale with the innovative company. And there are a few other projects that are quite at advanced stage, we just need to kind of keep working on that, but are hopeful that things would be going positive also in that direction.

Moderator: The next question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Congrats to the team on a good set of results. Sir, one question on pricing again. Can you comment on the pricing dynamics in the immunosuppressant portfolio? And if you can split it across developed and emerging markets, and this question is over the past couple of years?

Ankur Vaid: Yes. So if you see the pricing, again, there has not been much change when you look at from a customer -to-customer basis. But as we have mentioned earlier also that when you look at larger, some of the customers that are not with us and they are larger customers. Sometimes you may have to give somewhat of a price to them because of the kind of volumes that they're bringing in.

And again, it's a trade-off between larger capacity utilizations that are happening, which would bring in operational efficiencies, versus the kind of somewhat of a price discount that you may have to give. So that is something that we would continue to look at it. It's not that we have given those to larger customers. But then a gain, if the opportunities that we are evaluating come by and it does demand, then that's something that we would be open to consider.

But when you talk about the price difference between developing and regulated markets, I don't see much of a price differential there because many of the companies have global footprints.

And when I say many companies, those are formulation companies. And when we sell our APIs to Indian companies and they have competition in, say, competing with U.S. formulation companies in today's world everybody knows what's the price is that Indian companies are getting or U.S. companies are getting.

So there is not much of a delta that has been left when it comes to API pricing between emerging and regulated. So there is not much difference. But as I said, the pricing at the customer level has not changed much significantly, but for newer opportunities, it could change.

Alankar Garude: Got it. That's helpful, Ankur. Just on that point, if I look at the 14% growth on API in FY '25, broadly, how would you break that between pricing, volumes and new introductions?

Ankur Vaid: So there have not been any price increases that we have given to customers. So all the growth has come from volumes only. And if we see that the anti-infective business actually has started taking off quite well. So as we had mentioned at the time, a couple of years back also, that our intent is that our dependency on immunosuppressants goes down while we do not see a risk to

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be immunosuppressing because all the APIs that are there in immunosuppressing, we are manufacturing.

So while the value base of immunosuppressants has grown, the percentage of immunosuppressants contribution has come down, which has been primarily on account of anti-infectives products that's getting launched. And if you see the new DMS that we have filed, one is Voclosporin, which is again an immunosuppressant. So any product that comes into the immunosuppressant, we are present there.

And that has an integrated approach because the key starting material, cyclosporine, we also manufacture. So the kind of cost dynamics that Concord would have, nobody else would be

having on Voclosporin even when the product is commercial ; right now, it is a Para IV product. So we see a lot of opportunity on Voclosporin and t

he other product is Nystatin , which is the large volume product, but a product that has limited competition.

So there also, we are seeing a lot of opportunity in Nystatin and over a period of 2 to 3 years, we see that these products that are getting launched in the last 2 years and going forward will be contributing significantly. So over a period of time, we would be looking at bringing our immunosuppressant contribution from maybe 5% to 10% lower from what it had been year or 1.5 years back. And already work is going in that direction.

Alankar Garude: Got it. The second question, can you comment on your R&D as well as manufacturing capabilities on peptides ? I'm asking this because , at least as far as our current commercial presence is concerned, we do not have much of a presence.

Ankur Vaid: So of course, we have a strong R&D team of over 150 people working across API and finished formulation. And a lot of work is happening on new fermentation API development. I mean, to the markets, we have talked about 10 -plus products, but we have a much larger number of products that are there in the pipeline, which, again, are niche products with limited competition and a complex enough projects.

So the R&D team is working on these molecules , plus a lot of CDMO projects are something that we are evaluating and working towards, in addition to the formulation R&D. But coming to peptides, we are seeing opportunities in other segments than peptides, which are adjacencies in fermentation, which we are currently evaluating and exploring.

But I would say peptide is not something that -- we are trying to do something in -house. If things work inorganically, that would be something that we would explore. But right now in -house, we are developing some other adjacencies to fermentation not peptides.

Alankar Garude: Got it. And one final question before I come back. See, in the last 2 years, our first half, second half sales split was broadly around 45, 55 ; should we expect a similar revenue split going forward?

Ankur Vaid: See, again, Alankar, it's very difficult. If you see 1.5 years, 2 years back, our quarter 2 numbers, our quarter 2 sales significantly changed compared to what it was historically. So as I said on a quarter -on-quarter basis , a time becomes quite lumpy, while we say that our second half is better
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than the first half, but the exact split is something on a quarter -on-quarter basis we won't be kind of able to put a number to it.

Moderator: The next question is from the line of Vivek Agrawal from Citigroup.

Vivek Agrawal: Ankur, you highlighted that you want to bring down immunosuppressants by around 5%, 10% lower from the current year. Is it possible for you to share what is the current share of immunosuppressants in your API revenues?

Ankur Vaid: So 2 years back when we had come out with the IPO at that time , the contribution was around 80%. And today, it has come down to around 74 % or 75%. So in 2 years, we have brought it down from 80% to 74 % or 75%. And our intent, as I said, is to bring it to 5% to 10% lower than what it was 1.5 years, 2 years back.

Vivek Agrawal: Understood. And you also talked about actually , in some of the previous calls , that you want to launch around 8 to 10 in the infective antifungal segment. So what is the progress out there? And any specific products, actually ?if you want to talk about a few products that can contribute meaningfully, let's say, over the next couple of years in these segments that we need to watch out for .

Ankur Vaid: Yes. So as we've mentioned , every year, we'll have around 2 to 3 products that we would be commercializing and I think , as we mentioned during the call , this year, we have commercialized 2 products, which is Voclosporin and Nystatin. And going forward also, we have quite a few products right now th

at are at quite an advanced stage of commercialization.

And we expect that in this year also, we would be going with a similar or maybe slightly better launch of the products. And even at the finished formulation level, we have done quite a few filings in the U.S., and we expect commercialization of those products also in the U.S., which would then be extended to the global market, and we have a strong pipeline of products for the oral solid also.

And in addition to that, a lot of effort has now also been put in commercializing projects in the injectable because of the newly launched facility. We have already taken exhibit batches of around 2 products, and we have few of more products that are there going for exhibit batches. So a lot of work is happening on all 3 fronts, be it API, oral solid formulation , or the injectable product portfolio.

Vivek Agrawal: Understood. And actually, just one question on the Teriflunomide approval, right? It looks like the product is fairly commoditized and competition is already there in the U.S. market. So what makes you quite excited about this product or how we are basically better positioned compared to the competition in this product?

Ankur Vaid: The teriflunomide, if you see, is a Para IV opportunity product. And while there are 4 or 5 players still the kind of penetration that is needed is not there. So I think like those 3 or 4 players, Concord also is in that race and once the market truly opens up, we would be able to get a significant contribution to the U.S. business.

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But in addition to that, as I mentioned out of that \$900 million, close to \$500 million is ex U.S. So as I mentioned, we are focused also on India and emerging markets. So extension of these doses into the emerging markets is also something that we are seeing from a value recognition from having more from an ROI-driven perspective.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: A very strong comeback from the fourth quarter and congratulations to the team. A couple of questions from my end. Do you have an update on gross margin on the annualized basis? I understand that the share of formulation has increased over FY '24 and that has resulted in a slight margin compression at a gross level.

But if I look at the current quarter, the API share has been pretty strong and the gross margin contraction has been pretty sharp. If you can just provide some input on how we should look at even if we see the share of APIs to be very strong this quarter?

Ankur Vaid: So it has been strong, but as I said not all APIs that we have, close to 30 that we have now commercial. So not all of those have the same kind of margin profiling. There could be some bit of variability to it. So that is one. And second, as Lalit mentioned that the way that the API is getting transferred to this Unit 2 at market price, the impact of PAT is playing out also.

But if you look at the overall level, if the price erosion had happened, then the EBITDA margins would not have been at the same level. So it is a bit of the 2 things. That is primarily playing out, which is a significant contributor to the gross margins that you're seeing.

Chintan Sheth: Got it. Got it. And second, on the capex front, you mentioned even in the CDMO side, we don't anticipate a huge investment going into the project we are currently discussing with our clients.

I'm just trying to understand how one should look at capex given the injectables already commercialized and we are largely capitalized. Some part is still left, which is sitting in CWIP.

But if you can highlight or guide something on the capex front, it would be helpful.

Lalit Sethi: No, I think all the capital expenditure with respect to the growth is already over. The injectable has already been commissioned now. So as far

as the capacities for API and formulations are concerned, they are also available as of now. So there is no plan for having any additional capex for the capacity expansion.

Ankur Vaid: Yes, if you look at Chintan, just to add to what Lalit mentioned. So for our API and formulation business, we do not see any new capex happening over and above the maintenance capex of INR 20 crores, INR 30 crores that is there. But we would continue to look at growth in the agencies, whether organically or inorganically, and that is something that we continue to explore.

They are more than sufficient for the CDMO project that you are referring to. So in case another CDMO project comes through, there is a significant infrastructure that can be bid with a small amount of capital.

Chintan Sheth: And Teriflunomide, that opportunity we are also exploring through CDMO or largely for the...

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Ankur Vaid: No, that is our own ANDA, and we will be marketing that under our own.

Moderator: The next question is from the line of Naman Bagrecha from IIFL Capital Services Limited.

Naman Bagrecha: Sir, just wanted to understand that on Teriflunomide, at my understanding is that you're targeting both markets seriously, I mean, both in the sense, U.S. and ex-U.S. market as well. While you highlighted that ex-U.S. market size would be closer to, let's say, \$500 million. Just wanted to understand what is the competitive landscape over there? I mean, what kind of, let's say, market share targets are we keeping in mind?

Ankur Vaid: See, again, right now, we are not going with that; we would have a 10% or a 15% kind of a market share. I think the efforts right now are to kind of extend these dossiers into those markets.

And most of these players are companies that are mostly focused on the U.S. market.

So in the emerging markets, sometimes you may be the early entrant in those markets, but being

an early entrant also plays to our advantage, which is a slow and steady market share gain when you are the next in line to, say, compete only with the innovator.

So that being said, I think right now the efforts that we are putting in are filing the dossier in the emerging markets. We have already started selling this product in India under our own brand. So similarly, we are now going to be extending this dossier to the emerging markets. And then we'll see how the progress happens.

I don't want to be giving out a number, which kind of looking at a larger value, kind of takes a discussion into a very different pathway. But yes, the opportunity is huge, and we are kind of seeing how we can grab that opportunity to the maximum extent.

Naman Bagrecha: Okay. And what kind of margins would be there for this product in the U.S. I mean you can probably just say that it is above corporate EBITDA margins or low corporate EBITDA margin that's...

Ankur Vaid: It's pretty much in line with our oral solid dosage margins and formulation margins that we currently have.

Naman Bagrecha: And that would be lower than the 40% margin, 30% and 40% margins?

Ankur Vaid: That's correct. That 42% is the blend of the fermentation and the finished formulation.

Naman Bagrecha: Sir, my next question is on the gross margins. If you look over the past 2 to 3 years, while our formulation business has increased, gross margins have also decline. However, EBITDA margins have kind of remained largely stable to some extent, if I look at '24, '25, 40%, 42%, how should we look at the gross margin going ahead? Will this decline and then -- then how is that basically being offset by the other opex items? Where are we seeing stable...

Ankur Vaid: If you look at our 5 years of historical numbers. The gross margins on a CAGR number would not have changed more than 2% to 2.5%. And when you look at it on a 5-year period, any variability on account of raw

material fluctuations, product mix formulations picking up. And

so, as I said, this was not the case, you say, last year or so or it would have been quite a low

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number because different reasons. So as I said, that it is difficult for us to say that how things would look going forward.

But if you are one of the only players or the newer products that you're trying to launch, the competitors or somebody say in Europe and would say even with a good profitability margin, you were able to gain market share, there could be years where you would see expansion even in the gross margin because, say, a product like Nystatin if it starts working on a product like daptomycin or any other product or ticoplanin.

If you see that if they start contributing significantly over the next few years, that's something that we are also seeing as our anti-infective segment is picking up. So it could be that in particular years, you may see gross margin expansion also happening. But if you look at it on a 5-year period, there has not been a significant change in the gross margins that we have.

Naman Bagrecha: That's helpful. Just on this one, daptomycin. Is this also a Para IV opportunity for us or...

Ankur Vaid: It's a generic product now, but something that we are actively working towards.

Moderator: The next question is from the line of Mehul Dalmia from Edelweiss Mutual Fund.

Mehul Dalmia: Sir, my question is again, to do with the gross margin. I just want to get a better understanding, when you look at Q3 versus Q4, margins have obviously compressed by roughly 8% gross level. The formulation revenue is roughly flat at INR 67 million. And the API revenue has grown by nearly 100% on a Q3 basis. At the same time, your export domestic mix is more skewed towards domestic business time. So my understanding was generally that the formulation would carry a lower margin.

But in this case, obviously, we don't see that variability and API formulations are roughly flat, and API is the one that has actually taken up the larger portion of the mix, and we've seen a decline. So how do we kind of understand this better? Is it that API are being supplied to domestic are as going at a lower cost? Or how do you kind of understand that?

Ankur Vaid: In the formulations that we have, it is being supplied at the market price. Now the domestic sales have increased for the API and that is primarily something that we have also talked about in the past that 1 of our customers was contributing around 6% to 7% has closed down that facility in the U.S. and more significant part of their operations in India.

So there has been some contribution coming from that shift of the customer also, which was contributing 6% to 7% of our API business. And the newer products also that we are launching have several customers who are basically Indian customers, but have much larger market share in the global market. So I think we do not see any major change happening in the domestic export and as mentioned earlier that the pricing also between domestic exports are not that much different.

So I do not see any significant variation on account of domestic export. But yes, the change in

the gross margin is something that we have kind of mentioned previously also. So I would not have anything further to kind of add.

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Mehul Dalmia: Understood. Because I think the variability is there between the other quarters also, even last year in Q4, you have higher -- lower gross margins. But if I were to just go to the EBITDA level in that sense.

Ankur Vaid: Just to add there, Mehul, sometimes what happens is that if there is a significant inventory also sitting in the books as a stock inventory, that also is a component of the overheads in it. So sometimes that also kind of plays out that if

you have significant inventory sitting there, it could have an impact on the gross margins also. So there are a lot of factors that kind of play out on a quarter-on-quarter number. So it becomes a little tricky to kind of look into what is actually playing out. It could be a factor of multiple things.

Mehul Dalmia: Understood. And on the EBITDA side, obviously, it's majorly a factor of leverage playing out. What can we say about that? Because if I look at the numbers, at least, the employee costs are flat and the other expenses are slightly higher or in the same run rate, which is normally there for the other quarters or so?

Ankur Vaid: That's correct.

Moderator: The next question is from the line of Pranav Chawla from AMBIT Asset Management.

Pranav Chawla: Sir, a couple of questions. Can you share what is the utilization level across the manufacturing facilities?

Ankur Vaid: Sure. For the unit 1, it was 84% for Unit 2, which is a formulation facility. It is 36% and for the Limbasi facility, which is Unit 3, it is 40%.

Pranav Chawla: Sir, Unit 2, does it include the injectable? Are you investing for that?

Ankur Vaid: Injectables is recently commissioned, so the capacity utilization will start from the next year onwards. And that is Unit 4.

Pranav Chawla: And sir, during the quarter, what would be the quantum of expenditure from the new unit?

Ankur Vaid: So currently, as I said that just got commercialized in the month of March. So it may be difficult to give a number right now because we are still kind of ramping up our team and the work. So at this moment, it will be difficult to kind of give a number to that.

Pranav Chawla: Okay. Sir, finally, from my end. Can you -- 2 questions from my end. When can you share what the therapy mix is right now -- so we already know that immunosuppressant is around 75-odd percent. What would be the other therapies' contribution for the year?

Ankur Vaid: So we don't give therapy level data, but about 74% broadly is the immunosuppressant -- and the rest is the other segments wherein the major contribution is coming from the anti-infective segment.

Pranav Chawla: Okay. And sir, can you also share a bit more color on the CDMO contract that you mentioned will be commercialized in the coming quarters?

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Ankur Vaid: Sorry?

Pranav Chawla: Can you give some color or share further details on the CDMO contract that we have mentioned you just called out recently?

Ankur Vaid: Yes. So we have like 3 to 4 projects wherein we have kind of a quite advanced stage of discussion. But right now, I think the ball is in the customer's court. So we are kind of engaging with them to see when they would like to kind of start -- complete the valuation process and see where Concord stands in that. So I would say that there are a couple of projects that are quite advanced. And then again, we have a few projects across different segments, particularly in enzymes and others as well, wherein we continue to engage with some of the customers.

Pranav Chawla: Just last one, if the management is ok with it. Sir, given the fact that the Unit 3 is already at around 40% to 45% utilization levels and we have a CDMO contracts, we are in discussions with a couple of CDMO contracts, do you think we may require more capacity sooner than we anticipated, maybe in the next 2 to 3 years?

Ankur Vaid: It could be possible, and we are putting all our efforts that CDMOs have become a significant contributor to the overall business. And even if that happens, the incremental capex that would be needed is very low compared to the kind of revenue that it would generate because we have only utilized like 30% of the land.

And putting up a fermentation unit while all the other supporting infrastructure is in place would not require significant capex compared to the revenue that it could

generate. So if we reach that

level, I'll be more than happy to kind of to hold that capex .

Moderator: The next question is from the line of Vamsi Hota from Antique Stock Broking.

Vamsi Hota: So I just had 2 questions. So firstly, for both FY '24 and '25, within the formulations business, what is the breakdown of the domestic and international sales?

Ankur Vaid: Between domestic and international fall?

Vamsi Hota: Formulations business?

Lalit Sethi: It's around 50 -50, around 33% goes to the rest of the world market and 17% goes to the U.S. market and remaining 50% is in the domestic market.

Vamsi Hota: That's helpful. And also on the CDMO front, I heard the management saying that we would expect a lot of ramp -up happening there. So over the next 2 to 3 years, what kind of revenue would you be anticipating from this vertical?

Ankur Vaid: See, I mean currently, if you see, CDMO contributes less than 1% of business because we were mostly focused on the development rather than the manufacturing part of it. But in the last 6 or 9 months, our focus has been more on the manufacturing opportunities in the CDMO. So I won't be able to give a number, but our intent or our efforts are to kind of get this CDMO business to a double -digit contributor to our sales numbers.

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Moderator: The next question is from the line of Alok Dalal from Jefferies India.

Alok Dalal: Are you providing any revenue growth guidance or margin guidance for FY '26?

Ankur Vaid: No. I think what we talk about, Alok, is in terms of the long -term guidance that we have. And I think ,as we have mentioned earlier , that the kind of products that we have, the commercial products that we have, the kind of pipeline products that we have, the capacities that have been there , including the new injectable coming in and some of the agencies that we are working towards.

I think we have the right ingredients and the mix in place to kind of go for the CAGR growth that we have spoken about earlier, but when you kind of start breaking it down on a quarterly or yearly, then you quarterly, you will see a lot of volatility, but the annual number should go progressively towards the kind of CAGR growth that we have said.

So that is going to be a gradual move towards the CAGR growth that we have, and that's something that we have also demonstrated in this year. So that's how we would be looking towards, but there is no specific guidance on year on year base like .

Alok Dalal: Okay. So just to understand, when you move towards that CAGR number, which is 25%, so progressively from 18% that you achieved in FY '25, you will move towards that 25% gradually, is what you're seeing?

Ankur Vaid: So the capacities and the portfolios are designed such that we can go for a 25% growth. And our efforts are also being put that we can go towards the 25% growth. And when we talk about the injectable facility also with the kind of asset turnover it can give, as I mentioned earlier, I think during our calls also that it has the capability to give close to INR 600 crores of turnover.

And even if I consider INR 300 crores over the next 3 to 4 years, that itself is a 30% growth on our current baseline , which translates to a 5-year period of 6% on our 18% capital growth also.

So there are a lot of other opportunities like the injectables, which could play out, but maybe in a particular year, something plays out something doesn't. So we would just need to see that there could be a little bit of fluctuation and volatility on a year -on-year, not too much, but there is going to be a gradual progression towards going from 18% to 25%.

Alok Dalal: Understood. And a second question, Ankur, when you talk about the mix between API and formulation and you're referring to sustaining this 80 -20 number, now , given that formulation will grow much faster than API, mathem

atically, it doesn't work out that you will keep this 80 -

20 ratio. So am I missing something? How do you reconcile this?

Ankur Vaid: Yes. So if you see the assets that we have at the API and the formulation, the capacities have been designed such that the maximum output that you can get out of those capacities would end up having to be at the 80 -20 split. So that is one.

The second is that even if we go or say, even if at a particular time point, the formulation starts contributing slightly higher, that indirectly actually helps me gain the API market share. And

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that's why since the last 3 or 4 calls, we have started talking about that inter -unit API transfer also what it is because the overall API market share is the same.

It is just that instead of addressing it by pure API sales to that market, I'm addressing it both by

our API and formulation. So the thing for Concord to look at is, is how do I address the overall pie, whether it is through API or through formulation. So even if there is a little bit of mix change between AP and formulations, I think to us, it really doesn't matter that much because the addressable market is something that we are catering to.

Moderator: Thank you very much. Due to time constraints, this is the last question for the day. I now hand the conference over to the management for closing comments.

Ankur Vaid: So thank you, everyone, for joining on our Q4 FY '25 Earnings Call, and we hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations Advisor. Thank you once again. Have a good evening.

Moderator: Thank you very much. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

CONCORD BIOTECH LIMITED

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra -Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir /Ma'am ,

Subject: Transcripts of Q 1 FY26 Earnings call held on August 11, 2025

In continuation of our letter dated August 11, 2025 regarding Audio recording of the Un-Audited (Standalone and Consolidated) Financial Results of the company for the First Quarter ended June 30, 2025, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Ms. Hina Patel

Company Secretary and Compliance Officer

Encl: as above

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"Concord Biotech Limited

Q1 FY '26 Earnings Conference Call "

August 11, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th August 2025 will prevail.

MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING
DIRECTOR – CONCORD BIOTECH LIMITED

MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH
LIMITED

MR. LALIT SETHI – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED

MR. PRAKASH SAJNANI – ASSISTANT VICE PRESIDENT -
ACCOUNTS & FINANCE – CONCORD BIOTECH LIMITED
SGA – INVESTOR RELATIONS ADVISORS

MODERATOR : MR. SUMIT GUPTA – CENTRUM BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Concord Biotech Limited, hosted by Centrum Broking. Please kindly note that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinion and expectations of the company as of date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now hand the conference over to Mr. Sumit Gupta from Centrum Broking. Thank you, and over to you, sir.

Sumit Gupta : Thank you. Good evening, everyone. On behalf of Centrum Broking, I welcome you all to the Q1 FY '26 Earnings Conference Call of Concord Biotech Limited. Today from the company, we have with us Mr. Sudhir Vaid Chairman and Managing Director; Mr. Ankur Vaid, Joint MD and CEO; Mr. Lalit Sethi, CFO; and Mr. Prakash Sajnani, AVP, Accounts and Finance.

I would now like to invite Mr. Sudhir Vaid, Chairman and MD for Concord Biotech, to give his opening remarks. Over to you, sir.

Sudhir Vaid: Good evening. Everyone, and thank you for joining us on our Q1 FY '26 Earnings Conference Call. We reported a stable performance this quarter with revenues at INR 204 crores, impacted mainly by revenue lumpiness. The preceding quarter had exceptionally high sales and historically, such strong quarters are followed by relatively softer ones. While this pattern persists, we remain confident in achieving our long-term goals.

On the EBITDA front, the decline was primarily on account of commercialization costs of our new injectable facility in Valthera, which affected EBITDA and margins. We have a robust pipeline of products and have started taking validation batches of these products. Excluding the injectable facility cost, the EBITDA margins stood in line with the same quarter last year.

Overall, Q1 FY '26 reflects the successful execution of several key strategic initiatives.

Notably, we received approvals from the US FDA to market teriflunomide tablets, 7 milligram and 14 milligram for the treatment of relapsing forms of multiple sclerosis in the United States. This is an important addition to our portfolio and underscores our commitment to bringing high-quality therapies to global markets.

Over the past few months, our facilities have successfully cleared inspections by the US FDA, EU GMP and Russian GMP authorities, reaffirming the strength of our quality and stringent manufacturing standards. These approvals position us to ensure uninterrupted supply to global markets without regulatory hurdles.

We have further strengthened our presence in the US through the incorporation of Stellon Biotech, Inc., which will focus on the marketing, distribution and commercialization of Concord Biotech Limited

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Biotech pharmaceutical and biotech products in the US market. Stellon will manage end-to-end commercial operations, and it may also collaborate with third-party partners for marketing their products in the US.

This will not only establish a direct commercial footprint in the US, but also support our broader objective of expanding market access and unlocking greater value from our product pipeline across key global markets.

Additionally, we incorporated Concord Lifegen Limited as a wholly owned subsidiary to further strengthen our domestic marketing, sales and distribution capabilities for pharmaceutical products

ducts. This move will allow us to establish a sharper market focus, enhance customer engagement and create a stronger brand presence in India.

Last quarter, in March '25, we successfully commercialized operations at our new injectable facility situated at Valthera. This advanced plant has been meticulously designed and constructed in line with stringent international standards. It reinforces our commitment to delivering high -quality products consistently and further strengthens our manufacturing capabilities.

Moving ahead, we will continue to pursue strategic investments as opportunities arise. While advancing our product pipeline and seamlessly driving our R&D initiatives, we remain focused on expanding our API , formulation and CDMO business, delivering high quality products, maintaining global standards and securing regulatory approvals. These efforts position us as well to capture growth opportunities effectively. We are confident that we are poised to accelerate our business growth.

Thank you. With this, I hand over the call to Mr. Ankur Vaid, Joint Managing Director and CEO of Concord Biotech Limited. Thank you.

Ankur Vaid: Thank you, sir. Good evening, ladies and gentlemen. We reported a moderate quarter with revenues down 5% to INR 204 crores. I would like to highlight that our business is best evaluated on a long -term or at least on an annualized basis rather than quarter -on-quarter. The lumpiness can stem from changes in customer procurement patterns or sales spillover into subsequent months due to approval timelines. This quarter was one such example of that lumpiness. However, our long -term growth strategy remains intact.

Notably, our EBITDA and PAT registered a decline primarily due to the commencement of our injectable facilities at Valthera. These initial costs are expected to weigh on EBITDA margins until revenue from the facility scales up gradually through FY '26. However, excluding these start-up costs, our EBITDA margins stood at approximately 37%, in line with the same quarter last year.

Moving on to the segmental performance. In Q1 FY ' 26, our API revenues stood at INR153 crores, reflecting a 10% year -on-year decline. As I mentioned earlier, customer procurement patterns can be uneven, and this often leads to quarterly fluctuations. A full - year view provides a far more accurate picture of the underlying performance of our API business.

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On the formulation side, revenue grew 12% year -on-year, reflecting healthy traction in the segment. During the quarter, we commenced operations at our injectable facility in Valthera. We expect this segment to start contributing to the revenues in FY '26 , with a full ramp -up anticipated over FY '27 and FY '28. On the regulatory front, we continue to enhance our compliance and preparedness across all facilities.

We are pleased to report the successful completion of multiple key inspections at our API manufacturing facility in Dolka, Gujarat. During the period, our API facility in Dolka underwent an inspection by the US FDA, and we are pleased to report that we have received the EIR report from the US FDA for this inspection, further affirming our ongoing commitment to regulatory compliance and operational excellence.

This facility was also successfully inspected by European GMP conducted from July 14 to July 18, 2025. Additionally, this facility passed the Russian GMP inspection held from July '22 to July 25, 2025. These achievements underscore our commitment of upholding the highest standards of quality, safety and regulatory compliance across all aspects of our operation. It reflects our dedication to excellence and our continued focus on meeting the rigorous requirements of global regulatory authorities.

Moving forward, our global expansion efforts continue to gain momentum. We have now filed over 138 DMFs and se

cured approvals for our ANDAs across key international markets, further enhancing our product reach and customer base. From a strategic standpoint, the incorporation of Stellon Biotech and Concord LifeGen will provide growth opportunities in US and India and further strengthen our position in these markets.

We continue to focus on manufacturing niche and complex products with limited competition. Currently, we have a portfolio of 30 -plus products with several more under development. Our strategy is to leverage our technical expertise to swiftly capture market opportunities and increase our market share.

Concord remains one of the few companies globally producing more than 30 fermentation APIs across multiple therapeutic areas, including immunosuppressants, oncology, anti -infectives and antibacterials. Supported by a robust R&D engine, we are consistently expanding our molecule portfolio to strengthen our long -term growth trajectory.

In Q2 FY '26, we marked a significant milestone in our diversification strategy by initiating sales of our CDMO business to the US market. We view the CDMO segment as a high -growth opportunity for Concord Biotech, driven by increasing global demand for dependable , high-

quality manufacturing partners.

Our team are actively collaborating with more innovators and largely generic pharmaceutical companies on projects ranging from early -stage development to commercial - scale supply. Encouragingly, we are receiving and responding to a growing number of RFQs, and we remain optimistic about the future prospects of this vertical.

We currently have commercialized CDMO project and have started our sales to them in Q2 FY '26. We are also currently in advanced discussions with several potential clients to expand our Concord Biotech Limited

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CDMO engagement. Backed by our proven technical capabilities, strong compliance track record and expertise in handling niche and complex products, we are well positioned to secure a meaningful share in this growing market. Over the medium term, we expect the CDMO business to become a significant contributor to our overall growth and to further strengthen our relationships with leading global pharmaceutical companies.

With this, I hand over the call to Lalit Sethi, our Chief Financial Officer, for financial and operational performance. Thank you.

Lalit Sethi : Thank you, sir, and good evening, everyone. Let me take you through the financial and operational performance for the quarter. On the revenue front, our revenue for Q1 FY '26 stood at INR 204 crores as compared to INR 216 crores in the same period last year, 5% less in this quarter.

Revenue from the API business stood at INR 153.8 crores against INR 171.1 crores in Q1 of last year, down by 10%. Revenue from the formulation business has grown by 12% in this quarter from INR 44.8 crores to INR 50.2 crores. And revenue from the domestic and export businesses are less by 5% in quarter 1 of this financial year as compared to the same period last year.

Speaking on EBITDA, EBITDA for this quarter stood at INR 61 crores as compared to the INR 81 crores in the Q1 of last year and EBITDA margins for this quarter stood at 30.1% against 37.7% in the same period last year.

As mentioned, the cost related to the commercialization of our new injectable facility has temporarily impacted EBITDA. However, as revenue from the facility scales up, we expect to benefit from operating leverage, which will enhance overall EBITDA and margins. Excluding this, our EBITDA for the quarter stood at approximately 37%, consistent with quarter 1 of last year. On the profit after tax, our profit after tax for this quarter stood at INR 44 crores as compared to the INR 60 crores in the same period last year. Our PAT margins for this quarter stood at 21.6%.

So with this, I shall now leave the floor open for question and answer.

Moderator: The first question is from Yagnam Pathak, Asian Market Securities.

Yagnam Pathak : So the cost impact you have seen with respect to the Valthera facility, is some back calculation around INR 14 crores. So firstly, is it a nearby figure? And if you can, please quantify how much of it would be personnel cost?

Ankur Vaid: So yes, around INR 12 crores to INR 13 crores is the expense that is related to the injectable facility.

Yagnam Pathak: Okay. And are any one-offs included in this?

Lalit Sethi : Out of it, INR 4.27 crores is on account of the employment cost. Power and fuel are around INR 2.77 crores and remaining is the other expenses.

Moderator: The next question is from the line of Maitri Seth from Choice Institutional Equities.

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Maitri Sheth: I just have a couple of questions. One is on the export revenue. So I just wanted to understand how much of it is coming from the US. And second is given that we are still in line to achieve our EBITDA margin guidance, could you just throw some color on by which quarter we can expect these increased expenses to normalize?

Lalit Sethi : So as far as the bifurcation of exports revenue is around 45% of the total revenue is exports and 55% is domestic. Out of the export revenue, around 15% is to the US and 30% is to the rest of the world.

Maitri Sheth: Okay. Secondly, on the EBITDA, if you could just give some idea?

Lalit Sethi : EBITDA, as I mentioned to you, this time, it is impacted because of the commercialization of the injectable plants. Excluding this commercialization and the start-up cost, it will be in line with what it was in the same period last year. So it was 37% last year. So this year also it stood at 37%.

Moderator: The next question is from the line of Vivek Agarwal from Citigroup.

Vivek Agrawal: Ankur, just as far as the dip in this quarter in API business is concerned, is it mainly driven by

quarterly fluctuation in procurement, etcetera? Or is there any impact of pricing headwinds as well, right? Because multiple companies, especially in the API space, are reporting some kind of headwinds as far as generic pricing is concerned?

Ankur Vaid: So this is primarily on account of, as mentioned earlier, Vivek, it is on account of the lumpiness in the business that we have seen because of the heavy quarter 4 because, again, we are anticipating that the customers would be having some bit of inventory in their hands, because of which we have seen that lumpiness in quarter 1.

Vivek Agrawal: So that is the reason because of which we have seen this. And how is the pickup that is happening in the new Limbasi facility and especially in the onco and anti-infective segment, if you can throw some light?

Ankur Vaid: So oncology is only being catered to in Unit 1. We do not have oncology at the Limbasi facility, but the Limbasi facility is picking up quite well because most of the new products will be getting validated and commercialized from the new site only. So last year, we did Nystatin. So that was manufactured at Unit 3 only.

We have a couple more products that we are looking at commercializing this year. And those would also be coming from Unit 3 only. So as we start building more molecules, as more molecules become commercial, that will further help us kind of optimally utilize this Limbasi facility.

Vivek Agrawal: And Ankur, just if you can throw some more light on the CDMO contract as well as, I think, the commercial supplies that you bring in this particular quarter, right? So that would be helpful. So how much or what kind of revenue ramp-up can be expected in, let's say, over the next couple of quarters? And what type of product is this? And what are the customers, whether that's a generic customer or the innovator customer. So that would be helpful.

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Ankur Vaid: So they are a mid-sized innovator company that have recently launched the product. So it's a new product that they've launched. And we have catered to one of their orders. We have a couple more, which are already there in the pipeline, so they would be executed also. So it's picking up quite decently.

However, we don't have the forecast from them because, as I said, they've just launched the product. And we anticipate that some kind of a forecasting will be provided to us by next financial year. And this year is going to be more about getting the product onto the market and seeing how the product moves. But so far, the response from the market has been good.

Vivek Agrawal: So this is a product launched by an innovator company very recently?

Ankur Vaid: Correct.

Vivek Agrawal: Okay. And it is there in the human health, right, rather than any veterinary or ag chem, etcetera?

Ankur Vaid: This is also in vet.

Moderator: The next question is from the line of Sumit Gupta from Centrum Broking.

Sumit Gupta: Can you let us know about the new molecules, which we are working on currently?

Ankur Vaid: So currently, we are working mostly on the antibiotic segment and oncology segment. As I mentioned earlier, we have close to around 10 to 12 products that are there in the pipeline. And a couple of them are at a relatively advanced stage. So we are expecting around 2 to 3 molecules, a couple of them through antibiotics and maybe 1 molecule or so from the oncology.

Sumit Gupta: Okay. So what can be the market size, the potential market size of this?

Ankur Vaid: The potential market size for each product, I can come back to you with the exact numbers because, again, IMS doesn't provide it at the API level. But I would say this would put together all the three products, I would say, close to around \$500 million to \$700 million. And on all of these three products, again, the same thing is there wherein you have maybe two or three-player market with limited competition coming in.

So they are, again, both complex niches. Even though it is the antibiotic space, these are again complex niche molecules where around 2 or 3 players are there. Similar in case just like Nystatin. If you see Nystatin, which we launched last March, filed the DMF, it is also an antibiotic, but there are only two players, both of them from Europe.

So that gives us a lot of advantage with the kind of scale that we have, the expertise that we have and the approvals in place. So a similar kind of thing we are seeing in these 2 or 3 molecules that we are looking to kind of launch in this year.

Sumit Gupta: Understood, sir. And the second question is on the injectable facility. So what kind of ramp-up can we see for this facility? So as we have discussed previously also in other calls, this year is going to be more about launching in the domestic markets only. So while filing for the emerging markets. So for this year, we have already taken validation batches for a couple of our products

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in the first quarter only. We have a couple more products that are lined up for validation in quarter 2 and quarter 3.

So we'll take our validation batches, we'll be catering to the Indian market and then be filing in the emerging markets. And somewhere by end of the next financial year is when we will see commercialization of products in the emerging markets. So that is with respect to the ramp -up when you see it from the emerging markets. But now that we are fully integrated in the injectable space, we see ample opportunities even in the domestic.

So we are just seeing how things would move and Concord Lifegen and all these are ways to kind of keep further penetrating into the Indian market more and more. So much of the groundwork is there in place now so that we can kind of move more aggressively into

o the

injectables market even in India because we have the APIs and the front end is already there.

And now that we are manufacturing ourselves, we'll have a fully integrated approach to cater to the markets.

Moderator: The next question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Sir, firstly, can you provide the capacity utilization across all the facilities?

Lalit Sethi : Yes. In the Dholka unit, in this quarter, the capacity utilization is 75% , and in Valthera unit, it is around 26% , and for the Limbasi, it's around 57%

Alankar Garude: Sorry, can you repeat the number for Limbasi again, sir?

Lalit Sethi : Limbasi, it is 57% for Valthera, it is 26% and for Dholka, 75%.

Alankar Garude: Okay. Sir, two questions then as follow -ups. One is on Limbasi, we were at 40% in the fourth quarter, which has increased to 57%. So I mean, how should we read this considering that API sales have declined even on a sequential basis?

Lalit Sethi : Last year, we were at 50%, not 40%. It was 50%.

Alankar Garude: So you are saying in the fourth quarter FY '25, the previous quarter, not last year, we were at 50%.

Lalit Sethi : . Yes, we were at 50%. To be precise, it was 52.62%.

Alankar Garude: Okay. Fair enough. And the second question linked to this is, if you look at Valthera, there, the utilization levels have dropped. Does this include the injectables capacity as well?

Ankur Vaid: No, no.

Alankar Garude: So in that case, was there any impact of this lumpiness on the formulation sales as well in this quarter?

Ankur Vaid: So lumpiness, I would say, is very much there in the formulations. But it could be that certain material that has been manufactured and shipped by Sea has not been considered in the sales. So Concord Biotech Limited

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like, a cutoff in sales could be because when we supply to LatAm and to the US, we see. So it could be that some portion of that could be on account of that.

Alankar Garude: Understood. The second question was on pricing. Now you mentioned that this decline of 10% year-on-year is predominantly due to the uneven customer pattern procurement patterns. But just on pricing, would you like to comment on whether pricing has been stable on a Y -o-Y as well as on a Q -o-Q basis? And broadly, given that we have offered price discounts to customers who have a higher volume offtake, is that something that continues for us? Or have we seen any change as far as those patterns are concerned?

Ankur Vaid: No. So when we are working with customers across different geographies, prices to many of our customers remain relatively the same. However, when we are entering into newer accounts or we are entering into newer products, say, for example, nystatin or Voclosporin, at those times, for those opportunities, the prices could be different because let's say, you are entering as a second - source supplier into certain accounts ; the price expectations, given that they are larger in volumes , could be different.

So it depends upon market to market. It depends upon customer to customer. But whenever you are entering as a second source, be it for your existing or newer products, there could be some pricing benefits that we have to give to the customers. Now that pricing could be above our average price or could be lower.

But the impact of that, I would say, could be at times relatively lower given that we have a much, much larger base. So the impact may not be significant enough. But that is something that for future businesses with the newer opportunities with newer products, new customers, something that we do on a case -to-case basis.

Alankar Garude: Got it, Ankur. Just one question here is, I mean, given that there are no new launches as far as immunosuppressants are concerned, would it be fair to say, given your comments , that pricing in immunosuppress

ant is more or less stable. And for the other therapeutic areas, as we expand our presence, possibly pricing can move a bit depending on some of the new clients that we are targeting?

Ankur Vaid: I wish, Alankar, I could say that prices will remain stable for years to come. But as markets change, for now, things look stable. But I cannot say how markets would do or how markets would behave. The only way to counter any of these kinds of price impacts that may come is through your R&D development.

So we keep investing in our R&D for our existing products also so that maybe if not today, tomorrow, something comes up, we are able to kind of absorb any of the pressure that may come.

So that is the only way that we have to kind of work towards products that are well catered to and well -addressed to the market.

And also, given that, as I mentioned earlier, we have 30%, 40% of the world market share, we still have another 40% , 50% to target. So many of those opportunities, we are already targeting in different geographies for which we have already undergone regulatory inspections. We have done the filings in those markets, and we are awaiting approvals in those markets. Now that can

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happen in this year or in subsequent years, we have to see that. But whenever that opens up, that will also help us increase market share even in our existing products.

So we know which are the customers that we need to target. All our efforts are towards that. And as a result, as I mentioned earlier , if you are targeting those second source opportunities, then there the pricing could change because of that. But if it happens to our existing customers for different reasons, then the only way to address that would be through continuous R&D improvement.

Alankar Garude: Got it, Ankur. So basically, you are saying that even for immunosuppressant and other therapeutic areas as well, depending on the new customers we want to target, pricing can vary accordingly.

Ankur Vaid: Correct. Like I'll tell you an example just to kind of for one of our products, which we have recently launched, the market price was close to around \$350, \$400. We launched it at almost a 25% discount. And at that price, many of those European players are not able to compete. And that is the reason why we are seeing a lot of traction.

But even with that price that we have, we are able to maintain healthy EBITDA margins. So while we are going as a second source opportunity. So you have cases like this also, and then you will have cases where we have to go maybe at certain products, certain cases below our average price. So it's dynamic in nature is what I wanted to kind of put across.

Alankar Garude: Understood. And one last question with your permission. So when you talk about losses from the injectables unit easing off over the course of the fiscal, how should we look at EBITDA margins for the full year? Because 30% this quarter clearly is much, much lower than what we have done for many years. So given this performance, how should we look at EBITDA margins for the fiscal?

Ankur Vaid: Yes. So if you remember that in our last year's first quarter also, the sales were relatively subdued. And that time also, we had mentioned that it could be also as an impact of the fixed cost, which is there and all. So that injectable fixed cost is getting fully loaded on the base that we have for the first quarter.

As our sales start moving up, this percentage impact will go down. So while the value would be more or less in line with what it is, but it will trim down when you would start looking at as the time horizon increases. It is just that for quarter 1, it looks higher because of the lower sales numbers.

Alankar Garude: Got it. Do you expect the facility to break even by the end of FY '26?

Ankur Vaid: I would hope so. I would want it

to. But the only way for it to kind of do that is that we are putting a lot of our efforts on the domestic front because the opportunity even in the India market is significant for some of the products that we have taken the validation batches and some that we are expecting in the coming months. So those opportunities are large. And we are having a more focused approach to kind of penetrate on these four, five products that we are launching for the India market.

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But these things take time to kind of engage with the doctors to engage with the hospitals. Let's see how that goes. But I think given the market size opportunity in India, we are quite optimistic in terms of how things can move. But again, we have to see how market behaves.

Moderator: The next question is from the line of Vamsi from Antique Stock Broking.

Vamsi : Thanks for the opportunity. I just have a couple of questions. Firstly, on the CDMO front. So

the new contract that we have entered into, is it on the API side of it or the FDF side of it? And in terms of the pricing, is it fair to assume that it's a cost - plus- margin kind of a strategy that we use?

Ankur Vaid: So the opportunity is actually on both fronts, both API and formulation. So it's a more integrated kind of play that we are working with them on. And yes, it is a cost -plus model.

Vamsi : All right. Secondly, in terms of the new acquisition that we have done on the US front. So given that the US already contributes 17% to the top line, before this, did we have front -end presence there? Or is it that we relied on someone else to do the distribution for our products?

Ankur Vaid: So maybe I'll clarify that. So the 17% export that goes also has a component of API as well as formulations. The direct formulations that we are selling into the US, Stellon Biotech is basically going to be working on that front. When it comes to APIs into the US market, there, we will continue with our existing channels. which is direct marketing through Concord to those customers in the US.

This is only with respect to the formulation because as our portfolio is increasing, is where we are seeing in terms of how we can do that inhouse. So this is, again, primarily focused only towards formulations, both in -house as well as from third -party manufacturing. Got it, sir.

Vamsi : Just one last question. So given our business has a lot of cyclicalities, especially on the API side, how do you how should we look at the overall growth for FY '26? And if you can also give some color on how the API and the formulation segments could perform?

Ankur Vaid: So I won't be able to comment in terms of giving any guidance in terms of how this year would look like. But typically, our business has growth coming from 3 or 4 areas. One is the market growth. Secondly, we have innovators businesses getting converted to generic, which also gives us a market share growth. Third is new customer acquisition. So like a second source opportunity.

So wherein we enter as a second source with the intent to become a primary source. And the fourth is a new product category in terms of how fast we kind of penetrate into customers and start that churning into the volumes. So these 4 components kind of make the overall growth for us, which does not include the injectables, which does not include the CDMO.

Now in a particular year, it could be that the third and the fourth buckets are playing out very significantly out. And there could be certain years where it may not play out as much as we would have anticipated. So for me, it is difficult to say at this point that what that growth number could look like. It could be 20 plus or, it could be a very different number. But I think given

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where we are, we are confident that it should be in line with what our historical

performances

have been.

But I just wanted to put it across that these are the 4 buckets that play out in terms of the growth.

And we've put all our efforts to kind of that each of these segments kind of plays out and contributes the way that we have looked at. But I expect it to be in line with what historically has been without giving any kind of a guidance.

Vamsi : That is very helpful, sir. And just one last question with your permission. So in the injectables bucket, how many products do we have? And by when do you kind of target launches from this?

Ankur Vaid: So we have already started selling in the injectable formulation, we've already started selling in the India market. We have currently launched two products from the injectable facility. We have another two, which are expected to be commercialized in the coming months. And we have around 10 products in our Phase I that we intend to launch, for which the work is ongoing. And for most of these 10 products, we are backward integrated.

Moderator: The next question is from the line of Kishan Tosniwal from Polar Ventures LLP.

Kishan Tosniwal : I have basically two questions. First is, we are into different segments, right, API formulations and right now into CDMO as well. Just wanted to know the profile of our margins. Is the all the businesses are having similar kind of margins or the businesses have different margins?

Ankur Vaid: So in fermentation, as you see, there are very limited players globally. And when we are competing with the likes of Southeast Asians or European players, definitely, the margin profiling is very different compared to the finished formulations, which is relatively a little bit more crowded, if I may say. So in short, the answer is yes, the margin profile is very different between the two different segments.

Kishan Tosniwal: Okay. And the second question that I have is, I'm seeing the R&D spend that is a percentage of our sales. It was 3.6% in '22, 3.5% in '23, and it has dropped to 2.3%. Can we have a ballpark picture, what is the future that we see? Because as more and more R&D spending increases, our pipeline also increases. Is my understanding correct?

Ankur Vaid: So in fermentation, the R&D spend is different from the way that R&D spend happens in formulation. In formulation, much of the R&D spend is coming from the API, which we end up buying at a higher cost as well as the BAB studies that we do.

So that's why the spending in the R&D looks different than what our numbers are. In fermentation, what we do is that much of the R&D actually happens at a very, very small scale. And the best of the results are only the ones that we kind of take it to a larger scale. So this is more about the expertise rather than at the volume gain. And that is why the spending looks lower, but the output of the productivity plays out a lot more here.

So fermentation R&D has to be looked differently than some of the other formulation companies that they kind of work on. And in our case, we do not have any KSMS that we end up buying

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from China. Our KSMS are something which are locally sourced, which are agro-based products.

So the cost also becomes relatively lower. So it's more about the expertise rather than the cost.

Kishan Tosniwal: Okay. And if I can squeeze in one more. The R&D employee strength that you are showing greater than 135, if I may know, are these all the, what do you say, scientists only or these are different categories of persons like scientists and their subordinates and all kinds of things?

Ankur Vaid: So the 135 that is there includes everybody in the R&D.

Kishan Tosniwal: All staff right? Number is greater than sorry, sorry, it's 180. I was seeing API DMF greater than 135, sorry. Yes, 180 Yes.

Lalit Sethi: The number is 180 and this 180 number

includes everyone.

Kishan Tosniwal: And this R&D facility is at all the plants or it is located at one place only? I can see the API facilities at two places and formulation facility at one place.

Lalit Sethi: We have two R&D centers, one for the API, which is located in API unit and another is on the formulation, which is located at Valthera.

Moderator: The next question is from the line of Ankeet Pandya from Baroda BNP Paribas.

Ankeet Pandya: Sir, I have two or three questions. So first of all, on the API side, what is the length of the contract that you have with the clients, like for 6 months or a yearly basis? How is it? And does that include the price escalation clause with the clients?

Ankur Vaid: So typically, we don't have any contracts with the clients. And the reason for that is that once you start working with a formulation company, there is a lot of stickiness between the two. So like for many of our customers, we are the primary source. And in case for some we are secondary, the intent for them has been to make us a primary source. So when you have that kind of a stickiness, you don't have contracts.

We have quality contracts in place because that's somewhat like a requirement for the authorities.

But when it comes to supply contracts, I would say very few companies would have like larger MNC companies may have supply contracts, but many of the other ones would simply be working in terms of interacting with us and kind of working in terms of what their requirements are.

Ankeet Pandya: so if there's an increase in prices, is it like you all are able to pass it on?

Ankur Vaid: Sorry?

Ankeet Pandya: If there's an increase in prices from your end, do you pass it on to the clients?

Ankur Vaid: No. So we've neither increased our prices nor decreased our prices. In One of the earlier discussions, I mentioned that in case there is a pricing pressure on us, we kind of compensate it through our R&D. And in case we are able to save, then that is something that we keep to us. So

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we've neither increased or decreased prices to our customers, most of our customers, I would say, in the last years.

Ankeet Pandya: Fair enough. Sir, secondly, on the formulation side, how many launches are we expecting this including India and rest of the geographies also? How many launches? And if you are giving any guidance for growth for the next 1, 2 years?

Ankur Vaid: So on the growth guidance, we did speak about a while back. So I won't repeat on that. But on the launches, yes, we have filed for a couple of our products. We are expecting approvals in different markets, and these are new product launches. And also in India market, we have launched the rheumatology segment.

And this is an extension to the autoimmune that is there. So within the intra, if you see, which is our nephrology dialysis business, we have a rheumatology business also, which has been launched, and we are seeing good traction even in that segment. So where we see good opportunities in terms of products, we would be looking at launching. Some of them, we are doing it in-house, whereas some other products, we're also in-licensing those products.

Ankeet Pandya: Fair enough. And sir, just lastly, on the CDMO front, what is the mix that you are looking at in the long term beyond 3, 4 years? Like what kind of contribution should one expect from the CDMO business?

Ankur Vaid: See, CDMO, if you see, is a very big opportunity. And it is very sizable. But I think conservatively, if I have to look, I would say that what internally, what we are seeing or targeting is that if we are able to get maybe 4 or 5 opportunities, maybe in totality around \$40 million to \$50 million. That itself is a sizable opportunity given where we are. Now this number instead of \$50 million could be \$15 million, \$20 million also because, as I

said, that there are not many fermentation players who have the kind of strength that Concord has because with our capacities, regulatory approvals, expertise, given the cost advantage that we have versus Europe and given what is happening with China, people trying to de-risk and looking at India, we have everything in place to kind of become an ideal partner for many of these companies.

So the numbers could be very large also, but if I consider maybe four or five opportunities with a total \$40 million, \$50 million in total, that it still gives us around 6% to 7% annualized growth over what our historical growth has been. So that is something that internally we kind of look at that how we can kind of build at least a \$40 million, \$50 million opportunity on the CDMO, while it could be larger as well.

Moderator: The next question is from the line of Maitri Seth from Choice Institution Equities.

Maitri Sheth: Just a couple of questions. Are we still on track to achieve a 25% CAGR on our consolidated top line revenue? And earlier, I believe we had said that we are expecting a 35% to 40% CAGR on formulation. So any comments on that?

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Ankur Vaid: So again, when we say a 25% CAGR growth, let me maybe make it a little bit clearer that Concord has all the ingredients in place to kind of go towards that kind of growth. So when we talk about the capacities are there in place, these capacities in their current form can give sales much over the 25%. Do we have a differentiated strategy in place?

So as I said earlier, in fermentation, there are not many players, and Concord has been gaining market share on its existing products as well as on the new launches that we are doing. So our current business continues to do well. Historically, you have seen that we've had close to around 18% CAGR growth for many, many years now. But that being said, there could be a little bit of variability depending upon how the things move.

On top of that, we just spoke about the CDMO business and the injectable business. So if I say a \$40 million, \$50 million opportunity on CDMO, that is close to around INR 400 crores, which if you take it on a 5-year, 6-year period, this could be around 6% to 7% growth. If you take the injectables, this facility can do close to INR 600 crores.

Even if I take a INR 300 crore conservatively on a 5-year period because the first 1 or 2 years is going to be more about the submissions to the authorities and then getting so maybe from second, third, fourth year onwards, it will start contributing. So if I take a INR 300 crore opportunity also, that itself translates to 5%.

So on our baseline growth of 18 plus 5% and plus 5% kind of gives us somewhat of a clarity that, yes, 25% can be done. So I would also not know how my 5 years look like. But what gives us the comfort is that we have all the right ingredients in place to kind of achieve those growth and something that we have demonstrated historically. That's how the number comes out.

And when we talk about the formulations, if we have to grow at this kind of a growth that we speak about with an 80%, 20% way that we are looking at, those numbers automatically translate to 40% growth if you're looking at from a formulation, which has a relatively lower base.

Moderator: As that was the last question for the day, I would now hand the conference over to the management for the closing comments. Over to you, sir.

Ankur Vaid: So thank you, everyone, for joining on our Q1 FY '26 earnings call. We hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations Advisors. Thank you once again, and have a good evening.

Moderator: Thank you. On behalf of Centrum Broking, that concludes this conference. Thank you for joining us, and you may

now disconnect your lines. Thank you.

Call: Nov 2025

CONCORD BIOTECH LIMITED

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To

The Manager, Listing Department

National Stock Exchange of India Ltd .

Plot No. C/1 G Block,

Bandra -Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir /Ma'am ,

Subject: Transcripts of Q 2 & H 1 FY26 Earnings call held on November 14, 2025

In continuation of our letter dated November 15, 2024 regarding Audio recording of the Audited (Standalone and Consolidated) Financial Results of the company for the Second Quarter and half year ended September 30, 2025, Earnings call for Investors and Analysts and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) 2015, the transcripts of the Earnings call for the said period enclosed herewith and available on the website of the company at the following link after sending this letter to you . Also please note that this transcript and the audio recording of the call, both have been uploaded on our website as follows:

<https://concordbiotech.com/investor/>

Kindly take the same into your records and oblige.

Thanking you,

Yours faithfully

For Concord Biotech Limited

Ms. Hina Patel

Company Secretary and Compliance Officer

(ACS:56541)

Encl: as above

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"Concord Biotech Limited Q2 & H1 FY'26 Earnings Conference Call"

November 14, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 14th November 2025 will prevail.

Concord Biotech Limited

November 14, 2025

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MANAGEMENT : MR. SUDHIR VAID – CHAIRMAN AND MANAGING DIRECTOR ,
CONCORD BIOTECH LIMITED
MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , CONCORD BIOTECH LIMITED
MR. LALIT SETHI – CHIEF FINANCIAL OFFICER , CONCORD BIOTECH
LIMITED
MR. PRAKASH SAJNANI – ASSISTANT VICE PRESIDENT , ACCOUNTS &
FINANCE , CONCORD BIOTECH LIMITED
MODERATOR : MR. PRANAV CHAWLA – AMBIT CAPITAL PRIVATE LIMITED

Concord Biotech Limited
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Moderator : Ladies and gentlemen , good day, and welcome to the Concord Biotech Limited 2QFY'26 Earnings Conference Call hosted by Ambit Capital .
As a reminder , all the participant s' lines will be in the listen -only mode ,
and t here will be an opportunity for you to ask questions a fter the
presentation concludes . Should you need assistance during the
conference call, please signal an operator by pressing '*' then '0' on
your touchtone phone. Please note that this conference is being
recorded .

This conference call may contain forward -looking statements about the
company, which are based on the beliefs, opinion s, and expectations
of the company as of the date of this call. These statements do not
guarantee the future performance of the company, and they may
involve risks and uncertainties that are difficult to predict
I now hand the conference over to Mr. Pranav Chawla. Thank you, and
over to you, sir.

Pranav Chawla: Welcome to the 2Q and 1H FY'26 Earnings Conference Call of Concord
Biotech Limited. We thank the Management of Concord for providing
us with the opportunity to host this earnings call.

From the company today, we have Mr. Sudhir Vaid – Chairman and
Managing Director, Mr. Ankur Vaid – Joint Managing Director and CEO,
Mr. Lalit Sethi – CFO, and Mr. Prakash Sajnani – AVP (Accounts and
Finance).

I would now invite Mr. Sudhir Vaid, Chairman and Managing Director
of Concord Biotech Limited, to give his opening remarks. Over to you,
sir.

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Sudhir Vaid: Good afternoon , everyone, and thank you for joining us on our Q2 & H1FY26
earnings conference call.

Revenues for Q2FY26 stood at Rs. 247 crore s, while H1FY26 revenues were Rs. 451
crore. The subdued performance is primarily due delay in Written confirmations from
CDSCO, deferment of a government tender for Middle East region and shift in
procurement patterns from US customers on the back of tarif f uncertainties. We have
experienced such cycles & uncertainties in the past and emerged stronger. We believe
that this is just a timing difference & postponement of sales & not loss of business .
Based on early discussions and forecasts, we anticipate a st ronger performance in H2.
On the EBITDA front, the decline was primarily due to the commercialization of our
new injectables facility at Valthera, which had a temporary impact on margins.
Excluding these initial start -up costs, our EBITDA margin stood at 41% . As the facility
ramps up and achieves higher utilization levels, we expect it to start contributing
positively to our overall margins in the coming quarters.

Despite the challenges, I'm pleased to share that the last six months have been quite
eventful on the regulatory front. We hosted multiple site inspections across our
facilities — Unit II went through its emerging market inspections, and Unit III, our
largest fermentation facility, successfully completed its first EU inspection. We also

had successful inspections at Unit -1, Dholka from key global regulatory agencies such as USFDA and EU authorities . These successful outcomes give us the confidence and the credentials to enter new markets and secure regular supplies.

In addition to the strong regulatory progress over the last six months, we also successfully executed several key strategic initiatives. Notably, we received USFDA approval to market Teriflunomide Tablets, marking another important addition to our portfolio. We also incorporated Stellon Biotech Inc., which will drive the marketing, distribution, and commercialization of Concord Biotech's products in the U.S. market. Stellon will manage end -to-end commercial operations while ensuring full regulatory compliance, establishing our direct commercial footprint in the U.S. and advancing our goal of expanding market access and un

locking greater value across key global markets.

We incorporated Concord Lifegen Limited as a wholly owned subsidiary to strengthen our domestic marketing, sales, and distribution capabilities. This move will enable us to sharpen our market focus, deepen customer engagement, and enhance our brand presence in India .

We have also invested in Cellimmune Biotech Limited which is working on new ways to treat cancer using the body's own immune system. Cellimmune is developing advanced therapies like CAR -T cells, which are specifically designed to find and destroy

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cancer cells. The goal is to move beyond traditional chemotherapy and offer smarter, more personalized options for treatment .

Speaking about our CDMO opportunities, we remain actively engaged with clients and remain optimistic on finalizing some of the opportunities in the near term.

With our strong product portfolio, requisite regulatory approvals, marquee clientele base and diversified business opportunities, we remain confident on our long -term strategies to grow.

With this I hand over the call to Mr. Ankur Vaid, Joint MD & CEO of Concord Biotech Limited.

Ankur Vaid: Thank you, Sir.

Good afternoon , ladies and gentlemen.

We have reported revenue of Rs. 247 crs in Q2FY26, a growth of 21% compared to last quarter, however on a year -on-year basis there has been a dip of ~20%. For H1 our revenues stood at Rs. 451 crs. The subdued revenue performance has been on account of 3 major reasons impacting the overall growth.

- First being the renewal application for Written Confirmation from the Central Drugs Standard Control Organization (CDSCO), New Delhi —a prerequisite for selling products in the European Union. Although the application was submitted in July, processing delays impacted our EU sales, as shipments could not be dispatched without this approval. We received the Written Confirmation on 4th November 2025, and it is now visible on the ir website. Shipments that were on hold have now resumed and contributed to revenues in the current quarter. So, in summary this is not a business loss this is just a timing difference where we were not able to sell in Q2 but will not ship in Q3.
- The second issue relates to a government supply contract in the Middle East that was being executed through an Indian entity. This contract has been deferred due to regional uncertainties and ongoing conflict. We remain optimistic that the contract will resume soon, allowing us to recover the associated revenue going forward .
- Lastly, we experienced a temporary shift in procurement patterns, particularly from our U.S. customers, driven by the ongoing tariff situation. However, following the clarification in September that these tariffs do not apply to generic drugs, order inflows have now returned to normal levels. Additionally, progress on the second -source opportunity had also been slow due to the uncertainty, but with the tariff clarity, clients have begun responding more quickly. This positive development positions us to accelerate our second -source engagements with multiple customers and capture a larger share of the market

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Overall, these are largely timing -related factors rather than structural ones, and we will try to mitigate the impact in H2 for the shift in the business, having said that we remain confident

about the underlying demand and the strength of our products which will enable us to capture a larger market share.

If we exclude these timing -related issues and the temporary shift in business, the underlying unit economics remain strong. The deferral of revenues to the following period affected overall margins due to de -operating leverage; however, excluding this impact, both gross margins and EBITDA have remained stable to improving. Additionally, if we adjust

for the

expenses from our injectable facility —where revenues will accrue in the upcoming period — our EBITDA margin stands at a solid 41%. With higher revenues expected from the injectable facility and the recovery of deferred revenues in the second half, we are well positioned to sustain and further strengthen our margins going forward.

Let me speak about a few positive developments:

- Over the past six months, we have secured multiple regulatory approvals across our sites, strengthening business continuity and enhancing global market access. Our Dholka facility has received USFDA, EU -GMP, and Russian GMP certifications, while our Vathera facility obtained NAFDAC approval from the Nigerian authority for OSD. Additionally, our Limbasi facility has been granted EU -GMP certification. These approvals will help us broaden our customer base across regions and ensure consistent supply.
- We are also in advanced discussions with innovator companies for generic API supplies and are witnessing strong positive traction on this front.
- Furthermore, we have been actively pursuing qualification initiatives for second -source opportunities, which are now progressing at an accelerated pace. Once we achieve second -source qualification, it will only be a matter of time before we expand our wallet share and potentially transition into a primary supplier over the long term.
- Speaking about our newly commissioned injectable facility, we are witnessing a strong rise in enquiries and revenue traction. Our products have been successfully validated, and customer acceptance continues to grow. With the increasing interest and improving revenue run -rate, we anticipate stronger visibility and sustained growth from this segment going forward

Alongside injectables, our CDMO business continues to progress well and represents a significant long -term growth driver, with a large addressable opportunity . We possess both the capability and capacity to serve this market effectively. We remain actively engaged with clients and remain optimistic on finalizing some of the opportunities in the near term

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Over the years, we have successfully positioned Concord as a leading supplier of fermentation -based API products, creating a distinct niche within this space.

Our business is built on deep expertise in complex fermentation processes, operational excellence, product development, and R&D capabilities — all of which have enabled us to create strong entry barriers and establish a sustainable competitive advantage. With a diversified portfolio across therapeutic areas, scaled -up manufacturing facilities, flexible plant configurations, robust regulatory approvals, and an impeccable compliance record supported by backward integration, we have emerged as a trusted partner for our global customers. With this I hand over the call to Lalit Sethi, our Chief Financial Officer for Financial & Operational performance.

Lalit Sethi: Thank You Sir, let me take you through the financial and operational performance for the quarter

On revenue front,

- Our revenues for Q2FY26 stood at Rs. 247 crs as compared to Rs. 310 crs in same period last year , a decline of 20%, however on a Q -o-Q basis revenues have grown by 21%.
- Our revenues of H1FY26 stood at Rs. 451 crs as compared to Rs. 526 crs in H1FY25
- Revenue from API business stood at Rs. 345 crores in H1FY26 against Rs. 401 crores during the same period last year.
- Revenue from Formulation business in H1FY26 stood at Rs. 106 crs as compared to Rs. 125 crs in the same period last year,
- Revenue from domestic business stood at Rs. 247 crs in H1FY26 & from exports stood at Rs. 204 crs

Speaking on EBITDA

- EBITDA for this quarter stood at Rs. 88 crs and for H1FY26 it stood at Rs. 150 crs compared to 218 crs. EBITDA grew by ~44% on a Q -o-Q basis.

- EBIDT

A margins stood at 36%, but if we negate the impact of the expenses for injectable facility the comparable EBIDTA stood at 41%.

On Profit After Tax

- Profit after tax stood at Rs. 63 crs for Q2FY26 and for H1FY26 it stood at Rs. 107 crs, with a PAT margin of 24%

With this I shall now leave the floor open for Q&A.

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Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: On the results front, if you can quantify the revenue loss for the EU part, just to help us, how much of growth we have anticipated, which we could not execute because of the challenges we faced during the quarter. If you can just quantify if those challenges were not in place, how much revenue growth or how much revenue can be spilled over into subsequent quarters, would be helpful.

Ankur Vaid: So, on account of the written confirmation, the total amount was close to around INR 20 crores to INR 25 crores, which, as I mentioned that has been realized in Quarter 3. On account of the Middle East tender, that amount also stood at around INR 20 crores, for which, as I mentioned, we still do not have clarity, and there is a deferment of the tender. So, part of it has been realized in Quarter 3. The other part, we are still awaiting clarity from the government on the tender results or when it will be opened up.

Chintan Sheth: And that seems the full -year guidance will continue to be healthy if we add this back up. We are anyways single digit or slightly lower on a Y-o-Y basis. Prima facie, the annual run rate or annual growth does not seem to be very much affected because of the weak Q2 in the first half.

Ankur Vaid: No, as I mentioned, that there had been a temporary shift in the procurement patterns because of the U.S. tariffs, and this has impacted the industry as a whole. So, as I mentioned, we expect to recover, deferred revenue in the coming quarters, but the exact timing and the quantum is difficult to specify at this stage.

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But that being said, our current visibility for H2 is strong, and we are seeing positive indicators. We anticipate delivering growth in H2 higher compared to what it was in FY '22 of second half. But the magnitude will depend on several factors. So, we are kind of working towards achieving that growth, but we will be in a better position to provide clarity only by Quarter 4.

Chintan Sheth: And on the CDMO opportunity, any color on the ongoing one of the projects we won last quarter? Any color on how it is progressing? You mentioned that the final or confirmed offtake guidelines will be provided next year as the product gets launched and ramped up in the end market. But if you can, how has that been the progress, then it would be helpful.

Ankur Vaid: Yes, again, there is no change there. So, we continue to supply them quantities. They are also in the process of increasing their field force to cater to this new product that they have launched in the U.S. And we will be getting the visibility on the forecasting by, as I mentioned earlier also in our previous discussions, by the next year.

So, we have executed orders. We continue to have orders in place that we will be executing. But our customer will be able to provide a much better visibility by the beginning of next year because by then they would have the field force, and they will have also put the inventory or finished products in the market in all areas.

Chintan Sheth: Last, we turn to the U.S. part. I believe that last year, the full year, the contribution of the U.S. to our overall revenue was somewhere around INR 100 -odd crores, which was 10% -12% of the overall revenue. Given the fact that the visibil

ity of the tariff situation, even though the clarity has come through, the pattern still remains a little blurry for you to provide that at the timing of the reversal of all the shipments, which
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we couldn't deliver this quarter. Do you feel that, that portion of the business will face some degrowth this year, or how should we look at it?

Ankur Vaid: No. As I mentioned earlier, while our direct sales to the U.S. were around 10%, we are also supplying material to Indian companies, and they are manufacturing the finished formulation and then supply it to the U.S. market.

Chintan Sheth: Those indirect sales.

Ankur Vaid: Exactly. Therefore, the impact would also have come through the indirect route, as I mentioned. However, as, our current visibility on H2 stays strong. And this deferment of revenue, we will try to mitigate to the extent possible. But the magnitude, I will be unable to kind of give through. But definitely, the H2 is going to be stronger than H2 of FY'25.

Chintan Sheth: Ankur, thank you so much for the explanation. I will join back in queue for other queries.

Moderator: The next question comes from the line of Hardik Doshi from White Whale Partners. Please go ahead.

Hardik Doshi: Just continuing on the previous question. If you add, let's say, even INR 50 crore of revenues from these two one-offs, there is still a slight degrowth on year-on-year basis, on a decline in overall revenue. I think we get to about INR 300 crore versus INR 310 crore last year. I understand that there is this U.S. demand deferment as well that happened. Some of it would have come indirectly, as you mentioned, from the customer. Is there any way to quantify that?

And the second question is, what happens to the customers in Europe who did not get the orders in time? I mean, do they kind of switch to Concord Biotech Limited
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other suppliers, and then how does this impact your long-term relationship with them?

Ankur Vaid: It is difficult to quantify because when we supply the API to our domestic formulation customers, they make the formulations and cater to global markets such as the U.S., Australia, New Zealand, LatAm, and other markets. So, how much quantity of that has moved to the U.S., as API manufacturers, we would not know but we know that we have issued them a letter of access for different markets. So, we know that their end markets are all, but what has been the split between those markets, even as API manufacturers, we would not know. So, that is to answer your first question.

The second question, with respect to the EU, our EU customers were also very worried in terms of this delay of the written confirmation because some of them were at a stockout situation, or say, close to a stockout situation. And they were worried that if this thing had moved on to December, we would be somewhere getting closer to the December holidays for Europe. So, they were also worried, and there were concerns with them also.

However, in the APIs, particularly in fermentation, where there are limited players, there is also a lot of stickiness. And our relationship with these customers goes much beyond 10-15 years. So, our customers also understand that this is not something that is in the hands of Concord, but we are also relying on third parties, but they were also a bit jittery in terms of not getting the material delivered, and positively that issue is behind them, and we have not seen any

concerns after that since we have informed them about the written confirmation .

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Hardik Doshi: Has this issue happened with CDSCO in the past as well, or is this the first time?

Ankur Vaid: No. We receive the approvals every three years. The last time, there

was no issue as such. It is not an annual thing. But yes, I mean, for us, such a long duration was a first time .

Hardik Doshi: The other question I had was that we have been talking about kind of diversifying into other areas like away from immunosuppressants and built in the other verticals. So, can you maybe give some sense or color in terms of numbers in the sense that what is the proportion last year, where is it now, and what kind of growth rate is happening in immunosuppressant versus the rest?

Ankur Vaid: So, most of the development that is happening on the new product side is primarily happening in the non-immuno segment. The product like Nystatin that we launched in February, March, and where we have said that we are seeing a lot of second-source conversions also happening, that second-source conversion in Nystatin, we continue to observe. But in this case, the quantum of API required is relatively very small. So, you may not see it in the revenue contributions, but that effect has already started taking place in Nystatin. And we are pretty confident that once the product becomes commercial with them, we will see a good market penetration of Nystatin, which is an anti-infective product.

The couple of innovators that we said we are trying to work with, one of them is in the oncology segment. So, it is also in the non-immuno. As time progresses, we will see greater market penetration in the other segments. However, immunosuppressants have a much longer life cycle, and as a result, their contribution levels are higher.

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So, it is also, in a way, an added advantage because our innovators see that Concord has a good market share with the generics, so why not work with Concord for their supplies as well? So, it also, in a way, helps us to kind of build business with the innovators on the immunosuppressant. But the new products penetration is also happening in the non-immunosuppressant, as I mentioned.

Hardik Doshi: What is the current, like what percentage of revenue is coming from immunosuppressants currently?

Ankur Vaid: So, for the six months, it is around 76%.

Hardik Doshi: And let's say two to three years out, I mean, can this come down to like 50%, or it would not be at that stage?

Ankur Vaid: No, no. It won't dip that much because, as I said, newer products will take time to build up, but we anticipate bringing it below 70%.

Hardik Doshi: Just one last question is on the , we are obviously expanding our formulation business. Just from a customer perspective, I just want to understand, does that create any conflict because we are going to the market and kind of competing with them in certain products?

Ankur Vaid: So, it's been nine years now that we have been on the market on the finished product . We have not seen any concern on that matter.

Moderator: The next question comes from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Sir, Firstly, the delay in EU as well as Middle East, was it for API or formulations or both?

Ankur Vaid: APIs.

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Alankar Garude: So then what is the reason for the sharp drop in formulation sales on a

year -on-year basis?

Ankur Vaid: Sorry, my mistake. Again, I will stand corrected. The written confirmation is on the API, and the Middle East one is on the formulations, which is through an Indian entity that we have supplied to. I stand corrected .

Alankar Garude: Ankur, this CDSCO deferral , it seems a bit uncommon. So, you explained the issue, but what can we do to avoid such issues in the future?

Ankur Vaid: We can all represent to the government that they should move on.

Actually , I will tell you that there were certain issues with respect to compliance , we did face the cough syrup issue because

use when we

followed up with the authorities, they mentioned that around that time, the whole cough syrup issue came up , and all the authority people were occupied in addressing the issue .

So, there was a lot of delay in terms of looking at the documentation because of this matter. So, I think this delay probably is, to our understanding, because of that. Of course, we don't know the real reasons for that, but what we believe is that it is because of this.

Ankur Vaid: I mean, I am sure other companies would have also faced similar issues.

Because when you go online and you see, we do see that between the time that they have got the approval and the time that they have submitted, the timelines look to be a little bit more stretched out. But my sense is it is because of the concerns that they saw from the industry on this whole cough syrup issue. That is what our understanding would be .

But if you see that this was a renewal , the previous confirmation was getting expired in July, and we had made the application in June after Concord Biotech Limited

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our US FDA and our EU inspection. We had made the application in June. So, the expectation was that by July, August, or so, we should get the approval. But I think it got delayed by a couple of months because of this issue.

Alankar Garude: The second question is, I mean, even if we adjust for the INR 45 crores of delayed sales, both the EU aspect as well as the Middle East contract, our first -half sales have still declined by 5% -6% on a year -on-year basis.

You spoke about YoY growth in the second half, and we have that 25% long -term guidance also, which we were given. Now, the base is also fairly high as far as the fourth quarter FY'26 is concerned. So , qualitatively, is it possible for you to provide any comments on the extent of growth you are expecting in the second half?

Ankur Vaid: As I mentioned, we anticipate that the growth in H2 is going to be better compared to what it was in FY'25 . But as I mentioned earlier, the magnitude, we do not know because we depend upon several factors.

So, while we have more visibility on Q3, we know what potentially could come in Q4, but that clarity, we could be in a better position only in Q4 that we could give.

But from where we see things right now, our H2 numbers look to be better than last year's H2. But as I said, if what has impacted has impacted the U.S. tariff issue, if it has impacted, it has impacted others as well, particularly companies. So, Concord would be no different there.

So, this is more of a timing thing. It is not a loss of the business opportunity. So, we will try to mitigate it to the extent possible. We have to see how much we can do this year. But that quantum, we will have to wait and see how that goes.

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And when it comes to the guidance, as I said, I mean, we have spoken on multiple occasions, Alankar, that it is not guidance basically, Concord has all the right ingredients in place to achieve a 25% CAGR, whether it is in terms of the facility, in terms of the product mix, or in

terms of the new facilities that we have set up, which were not contributing earlier to the overall growth that we have historically seen. So, that's where we get the confidence of going to that number as capacities from injectable units start picking up, as CDMO starts picking up. So, I will reiterate that we have all the things in place to go to that.

Now, there can be dips like these. This is definitely an unusual dip we have also not seen, and I am sure you people have not seen this kind of volatility in global markets because of the conflicts, because of the uncertainties in the U.S. But many of those things are behind us. So, I think that is how we are seeing things improving, and what we have also seen the improvement in the second half of the year.

Alankar Garude: Fair enough, Ankur. The next one is, can you comment on the pricing of your immunosuppressant portfolio in particular, especially in the context of these challenges around the shift in procurement patterns you mentioned earlier?

Ankur Vaid: So, the shift in the procurement patterns doesn't really change the pricing. But our pricing, as you see, customers that we have been working with have been fairly stable. And if you see that excluding the injectables or excluding the Stellon, our EBITDA stands at 41%, which is pretty much in line with what you would have seen historically.

So, pricing with the current customers would not change. But yes, of course, with certain newer customers who may be bringing in larger volumes, in case there is an expectation on better pricing, then that is

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something that, in the larger interest, we may look at on a case-by-case basis on what could be done, but things have been fairly stable, I would say, with the existing customer base.

Alankar Garude: And the final bookkeeping one, Lalitji, can you share the utilization rates for the three facilities, or maybe the injectable one as well?

Lalit Sethi: The injectable has just started. So, it is not much utilization as far as the capacity is concerned. But as far as Unit -1 capacity utilization is concerned, it is around 76% for the H1. And for Valthera, it is around 24%. And for Limbasi, it is around 52%.

Moderator: The next question comes from the line of Huseain Bharuchwala from Carnelian Capital. Please go ahead.

Huseain Bharuchwala: I just wanted to understand. I think we have earlier done some contracts on the CDMO part with some of our customers, and I think we have done a few dispatches on that front. So, any color on that, basically, how are things shaping up with those customers? Are there further opportunities that are opening up which can build in future revenues for us in the CDMO side? Because we are in discussion for the second supplier, but the earlier dispatches on those clients, can there be a meaningful, sustainable revenue that can be built?

Ankur Vaid: On the CDMO front, is what you are asking?

Huseain Bharuchwala: Yes.

Ankur Vaid: So, on the CDMO front, currently, on the commercial side, we have only one project. And as I mentioned, sales of that have started, and it is progressing well. But by next year only we will have more clarity in terms of how the full year looks. The rest of the projects that we have commercialized, we have a couple of which have been

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commercialized, but the quantum is relatively small there. And some of them are with the intent to kind of build a larger relationship with that global MNC company. So, basically, it is like making inroads into that account. So, those are smaller opportunities, and that is why we have not highlighted that.

But the commercial one is just one right now. We had been in discussion, as we have mentioned in earlier conversations, that we

have been in discussion with two potential innovator companies, of which one was put on hold because of this whole Trump issue. So, we have again started reaching out to them now that there is clarity that they don't get impacted even if they look at Concord as a potential supplier for their product.

So, hopefully, we could get some visibility in the coming few quarters in terms of once their confidence level also builds up, that if they do take that step, they won't have any impact. So, I think we will continue to engage with them with the hope that in the coming quarters, we should hear some positive news from them.

Huseain Bharuchwala: Further on this, I would like to know, the molecules that you are working on with them, are they early-stage

stage molecules? If you can give some color, are they late-stage molecules? Any sense on that?

Ankur Vaid: No. These are commercial molecules. They are already commercially selling these molecules in the U.S., so they are not under development, but commercial products.

Huseain Bharuchwala: That's it from my side. Thank You.

Moderator: The next question comes from the line of Kartik from Bajaj Life. Please go ahead.

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Kartik: I would like to know about your investment in the CAR-T cell therapy. So, which stage is it? How much time would it take to commercialize?

And what will be the scope of it? Will that be only restricted to India or also in the other geographies like the U.S.?

Ankur Vaid: So, right now, what we are doing is we are doing the development part in the CAR-T cell therapy. Basically, once we have the prototype ready, we will be targeting multiple indications. I wouldn't name the indications that we will be targeting at this stage because while we do know what we want to, but it's a little early to kind of give it out.

But right now, the development work is happening. We expect that for the next 12 to 15 months, we will be focused on the development aspect of it. And then this is something that we are primarily targeting the Indian market because this would also require some clinical studies to be done.

But as we work on this, this also opens up the opportunity to kind of work with global players or to kind of showcase the capabilities that Concord would develop in these coming 6 to 12 months in this space. So, the idea would be to not only cater to what we are doing in this area for the Indian market, but also to kind of cater as a potential partner when we reach out to global players in this space.

Kartik: Secondly, if you can split the U.S. and ex-U.S. revenue in the export, how would that be?

Lalit Sethi: That could be in this quarter; it is around 7% to the U.S., and the remaining 38% is to the rest of the world.

Ankur Vaid: This is direct U.S.

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Kartik: So, that is 7% of the total revenue is from the U.S., and let's say 38% is from the ex-U.S. countries of the total revenue.

Lalit Sethi: Yes.

Kartik: And about the injectable facility, like in the last two quarters, we have put in some costs in the injectable facility, which has turned down to our EBITDA. How long will this cost continue? Will that continue in the third quarter and fourth?

Ankur Vaid: We have been informing our investors on this matter for quite some time that there is this facility which will be getting commercialized. It was to get commercialized in November and December, which did get in March. So, it does take some amount of time for it to start generating levels for break-evens. Now, for the initial year, we had mentioned that this is going to be primarily targeting the India market, and after 12 to

18 months, we will start seeing revenues coming from the emerging markets.

So, in the India market, we have already started doing it under our own branded generics. But as informed in our earlier calls as well, that once we have the WHO GMP, which we expect that by January or February, we will have it, after that, we will start engaging with the companies for our licensing activities. So, in the next year, we expect the India business to fully pick up by our own branded generic sales as well as manufacturing for third parties.

The quantum is, again, a little early to say because what we would be focusing on is that we are a backwardly integrated company. So, with all quality focus right from API to the finish, because no other company than Concord makes the API and is integrated to the finish formulation, Concord Biotech Limited

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So, there is

an advantage that we will be giving it to our customers. But how many customers we work with and at what time frame, that will kind of, it could be in the first quarter, it could be in the second quarter. So, it is a little early to say, but the approach is what we can talk about is that the next year is going to be about India. And after that, it is going to be the emerging market.

Now, this facility can do close to INR 400 crores to INR 600 crores, but the potential market for the products that we are manufacturing or intend to manufacture from this site is over INR 3,000 crores to INR 4,000 crores. So, absorbing this facility for the Indian market itself is not a problem, but we have to see which customers we kind of work with and what the quantum is that we get out of those customers.

Moderator: The next question comes from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: Sir, just wanted to understand from you, so in our first concall, a couple of years back, we had said that our Dholka facility has a revenue potential of INR 600 crores, and the Limbasi facility has a revenue potential of close to INR 1,600 crores to INR 1,700 crores of revenue at, obviously, 75% -80% capacity utilization. So, I just wanted clarification, The Limbasi and Dholka facility takes into consideration that some part of the capacity will be manufactured for our Valthera units. Is my understanding correct?

Ankur Vaid: Correct. That is correct. Not only for Valthera, but also for Dholka, because it can also be manufacturing certain raw materials, certain intermediates, which may be, say, now we may be using it from the Limbasi facility, while this facility kind of caters to other products.

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Aditya Pal And also a bookkeeping question. If you can give me the capacity utilization across our four units.

Lalit Sethi: As I said, the injectable is the new facility which has been commissioned in the month of March. The remaining three units, which are the Dholka facility, is operated at around 76% in H1 2025 - 26. The Valthera facility, the OSD facility, has worked at around 24.31% in H1 FY 2026. And the Limbasi facility has worked at 52% in H1 2026.

Aditya Pal: Sir, now that we are targeting CMO opportunities for larger international manufacturers, I wanted to understand from you that the products that we will manufacture for them, the generic APIs part that we will manufacture, will be more of our own existing catalog products, or will they be more of non-catalog products because we have fermentation manufacturing excellence?

Ankur Vaid: So, the products that we manufacture do not get classified under CMO. They are our products. So, they get classified under our API business. Only products where we are working with the third party's IPR and their intellectual document, I mean, their process, that is where we say it is classified under the CMO. So, our own manufactured products will be

under the API category only.

Adityapal: But the molecules will be different, or molecules will be the same?

Ankur Vaid: No, the molecules will be different because, like say, if I am supplying an API to an innovator, it gets classified in the API sales, not in the CMO sales.

Moderator: Thank you. We take that as the last question for today's conference call. And I would now like to hand the conference over to management for closing comments.

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Ankur Vaid: So, thank you, everyone, for joining our Q2 and H1 FY'26 earnings call.

We hope we have been able to address all your queries. For any further information, please get in touch with us or SG A, our Investor Relations Advisors. Thank you once again. Have a good evening.

Moderator: Thank you, sir. This brings the conference call to an end. On behalf of

half of

Ambit Capital Private Limited, we thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

CONCORD BIOTECH LIMITED

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To

The Manager, Listing Department

National Stock Exchange of India Limited

Plot No. C/1 G Block,

Bandra -Kurla Complex, Bandra (East),

Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejabhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Dear Sir /Ma'am ,

Subject: Transcript of Q 3 & Nine months FY26 Earnings call held on February 12, 2026

In continuation of our letter dated February 12, 2026 regarding Earning Call Recording - For the Third Quarter and Nine Months ended on December 31, 2025 and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings call for the said period is enclosed herewith and is also available on the website of the company at the following link .

<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,
Yours faithfully

For Concord Biotech Limited

Paritosh Trivedi

Company Secretary & Compliance Officer

Encl: as above

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"Concord Biotech Limited

Q3 & 9 Months FY 26 Earnings Conference Call "

February 12 , 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 12th February 2026 will prevail.

MANAGEMENT : MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH
LIMITED

MR. RAVIRAJ KARIA – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED

MR. PRAKASH SAJNANI – ASSISTANT VICE PRESIDENT
– ACCOUNTS AND FINANCE – CONCORD BIOTECH
LIMITED

MODERATOR : MR. SUMIT GUPTA – ANTIQUE STOCK BROKING

Concord Biotech Limited
February 12 , 202 6

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 Months FY '26 Earnings Conference Call of Concord Biotech Limited hosted by Antique Stock Broking. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumit Gupta from Antique Stock Broking. Thank you, and over to you, sir.

Sumit Gupta: Thank you, and good afternoon, everyone. I welcome you all to the 3Q and 9 months FY '26 Earnings Conference Call of Concord Biotech Limited. We thank the management of Concord Biotech for providing us with the opportunity to host this earnings call. From the company today, we have Mr. Ankur Vaid, Joint Managing Director and CEO; Mr. Raviraj Karia, CFO; and Mr. Prakash Sajnani, AVP, Accounts and Finance. I would now like to invite Mr. Ankur Vaid to give his opening remarks. Over to you, sir.

Ankur Vaid: Thank you. Good afternoon, ladies and gentlemen. So, we delivered a steady performance during the quarter, reporting revenues of INR 278 crores, representing 14% year-on-year growth. For the 9-month period, revenues declined by 5%, primarily due to challenges in H1 arising from uncertainty on global trade due to U.S. tariff dynamics, delay in written confirmation from CDSCO and the deferral on tender-based supplies in Middle East market.

Importantly, these headwinds were largely timing related rather than structural. Let me give an update on how these situations are evolving now. So, we have also started with Stellon Biotech, our U.S. subsidiary to drive marketing. So, uncertainties around tariffs and global trade dynamics temporarily disrupted customer procurement patterns and delayed second source opportunities as customers waited for greater geopolitical stability before making firm decisions. However, following clarifications that tariffs do not apply to generic products, order momentum began to recover. Now with the U.S. trade deal taking shape, we are seeing increased engagement and more advanced discussions around larger second source supply opportunities and CDMO partnership.

Written confirmation approval delay from CDSCO, which did not allow us to sell in the European market for a couple of months was received in early November, which has resumed the supplies back to normal. However, the ramp-up will happen in a gradual manner. Last being deferment of tender-based supplies to Middle East market was kept on hold on account of geopolitical tensions.

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This is currently status quo, and we are monitoring it closely. Having said that, we will be the preferred supplier to them. And once this is resumed, we will be able to recoup the revenues from this tender. We have also seen India-EU free trade agreement announced earlier this year, and we view this as a positive long-term development.

This agreement enhances access to one of the world's largest and most regulated health care markets and strengthens India's position as a global manufacturing hub. Given our established presence in the EU market, we see this as a strategic opportunity over the medium to long-term. Also, we would like to mention the union budget, which is broadly supportive of the sector -- of par

ticular relevance is the Biopharma SHAKTI initiative, a INR 100 billion 5-year program aimed at strengthening India's biopharmaceutical ecosystem. Its emphasis on R&D, talent development, manufacturing capabilities and faster regulatory approval aligned with our

fermentation API expertise and supports long -term visibility.

While spillovers from earlier disruptions are expected to materialize gradually with all positive developments across the industry, we believe the Q4 will be stronger. This is also reflected in our Q3 performance, where revenues grew by 14% on a year -on-year basis. Speaking about key highlights for the quarter, our injectable facility has received WHO GMP certification, which will enable us to sell in the domestic market via our own brand and contract manufacturing opportunities.

Our initial focus remains on the domestic market with plans to expand into emerging markets following the necessary regulatory approvals. We have taken meaningful steps towards building this as a long -term growth platform for the company. The facility has a peak revenue potential of approximately INR 600 crores.

We have incorporated Concord Lifegen Limited, a wholly owned subsidiary to further strengthen our marketing, sales and distribution capabilities in India. We have also started with Stellon Biotech, our U.S. subsidiary to drive marketing, distribution and commercialization of our products in the U.S., creating a direct commercial footprint and supporting global market expansion.

From a pipeline perspective, we have completed DM F's for Nystatin and Voclosporin last year. And during the current year, as previously communicated, we plan to launch two new products, primarily in the anti -infective segment, which offers large volumes, niche positioning and limited competition.

Moving on to margins. Profitability during the 9 -month period was impacted on account of start -up costs associated with the commercialization of our injectable facility. That said, our core API and formulations business continues to operate with stable unit economics. Excluding injectables -related start -up costs and costs associated with our U.S. subsidiary, EBITDA margins remain in the range of 40% for Q3 and 9 months FY '26.

As the injectable business scales up over the coming quarters, we expect this temporary margin impact to gradually normalize. Moving to segmental performance. In Q3 FY '26, API revenues

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were at INR 219 crores, representing growth of 24% on a year -on-year basis. These figures exclude interunit sales to our formulation business.

On the formulations front, revenue stood at INR 58 crores compared to INR 68 crores in Q3 FY '25. On the leadership front, we are pleased to welcome Mr. Raviraj Karia as our Chief Financial Officer. He brings over 2 decades of experience in the pharmaceutical and health care sector, and his experience will further strengthen our leadership team.

In summary, during Q3, we witnessed a gradual improvement in volumes despite it being a seasonably softer quarter due to holiday period and year -end closure in our key regulated markets. We are entering Q4 with greater optimism and a stronger growth momentum. While FY '26 is expected to remain below our historical averages, primarily due to the challenges encountered in the first half, we anticipate that FY '27 and beyond will reflect a normalization in performance and regaining back the momentum at least to our historical averages.

Over the medium to long -term, Concord remains well -positioned to deliver sustained growth through injectables, CDMO, new product launches and continued market share gains. With strong regulatory credentials, differentiated manufacturing capabilities, disciplined capital allocation and expanding growth engines, we remain confident in our long -term strategy. With this, I hand over

the call to Raviraj Karia , our CFO, for financial and operational performance. Thank you.

Raviraj Karia: Thank you, Ankur, and good afternoon, ladies and gentlemen. First, I would like to express my gratitude to the Concord Board and the management team for welcoming me into the Concord Biotech family. I'm truly excited to join the organization at such a pivotal time. With a strong foundation and clear vision for growth, I look forward to closely working with the leadership team to strengthen the financial discipline, enhance the transparency, support the strategic initiatives that will drive the growth long -term value for the stakeholders.

Let me take you to the financials and operational performance for the quarter. On a revenue front, our revenues for the quarter 3 financial year '26 stood at INR 278 crores as compared to INR 244 crores in the same period last year, witnessing a growth of 14%. Our revenues for 9 months financial year '26 stood at INR 729 crores as compared to INR 770 crores in the same period last year with a degrowth of 5%.

Revenue from API business stood at INR 219 crores in this quarter against INR 177 crores during the same period last year with a growth of 24%. Revenue in 9 months financial year '26 for the formulation business in this quarter stood at INR 58 crores as compared to INR 68 crores in the same period last year. Formulation revenues for 9 months of financial year '26 stood at

INR 164 crores.

Revenue from our domestic and export business grew collectively by 14% in quarter 3 versus last year same quarter. Now speaking on the EBITDA, EBITDA for this quarter stood at INR 99 crores as compared to INR 98 crores in the same period last year. EBITDA for 9 months '26 stood at INR 249 crores.

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EBITDA margin for this quarter stood at 35.6%. EBITDA margins were largely impacted on account of expenses related to the commercialization of new injectable facilities and also on account of expenses related to the setting up of subsidiaries in the U.S. market. Excluding these impacts, EBITDA margin for quarter 3 - and 9-months financial year '26 stood at 40%.

On profit after tax, our profit after tax for this quarter stood at INR 64 crores as compared to INR 76 crores in the same period last year. Profit after tax was impacted on account of impact of new labor costs, the extent of INR 3 crores. And also, there was a higher other income of INR 15 crores in quarter 3 FY25 compared to INR 10 crores in the quarter 3 this year.

If we exclude these impacts, there would have been a higher growth in profit after tax numbers compared to what was seen. We are a zero-debt company with investments, bank balance and cash and cash equivalents to the tune of INR 1,263 crores (erroneously it was mentioned INR 1,263 crores actual number to be read as INR 350 crores) as on December 31, 2025. With this, I shall now leave the floor open for the question and answers.

Moderator: A first question comes from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Congratulations, Raviraj ji, for joining Concord Board. My first question, Ankur, is on the growth, which you mentioned that FY '26 will not be grow as per the historical trends, which we have been growing. So on beyond FY '26, how do you see business momentum going on? How confident you are the external factors which we have faced this year in particular, what gives you the confidence that we will be back to our normal growth? That's one?

And second, on the Labour Code, which we have kind of provided a provision of INR 3-odd crores. That is on a retrospective basis, we have taken the provision. But if you can provide going forward, how should one look at on the recurring basis, the impact of new Labour Code to our finances? That these are two and I'll jump back into queue?

Ankur Vaid: Sure, sure. So let me first talk ab

out in terms of the growth. So historically, if you see, we have grown at around 18% or so. And during our previous many interactions, what we have said is that the way that we look at growth over the next few years is that while the injectables can do a much larger business, but we have considered half of the business over the next 3 to 5 years, which contribute to around 6% growth.

And then we had also considered growth coming in from the CDMO because of enough capacities available and considering that how globally India is becoming more favorable for fermentation compared to, say, Europe or China. So, there was a 6% growth that we had kind of taken it over a medium-term period. So, if you put together your baseline growth of 18% and the 6% from injectables and that of CDMO, you reach to 30%.

And in our previous discussions, we have also said that there could be years where you would see these kind of challenging environment because of which we kind of toned it down to, say, a CAGR of 25% once these 2 growth drivers start kicking in at full capacity. Till that time, you would see gradual movement going from the 18% to the 25% CAGR.

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Now with the introduction of new products across the fermentation and us taking different initiatives, across formulations and gaining more market share because in the last 3 to 4 months, we have also gained significant accounts business across multiple products. So, all these when factored in together gives us a lot of optimism that the growth can return to the historical CAGR and there could be potential upside, which could be there on account of injectable facility where we have, as I mentioned, recently now got the WHO GMP approval.

And soon, we will be engaging with the customers to kind of qualify this facility for their contract manufacturing as well, while we launched the products into the domestic markets under our own brand name as well. So, I think all these factors put together gives us confidence that the next year, we will be at least doing our historical CAGRs. And with favorable positioning on the other matters, we could be slowly and steadily inching towards the CAGR that we have set to be there over the next 3 to 5 years.

Chintan Sheth: So Ankur, just a follow-up on injectables. Given we will be focusing on domestic, do we have

to incur a little bit more to develop the on-ground team because I believe these injectable products will be directly supplied to hospital chains, right? That was our initial understanding. And for that, do we have to incur a little bit more on marketing, a little bit more on developing that business in the domestic part and that will also have some impact on our margins overall? Ankur Vaid: No, not really because we already have a field force for the critical care division. And close to around 100 to 120 people are there for the critical care segment. And they are supplying to the large corporate hospitals mid -corporate hospitals, government institutions, nursing homes, PAN -India. And we are selling our own branded generics.

So, once we have kind of moved the manufacturing in-house, I think that has given and that continues to give a lot of confidence to the doctors that now the entire value chain is being controlled in-house rather than being relying on third-party manufacturers because for some of the key products earlier, it was our API, but we were using a third-party manufacturer while doing the marketing on our own.

But now with our own manufacturing, many of the core products would now be shifted in-house. And I think that would give a lot of confidence to the doctors and also help us grow the business in the domestic markets for the trade. Now also for the government institution, if you see, that is also a very, very large segment, which was currently being untapped by us because only manufacturers can

participate to supply the government markets.

So with us being a manufacturer now in a span of 1 year or so, we will also start getting access to the government supplies. Which is currently absolutely untapped by us. While it is there in our nephrology segment where we make the tablets and capsules because their own manufacturers, but in the injectables, that was not the case.

But now with our own manufacturing, that market would also significantly open up, which would give us significant opportunities to grow in this segment. And of course, as I said, the third opportunity is to us become a contract manufacturer. But we also see a lot of potential in our own marketing.

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And that is the reason we have also started Concord Lifegen, which is only to cater to a certain specific segmentation of the hospitals, which we were currently unable to tap, which I said was the government institutions and certain smaller nursing homes, while the larger corporate hospitals and mid -corporate hospitals were already being tapped into.

Chintan Sheth: Got it. And on the employee cost, if you can, and then I'll jump back in queue.

Raviraj Karia : Can you elaborate the question, what is your exact question?

Chintan Sheth: So this new Labour Code related, the provision you have made, the INR 3-odd crores, right? I think I believe for the retrospective period, the provision has been made for the employees where the gratuity and whatever is required has been provided for. But going forward on a recurring basis, do we expect employee cost to increase a little bit because of that? And if that is the case, if you can quantify this?

Raviraj Karia So yes, your understanding is correct. This is a onetime correction that is basis the Labour Code across the industry and the companies. But way forward, it is going to be an incremental normalized cost that we will have.

Chintan Sheth: But it won't be materially enough 10 basis points or 20 basis point increase?

Raviraj Karia : No, that will not be materially enough.

Moderator: Our next question comes from the line of Ritika from Value Quest.

Ritika: Sir, could you give more understanding on how is the CDMO project doing? And we were also in interaction with other projects for CDMO, how is that shaping up?

Ankur Vaid: Yes. So one of our projects is already commercialized in the U.S., and we are already in talks to kind of evaluate it to take it to a global level. So different markets are also being evaluated by our partner. But for now, I think it is primarily the U.S. market. And this is basically an NDA product where our client has launched the product in the U.S.

So, the first year or so has been primarily about setting up the marketing setups and kind of reaching out to the wholesalers and establishing that channel. So sales have already started. And what we're looking at is that for the next year, we are looking for further forecasting from them. So discussions are ongoing. So there is a good potential of the product in the U.S. market with the possibility of expanding it to the global markets.

So there are, of course, other discussions happening on other projects as well. But as I mentioned that the first half of the year was a challenging year because many of the projects were temporarily put on hold because of the uncertainty around the tariffs. But post September, we have again started engaging with them, and I think discussions have now are progressing quite well. We are also meeting these customers in March during DCAD.

So we are confident that there should be some positive movement around some of the projects

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RFQs, primarily in the enzymes as well as in CMO opportunities for the innovator companies.

So a lot of effort is being put around that, and we are seeing positive momentum around this.

Ritika: Also, sir, clarity in terms of whether that 100% tariff which was imposed on branded drugs from India to U.S., does that stay currently?

Ankur Vaid: So to our understanding, it did not cover the brands which were already launched into the market. We've not read the new fine prints, but even in the earlier stages, what we got the clarity around October, November that it is not going to be impacting the products that have already been launched into the U.S. market.

So, the customers or the clients that we've been talking to already have the products launched into the U.S. markets. They are the innovator company. So then shifting the manufacturing to say, from any other part of the world to India would not be impacting them in any manner.

But yes, for any newer launches, at least the last that we knew of, it was impacting those clients if they move their manufacturing out of the U.S. But again, it's a very dynamic world that we're living in. So, there could be potential changes happening, which we are not right now familiar with. But yes, it doesn't impact already launched branded products in the U.S.

Ritika: Sure. Sir, lastly, could you help us with what is the capex number that we are looking for this year and ahead?

Ankur Vaid: Capex is primarily maintenance capex that is going on. And in terms of number, maybe Raviraj can share more.

Raviraj Karia: So, for the year, generally, we have a capex number of around INR 100 crores, INR 150 crores (erroneously it was mentioned INR 100 -150 crores actual number to be read as INR 30 - 40 crores) is a maintenance capex. That's the number generally we have.

Ritika: Okay. So that's the capex that we are looking to spend for FY '26 and ahead also?

Ankur Vaid: Yes.

Moderator: Our next question comes from the line of Naman Bagrecha from IIFL Capital.

Naman Bagrecha: Just wanted to understand the contraction in gross margins despite, let's say, around 79%, 80% kind of API revenue contribution. Anything specific that you would want to call out?

Ankur Vaid: Not really. I think this is primarily on account of the product mix because if you're looking at it from a quarter-on-quarter basis. But if you look at from a 9-month basis, actually, the gross margin has moved from 77% to 78%. So, on a quarter-on-quarter, it will be difficult to kind of take a call. And as I mentioned, it is primarily on account of the product mix, which as you extend the time period that kind of gets stabilized. And on a 9-month period, we have actually seen an improvement in the gross margins by 100 bps.

Naman Bagrecha: Okay. Fair enough. One on the formulation business, I believe that 1H FY '25 had that Middle East tender or, let's say, halted but Q3 this time also, we saw some kind of decline. So, anything

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that you could call out in terms of why there is still, let's say, decline in the formulation business?

And then how should one look, let's say, in terms of the future quarters?

Ankur Vaid: So I'm not sure if I understood correctly, but what I understand is that the formulation business, you're seeing that there is slightly a reduction compared to the last year. Is that what you're asking?

Naman Bagrecha: Yes. Y-o-Y basis, there's 14% decline in the formulation business. My belief was that the Middle East tender was stopped or halted in first half of FY '25. So there won't be any impact or any, let's say, the issues in the third quarter of FY '26. But despite that, we see a decline in the formulation business. So what really are the challenges in this?

Ankur Vaid: No, no. I think the way that one needs to look at on a quarter-on-quarter is that there could be areas that we have kind of addressed through the API. And that gets reflected in our A

PI

numbers, which grew at 24% because there are certain opportunities that would have been captured through the API rather than through the formulation.

And this is primarily coming in the emerging markets because in the India market as well as in the U.S. market, the sales volumes have increased. But in the emerging markets where we are not able to say, gain opportunities through the API, only that is where we kind of look through the formulation route. But if that is getting addressed through API, which in this quarter, you are

seeing with the growth on the API, then it had some bit of an impact on the formulations.

Naman Bagrecha: So coming to the API business, so you highlighted around INR 20 crores, INR 25 crores of sales in 2Q. So, has this been captured fully in 3Q?

Ankur Vaid: That has been fully captured, which was on account of the written confirmation. So that was to the tune of around INR 20 crores to INR 25 crores, which actually during our last call only that sales had already been executed because it happened somewhere in early November or so. So that sales to that customer has already started to build on because they were only awaiting the certification, once that certification was there, then the sales started to pick up with them.

Naman Bagrecha: But if I adjust that and largely, if you see quarter-on-quarter, that has been the growth for the API business. So the base business still has not, let's say, really grown if I adjust for that?

Ankur Vaid: No. You will not be able to take that out, Naman, because that suppose in this particular quarter that those customers have picked up double the quantity that they would want it. So, what it does is it kind of gradually spills over a little bit slowly and steady into the subsequent quarters because if they picked up something that instead of, say, July, August, they have now picked up in October, November.

So, it will take time for them to consume those quantities. It is not that they picked up in November and they will again pick it up in December, the INR 20 crores. So that does have a little bit of spillover happening. So, it may not be the right way to kind of look at it that if we consider the growth minus that number, then the growth is a different number. That could not be the right way to look at the numbers.

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Naman Bagrecha: Okay. And on the margin front, this time you called out Stellan setup costs as well. So, could you provide what were the injectable plant losses for the quarter? And what were the setup costs related to Stellan?

Ankur Vaid: See, injectables would be close to around INR 10 crores to INR 12 crores. And the Stellan cost would range anywhere between INR 5 crores to INR 10 crores per quarter.

Naman Bagrecha: INR 5 crores INR 10 crores?

Ankur Vaid: INR 5 crores to INR 10 crores per quarter.

Naman Bagrecha: Do we expect this INR 5 crores to INR 10 crores cost to increase from here on or I mean, this is the base and from here on, we'll start seeing revenue?

Ankur Vaid: So the procedure of already getting the licenses for the U.S. business is already completed. I think now we are gearing up for the launch activities. So, in subsequent few months or so, we should start seeing the launch happening. So, there would be sales realizations coming from Stellan because they are not doing not only for Concord products, but they would also be looking at in-licensing opportunities.

And there would be certain costs which probably we were incurring right now with third parties, which would now be done through Stellan. So, there could be some cost, which kind of gets compensated because of the reduction that we may end up seeing with our third-party distributor, current marketing partner. But yes, as I think business with Stellan would grow, these costs would then be accordingly taken care of.

Naman Bagrecha

: So any target in mind in terms of we'll be moving away from the distributor and completely sell everything from this facility itself or there will be a mix of third-party channel?

Ankur Vaid: No. So, in-licensing opportunities are going to be in the near future because, as I said, that since right now, —we have just established and the approvals for the licenses have come in. So, the in-licensing opportunities are going to be somewhat of a medium-term road map. But till that time, all the dossiers that Concord has, the supplies are going to be from Concord to Stellan.

There are a few ANDAs, which currently our current marketing partner is not marketing those products. So, they are immediately going to go to Stellan for marketing. And then that is going to lead to the sales increase for those products in the U.S. All those products will be manufactured till that time in Concord till the time in-licensing opportunities, which are medium term do not get executed.

Naman Bagrecha: I just have a next question on the U.S. CDMO opportunity, is this that animal health product or this is something else?

Ankur Vaid: No. These are human products. So, we have five ANDAs.

Naman Bagrecha: No, I'm not talking about ANDA, I'm talking about the CDMO opportunity?

Ankur Vaid: CDMO. Okay. Yes, that is an animal product, yes.

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Naman Bagrecha: Animal health product, right?

Ankur Vaid: Yes.

Moderator: Our next question comes from the line of Sumit Gupta from Antique Stock Broking Limited.

Sumit Gupta: So first question is on that you mentioned increased engagement on second source supply post clarity on U.S. tariffs. So, are these discussions largely with the existing customers or new innovator or generic players? And what is the kind of conversion timeline that one should expect?

Ankur Vaid: So I think engagement is going on, on both fronts. Most of the discussions that we are doing is where we've already had some level of engagements on other products with those customers.

And that also gives us an opportunity to engage a lot more on the newer products as a second source opportunities.

Secondly, also certain markets, the customers have started looking at us whom we were not engaging with them in the past. So, for example, Nystatin, which is an anti-infective product, it has a slightly different customer base as well. So in those cases, those are relatively newer customers for Concord as well. Most of those are newer customers.

Of course, we have a few Indian customers wherein we already have established relationships, and that is helping us to kind of engage with them on these newer products as well. So I would say it is a mix of both. We do have a couple of products at the API level, which is our own API, where we are engaging with the innovators.

And I expect that maybe 1 of those projects hopefully will commercialize in this quarter. And hopefully, with another one, we would take some validation batches at least, if not in this quarter, in the next quarter. So, I know of at least 2 are there where they are relatively newer products and engagement levels are quite at an advanced stage.

We have also actually to add on commercialize one anti-infective product with one of the innovator companies as well. The supplies may not look much in this quarter because they've just started picking up, but I think we have a good level of engagement visibility over the next years' time with them.

Sumit Gupta: Understood. So how should we see the Q4, the exit run rate or as we enter FY '27, especially in the APIs? And second how should we see the formulation segment over the next 2 to 3 years?

Ankur Vaid: See, I mean, giving exact numbers for quarter 4 would be difficult. But as I said that there has been an uptick in revenues, and we are optimistic of the improved performances in Q4. But difficult to

put a number to how things are going to be in Q4. But yes, I think given the optimism which is there and given that we are getting a lot of second source opportunities, we are optimistic of the growth rate for Q4.

Sumit Gupta: Understood, sir. And there was a question on formations also. So how should we see that like over the medium term?

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Ankur Vaid: Yes. So, I think formulation also will have a big growth driver because when to answer Chintan's question, which was there that in the past that injectables, when I answered to his question that injectables, we are looking at a 6% growth contribution to the revenues over the baseline of 18%.

And that is a facility which has recently got commercialized, got its WHO GMP also. So, we are now engaging with a lot of customers to kind of get that facility qualified for them.

So, in the next 1 to 2 years, we should see good level of growth coming in from not only our own branded generics, but also as a contract manufacturing partner because no company in India has its own fermentation API as well as injectable formulation. Even the API companies who are importing the product or exporting the products to India, they are also pure API companies only.

They don't have their own formulations. So, there is no company like Concord, which would have this mix of fermentation APIs and finished formulations, which should give us a good competitive edge for our products as well as for contract manufacturing. So, over a medium term, I think injectables would play out quite well or should play out quite well.

And then from a medium - to long-term perspective is where we would start seeing growth coming in from the emerging markets with the registration processes going through. And that should kind of also help growth in the medium to a longer term perspective. So we are seeing good traction coming in from the injectables side. And what we're doing with Stellon and with newer dossiers being filed in global markets, that would help us drive growth in the oral solid opportunity as well. So that's how at least we look at the formulation business over the next 2 to 3 years.

Moderator: Our next question comes from the line of Alankar Garude from Kotak Mahindra Bank.

Alankar Garude: Ankur, do you still expect to grow overall sales in FY '26?

Ankur Vaid: So as I said, Alankar, in my previous response that difficult to give you a number in terms of

what the growth is going to be looking like. But yes, I think the way that we are progressing the second half looks to be much better. We have already seen how quarter 3 is doing. We are optimistic of quarter 4. We have a good order book position. We have continued to build on that over the next 1, 1.5 months that we have and deliver those quantities in sales to our customers. But putting a number there would be challenging for me.

Alankar Garude: Okay. I asked this Ankur because you had said that there would be growth at overall level in FY '26. But okay, I take your point. Second question is, can you broadly break down the API growth across pricing, volumes and new launches for 9 month FY '26?

Ankur Vaid: So if you see the launches that happened in last year were only for 2 products, which was Nystatin and Voclosporin. And these 2 products, 1 is a Para IV product, the other is a generic product where there are only 3 players, mainly 3 players in the global markets. And both of those 2 players are based out of Europe.

So that gives us a lot of advantage to kind of become a leader on that particular anti-infective product. And we have already started seeing good traction coming on those products. We have

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started supplying validation quantities and exhibit batch quantities to our customers, and they have filed also. So hopefully, in the next year,

we should start seeing commercial sales happening to these customers across global markets.

But for this year, it has been primarily supplies of exhibit and validation batch quantities, which on a number basis, it may not be that significant number. But much of the growth, as I said, is coming from our already commercialized 28, 29 products, which are there. These 2 products that have got launched have seen more of validation and exhibit batch quantities being supplied in this year.

Alankar Garude: Within those 28, 29 existing molecules, how would you break the growth between volumes and pricing? Just a qualitative response should suffice?

Ankur Vaid: So here, it has been all volume growth only. I mean, being in the kind of while I would say that in fermentation products where the kind of competition that we have, there are only maybe 2 or 3 players in the market. But in spite of that, I don't think that you can go with the pricing increase.

So it has been mostly or majorly a volume game rather than a price increase way of growing.

Alankar Garude: Has pricing declined, Ankur, if I look at 9-month FY '26 for the API businesses? I mean, can it be as high as a double-digit pricing decline or more likely in the single-digit range?

Ankur Vaid: See, if it would have been a double-digit price decline, then the gross margins would not have increased by 100 bps.

Alankar Garude: Okay. So more in the single-digit range, would that be a safe number to look at?

Ankur Vaid: See, again, it depends, Alankar, on a product to product and customer to customer. Sometimes, as I said earlier also in our previous discussion, you gave certain discounts to certain customers for larger growth in other products and all. We have more than 300 customers. So if we end up giving some customers some discounting in anticipation of newer businesses, I would say that to be in single digits, not because of pricing pressure, but because of larger opportunities to address to is how I would put it.

Alankar Garude: Got it. And a couple of smaller questions. Firstly, did you recognize any revenues from the injectable facility at all in the third quarter?

Ankur Vaid: No, insignificant. Because it is primarily the exhibit batches that we took, which were supplied to the India market because you have to go with the 6 months stability and other things. So if we did that, we commercialized the facility in March. So with 6 months of data also, you end up being in September. So October, November, December did see supplies of those validation batches, but it is insignificant in the overall revenue mix.

Alankar Garude: Fair enough. And what was the share of immunosuppressant APIs to the overall API sales mix in 9 months?

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Ankur Vaid: So what we would look at is that for the 77%, 78% of the API business, it would be closer to around 70%, 75%, which has been historically been the case. So, there has not been any major change in the mix between immunosuppressants and anti-infectives and other segments.

So, I'm happy to see that the other segments are also growing in terms of volumes because I did mention that we are trying to work with the innovators in the anti-infective segment as well. So, there is a lot of growth momentum, which is coming in the non-immuno segment as well, while immuno segment continues to build and kind of stay strong there. So, the mix has been relatively

more or less the same as it had been last year or last 9 months.

Alankar Garude: Understood. And the final question, capacity utilization please for Unit 1, Unit 2 and Unit 3?

Raviraj Karia: Yes. So, for the quarter, the Unit 1 was at 81%, Unit 3 was at 40% and Unit 2 was at 27%.

Moderator: Our next question comes from the line of Chintan Shah from JM Financial Family Office.

Chintan Shah: So, I had three questions. So, one is continuing fr

om the previous participant. If you can just

comment more on your non-immunosuppressant portfolio, basic ally, what is the strategy there, the competitive intensity that is happening? And over the longer term, how do you see the mix evolve? That is the first question?

Second is I wanted to a bit more understanding on the R&D side, basically now since we are looking to go aggressive on CDMO side. So how are we looking to ramp up our R&D operations? That's the second question. And third, I think we see a good amount of cash that's building up on our balance sheet and now the majority of capex we have done throu gh. So, are we actively looking at any inorganic opportunities to probably add to our portfolio and grow more? So those are my three questions?

Ankur Vaid: So as answered earlier that for the 9 months, we have seen that the mix has been more or less similar while volume growth are also happening in the anti-infectives, antifungal and onco segment. Now even the newer products that we have, the ones that are th ere in the pipeline, all of them are in the anti-infectives, antifungal and onco segment. And the underlying principle of again, products where you would see limited competition and they are complex and niche products.

So, like the ones that we launched last year like Nystatin, as I mentioned earlier, there were only 3 players. Concord being 1 of them. We have a few products which are 3 in the pipeline right now, where there are, again, maximum 2 or 4 players. And most of them, as one would s ee, are either from Southeast Asia or Europe.

We have 1 product, which is in pipeline, which is where you have good competition from China. But the way that we are developing that product, the cost competitiveness is also significantly lower than that of China's cost. So, we have a lot of products where we are actually selling our APIs into the China market. It's not that this is 1 such product. We have many products where we are much, much more competitive than even the Chinese manufacturers.

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So, to answ er your question, the newer set of products which are there, there the base principle remains the same as it has been for the immunosuppressants. And it is just that it has seen a much smaller time to kind of gain market share. But many of these prod ucts are gaining market share as we speak. It's just a matter of time till it reaches to the numbers that you would have seen in our other segments. So that's how we would look at the non-immuno segments.

When we talk about the R&D and CDMO, we have more than 100 scientists, which are working in the R&D. So, the team is continuously working on new product development as well as the CDMO opportunities. And once any newer project comes in, each customer is assigned a project leader who works very closely wit h that customer. So here, it is more about the expertise which is there rather than the cost that gets loaded on to.

That's why you would see that our R&D cost typically stays 2% to 3%, which is significantly lower than the cost which many of the formulat ion companies would see. Because it is more of an expertise and a skill-driven rather than a scale-driven developmental cost. But if we do feel the need at any point of time to ramp up our people, that is not a challenge at our end. But at least for now, w e are not seeing any reasons to kind of go towards that part.

I think we have a good mix of PhDs and R&D scientists who are working on these products. To answer your third question that while we have a good healthy cash position, we are looking at differe nt opportunities. And I would say those opportunities are being looked not only organically, but also inorganically.

So, there are fewer opportunities that we are continuing to look at inorganically. And there are a few opportunities that we are evaluatin g if kind

of look to grow in agencies of fermentation

to take it organically as well. So, both the 2 options are there on the table to kind of see that how we can optimally utilize this cash flow.

Moderator: Ladies and gentlemen, due to the t ime constraint, we will now take the last question for today's conference, and that comes from Mr. Chintan Sheth from Girik Capital.

Chintan Sheth: Just a clarification on the maintenance capex number, which you mentioned, that INR 100 crores, INR 150 crores annually. On the asset base, the gross block of INR 1,100 -odd last year, it looks seems to be pretty high. We used to give guidance around INR 20 crores, INR 25-odd crores earlier. So, I' m just trying to understand whether why the increase in maintenance

part? And second is on the cash balance, which you mentioned. Is it INR 1,298 crores as of December? That's the number you have mentioned? These are the two?

Ankur Vaid: Yes. So of course, you're right, there is a level of maintenance capex across which is close to around INR 30 crores, INR 40 crores. We also have some capex, which is going for certain newer projects that we are trying to build on with some of our customers and certain opportunities to kind of grow over the next year. So, there is some bit of capex happening around there in addition to the maintenance capex.

Chintan Sheth: So it's a blend of growth and maintenance. Is that INR 100 crores, INR 150-odd crores?

Ankur Vaid: Correct.

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Chintan Sheth: Okay. And the cash balance is INR 1,290 -odd crores or INR 1,290 crores?

Raviraj Karia: Investment is INR 340 crores.

Chintan Sheth: The total cash...

Raviraj Karia: The investment is INR 340 crores.

Chintan Sheth: Okay. Sorry, I lost your voice.

Ankur Vaid: So it would be, there is a correction there. So, it is close to INR 350 crores.

Chintan Sheth: Total cash and cash equivalent will be INR 350-odd crores, right?

Ankur Vaid: Yes.

Moderator: Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to the management for the closing comments. Thank you, and over to you team.

Ankur Vaid: So thank you, everyone, for joining on our Q3 and 9-month FY '26 earnings call. We hope we have been able to address all your queries. For any further information, please get in touch with us or SGA, our Investor Relations advisors. Thank you once again and have a good evening.

Raviraj Karia: Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Antique Stockbroking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

CONCORD BIOTECH LIMITED

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To

The Manager, Listing Department

National Stock Exchange of India Limited

Plot No. C/1 G Block,

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Mumbai -400 051

Symbol: CONCORDBIO To

General Manager, Listing Department

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543960

Subject: Transcript of Q 4 & FY26 Earnings call held on June 01, 2026

Dear Sir /Ma'am ,

In continuation of our letter dated June 01 , 2026 regarding Earning Call Recording - For the fourth Quarter and financial year ended on March 31, 2026 and pursuant to Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings call for the said period is enclosed herewith and is also available on the website of the company at the following link .
<https://www.concordbiotech.com/investors>

Kindly take the same into your records and oblige.

Thanking you,
Yours faithfully

For Concord Biotech Limited

Paritosh Trivedi

Company Secretary & Compliance Officer

ACS 63623

Encl: as above

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"Concord Biotech Limited

Q4 and FY26 Earnings Conference Call "

June 01, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 01st June 2026 will prevail.

MANAGEMENT : MR. ANKUR VAID – JOINT MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CONCORD BIOTECH
LIMITED
MR. RAVIRAJ KARIA – CHIEF FINANCIAL OFFICER –
CONCORD BIOTECH LIMITED

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June 01 , 2026

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY26 Earnings Conference Call of Concord Biotech Limited, hosted by Ambit Capital. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankur Vaid, Joint Managing Director and CEO for Concord Biotech Limited. Thank you, and over to you, sir.

Ankur Vaid: Thank you, and a very warm welcome to all on our Q4 and FY26 earnings conference call. I'm joined by Mr. Raviraj Karia, CFO; and SGA, our Investor Relations Advisors. We have uploaded our results and investor presentation on stock exchanges and company's website. And I hope everybody had an opportunity to go through the same.

Let me start with a brief recap of FY26, followed by way forward and financial performance, post which we will open the floor for Q&A. FY26 was a challenging year for Concord, and we have faced some industry headwinds, coupled with geopolitical headwinds and supply chain disruptions, just to highlight further.

In FY26, procurement activities by our customers, particularly for the U.S., slowed during the first half of the year, while prospective customers refrained from altering their existing supply chains amid uncertainties surrounding U.S. tariff measures and the broader complex geopolitical environment.

However, conditions gradually improved in the second half, leading to increased procurement activity and renewed engagement with our new customer pipeline. With greater clarity emerging on the tariff situation, customers are now increasingly focused on derisking their supply chain and shifting business towards us, supported by strong capabilities, capacities, global approval and customer references that Concord possesses.

During the year, we also faced challenges related to obtaining written confirmation approvals from CDSCO, which restricted our supplies to the European region for nearly 3 months, representing approximately one-third of the financial year. While this did not result in permanent loss of revenue, the impacted supplies were deferred to subsequent periods.

It is important to note, however, that this was not a case of pent-up demand where all deferred supplies could be immediately executed upon resumption. Instead, the recovery was gradual with supplies normalizing towards the end of the financial year. Another challenge was related to our supplies to the Middle East region amid uncertainties arising from the ongoing war and broader geopolitical conditions.

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A major tender in the region remains in abeyance, which adversely impacted our revenues during the year. Nevertheless, we remain confident of resuming supplies under this tender once the same is open. In addition to the tender business being on hold, other API supplies to the region were also constrained due to prevailing uncertainty.

As part of an interconnected global market, these developments had a direct impact on our revenues during the year. We are now witnessing improved visibility and gradual resumption of supplies to the Middle East in current financial year, particularly as these are chronic therapies where supply disruptions cannot persist for an extended period.

During the second

d half of the year, customers adopted a differentiated procurement strategy, shifting from bulk purchases to a more staggered quarter-on-quarter procurement approach, compared to previous year. As a result, revenues were distributed more evenly across periods rather than being concentrated within a particular quarter. This should, therefore, be viewed as a timing spillover into subsequent periods rather than a permanent loss of revenue.

Lastly, in Q4, our U.S. Veterans Affairs business was impacted as the related tender had not been finalized during the year and continues to remain on hold, resulting in lower sales during the second half of the year. The factors mentioned above were largely beyond our control and were not related to lower demand, loss of market share or pricing pressure.

While we have encountered similar situations individually in the past, this year, multiple challenges coincided within the same period. Having said that, we believe these issues are temporary in nature rather than structural. And we remain optimistic about a normalized and a stronger performance in FY27.

Now speaking about our resilience and positive developments during FY26. During the year, we strengthened our regulatory filings and have successfully completed U.S. FDA, EU GMP, Russian GMP, NAFDAC and WHO -GMP inspections across multiple facilities, which reinforces our global compliance standards and supports uninterrupted international supplies. Our injectable facility successfully commenced operations and completed its first year of manufacturing. With the WHO -GMP certification now in place, we are well positioned to enter the domestic market through our own brand and contract manufacturing opportunities as well as participate in government supply contracts.

This has significantly enhanced the visibility and growth prospects of our injectable business for the current period. Speaking of our customer acquisition for API sales, CDMO and second source opportunities, we have commenced supplies of our APIs to 2 innovator companies. We have made steady progress with customer acquisitions in Nystatin, which was launched last year. We have also commercialized manufacturing of Fusidic Acid, which is having limited competition, especially from the European region.

We have increased the second source opportunities across multiple products, enabling us to grab a larger share of the business over time. And we are in active discussion with CDMO customers, which are in advanced stages as we speak. We have also invested in growth platforms like our entry into cell and gene therapy through investments in Cellimmune Biotech.

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We have commenced commercialization of soft gel facility, creating additional avenues for revenue generation and incorporated and acquired licenses for Stellon Biotech, our U.S. subsidiary, which enables direct marketing, distribution and commercialization of Concord Biotech's products in the U.S.

Considering all these factors together, along with the strong product capabilities, manufacturing capacities and product pipeline that Concord possesses, we believe the company is well positioned for a sustained growth trajectory with significant opportunities in the near future.

With this, I would like to hand over the call to Mr. Raviraj Karia, our CFO, to take you through the financial and operational highlights for the quarter and financial year ended 31st March 2026.

Thank you, and over to you, Raviraj.

Raviraj Karia: Thank you, Mr. Ankur, and good afternoon, everyone. Let me speak about the operational data points first. The API revenues for the quarter 4 financial year '26 stood at INR 264 crores and INR 829 crores for financial year '26 with a degrowth of around 27% and 12%, respectively. Our formulation revenue witnessed a degrowth of around 8% and 13% for Q4 financial year '26 and financial year

'26, respectively. Our split between API and formulation largely stood 80:20 ratio in our long-term stated range.

Our split between domestic and export sales stood at 52% to 48% for quarter 4 financial year '26 and 53% to 47% for financial year '26. Our export revenues witnessed a degrowth of around 9% for the financial year '26, and our domestic revenue witnessed a degrowth of around 15% for the financial year '26. Speaking of our financial performance, I would like to mention that as mentioned in financial year '26 was a challenging period, our revenue has seen a degrowth.

Revenue degrowth for quarter 4 financial year '26 stood at -24% and for the full financial year, it stood at -12%. Our profitability front, we have not seen that steep impact. Our reported EBITDA for the financial year '26 stood at INR 367 crores with an EBITDA margin of around 35%. However, if we exclude the impact of expenses related to our new formulation facility and expenses pertaining to our U.S. subsidiary, Stellon, our EBITDA would have been in the range of around 40.4% for the quarter 4 and 39% for the financial year '26. On account of de-leveraging operating leverage with reduced sales, our profit after tax was down by 30% for the financial year '26, standing at INR 260 crores.

Despite the degrowth on the back of culminating challenges witnessed during the year, our

balance sheet stays healthy. We are a zero -debt company with cash and cash equivalent of more than a round INR 414 crores as on 31st March 2026.

Our capex for the year stood at INR 65 crores, and our cash flow from operations stood at INR 267 crores with a CFO to EBITDA conversion of around 73% with the manufacturing capacities across all 4 units supporting a peak revenue potential of approximately INR 3,000 crores, along with a strong cash surplus position and limited capex requirements, we are well positioned to capitalize on future growth opportunities and drive sustainable growth.

With this, I would like to open the floor for questions and answers. Thank you, everyone.

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Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. First question is from the line of Ankur Kumar from Alpha Capital.

Ankur Kumar: Sir, as you said in the commentary as well as the written in the PPT that we expect strong outperformance in FY27. So do we have visibility in first half to start this growth phase or like it will be delayed and we expect in second half?

Ankur Vaid: So we have a very good amount of visibility in the first half. And basis on that, we have been pretty confident that the coming financial year, we should expect the growth, which should be better off than our historical growth, which has been there. So there is a fair amount of visibility in the first half.

Ankur Kumar: And by historical growth sir, can we expect like 18% to 20% type growth or like more or less?

Ankur Vaid: Yes. As I said that our historical growth has been around 18%. So we expect it to be slightly better off is how we are looking at this financial year.

Ankur Kumar: And that should start from Q1, Q2 also?

Ankur Vaid: That's correct.

Ankur Kumar: That's nice to know, sir. And sir, on margin side, we said it was quite good in gross margin also, we improved and excluding impact of this formulation as well as new subsidiary, margins have improved. So are these businesses turning around? Or how should we look at our overall EBITDA margins for the next year, sir?

Ankur Vaid: So this is a cycle that one goes through and we have established the infrastructure last year, which was the injectables. And in this year, we have set up Stellon Biotech. So whenever you're establishing newer business units, it takes time to kind of build -up and have positive contributions to the top line.

So that's a cycle that we are going through. That being said, all

the necessary steps have been

taken, like we have mentioned in the past that the new injectable facility, we have taken the validation batches. WHO -GMP certification has happened. We have slowly started selling the products from our injectable facility.

And also, as we speak, certain customer audits have also been lined up, and we've also gone through a couple of those. So we are going through that process. It's a little difficult for me to say that how the contribution is going to be from this injectable unit, but all the right steps have been taken in that direction.

Also with respect to Stellon, we are expecting the supplies to happen in the first half of the year as well. Already orders are in place from our U.S. entity. So things are moving in the positive direction, but from a breakeven perspective, it's a little too early for me to say. But that being said, all the expenses that have been there for these 2 entities have been fully booked in the last financial year. So anything that would go going forward would be like a positive impacting only to the EBITDA.

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Ankur Kumar: Got it, sir. And sir, last question would be on the gross margin side. We have seen expansion both in full year as well as in Q4. So how should we look at gross margin for the coming year?

Ankur Vaid: See, I mean, I would say gross margins to be kind of in a similar range because as one sees that there has been some pressure on the supplies of the goods. and of course, I don't expect that to be there for the full year. And we are procuring a lot of raw materials as well.

So there is some impact on some of the products, some of the raw materials. So I don't expect it to be significantly different, but my sense would be that for a full year basis, it should be pretty much in line with what our historical gross margins have been.

Moderator: Next question is from the line of Dhawal Khut from Jefferies.

Dhawal Khut: I wanted to know what was our sales exposure to the Middle East region in the past 2 years, let's say, in FY26 and FY25? And some details around tender that you mentioned. What was the

potential size of the tender, which country it was? So that's question number one.

Question number two, it's on the injectable plant. So what was the loss due to injectable facility during the quarter and the year? And how is the progress in terms of filing from the facility for different markets? How many markets have we started to file? And any regulatory approval or plant visit that has been done till date?

Ankur Vaid: Sure. So the tender impact, we had already captured that in quarter 3, and we had informed that the tender was to the tune of close to around INR 25 crores. And while we have exposures in the API, I think the challenge for these markets was to procure more towards the formulation than towards the API because of various reasons that whether it was the currency for them, currency allocations usually is a challenge in the Middle East countries or because API, they can still hold on to things as it has a shelf life, but formulations, it has to be consumed and that was a challenge then.

So major was the tender impact, which was INR 25 crores. API impact was there, again, in and around similar to what the tender value was, but it was not like fully impacted. I would say it was partially impacted. And going forward, as I said, that the tender clarity is not there yet, but there is supplies on the APIs that has slowly started to build up because, again, they can be in a position to kind of hold and make the formulations when required.

And that is why we are seeing a gradual progress in the Middle East. And hopefully, once the situation improves, it would also have a positive impact from a formulation standpoint as we are seeing it from an API standpoint. With respect to the injectables, while I'll let Raviraj share

his

information on the profitability and loss. From a filing perspective, currently, the documentation process is going on.

So our target markets is the Southeast Asia and the Africa markets to begin with. And the documentation and the submissions are going to be initially targeted towards the emerging markets, which is the Southeast Asia and the Africa markets. I'll let Raviraj answer on the profitability and loss.

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Raviraj Karia : Yes. So for injectable plants, we have previously also mentioned that the quarter-on-quarter expenses are around INR 10 crores, while the full year number would be around INR 38 crores to INR 39 crores.

Dhawal Khut: Just a small bit again on the Middle East. What's the total current exposure towards the region, be it direct or indirect ballpark?

Ankur Vaid: So I would say it would be close to around INR 50 crores.

Dhawal Khut: INR 50 crores at company level?

Ankur Vaid: At company level.

Moderator: Next question is from the line of Aniket Singh from Kotak Institutional Equities.

Aniket Singh: Can you give a broad breakup of what has been the volume and pricing growth for us for FY26 for our API business?

Ankur Vaid: So as I said that there has been no price growth for us. So all the volumes, it has been primarily on the basis of volume.

Aniket Singh: So you would say that volumes declined for a full year basis in FY26?

Ankur Vaid: That's correct.

Aniket Singh: And in terms of pricing, do you see heightened pricing pressure maybe compared to 1 or 2 years back? And what's your outlook on the pricing for the next year?

Ankur Vaid: No. So as I said that some of the newer products that we've been launching like Nystatin, Fusidic Acid and others, there you do not see a pricing pressure because we are entering it as a second source, and we have been gaining more market shares as we speak. So there, it is all about volume growth, and it will not be right to say that there is any pricing impact that we are expecting because we are entering with an aggressive price there as a second source.

But when it comes to slightly mature products, I would say not all markets, but there is always a little bit of price that to certain customers could be there, which gets compensated by the newer regions that one would enter into. So overall, I would say there is not a pricing pressure that one kind of gets a concern about. But as years progress, that's a part and parcel of the game.

And that's where our R&D efforts kick in, where we continuously work on molecules where we do foresee any such impact in years to come. So to answer in short, we do not see any major impact, but other than what is like a regular course of business kind of a thing.

Aniket Singh : And secondly, can you give details on the facility utilization across our facilities?

Raviraj Karia : Yes. Yes. So the capacity utilization for the Unit 1 was 77%, Unit 2 was 30% and Unit 3 is around 53%.

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Aniket Singh: 53%? Got it.

Moderator: Next question is from the line of Naman Bagrecha from IIFL Capital Services Limited.

Naman Bagrecha: Sir, can you highlight in terms of which...

Moderator: Naman, the voice is very low. Request you to speak a little louder.

Naman Bagrecha: Is this better?

Moderator: Yes, please go ahead.

Naman Bagrecha: My question is on the U.S. Veterans tender, let's say, orders. How long has this been an issue? And what is the revenue exposure towards this thing for us?

Ankur Vaid: So as I mentioned earlier, this was a challenge that we faced in quarter 3, and the exposure to that was to the tune of around INR 25 crores.

Naman Bagrecha: Any, let's say, any guidance in terms of when do you see this picking up probably in the next 6 months, 3 months or it will be like an infinite period? Any color around that?

t?

Ankur Vaid: It all depends upon how the war situation improves. But I think nobody has that clarity, not even us. But what we are seeing is that while the formulations have got impacted, there has been some improvement coming through the API because as I mentioned earlier, that while formulation has a shelf life and the customers require allocation of funds to be supplied from a government tender standpoint, which is a challenge.

That's why some of these companies are also looking at routes to kind of hold the API so that at the right time, they can manufacture the batches whenever that allocation happens and supply.

So we are seeing a little bit of shift from the formulations to the API. While that's not 100% that's happened a complete shift.

But slowly and steadily, we are seeing that progression towards holding more of API than the formulations because as I mentioned in my remarks that being chronic therapies, it's beyond a certain time line, it's difficult for even countries to hold on to supply. So probably they are using an alternate strategy to kind of keep inventory so that at the right time, they are able to supply this thing. So that's how we are seeing the market situation being developing.

Naman Bagrecha: So I just wanted to clarify on this. So this INR 25 crores impact is an API impact or is it the formulations impact?

Management : Formulations impact .

Naman Bagrecha: Formulations impact . Okay. And so, generally this happens in, let's say this tender is rolled out in December or November period and the supply is happening in quarter 4 ...?

Moderator: Sorry to interrupt. Naman, your voice is not clear. I request you to please use your handset. You are not audible.

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Naman Bagrecha: So this INR 25 crores impact that you highlighted on the formulation side, just wanted more color in terms of how and when this tender is being floated. Is it like in November, December period that the tender gets floated and supplies happen in quarter 4 itself entirely? Or is it more a simultaneous manner?

Ankur Vaid: No. I mean, typically, supplies to these markets would happen through the governments only. So whenever there is a need, whenever there is lesser inventory and government then decides to place tenders, that's how so it completely depends on utilization. There is no fixed time period on that it will happen within a particular quarter or a particular month.

So in last year -- last to last year, we had seen supplies in quarter 3. And this year, if you see the entire situation changed not only from a formulation standpoint, but as I said, also through the API because also the API got impacted because of the currency allocations and the funds allocated to the government for such supplies. So to answer, there is no particular time period within which the tender gets floated. It is based on the consumption requirements.

Naman Bagrecha: Second question for Raviraj, sir. So there is this INR 79.3 crores CWIP in the balance sheet . Could you highlight what is it for? And I presume that going forward capex will be only to the tune of, let's say, INR 20 crores, INR 30 crores.

Moderator: Naman, your voice is not clear. Your voice is breaking.

Naman Bagrecha: Hello . Can you hear me now?

Moderator: Yes.

Naman Bagrecha: Yes. Sir, I was asking on the CWIP part, INR 79.3 crores is on the balance sheet. I presume that our capex was going to be only to the tune of INR 20 crores, INR 30 crores per annum, given large part of our capex cycle is done. Just wanted clarification on the CWIP number.

Ankur Vaid: Yes, yes. So let me answer that. So as I mentioned earlier that we have also set up the soft gel facility within this year. So capex has also gone towards that in addition to the maintenance

capex . And in addition, we have also, as I mentioned, that started work with one of the innovative companies.

So there was some additional modifications that were required for us to initiate that project with the innovator company because it was a larger volume project, so it required a slightly larger modification to the plant. So those were some of the changes based on which the capex was slightly higher than the regular maintenance capex of INR 20 crores to INR 30 crores.

Naman Bagrecha: What would be the guidance for capex of FY27?

Ankur Vaid: Sorry?

Naman Bagrecha: What would be the capex guidance for FY27?

Ankur Vaid: General capex is around to the tune of INR 20 crores, INR 30 crores. And as of now, there is no particular requirements per se. But in the future, if there is any newer projects, which does

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require, I think we have sufficient cash on hand and a zero -debt status, so to optimally utilize for that growth, I do not see that as a challenge.

Naman Bagrecha: One more question than I will join back in the queue. Sir, you highlighted that there will be savings from renewable energy with our solar plant. Has that savings started or what would be the potential savings going ahead?

Ankur Vaid: Yes. So those savings have started and we expect around 1% to 1.5% positive impact on the EBITDA.

Naman Bagrecha: Considering the newer, let's say, power and fuel costs or this is the older, let's say, cost?

Ankur Vaid: Yes. I mean if you consider this situation to be there for full year, then it might be a little lesser. But I'm assuming that it should be in that range of 1%, 1.5%.

Moderator: The next question is from the line of Sumit Gupta from Antique Stock Broking .

Sumit Gupta: Am I audible?

Ankur Vaid: Yes.

Sumit Gupta: So first on the capex part, you highlight capex INR 20 crores to INR 30 crores. So do you expect any growth capex also? Or should we go ahead with this INR 20 crores, INR 30 crores for the next 2 years?

Ankur Vaid: Difficult to say for the 2 years. But yes, for this year, I do not see any further additions at least in the first half of the year. And as I mentioned to Naman earlier that if in the second half, there does come any requirement because of any new projects coming in, which requires additional capex , it should be okay with us I mean to kind of optimally utilize it for the growth.

But just to add and maybe I missed on one point there, we are also setting up an additional facility of a smaller size for the topical range. And that could be something that one would see in this financial year.

Sumit Gupta: Understood, sir. Sir, second question is on the API side. So what is the contribution from the base portfolio and the new launches? Can you highlight the split between the API segment?

Ankur Vaid: So much of the growth that we are seeing or we are going to be seeing in this year would also be coming from the anti -infective and the oncology segment is how we see. While in terms of the value -wise growth, there will be value growth across all the segments. But I think there would be a faster growth is what we see in the anti -infectives in the onco segment.

Sumit Gupta: Like what kind of growth? And majorly it will be coming from new launches and how is the base portfolio like over the next 2 to 3 years?

Ankur Vaid: There is no base for us because every year, we've been launching 1 or 2 products. So difficult to quantify what is base for us. But as I said that the growth that we are seeing would be from, say, products like Nystatin, which is there. we are just initiating supplies also on Fusidic Acid.

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So while the quantum of Fusidic Acid supplies may not be as big as the same was the case for Nystatin last year where only smaller quantities were supplied and larger quantities, we are seeing in this year. So that's how we see for the newer products, but our already commercialized

products within that products in onco segment and in anti -infective segment are going to see a relatively higher growth than the immunosuppressant growth.

Sumit Gupta: Understood. And sir, with respect to CDMO, how much was the contribution from this segment in 4Q FY?

Ankur Vaid: So CDMO so we do not classify contract manufacturing as CDMO, just to be clear there, so contract manufacturing of Concord IP products are still considered under our own business only

and not under CDMO. So we classify CDMO only where the IP belongs to the third parties like the innovators.

So this year, I would say that we will be in the single digits, maybe between 1% to 4%. But we are expecting a couple of CDMO opportunities to click. And at least for one, we are right now at advanced stages of discussion. If that happens, those numbers could change to a certain extent.

Sumit Gupta: So like should we consider this into formulations? Or can you split that into API formulation?

Ankur Vaid: API, it would be primarily in API.

Sumit Gupta: API, okay. in that sense, so you expect the mix to be almost at 80 -20 going forward also? API to formulations?

Ankur Vaid: Yes. I mean, overall API to formulations, as you saw last year and last to last year and also last year, we were in and around that 80 -20. So plus/minus 2%, 3% here and there is what we expect also in this year.

Sumit Gupta: So just final question. So in that sense, let's say, you get a good -- basically your mix improves. So like can we expect improvement in gross margin? Or should it sustain at these levels?

Ankur Vaid: No. So the gross margins, I would say, would be in and around the similar thing, as I mentioned, that we would be in and around the 80%, 20% mark.

Moderator: Next question is from the line of Gagan Thareja from Groww Mutual Fund.

Gagan Thareja: I hope I'm audible.

Ankur Vaid: Yes.

Gagan Thareja: So sir, you have in the past quarter indicated that the injectables and your U.S. business, the CDMO business put together have caused a INR 75 crores sort of additional opex, which was not absorbed. I think you also in your remarks in the start of the call indicated that adjusted for this margins would have been north of 40%. So given that now you are confident of growth coming back, is it reasonable to assume that there will be operating leverage on these 2 facilities, which will lead to operating margin improvements?

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Ankur Vaid: That's correct. So as I mentioned earlier that the full cost has been factored into the last year. So there would be operating leverage kicking in. But as I also mentioned that typically, it does take a little bit longer time for it to kind of have a full breakeven because the supplies to Stellon are going to happen in the first half of the year.

And also injectables is slowly and steadily picking up pace. So full breakeven, I would say, will take time. I would say probably in the next financial year is what I would look at. But it would the operating leverage will start kicking in from this year, and it should have a positive impact compared to what we saw in last year.

Gagan Thareja: So between the savings on energy cost from your renewable energy and also reduced losses in these 2 operations, the energy savings itself you indicated could be 100 to 150 basis points of margin improvement and plus further benefit from stanching or reducing the losses in these 2 new ventures. Would that mean that the scope for operating margins to improve could be 200 basis points or more?

Ankur Vaid: Possibly, yes, because as I said, 1% to 1.5% should be from the power and around 0.5 %, 50 bps from the rest of the business, one can look at that, yes.

Gagan Thareja: But what were your losses between these 2 businesses for financial year '26? And to what degree do you think those losses can be reduced in FY27?

Ankur

Vaid: So Ravi raj had already mentioned earlier on the loss on the expenses that were there for both the 2 businesses, which was INR 38 crores and INR 10 crores. How much of that will get compensated, will get taken care for the full year, a little early for me to say.

Gagan Thareja: And just one clarification, did the CFO also mention that the current capacity is adequate to take the company's turnover to INR 3,000 crores?

Ankur Vaid: That's correct.

Gagan Thareja: In which case from here on, any capex is essentially for debottlenecking and maintenance?

Ankur Vaid: That's correct. Unless it is for a new project with a customer that may require growth to happen.

Gagan Thareja: And from a working capital standpoint, do you see things remaining stable or improving or deteriorating going ahead?

Ankur Vaid: It should remain stable because much of it is the need of the industry, which is in fermentation, you may require certain longer. So I expect it to be in line with what you see.

Gagan Thareja: One more broad-based question. I think you have always alluded to your historical growth rates of high teens and indicated that you could possibly be in a position to maintain or even perform a number beyond that. Is it possible to elaborate on what pedestals that aspiration is sort of predicated, what additional revenue streams and margin levers will bring about that? I mean to whatever degree it's possible for you to share?

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Ankur Vaid: Maybe it will be a little difficult to cover much of that in a shorter span on the call. But I think from a capacity standpoint, we have the necessary capacities in place. Also the growth levers because we have recently commissioned a couple of years back, the Unit 3, Unit 2 also we have added capacities, both from oral solid as well as from the soft gel.

The new injectables facility, which is not currently contributing has been also commenced operations. Other growth levers like the CDMO and Stellan for the U.S. business has been established. So there are multiple growth levers which are there. And the capacities and capabilities are also there to address these needs.

So basis on that is where we get the confidence to kind of the capability to have INR 3,000 crores from the assets that we have created. So there is an asset block, which can meet those sales. And there are products both in the API, in the formulation as well as in the CDMO opportunities there to kind of meet those long-term growth that we look at.

Gagan Thareja: And when do you see you being able to optimally utilize your current capacities?

Ankur Vaid: So Unit 1 is already at optimal capacities. Unit 3 is slowly and steadily also progressing. We are at close to around 50% utilization. Unit 4, as I mentioned, that by next year, you should see breakeven coming in. And soft gel also is adding. So we are at the right path to kind of work towards optimal utilization.

Gagan Thareja: Let me put it this way. I mean, when do you see the next tranche of large capacity creation requirement coming up 3 years out, 2 years out or 4, 5 years out?

Ankur Vaid: So I don't see any larger capex happening this year until unless there is any requirement because...

Gagan Thareja: Not this year. My question is given the kind of run rate of revenue increase that you can foreseeably see, do you believe that 3 years out, you will require your next tranche of substantial capex? Or do you think that's 5 years out that you will require a substantial capacity addition taking place because you indicated that there's room to scale up your turnover?

Ankur Vaid: Anything above I mean, INR 50 crores to INR 100 crores, probably 2 to 3 years could be a good estimation. But beyond INR 100 crores, I think it will be probably 4 to 5 years down the line.

But beyond INR 100 crores is not a significant capex addition to the

overall asset block that we

would have. So yes, I don't see that as a material change over the next 4 to 5 years.

Moderator: Next question is from the line of Agraj Shah from Tata AIA Life Insurance.

Agraj Shah: Firstly, I would like to understand that given that most of the challenges that we faced this year are on the export side, still our exports actually did relatively better than the domestic. So exports are declined only 9% versus domestic declining 15%. So can you just explain that? Is it indirect sales to our customers or what exactly is leading to this?

Ankur Vaid: I mean for the U.S. market, most of our sales is typically indirect because many of the Indian manufacturers are supplying to the U.S. market. So as I mentioned, in an interconnected world, Concord Biotech Limited

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even supplies to India goes to the U.S. And also, as a matter of fact, the formulations that I mentioned was supplied to the domestic market and our counterparts in India then supplied it to the India.

So the Middle East suppliers were actually domestic got captured in the domestic formulations rather than in exports. And that's why in the overall equation, the domestic gets impacted more than the export.

Agraj Shah: Just on the formulation side, so given that the base is relatively low, but still we are seeing a decline. So any thoughts on that? Or is it just that the sales are getting impacting us as we would have been on a growth trajectory? Can you understand for API, but the formulation business was relatively young with new capacity.

Ankur Vaid: So all our businesses, as I say, because we have domestic formulations, contract manufacturing in India for other companies, U.S. business and international business. So apart from the international business, which got impacted because of certain geopolitical reasons, all the other regions domestic as well as U.S. business has actually grown. So the impact was primarily on account of the formulations on account of these geopolitical issues that we spoke earlier during the call.

Agraj Shah: And just on the working capital side, so actually the inventory days have gone up to 480 days versus 286 days last year. So even on an absolute number, it was INR 240 crores last year has gone to INR 326 crores. So are we finished with inventories or let's say, there were some shipment deferment which actually led to the ...

Ankur Vaid: So it's a mix of two things. One is that as mentioned during the call earlier that certain of our customers made it more staggered procurement approach than the bulk approach. So there was inventory with us, which we were expecting to kind of ship as in quarter 4, which has been now staggered over subsequent quarters. So there is some sales happening in quarter 1, quarter 2 and so forth. So that inventory is sitting in our books as well. And some delays because of which customers delayed because of all that was happening in the last couple of weeks of March. So there is some impact of that. And the other is, of course, that when we are manufacturing, the utilization numbers have gone slightly higher. And in fermentation, as I mentioned, the time cycles are larger, which is the need of the industry. So some contribution is also from that. So we expect this to slightly moderate as well in the coming quarters as staggered supplies to these customers would start happening.

Agraj Shah: And just a clarification on your initial comments for the first answer that you gave on the growth starting to be, let's say, more closer to 20% plus in the first half. So is it that in the second half, so if you look at the first half for this year, we had degrown by 14% on the full year also, we had degrown by 12%. So would it be that let's say, the growth will be first half as well as for the full year next year would broadly be along the similar rate or it would be more first half heavy?

Ankur

Vaid: So what I mentioned earlier was that for the full year, we expect our growth to be in line with our historical, slightly better than our historical. And the first half, we have a good visibility towards achieving the full year that we spoke about.

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Moderator: Next question is from the line of Stuti Bagadia from Choice Institutional Equities.

Stuti Bagadia: Am I audible?

Ankur Vaid: Yes.

Moderator: Yes.

Stuti Bagadia: I'm sorry if I missed this, I just wanted to know what is the EBITDA margin guidance for FY27?

Ankur Vaid: So we have not given any guidance on the EBITDA. But what we have mentioned is that there are certain positive impacts that are there. One is that the power cost where we expect 1% to 1.5% positive impact.

And also that certain of our businesses like Stellon Biotech as well as the injectables, the expenses have been fully built up in last year. So we expect some operating leverage for that to kind of kick in. But there is no specific guidance that we have given for the next year.

Stuti Bagadia: And my second question is on the inventory days. So like you mentioned that they have increased significantly. Do we expect normalization in FY27?

Ankur Vaid: Yes. I mean it should be in the normal course of business, which should be there. So a slight increase, which was seen has been on account of what we just spoke earlier. But other than that, it has been pretty much in line with what our historical inventory days have been. So that slight increase was on factors, which we spoke about, which, as I mentioned, should get addressed in the first half of the year.

Moderator: Next question is from the line of Dhawal Khut from Jefferies.

Dhawal Khut: I wanted to know the energy exposure. What's the very broad level exposure towards LPG versus non-LPG? And if the situation were to normalize, will that benefit also be meaningful for us?

That's one. And second, at the IPO, we had a very large top 5 molecules. So how is the contribution of those top 5 products for us right now?

Ankur Vaid: So on the LPG, I'm not sure, I can reconnect with you separately. We won't have the comparative there. But overall, if you see around 20% of the cost, in and around 20% is power and fuel, which I would say around 50% of that -- close to around 10% is LPG based, LPG or furnace oil-based because at multiple plants, we have either LPG or furnace oil. So there is definitely an impact on the higher side, which is there.

And that is eating away, of course, into the benefits that we see from the power and fuel, and that's why we've given a range of around 1% to 1.5%. So while we are seeing positive side on the power, the fuel is something that is on the higher side. And I think if that improves, then we should get closer to the 1.5% EBITDA mark is what we see.

But from the top 5 molecules, I would say that, yes, of course, last year would not be a right year to kind of look into what the top 5 molecules has contributed. But going forward, as I mentioned, that we are seeing more growth coming in from the oncology and the anti-infective segment.

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Dhawal Khut: And lastly, is the supply chain stable, like there's no availability challenge in terms of whatever

fuel requirements, be it LPG or furnace oil based?

Ankur Vaid: Yes, in the first few weeks, of course, it was challenging because as you will know that many of the places, the government had restricted the use of fuel to the industry or there were higher charges to be paid for the higher usage of fuel. And of course, in fermentation, you cannot stop the industry. So we were forced to go with the utilization at a higher price. But yes, I think that shortage is now no more there. It's only with respect to the price, which is there. But yes, the initial few weeks in April, there was

as an industry challenge.

Moderator: Next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: I have three questions. First is, if FY26 was primarily a timing issue, which you have explained, right, rather than a demand issue, where should investors expect to see the release of that timing effect first? Will it be inventory or receivables or operating cash flow or revenue growth?

Ankur Vaid: So as I mentioned that inventory, because we spoke earlier during the call that at the slightly higher elevated inventory levels should get kind of used during the first half of the year. And what I've mentioned earlier that there is a fair amount of visibility on the first half of the year as well is how I would look at which kind of translates into the revenue that will get positively looked at.

Sajal Kapoor: No, that's helpful, Ankur. I mean you mentioned that some of the tenders that couldn't land in FY26 are still work in progress, hopefully. So in that context, what percentage of current inventory is already linked to identified customer demand or customer forecast or commercial shipments that will start getting released from Q1 of this fiscal?

Ankur Vaid: So that impact is only in the Middle East. All the other markets, I think, as I said, that our new customer acquisitions, which are there are new projects that we are looking at, the material that we have in hand is mostly being targeted and subject towards those.

When it comes to Middle East, we are not manufacturing formulations and sitting on the formulation process. So the inventory that we have is not with respect to the formulation inventory because therefore, shelf life starts kicking in. So the inventory that we have is primarily, I would say, more towards the API. And there it has been more about the staggered approach, which is there.

So for Middle East, I think supplies will be through the API to the extent it is possible to address those opportunities. But when it comes to formulations, neither are we holding the inventory. And whenever there is visibility and we have fixed orders coming from there, only then those production would happen. So that's how we are looking at the inventory positioning.

Sajal Kapoor: So that's helpful. So based on what you just told me, if I understood it correctly, there is absolutely very low probability of risk of us, taking any sort of write-off because of any inventory getting obsolete, et cetera.

Ankur Vaid: That's correct. From a formulation standpoint, yes.

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Sajal Kapoor: And lastly, compared with FY24-'25 kind of time period, do you expect Concord's steady-state working capital intensity to be structurally higher structurally lower or kind of broadly will remain unchanged over the next 3 years? And the reason I'm saying 3 years is because that factors in some of the recently commissioned capacities to be kind of optimally operational?

Ankur Vaid: I would expect to be in line with our historical numbers. because majority of the business is API. And there, the working capital cycles are usually higher because of the nature of the business. So I expect to be relatively in line with our historical numbers.

Sajal Kapoor: Sure. That's helpful. And could I just appreciate that the quality of communication on the earnings call have been top notch throughout. And yes, we have seen a bit of a difficult period in FY26, but nevertheless, we have just communicated what was actually correct rather than just making it up, and very, very helpful communication. Thank you.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question for the day. I now hand the conference over to the management for the closing comments.

Ankur Vaid: So thank you, everyone, for joining on our Q4 and FY26 earnings call. We hope we have been able to address all your queries.

For any further information, please get in touch with us or SGA, our Investor Relations Advisors. Thank you once again. Have a good evening.

Raviraj Karia: Thank you, everyone.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.